

Tata Consumer (TATACONSUM)

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Sub: Transcripts of Conference Call pertaining to Financial Results

Dear Sir /Madam,

We enclose herewith a copy of the Transcripts of Conference Call held on Wednesday, April 26, 2023, in respect of the Financial results for the quarter and year ended March 31, 2023.

The same can also be viewed at : <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully,
For Tata Consumer Products Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Encl: as above

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"Tata Consumer Products Limited
Q4 FY'23 Earnings Conference Call "
April 26, 2023

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. L KRISHNAKUMAR – EXECUTIVE DIRECTOR AND

GROUP CHIEF FINANCIAL OFFICER
MR. AJIT KRISHNAKUMAR – CHIEF OPERATING
OFFICER –
MS. NIDHI VERMA – HEAD OF INVESTOR RELATIONS
AND CORPORATE COMMUNICATION

MODERATOR : MR. ANIRUDDHA JOSHI - ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Tata Consumer Products Limited Q4 FY'23 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in a listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you, sir.

Aniruddha Joshi: Yes, thanks, Aman. On behalf of ICICI Securities, we welcome you all to Q4 FY'23 Results Conference Call of Tata Consumer Products Limited. Now I hand over the call to Ms. Nidhi Verma, Head of Investor Relations and Corporate Communication, to take it forward. Thanks, and over to you, Nidhi.

Nidhi Verma: Thanks, Anirudh. And hi, and welcome, everyone, to the Q4 FY'23 call of Tata Consumer. I'm joined here by Mr. Sunil D'Souza, MD and CEO, Mr. L Krishnakumar, Executive Director and Group CFO, and Mr. Ajit Krishnakumar, COO. As we usually do, we will spend about 15, 20 minutes walking you through some of the key highlights of the quarter and the year. And then we will open the floor for Q&A.

With that, it's over to you, Sunil.

Sunil D'Souza: Yes, thanks, Nidhi. So in summary, we had a strong fourth quarter, revenue growth of 14%, EBITDA margin of 14.3 %. The good news was during the quarter, we had growth in the India beverages business. Specifically, volumes coming back to growth, up 3%. India foods business, despite all the price increases that we have taken, volume was on a strong trajectory. Salt business margin now with the price increases, normalizing is back to the normative range. International business, we have taken pricing actions. Not all of this has flowed through, but even what has flown through, we saw 11% revenue growth, 1% excluding acquisitions. And EBITDA, more or less in line with last year. So even on a bottom-line front, the international business has started to stabilize.

If I take the full year, revenue up 11%, India business growth of 10%. India business beverages grew 1%, negative 1% volume growth, because we had stress during the earlier quarters. Foods business, volume growth of 2 %, value of 26% with the price increases. International business, ex-acquisitions was up 4% in constant currency, primarily driven by price increases.

We continue to drive the India growth business. They grew 53%, accounted for 15%. Starting from 6 % when we took over, they're now up to 15%. So we're growing beyond tea and salt.

During the year, we gained market share in salt, but tea volumes saw a marginal dip. We had for the full, for MAT, March 23, we had a 50-bps dip in volume share. On profitability, India business EBITDA margins expanded by 90 bps during the year, despite inflation in salt. And

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please remember that the volume growth that happened in the India beverages business start to reflect in market share in the quarters going ahead.

We continue to accelerate innovation, where we started from 0.8 %, we are now at 3.4 % for FY'23. We are in the top quartile, but we will continue to move this up. Free cash flow conversion from EBITDA was close to 99%, and our dividend is up by 40% year-on-year. In terms of performance, India beverages, as I mentioned, volume growth of 3 %, revenue 8 %. India foods, volume 8 %, revenue 26 %. US coffee, volume was negative 20 %. Just to highlight that the way we took pricing in the US was by pack-price and degramming rather than taking naked pricing. So it shows on volume, but overall revenue was up 6 %. International ex-acquisitions, volume growth

3 %, and revenue growth ex-acquisitions of 6 %. Tata Coffee , obviously you've seen the results, 14 % volume and 16 % revenue. Overall consolidated constant currency growth of 12 %, reported 14 %.

In group performance, we delivered revenue INR3,619 crores at 12% constant currency growth. INR518 crores of EBITDA, which was up 13 %. Group net profit was up by 21 % at INR290 crores, and we have roughly INR3,000 crores of cash. Margins expanded, and EPS for the full year was up by 28%. In terms of our strategic priorities, number one was we had made a statement in September of 2020 saying that in one year, we'll double our direct distribution, and in three years, we'll double our numeric reach. So the target was to hit 4 million outlets by September of '23. We are at 3.8 as of March, so well on track to achieve that.

And in terms of direct reach, we've expanded three times from where we started in FY'20. Going forward, you'll see two important things which will continue to accelerate this. A) is all 10 lakh plus towns. We are splitting our sales front end to provide focus on food and beverage and going down to appoint direct distributors in all 50,000 plus towns and significant amount of 20,000 plus to drive distribution and plug our share gaps in semi -urban and rural.

Alternate channels, good story. Overall, contribution from modern trade is now 14 % and e -commerce 9 %. Modern trade grew 21 %. E-commerce grew 32 %. The beauty about e -commerce, it allows us to pilot all our innovation and figure out what's working, what's not. And obviously, it's working because NPD contribution while overall I showed you a 3.4%, e -commerce is 10%. So it's a question of distributing that innovation and making it available to a wider audience.

Tea, our hyperlocal drive continues. Market share, as I mentioned, in volume terms, we were down 50 bps ; value , we were down 113 bps. But we do expect, given the focus on execution, given the fact that our geographies of the north, where we are higher weighted and rural seeming to stabilize a bit, we do expect to make this and more than make up for it as we go forward.

Salt, the story has been expanding beyond the base Tata Salt. And here you see very clearly the amount of launches that have happened in the value -added spaces, whether it is iron, zinc, lite, superlite, focus on rock salt. And value -added salts from less than 1% in FY'20 are now up to 5%, significantly higher price indices. And overall, our salt share has gone up by 76 bps on a MAT basis.

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Innovation, I talked about. We started at a 0.8 %. We're now up to 3.4 %. We have roughly doubled our launches compared to last year. And it's not only foods and beverages. It is new categories, including expanding Himalayan and entering the protein space. Digital has been a huge, huge move for us. We are completely on clouds, no servers. We run a single instance of SAP. Our entire front end is now digitized. And we are looking at taking it one step further now. Our entire supply chain runs on Blue Yonder IBP systems. And we've got dashboarding across functions , across businesses.

The key is now to leverage these pipelines that we have laid and the data that we gather to move into the next phase of data -driven NPD, things like web crawling, social listening to drive NPD, leveraging AI /ML to drive procurement, take revenue growth management to the next level by running analytics much more rigorously, and sharpen our spends on marketing with very, very clear data -driven ROI spends.

We had announced our global simplification, which was two parts, which was reducing the number of international entities, as well as delisting and merging Tata Coffee. We have made significant progress on that. And we expect somewhere in Q2 to be able to complete the NCLT process and thereby then start the process of collapsing the interna

tional entities.

Apart from that, we've consolidated our ownership in JVs. In Bangladesh , we've terminated our JV and we are setting out on our own out there . In South Africa , we upped our stake to take majority control and the founders will still continue with us to continue to drive the business there. New engines of growth moving beyond tea and salt, focus on Sampan n, ready -to-drink, Soufull, and the ready -to-eat, ready -to-cook portfolio. It's up to now 15% of our revenue in the India business and strong growth continues. Combined revenue growth was 53% for FY'23. We have made significant progress on the acquisitions that we have made. Soufull [Erratum: NourishCo] we acquired in FY, end of FY'20, it was INR180 crores. It is upwards of INR600 crores right now. Very, very high innovation to sales as we expand our portfolio and we've expanded our footprint and capacity significantly. Distribution up 70% year on year. Soufull doubled in revenue last year. The rupees 10 pack was instrumental in reaching 3000 outlets [Erratum: 300k outlets] . Masala oats has been tracking ahead and we've gained significant market share in places that we already distribute this. RTE, RT C is slightly behind on our timelines, but now the international expansion, which is key on this business has kicked off. Starbucks scaling rapidly 10th year. We are now across the INR1000 crores mark. We added 71

stores, which is a record for Starbucks. We are now in 41 cities and 333 stores now nationally. You will see an aggressive expansion even going forward. More than that, we have also run this pilot, which we call Moonshot and fine-tuned four options to drive extra traffic into the outlets. A) enhanced beverage offerings, including milkshakes, filter coffee and masala chai. New Pico size, both for affordability as well as ease of consumption for the Indian consumer. Number three is revamped our food to offer shareable and fresh options and refurbished interiors to make them less intimidating, more brighter and more inviting for Indian consumers, especially as we roll out to Tier 2, Tier 3 cities. We have put out our sustainability goals out there and on track or executing against the commitments that we have made.

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In terms of the macro environment overall, we are now seeing a slight downtrend on tea prices, but keeping fingers crossed because there is a lot in the macro environment which can swing this. Coffee had started coming down but is now stable to slightly upwards bias as we go forward. In terms of the businesses per se, India packaged beverages, 3% volume, 1% revenue, overall value 113 bps down, volume was down 50 bps. We do think that given the stress seeming to slightly reduce on the rural and especially the northern parts of the country, we will start seeing volume growth and market share coming back quickly. I already talked about salt volume growth of 8% and revenue growth of 26 %, market share was 76 bps. Value added portfolio is now 5% of our mix. Tata Sampann continue to grow strongly, growing 35% for the quarter with the full year growth being 29 %. Margins are almost back to normal. Soulfull doubled during the year . NourishCo 80% revenue growth and Tata Copper is 2.2 times of its size. Tata Coffee overall growth 11% in plantations, 20% in extraction, a large part of this driven by coffee prices, but also enhanced a number of customers and NPD. Starbucks I talked about. International, the good news is we've taken pricing across markets and between pricing and cost restructuring, overall international EBIT margin is now coming back to its normalized phase. We're just about 100 bps off from where we were on international business versus the same quarter last year. More or less maintaining our market shares in UK, US, as well as Canada. LK.

L. Krishnakumar: Yes, thanks Sunil and morning everyo

ne. We've had a good quarter as Sunil mentioned. We'll first talk about the standalone performance and if you see here, we have a revenue growth of about 12% and more than proportionate EBITDA growth in excess of 20%. So strong performance by the tea business where we had volume growth of 3% as Sunil mentioned and trend of improving margins compared to where we were in the previous couple of quarters or so. I think same holds good overall for the foods business as you will see. So strong margin growth, strong top line growth driven both by volume and price. Moving on to the consolidated results and the numbers are with you where we have 14% top line growth, 12% in underlying terms. Roughly out of that, half and half is volume and price. So it's a quarter where we've had volume growth coming back in different parts of the business in different degrees and within that overall, the growth portfolio of Sampann, Water and Soulfull doing exceedingly well. In terms of profitability, we have sort of come back in this quarter to the kind of EBIT/ EBITDA margin levels that we had in the same period last year, more or less there . But the point to be noted was that in the earlier quarters, international was lower than in the previous year. Whereas the absolute profitability in this quarter of the international business is more or less in line with the previous year. So we've arrested the decline, it's sort of stable, driven by price increases that we have taken. And in addition to various cost restructuring efforts, which are ongoing, you will see more of that as we go into the next year. Moving on to the next slide. This is just a recap of financials and what we said in terms of EBITDA, you're seeing that we are more or less coming back to where we were on track in EBIT and EBITDA. Exceptional items in this quarter include a small element of acquisition of stake in our Bangladesh JV. So we had to account an accounting gain, there are restructuring costs. No major movement on the tax slabs . If you look at the share of profits from JVs and Associates,

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not called out here, but it's in the statutory, you'll find that it is slightly, the loss is slightly higher than the same period in the previous year. We had a slightly higher loss in the North India plantations where we don't have crop in this quarter, and Starbucks did well. Moving on to the right-hand side for the full year, you're seeing 11% top line growth. The EBIT

or EBITDA growth is lower than what you see in the quarter. So the quarter you're seeing, overall the ratio is much better than the full year performance, and that we see to be an improving trend. In terms of share of profits from JVs and Associates for the full year, you'll see that the loss is reduced because of increased performance of Starbucks.

So if you move on to the next slide, this is a standalone performance, and again, here I'll call out what I've already said, that the EBITDA growth is more than proportionate to the top line growth in the quarter, and also for the full year, we've seen strong growth in terms of performance relative to top line. So the underlying foods business doing very well, salt in particular driven by premiumization. We've had variants like Tata Salt Lite, Tata Salt Immuno, rock salt also doing very well in addition to the base salt. And as I mentioned, the growth businesses have also done well.

So moving on to the next slide in terms of segment performance, you'll see here that in India business, we have an improvement in segment results more than proportionate to the top line. In terms of international business, it is flat to marginally lower, but if you look at the absolute numbers, 127, 128, it's flattish. And if you see the previous quarters, you'd have seen that it was lower. That's the point I made earlier. Unbranded business did well in the quarter driven by

improved coffee prices. And that is sustaining going into the next year. So overall in terms of proportion, India revenues 70% compared to 71% in terms of profits. So the proportion of India and the profitability of India continues to be better. And that's the trajectory you'll see more of going into the future.

So with that, we'll hand you back to the moderator, to Sunil for any concluding remarks before we open up for questions.

Sunil D'Souza: So if I look at FY23 in a nutshell, as we've seen huge amount of volatility, geopolitical, commodity, currency, crude, and stress across different parts of our businesses. But now we seem to be seeing green shoots, especially in our salient markets for tea in India, and remain cautiously optimistic. I wouldn't say that we are out of the woods as of yet, but we have started seeing volume growth coming back. Impact of inflation and monetary tightening on economic growth and demand seems to be slowing down in terms of the upward trajectory, but I would keep my fingers crossed and monitor it closely.

If I summarize FY'23, we delivered a double-digit top line while balancing margins in an extremely volatile and inflationary environment. Tea business in India was subdued due to demand challenges in our key markets, but we do think we've put various interventions in place, volume growth has started to come back, and we hope to continue this. In spite of the price increases that we took on salt, we continue to gain market share led by strong execution. Margin is now mostly back to its normative range.

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Growth businesses have been on a strong trajectory, whether it is NourishCo, ready-to-drink, or it is Soulfull or Tata Sampann, everything has delivered as per expectations. Tata Starbucks is on a strong wicket, and the game now is to accelerate store openings still further. In the international business, huge amount of work done to combat inflation and adverse currency movements with pricing and various other structural interventions which have been put into place. And like LK said, not all of this, you've seen it flow through. We do expect in the next two quarters, you will start seeing more of this flowing through into the P&L.

Given the significant input cost inflation, increasing salience of the new businesses, we have minimized the consolidated EBITDA margin (clarification – contraction), and we will continue to focus on driving profitable growth. There is one more point that I would want to make upfront, is we have changed our reporting disclosures, and we have gone to a statutory reporting of advertising and sales promotion. You will see the numbers coming out in the annual report. Going forward, while we will continue to report the statutory numbers as is, any extra information we are more than willing to provide. And just one or two extra points I would like to make on that is, not all the improvement in the India EBITDA has come out of A&P squeeze, number one. Number two is, please remember, when you say advertising and sales promotion, we're still not counting the discounts, trade promotions, etcetera, which happened to be captured in net sales.

So there is a whole bunch of price, consumer, trade, advertising, etcetera, which contributes to growth of the businesses. And yes, so any extra information, more than happy to provide, Nidhi will give it to you.

Nidhi Verma: Thank you, Sunil. Back to you, moderator.

Moderator: Thank you very much. The first question is in the line of Vivek M. from Jeffries. Please go ahead.

Vivek M: Hi, good afternoon, Sunil and team. Sunil, starting from where you left, so can you just give a help us with advertising spends for at consol as well as at standalone levels?

Sunil D'Souza: So Vivek, overall for the year, on a standalone basis, as well as consolidated, we have increased

in absolute terms versus last year. For the quarter, it has been a bit lower than what it was last year, but you have to remember it's also planned around all our promotions, activities. And as we've seen growth slowing down in certain geographies, we've taken more action on pricing. On salt, we've taken aggressive price increases, we've given back some to trade to make sure we oil the channels to drive volumes. So Yes, while it has been a slightly lower, but the intent is obviously to keep fueling our brands as we go forward. Quarter -to-quarter, you will see movements going up and down, but overall, the intent is not that we will cut advertising and drive bottom line, that's number one.

Number two, when you look at the standalone, it doesn't still portray the picture of our India business in totality, because things like Soulfull and NourishCo are outside that. If I remember

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the numbers right, there has been an upwards of 50% increase in the Soulfull and NourishCo businesses on A&P for the quarter itself.

Vivek M: And Sunil, is it still possible, so I understand you have moved to what is the -- let's say, bare minimum requirement. But in your press release, can you put advertising number because neither it is, let's say, competitive info which you can't share, nor it is something that we can ignore. So, it will be very useful if you can continue with that.

L Krishnakumar: I think Nidhi and company will make it available to you on an ongoing basis in the quarter. We'll see if we can add it to the investor presentation, but otherwise, Nidhi will share the numbers with you.

Vivek M: The second question, Sunil, is on international margins. So there is a smart recovery in margins, where do you think it settles in the next few quarters? Do you think we go back to the -- you go back to the historical levels?

Sunil D'Souza: So, Vivek, the intent absolutely is, not only to go back to historicals, but improve from there on. As we've always maintained, net EBIT margins of the international business have always been accretive in my mind to the Indian portfolio. Right now with the pricing and the cost take outs that we've done, pricing, for example, in the UK, we took pricing, a 15% price increase only in Feb. So you're not seeing the whole impact flow through. Or there are structural cost actions, which are still a work in process and should be completed by end of this month. So, I think between quarter 1 and quarter 2, you would see every thing coming in, but I would expect international margins to come back solidly, if not better than where they were before we started off.

Moderator: Next question is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Hi Sunil and Nidhi and LKK sir. Good afternoon. My first question is on the tea business. So I just wanted to understand from you, Sunil, since you took over, let's say, over the last three, four years, has there been a more broad basing of the tea revenues in terms of the state contribution?

I understand that you have certain states where you are very strong, certain states where your market shares are very low. So, I just wanted to understand the latter where the states where you are low market share, what are the strategies there? And have they borne any fruit? And are you seeing sort of -- apart from the core states of the northern territories where, of course, there is a macro issue and that's why you are not growing, but apart from that, have we seen sort of some amount of improvement in states where we are weak? And do we like have a specific state-wise strategy as to how to grow market share in different states where we are underrepresented?

Sunil D'Souza: So Percy very specifically, yes, we do have a cluster-wise strategy for implementation by cluster. The brands are different. The pricing moves are different

and A&P spends are different. So, very specifically, for example, we are weaker in the South, stronger in the North. Again, in the North, if you feel it out, I mean, while we are strong in most parts of the North, Eastern UP is a

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weakness. So, we need to make up in Eastern UP, for example. There are very specific

distribution, pricing, advertising product moves put in play.

In our weaker markets, we have made traction and you would have seen that resulting in our market share until about two quarters back, I mean, we were on upward trajectory on market share. Unfortunately, this is a mathematical exercise where; A) semi-urban and rural is where we have issues. Our portfolio was stronger in the mass to the value segments, which came under pressure. And that came specifically in the geographies for the North where we are stronger. So host of different permutation combinations because of which we have seen a slip in market share. But that slip in market share is a reality. So going forward, there are two, three very, very specific actions that we are taking. And this is, not only to boost tea volume and share, but this is to boost the overall portfolio. Like I said, when we had started 3 years back to drive efficiency, we had created one common distribution system, which was selling both tea and foods. And you saw the synergies coming through and the top lines being driven as a result of that. But now as we go forward, we are realizing that now this is also becoming a bottleneck for our growth because it's the same salesman now selling a far, far wider portfolio and there is a, for want of a better word, I'll say data overflow on that end. So we are now splitting the routes in all 10 lakhs plus towns, which is where we have scale, both for food and beverage to carry two separate salesmen.

Apart from that, as I mentioned, our weakness in market share was primarily in semi-urban and rural. And to that extent, in the first round, we had focused on building distribution in urban areas, and in the semi-urban rural, we had relied on sub-distributors, but as we have built scale, we have figured out now we can support distributors in all 50,000 plus towns, and quite a significant number of 20,000 plus towns.

Now the good news is, all the 20,000 plus towns where we think we can support scale are all in our weaker, but higher pricing for tea geographies. If you get what I mean. And therefore, we are going off on a significant expansion in quarter one and definitely by middle of quarter two, we'll finish that, which will put us in good stead as we go forward.

Fundamentally, on the brand's basis, we don't think there is anything wrong. All brand metrics are strong, distribution remains healthy, and we just need to put our heads down and execute against our strategies and we do think that we will, not only, as I mentioned earlier, we will not only come back on share, but we expect to grow from here.

Percy Panthaki: Right. And the direct distribution which you have tripled over the last year or two. Is there further scope for that to increase? And if so, can you share over the next two to three years, these 1.2 million outlets, how much do you see it going up to?

Sunil D'Souza: So it's 1.5 million outlets as of now Percy. And as I said, as we move to 50,000 plus towns and 20,000 plus towns, we do expect to increase this direct distribution, but we also expect to move our numeric reach, which we are now in the short-term targeting to 4 million. We do expect to

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inch that still further. We are in the process of putting the numbers together, and we will make a statement on where we expect to land.

Percy Panthaki: Right, sir. Next question on Eight O'Clock, there is some, correct me if I'm wrong, 20% volume decline

in this business, how is this possible, like in an FMCG category 20% volume decline. I mean, can you give some idea on what is happening here?

Sunil D'Souza: So, Percy, overall if you look at it, whether it is in tea or coffee across all the markets, there has been a volume decline, that's number one. Number two might be slightly more pronounced for Eight O'Clock because instead of taking naked pricing we have done a pack/price. So for the same price you're getting a lower volume. But the good news is, despite that, we've shown a revenue increase and margins are back to normal.

Percy Panthaki: But Sunil, wouldn't this clearly be a sort of dip in market shares, because I'm sure the overall consumption of coffee would not have reduced that much?

L Krishnakumar: Percy, I think there is no significant drop in market share. There is the other element that you need to remember, on a quarter-to-quarter or even on a year-to-year basis, is to do with phasing of promotions, right? In a particular quarter if Walmart decides to run promotions, volumes will be higher by 10%. Next quarter if it happens in the subsequent quarter and quarter-on-quarter will be a drop. So there are -- it is not a linear growth on a quarter-to-quarter, in the developed markets, not only for coffee, because the timing of promotions also can impact quarter-to-quarter.

Sunil D'Souza: And Percy just to answer your question, we have more or less maintained market share both in bags and K-Cups in Eight O'Clock Coffee in the US.

Percy Panthaki: Okay, sir. And lastly, just one request, now we have crossed INR1,000 crores on Starbucks and now we are like a significant player in the overall QSR space. So if you can increase the

disclosures on this business, in terms of some things like SSSG, or pre-IndAS EBITDA margins on a quarterly basis. I mean, just a couple of data points of these sorts, not an entire P&L or anything of that sort, that will really help us sort of analyse this business because it is becoming of some material size now?

Sunil D'Souza: So, Percy, we don't think we are significant yet. I think we've got a long way to become much more significant and we will try and get back to you with more data.

Percy Panthaki: Sure. Thank you.

Moderator: Next question is from the line of Vivek M from Jefferies. Please go ahead. Vivek, your line went off queue. You may proceed with a follow-up. Sorry, you're not audible Vivek. Can we request to come closer to the mic? Vivek, you are still not audible. Please use the handset mode. I think there is some connectivity issue from the line of Vivek. We will move to the next question, that is from the line of Mihir Shah from Nomura. Please go ahead.

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Mihir Shah: Hi, thank you very much. Thanks for taking the question. So I had a quick question on the normative range of salt margins, which you mentioned has come back to normative range. Can you share what the range would be, because in the past couple of years they have been you know, a yo-yo in quite a bit? What is a normative range that one should consider for salt margins?

Sunil D'Souza: I would just leave it as we are between the 32% to 37% gross margin as we calculate internally, and we are more or less in that range right now.

Mihir Shah: So on EBIT margin, if you can give us some sense, historically had shared EBIT margin. So from an EBIT margin perspective, I was asking from that point?

Sunil D'Souza: So, here's the thing. We have a common infrastructure now for the India business for the entire portfolio, and therefore, we've moved out from EBIT margin by category. We look at margin after advertising and promotion expenses by category and then a common infrastructure set of cost. We can do various permutation combinations and allocations, but we have moved out from that right now.

Mihir Shah: Understood. Sir,

second question I wanted to check on your outlook for tea prices and the sustainability of this turnaround in tea volumes that we have witnessed, given that the plucking season will again start in sometime and historically also we've seen tea prices, again, moderating down in a quarter 1, 2, etcetera. Can that trigger another round of price cuts? And how will the volumes for tea shape up in that context, sir?

Sunil D'Souza: So let me answer the volume question first, right? The volume question, I don't think is related to your tea prices and tea costs as much as with the inflation and rural stress, which is the demand side of the equation. As I said, right now we are seeing early green shoots, and therefore we are seeing volumes come up on tea, and we do expect, barring any unforeseen things happening in the macro environment, we do expect volumes to continue, that's number one.

Number two, when tea prices go up or down depending on the crop, we would move pricing up and down, and therefore, in absolute terms of percentages, we would try to maintain the margins per se. If you dial back what happened in FY '23 is, I would say, two salient factors; A) is effects of the floods in June, July, and the droughts in October, November, which impacted the tea crop, and therefore, price.

The second piece is, Sri Lanka going out of the equation and Russia entering the market drove up prices. Now, the thing is, right now I think the market is levelled at all these pluses, minuses. We do expect a slightly downward trend on the tea pricing as we go forward. But like I said, I mean, we would keep a close eye on it and move up and down on our product prices to make sure that we are balancing volumes and margin.

Mihir Shah: Sir, my last question is on salts business. There is a likelihood that the sharp price increases that we have taken in the past couple of quarters, they start anniversarying from the first quarter onwards, and that growth will continue. The pricing-led leg of the growth will fade away. Now volumes have picked up this quarter for salts, given the prices now will be stabilized, can one expect a similar range of volume growth for salts to continue in the near term, sir?

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Sunil D'Souza: It's not only for salt. I think we have very clearly said in the medium to longer term, we do expect both tea and salt businesses to grow mid-single digits in volumes. So I don't think anything changes from that. Yes, this year, we've had significant revenue growth on account of

the pricing that we've taken, which will not be tenable going forward. But the volume growth is what we remain focused on.

Mihir Shah: Got it. Thank you very much sir. All the very best.

Moderator: Next question is from the line of Sumant Kumar from Motilal Oswal. Please go ahead.

Sumant Kumar: Yes. Can you talk about the NourishCo state coverage and going forward how many states we are going to expand and also the channel expansion going forward?

Sunil D'Souza: So, NourishCo, when we started off three years back, we were primarily in Orissa, Andhra, Telangana, and a small part of Tamil Nadu. We've spent most of FY '21 stabilizing the business and in FY '22 moving to the East, FY '22 and FY '23, the focus has been to move to the North and a little bit of West. I would say, broadly, we are at least present in 75% to 80% of the country. Present, doesn't mean we've got real strength there. But the game is now to expand distribution, add manufacturing locations and grow in the places which we've already entered. INR180 crores to INR600 crores in three years, we would be targeting to be close to a 4-digit number in FY '24.

Sumant Kumar: Okay. And with channel expansion from say 6 lakh outlets to how much?

Sunil D'Souza: We would have an aggressive number for that to make sure the volume growth continues.

Sumant K

umar: Okay. Can you talk about the losses from share of JV and associate has increased, INR56 crores? What was the key reason for that?

Sunil D'Souza: That is only for this quarter. But if you take the full year, you will see an improvement on the bottom line. I would, again, urge you, given the fact that basically when you say JV and associates, it's primarily three factors driving the numbers; One is KDHP, APPL and Starbucks. And there are different seasonalities for the businesses per se. Starbucks, there has been a significant improvement. APPL, there has been a decent improvement. KDHP has more or less been performing to expectations for the full year. So, I would urge you to look at it from a full year perspective where you are seeing an improvement on the line.

Sumant Kumar: Thank you so much.

Moderator: Next question is from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Hi good afternoon. My first question was on the growth businesses, which is now 15% of your India business. So normally, when these businesses start becoming bigger at the initial stage, the margin profile is much lower than the well-established businesses. So, is that true in your case, overall, if you look at this bucket of 15%? And as you expand, unlike other categories, do you need to up A&P significantly or this is more of a distribution-led growth even at this stage?

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Sunil D'Souza: So, let me make 2, 3 points, yes? Number one, in terms of contributory margins, Soulfull is accretive, significantly accretive, NourishCo is about par and Sampann, obviously, given the profile is slightly below our total numbers. But then the growth opportunities for all these three businesses are on 3 different vectors. Sampann, obviously, is a huge runway. NourishCo is a significant number that we can play with. And then there is Soulfull. Now, as we grow these businesses, we are very, very mindful that contributory and overall gross margins have to be in the normative ranges. There will be spends on A&P as we build our businesses, and the growth will come out of both, primarily first distribution and backed by A&P and brand building. Apart from that, portfolio expansion is an important play. So while Soulfull we started off with only breakfast cereals, then we moved into masala oats, which again has performed very well. And now, I would say, in the coming year, again two, three significant innovations. Same thing in NourishCo, geographic expansion has played a significant part. But more than that now you will also start seeing innovation getting ramped up. NourishCo innovation as a percentage of sales is already 13% versus our overall company norm of 3.4%, which I talked about. That also you will find it ramping up.

Arnab Mitra: Understood, and Sunil, the question on, when you have such high NPD, or let's say growth in new businesses, not really NPD, but growth businesses, how are you taking care of the risk of potential takebacks, excess inventory getting sold in, and those kinds of things, any sense on that? Because the initial distribution led growth, of course, comes, but then these are food categories where expiry dates and those kinds of things come into play?

Sunil D'Souza: So the good and bad part is now we've got a totally digitized sales system. Right from SSFA, DMS, etcetera. So we have full view on what is the secondary sales, what is the inventory being carried, in modern trade, we've got access to what is the inventory in each and every store. We are very, very mindful that secondaries and primaries have to match, and we are not driving numbers just by ramping up.

Yes, in a few categories, we do have learning. For example, when we took over Soulfull two years back, my guys were used to selling only tea and salt. They were not used to the fragile

packaging of Soufull

, and or the different expiry dates, and or the fact that it was selling more in different types of outlets. So once that learning phase was passed, I mean, that is why now Soufull is on a roll.

So we will have this small learning phases as we go forward, but I don't think we will have a crash simply because A) we're data -driven, B) it's primary and secondary driven, and C), these reviews are done on a periodic basis to make sure that we don't land up into issues. We would rather start slow, small, and then expand. For example, dry fruits, we launched only online to test out the strength of the product, and as we found it, now we are going to look at the offline spaces.

Arnab Mitra: Okay, thanks so much. That's it from my side, all the best.

Moderator: Thank you. Next question is from the line of Sheela Rathi from Morgan Stanley, please go ahead.

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Sheela Rathi: Yes, thanks for taking my questions. I had two questions, Sunil. The first one is, is it fair to believe that all the headwinds around inflation or even supply chain across our portfolio, across geographies are now behind us?

Sunil D'Souza: You know, Sheela, I wish I could answer that question, but given what we've seen in the last one year, I wouldn't try to hazard a guess. All that I would say is, in the near term, we see a sort of stable operating environment, whether it is currency, whether it is crude, whether it is commodity in terms of tea or salt. So I would take it one quarter at a time. And I think given the last one year, the one thing that we have learned is to be agile, move around our different levers, focus on different pieces to make sure we're delivering numbers.

I would just say in the near term, we are seeing stability. We are seeing inflation sort of the slope starting to more plateau. We are starting to see demand slowly starting to come back, especially in India, in places where there is stress. Internationally, currencies, etcetera, we are seeing starting to move in a band. But like I said, we would take it one quarter at a time.

Sheela Rathi: Fair enough. And my second question was specific to Sampann portfolio. Just, Sunil, if you could step back pre-COVID, we had a strategy in place, we wanted to scale this business. Just when we look at what is happening currently, would it be again fair to say that the competitive intensity in this space has gone up significantly? And are we re-strategizing in terms of how we want to scale this business?

Sunil D'Souza: So Sheela, number one is, I don't think the ambition has changed pre-COVID and now. Sampann, we had always said that we will target a 30% growth. Can we target much more? Yes, we can. But to drive a profitable trajectory for Sampann is balancing between your top line and your margins. Margins also, we had said that they will be moving into double digits. Now we are starting to move the trajectory. Sampann margins also have started to move while this quarter we've delivered a 35% top line.

Competitive intensity, I don't think is going away, given the sheer size of the categories that Sampann is going to play in, A). B) the fact that all these categories have huge unbranded plays and therefore there is an opportunity to brand them. I think, I mean, everyone will look at, or different players will look at it from a very similar lens. I think we are quite happy with the trajectory. In fact, if I could maintain or slightly move up the margin lever, I would go for higher volume growth. But yes, I mean, that is an if I could, but I do think we've delivered to expectations.

Sheela Rathi: And any call out on the distribution strategy there, beyond the online positioning?

Sunil D'Souza: No, so that's exactly what I talked about. I think one of the things which we observed is when we set up the entire S&D system for Tata Consumer, way back in A

ugust, September of 2020,

we had common salesmen who would sell tea and salt and then Sampann and then Soufull and then Tata SmartFoodz. But as we've gone forward and all these different businesses have scaled, portfolio has expanded, SKUs have increased, we figured out that the salesman is becoming the bottleneck. And therefore we're splitting the routes in all 10 lakh-plus towns to, it will be beverages plus Soufull and salt, plus Sampann, plus SmartFoodz.

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So we will have more focus on Sampann. And I do think that itself is going to have a significant

impact because the one thing we are confident about, Sampann as a product, quality, brand, everything is all green ticks, which is what you see online because in some of the online portals, we are the market leaders in the category that we operate. It's a question of putting it into stores and getting it to consumer's hands, which is what my offline distribution should do. By providing this extra focus and making sure we distribute, we are quite confident that we can accelerate the growth.

Sheela Rathi: Understood. Thank you.

Moderator: Thank you. Next question is from Abhishek Singhal from Naredi investment. Please go ahead.

Abhishek Singhal: Good afternoon, sir. Thanks for taking my question. First question. Starbucks, the turnover has also come in four digit and EBIT margin is positive for FY '23, but net profit is in loss. And what is the amount of loss and when will this business come in profit?

Sunil D'Souza: So Starbucks, according to Ind AS reporting, we are EBITDA positive and EBIT positive. And statutory reporting, according to that, the net PAT is negative. So we are in line with our reporting requirements, but the business is on a very, very strong footing.

L Krishnakumar: I think the only apprehension here is that because we are rapidly expanding stores and you have the interest and depreciation impact. And it is, in a loose sense on a WDV basis with the high cost in the initial year. So that's what's happening in the interest and, depreciation front. So underlying stores are all very profitable. There is no issue. And we clarified that. Whether it's Ind AS, whether it's management accounts, I think we are on a strong footing.

Abhishek Singhal: Sir, tell me what is the amount of a loss, sir? If you can share?

L Krishnakumar: You wait for the statutory, right, and you'll get the result.

Abhishek Singhal: Okay. And the second question, what are the expectations of EBIT margin in international business? And in what range will it be in FY '24?

Sunil D'Souza: EBIT margin for international business, as I mentioned, has recovered significantly and we're just 100 bps below what we delivered there in the same quarter last year. Going forward, international business will be accretive to the total company EBIT margins by at least 100 to 150 bps.

Abhishek Singhal: Okay. Thank you so much.

Nidhi Verma: Moderator, we'll now go to the webcast and take a few questions from there. There is a question from Chanchal. Sunil, he's asking, what is our beverage strategy for Tata Copper, Tata Gluco Plus and Himalayan? And what is the structure of the business?

Sunil D'Souza: Not sure I understand the question, but just as a perspective, NourishCo, we have two different distribution systems. One is the value and one is the premium end. The premium end handles the Himalayan part of the portfolio, which is very specifically targeted to high-end on-premises

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accounts. The value portion is primarily the Tata Copper and Gluco Plus. So the idea there is to expand both manufacturing and distribution footprint. As we've expanded, we figured out we have, consumers have resonated with the products. And that is why last year we've expanded our footprint by roughly 2x. And

that that will be the trend as we go forward for some time.

Nidhi Verma: Yes, thanks, Sunil. The next question is from Abneesh. He's asking what is the expectation on India tea prices in FY '24? As there are reports of severe weather conditions and unseasonal rain. And is there now confidence that Masala Oats Plus is now successful?

Sunil D'Souza: So let me answer the second question first. So Abneesh, let me say we have started to move into the higher double-digit market shares in specific modern trade accounts where we have placed Masala Oats. So we don't have a doubt that it is successful. It's a question of how fast can we expand distribution and get consumer trials. That's number one.

Number two, as I said, this year we had floods in Assam in June, July, and then we had drought in November. So I wouldn't hazard a guess on what would happen to tea crop and prices. All that I would say is right now our margins are more or less operating in the normative range. So as crop goes up or down and prices go up or down, we will keep moving our prices to make sure that A), we are competitive, B), we are delivering margin, and C), we are continuing to drive volume growth and market share.

Nidhi Verma: Okay, thanks, Sunil. There is a question from Rohit at White Oak. He's asking, what is the progress on geographical footprint expansion of NourishCo business? Are NourishCo sales still highly concentrated in a few states? How many states do you have manufacturing presence now for NourishCo? I think you've already partly addressed this question.

Sunil D'Souza: We're about 75%, 80% of the country. We expanded manufacturing footprint by 2x to 2.5x last year. And that will be the rate at which we will continue for some time. Even if it is not footprint, in the same plants also we are adding additional lines. We will be expanding our portfolio as well aggressively, and you'll see that play out.

Nidhi Verma: And there's a question from Tejas at Avendus. He's asking, in tea segment, how have we done on value market share and volume market share? I think we've already provided this data, Tejas, in the investor deck. And then he's asking, have we lost market share to big national players or to regional players as well?

Sunil D'Souza: So, Tejas, primarily, I think it is about 50 bps on a MAT basis, March '23 on volume. And we've got 113 bps on value. That is the negative. While major competitor has more or less maintained value share for the full year, it is primarily we've lost share to regional players.

Nidhi Verma: Okay, thanks. Thanks, Sunil. I think that's it from the webcast. I know we are out of time, but there might be more questions on the other Q&A queue. So perhaps we'll extend the call by another 10 minutes. So moderator, you can go back to the Q&A queue.

Moderator: Thank you. The next question is from Amit Purohit from Elara. Please go ahead.

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Amit Purohit: Yes, hi. Thank you for the opportunity, sir. Just you highlighted that India business would also look some margin improvement. So I just wanted to understand what would be the drivers of this margin improvement, whether it will be driven by the food, which is largely the salt business, or the beverages also you feel margin improvement?

Sunil D'Souza: So I'm not sure. When you talk about margin improvement, I presume you talk of EBIT margins. EBIT margins would be driven primarily by volume growth while keeping cost under tight control. As we mentioned, gross margins on both tea and salt are broadly in the normative range. So the game is to increase volume growth, A), and B), make sure that we have tight control on cost. India business, the same quarter last year, has improved by 100 bps on EBIT. And we do expect improving momentum from here on.

Amit Purohit: Okay, and you don't think so that it would be driven

by maybe salt kind of margin improvement if the RM index goes down, is that?

Sunil D'Souza: RM index going down, I don't think, is a straight correlation to margin. Because remember, we are operating in a competitive environment. Whether it is tea or salt, if RM goes down and we do see prices going down in the market, we would react. Like I said, it's a balance between volume, market share, and margin. You cannot take margins beyond a point in certain commodities. Very, very mindful of that. As I said, the game has to be driven by volume and therefore flow through into the bottom line.

Amit Purohit: And lastly, tax rate guidance for FY '24.

Sunil D'Souza: We don't guide for tax rates. We are compliant and pay all our taxes.

Amit Purohit: Sure. Thank you.

Moderator: Thank you. Next question is from the line of Senthil Manikandan from Ithought PMS. Please go ahead.

Senthil Manikandan: Hi, sir. Thanks for the opportunity. I have just one question on the tea business. So on the last call, you mentioned that in terms of taking some progress on closing the distribution gap with the competitor. So you mentioned like 10% to 12% companies began. So how far have we come?

And you can quantify like how many quarters it will take to bridge the distribution gap?

Sunil D'Souza: I can't give you how many quarters on bridging the distribution gap because competitor also moves. Albeit we will move at a far faster pace. All that I can do is we have in tea, we started at a 2 million numeric reach. We are now at 2.9 million. But even with that, we have about 1% to 2% of the gap. So we have about 1% to 2% of the gap. As I mentioned, we're putting in actions in place to bridge that gap. Two specific actions – in the large cities, we are splitting the routes to give focus to beverages and food separately. And our distribution gaps, when you look at Nielsen perspective, is semi-urban and rural. We are now appointing distributors, direct distributors in all 50,000-plus towns and a significant number of 20,000-plus towns. So we have put out for the portfolio, we have put out a target of 4 million outlets, which we will reach definitely by

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September. And as I mentioned earlier in the call, we are in the process of collating our next set of targets, both on direct reach and numeric, and we'll update.

Senthil Manikandan: This is second one on the coffee business. So with this consolidation, you can give a strategy point over the next two, three years, how we'll be expanding the coffee retail side?

Sunil D'Souza: Are you talking about Tata Coffee, Eight o'clock?

Senthil Manikandan: On domestic coffee?

Sunil D'Souza: India business?

Senthil Manikandan: India business, yes, sir?

Sunil D'Souza: India business coffee, we are still small in the scheme of things. The game is to continue to build the brand and do distribution. We've got a long way to go. This year, I think, A) we've expanded the distribution of the entry level INR2 packs. Number two is we expanded our range in the higher end of coffee, including launching Tata Coffee Gold. Number three is in the north; it is more coffee. In the south, it is a coffee chicory mix. So far, we were only operating in a coffee chicory mix. Now we have started focusing on the north with a separate red pack versus the regular blue pack. And launched a full coffee mixture up north. Yes, it's basically, again, making sure you've got a portfolio, making sure you drive distribution, and making sure you back it with brand building. I think that is the key. We're still small in the scheme of things. Long way to go.

Senthil Manikandan: Okay, sir. Thanks.

Moderator: Thank you. The next question is from the line of Aditya Joshi from Alchemy. Please go ahead.

Aditya Joshi: Good afternoon, sir. Thanks a lot for your time.

Sunil D'Souza: Sorry, we can't hear you.

ou.

Nidhi Verma: You're not audible.

Moderator: Can I request you to please speak up a bit?

Aditya Joshi: Hello, am I audible now?

Moderator: Yes.

Nidhi Verma: Yes.

Aditya Joshi: Yes, thanks a lot for your time, sir. So my first question is with respect to the distribution strategy. Sir, what percentage of total portfolio reaches to the entire 3.8 million outlets? And what percentage reaches directly to 1.5 million? And sir, when will be our entire portfolio, new and traditional business, reach the entire outlet that we serve right now?

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Sunil D'Souza: I don't think for any company, the total company reach, you have the entire portfolio reaching the entire numbers. What we do target is direct reach. Like I said, right now we're at 1.5, and we're in the process of drawing up our targets to move further from here, A), and making sure that we drive numeric reach, which includes wholesalers and other listings. As I mentioned, tea, for example, is now in 2.9 million out of our total 4 million outlets, and we will continue to move that going forward.

Aditya Joshi: Got it. The next question is with respect to the demand and demand...

Moderator: Aditya, may I request you to please use the handset, please? You are not clearly audible.

Aditya Joshi: Am I audible now?

Moderator: Yes.

Sunil D'Souza: Yes.

Aditya Joshi: Yes, sorry for that. So next question is with respect to the demand environment in tea. The presentation mentions that there have been challenges. So what is the primary reason for that? Can you just...

Sunil D'Souza: I think we've mentioned that multiple times. It has been inflation. It has been rural stress. It has been geographies of the north.

Aditya Joshi: Got it, sir. And so lastly, from my side, the presentation mentions that there will be a lot of data-driven initiatives that have been done for innovation, new pipeline, new product pipeline, etcetera. So can you please elaborate a bit what kind of data-driven initiatives we have right now?

Sunil D'Souza: I already mentioned that during my discussion, saying we will use various things like web crawling, social listening, etcetera, and figure our NPD from there on.

Aditya Joshi: Got it, sir. Thanks a lot, sir. That was it.

Nidhi Verma: Moderator, we'll just take one final question.

Moderator: Sure. We'll be taking the last question. That is from the line of Percy Panthaki from IIFL. Please go ahead.

Percy Panthaki: Hi, sir. Just a question on the other expenses. You did mention that the ad spend was down for the quarter in the standalone business, but apart from ad spend, the remaining part of the other expenses, are there any structural changes or savings which we should expect will continue, which have been visible in this quarter and will continue going ahead?

L Krishnakumar: So, Percy, if you just go back to, I don't remember, three, four quarters back, other expenses proportion to say it's went up a little bit and all of you asked a number of questions, probably in the reverse to what you're asking now. And if you look at the trend, the other expenses,

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percentage to sales has been coming down. Overall, directionally, what will happen and what we want to happen is, as we increase ad spend in other expenses, a large part is relating to building the, what we call the pipeline, in terms of base, selling and distribution, other capabilities. On which we will, which is increasing fixed costs. So, as we build volumes and we build scale, that proportion will come down. That is starting to happen partly because of the scale we build, partly also because of price increases that we have taken. But directionally, as a proportion, we expect that to come down.

Sunil D'Souza: So, Percy, just to give you some numbers, as we drive

scale, what happens to expenses overall,

if you look at people expenses as a percentage of sales in the India business, it has come down steadily. If I am not mistaken, it's about 50 bps down versus where we started -off. Or other than manpower expenses, if you look at other expenses, they have come to roughly half of where we started three years back. So, as long as we keep those costs tight, as a percentage of sales, it will keep coming down. You might have movement between quarters as we recruit people. For example, now we are going to expand distribution into 50,000 -- 20,000 places. As we appoint those distributors, you will need supervisory control. And therefore, we will recruit. Or, for example, we are working on enhanced DMS and SSFA. As we put that into place, you will have that hitting starting that quarter. So, I would urge you to look at it directionally and not on a quarter -to-quarter basis.

Percy Panthaki: Right, sir. And secondly, on NourishCo, I think you mentioned, but I missed out, the EBITDA or EBIT margins on NourishCo, how would they compare with the remaining part of the India business?

Sunil D'Souza: So, contributory margins on NourishCo are on par with the India business. Right now, as we build for A &P, there is a different profile for the NourishCo business. But remember, as we gain scale, it's not A&P will not increase in line with that trajectory. And therefore, we do expect NourishCo to start coming on a positive note in this fiscal itself.

Percy Panthaki: Okay. And contributory margin is EBITDA -plus ad spend or anything else apart from that?

Sunil D'Souza: Contributory margin is basically product margin.

L Krishnakumar: No, it is all variable cost. Contribution after variable cost to fixed cost. That's the way we go.

Percy Panthaki: Okay, sir. That's all from me. Thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now hand the conference over to Ms. Nidhi Verma for closing comments. Thank you and over to you, ma'am.

Nidhi Verma: Thank you. Thank you, Aniruddha and team for hosting us. And thanks everyone for joining. If you do have any questions remaining, you can always get in touch with me. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's call. Thank you all for joining us. And you may now disconnect your lines.

Call: Aug 2023

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Sub: Transcripts of Conference Call pertaining to Financial Results

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we are submitting the Transcripts of Conference Call held on Thursday, July 27, 2023, in respect of the financial results for the quarter ended June 30, 2023.

The same can also be viewed at: <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully,
For Tata Consumer Products Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer

Encl: as above

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"Tata Consumer Products Limited
Q1 FY '24 Earnings Conference Call"
July 27, 2023

MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER
MR. L. KRISHNAKUMAR – EXECUTIVE DIRECTOR AND
GROUP CHIEF FINANCIAL OFFICER
MR. AJIT KRISHNAKUMAR – CHIEF OPERATING
OFFICER
MS. NIDHI VERMA – SENIOR VICE PRESIDENT , HEAD -
INVESTOR RELATIONS & CORPORATE
COMMUNICATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen. Good day and welcome to Tata Consumer Products Limited Q1 FY '24 Results Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal Tata Consumer Products Limited
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an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, sir.

Manoj Menon: Hi everyone. It's a super good morning, good afternoon, good evening depending on the part of the world you're joining this call from. Representing ICICI SEC, it's our absolute pleasure to host once again the results conference call of Tata Consumer. I hand over to Nidhi from the management for the intros and further proceedings. Thank you.

Nidhi Verma: Thanks so much, Manoj, for hosting us. Welcome everyone to the Q1 FY '24 call of Tata Consumer Products. I have in the room with me Sunil D'Souza, Managing Director and CEO; L. Krishnakumar, Executive Director and Group CFO; and Ajit Krishnakumar, COO. As we normally do, what we'll do is Sunil will spend about 15 minutes talking about some of the key highlights of the quarter and then we will get straight into Q&A. You can submit your questions on the webcast or you can come to the Q&A line. I would also like to draw your attention to the disclaimer statement that is on your screens right now.

And with that, I will hand it over to Sunil.

Sunil D'Souza: Thanks, Nidhi. So if you go down straight to the executive summary. We had another strong quarter with double-digit growth of 11% in constant currency, reported 12%. Strong growth in the India business. EBITDA grew 19%. India Beverages up 10% with tea volumes continuing

growth at 3%. NourishCo had a strong quarter with 60% revenue growth. Foods volumes up 6%, overall top line up 24%.

Tata Sampann, another strong quarter growing 51%. International business grew 7% in revenue terms, negative 4% actually, if you exclude exclusions, which is primarily South Africa and a little bit of Bangladesh. EBIT growth of 11%. Tata Starbucks continued their store opening, opened 16 new stores and now they are in 4 more cities. Top line grew 21%. India Growth businesses all combined; which is ready-to-drink NourishCo, Soulfull and Sampann; grew 58% and from 15% contribution are now up to 20%.

Volume market share in tea when you look at MAT, it is slightly lower which is 50 bps on volume, but broadly stable same quarter last year and we do think it is starting to turn. Tata Salt franchise gained share by about 10 bps overall, but because we have taken aggressive pricing across the portfolio, some of the lower down brands in the portfolio slipped a slight bit of share and total salt share was down by about 20 bps. EBITDA margin expanded by 80 bps led by improvement in both, India and International.

We continue to invest behind our brands with A&P to sales for our India business at 7.1%. Just to put it in perspective, it was 6.6% in the same quarter last year. Another busy quarter in terms of new launches. We had said our medium-term aspiration was to hit 5%. Now the good and bad news is we did in this quarter.

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Big numbers from Soulfull where we launched 3 new products; which is Granola, Oats+ and the Nutri Drink both for kids and adults. We had already said last quarter that we will split routes in all 1 million-plus towns and we will appoint direct distributors in all 50,000 plus population areas and substantial number of 20,000 plus and we remain committed to that. We had made a commitment of hitting 4 million outlets on numeric reach 3 years back and the

target was September '23, we are right now at 3.9 million.

In terms of performance, India Beverages volume 3%, revenue 10%. India Foods volume 6%, out of which salt is 5% and revenue 24%. U.S. Coffee and International Tea, just to give you a perspective of the rapid price increases and therefore an impact on overall industry and volume and therefore U.S. Coffee negative 12% on volume, but constant currency negative 5%.

Overall revenue 2%.

Excluding acquisitions, constant currency negative 11% for International Tea and revenue growth is flat. Tata Coffee had a decent quarter while volume was negative 6% again with the coffee prices having run up; revenue growth was plus 13%. Consolidated revenue growth of 12%. So overall if you look at it; revenue 12%, EBITDA 19%, PB 23%, group net 22%, group net profit was 16%, EPS growth of 23% and we have INR2,300 crores of cash compared to about INR1,900 in the same quarter last year. Strategic priorities, the 6 pillars remain the same.

I already talked about the distribution and our alternate channels, which is modern trade and e-commerce, continue to fire; 22% growth in modern trade. Just as a perspective, we've grown in modern trade at 1.7x the tea category growth in our Top 4 customers. E-commerce up by 28% versus last year, continuing to do very well.

I already mentioned 6.6% to 7.1% is the movement of A&P to sales and we remain committed to fueling our brands. I already mentioned the number movement on tea and salt market shares. Soulfull, all our new launches which I talked about are on the page. We also launched cold coffee albeit in a very measured manner just to make sure that we've got everything right in the marketing mix before rolling it out and we've had a very good response.

We've also launched Tata Spring Alive as an affordable mineral water, which will be sourced from multiple sources and launched across the country. Right now we're piloting it up north.

1868 saw a range of flavors and more importantly, it was only loose tea earlier, now we've launched pyramid tea bags. We've launched a range of mainline mixes in Tata Sampann, expanded into Daliya up north. We had launched Hing in the north, which was off to a good start.

As we've figured -- as we rolled it out, we've figured the South Hing is slightly different, and we've tweaked it and now this is again off to a good start and expanded the range with international flavors in our Tata Sampann Yumside ready-to-eat portfolio. 58% growth in our new engines; which is Sampann, NourishCo, Soulfull and Yumside. As a result of which, we've already hit 20% contribution from these businesses to the total India business. Next slide. Sustainability remains a focus for us.

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We've already reported our BRSR in our integrated annual report, completed third-party verification for our Scope 1 and Scope 2. We were recognized as the Top 5 most sustainable companies in BW Businessworld's annual ranking. In terms of macros, tea as you'll see, Kenyan tea is running a bit soft because of subdued demand especially from Pakistan and Egypt.

Indian tea in line with seasonality, prices coming up in Q1, but broadly lower than where they were during the same quarter last year. Coffee on the right hand side. While you will see Arabica prices moving up, I think they are starting to turn right now so I wouldn't read too much into the coffee upward movement because we are seeing some signs of softening coming up given that the prices have run up for a long time.

Overall while you'll see growth in all our categories across markets, I would just like to point out this is all price related primarily, and not as much volume related. In terms of business, India Packaged Beverages volume up 3%, revenue up 2%; and a 4-year CAGR if you look at it, we've got a 7% which is broadly what we've been saying about mid to high single-digit volume and a couple of points on top of that with price mix. Sorry. Just to point out, coffee grew by 21%. So that part of the portfolio seems to be doing well.

In terms of India Foods; 6% volume growth. Salt grew 5%, Salt revenue grew 18%. Overall Foods revenue was up 24%. Marginal movement in market share, which we remain confident of continuing to move it up north. NourishCo I think had a good quarter, overall close to INR300 crores revenue growing 60%. Gluco+ and Tata Copper+, which are the bulk of the volume there, both registering good growths. Tata Coffee, 2% growth in extraction, 31% in plantations and overall 11%.

Profitability has been improved by higher realization as well as lower costs. Tata Starbucks opened 16 new stores. Now we are in 75 cities, close to 350 stores. 21% growth on revenue. International operations: U.K. revenue growth of 1%. Good news is we're gaining market share with improved execution and the relaunch of Tetley, which I'll talk about shortly; sustainable packaging, sustainable tea bags and a modern factory is being supported by very good frontline

execution.

More importantly, in the U.K., I had alluded to it in the last quarter, we've had severe cost restructuring because of which U.K. EBIT is now in the double-digit area. The U.S. Coffee revenue growth negative 5%. Tea revenue growth minus 3%. Minor movements on shares, but broadly in the same ballpark. Canada: while we continue to maintain market share, overall softness in the industry has meant revenue growth of negative 7% overall and specialty negative 13%.

I talked about Tetley's transformation. So we've got a better product with an improved blend. We have spent on upgrading the facility and the entire product offering now in the market is more sustainable given recyclable box, plant-based tea bags, no plastic outers and a lower footprint, which means a lower carbon footprint.

nt. Financials, L.K.?

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L Krishnakumar: Thanks, Sunil, and good morning, everyone. I'll just walk you through a few slides on the financial performance. Starting with our stand-alone performance, you see revenue up by 12% and EBITDA growth of more than proportionate 16% with an improving margin. The revenue growth has come, 2% that we've seen earlier in tea and 18% in Salt and above 50% growth in Sampann. So these are the contributors to growth on the stand-alone results. Moving on to consolidated; revenues up by 12%, 11% in constant currency.

In the consolidated, you have International business which grew 3% including acquisitions and also you have the growth of NourishCo and Souffl, which also grew by over 50% each. The nonbranded business had a good quarter, grew by 5% driven largely by price increases.

Margin, we see an increase of 19% compared to a revenue growth of 12%. Again an improvement driven by both the price increases we have taken in different parts of the business compared to the same period in the previous year and also strong cost initiatives and restructuring especially in the International business.

So if you move on to the next slide on stand-alone and consolidated, just the shape of the P&L. We are seeing revenue up by 12% in the stand-alone accounts, an improvement in EBITDA margin from 14.8% to 15.4% and PAT up by 23%. In the consolidated results, we've seen a 12% growth in revenue and an improvement in EBITDA margin by 0.8%. And if you look at the SEBI results, you'll see though material cost is marginally higher, we've optimized fixed costs and other expenses. So we're seeing a slightly improved gross margin as well as an overall improvement in EBITDA percentage.

Moving on to PAT, INR359 crores versus INR277 crores, an increase of 30%. Group net profit after share of JV and associates lower at 22%. There is a loss compared to a flat number in the same period previous year because of a loss in the North India plantation arising out of weather conditions, lower crop and an element of lower realization as well. So that's the overall performance.

Moving on to the segment-wise breakup of results. The first observation I want to make is all parts of the business have done well. So if you take India Business, segment results up by 20%. The International level, nonbranded 27%. So overall, all segments have delivered well in terms of reported top line as well as profit. The International business profitability has improved, as Sunil mentioned, as we restructured takeout cost and U.K. also did well this quarter in terms of share gain.

If you look at the proportion of revenue and EBIT, more or less the same; 75% India business in terms of revenue share and a similar number in terms of profit. So International business, 25% and 26%. Underlying trend of improved EBITDA in the International business mainly driven by cost. In the International business, however, I should mention that volumes have been soft and there has been an element of small share loss in the coffee business, but we expect that we will come back and overall market growth will improve in the coming quarters. So that's it from my side. And over to Sunil for the concluding remarks.

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Sunil D'Souza: So if I were to walk you through, similar to last quarter we continue to see improving demand trends for our core categories. Remain cautiously optimistic. While rural has started to come back, while the north has started to come back; I'm keeping my fingers crossed because 2 reasons. A, is still not pre-COVID trends and it's dependent on what happens with the whole monsoon/El Nino effects. Global inflation has started to plateau. I think we are more or less done with pricing or little bit -- small bits here and there on price

ng left to tackle. But category

demand trends in our key international markets especially on the volume front are going to be key monitorables. Q1 '24 we delivered in line with our commitment, double-digit top line with EBITDA margin expansion. Interventions we put in our tea business have started yielding results, but overall growth is still below our medium-term aspirations.

As we have said, we expect to see mid to high single-digit volume growth and a couple of points on price mix. We're still not there yet. Salt business, just to remind everyone, we took a 33% price increase in about 15 months. Despite that, we've seen a 5% volume growth which is good. But going forward given the fact that there is not going to be too much pricing, I think growth is going to be driven by volumes and premiumization.

Growth businesses have been delivering well up to 20% of our portfolio now. I think the standout is NourishCo, which has continued performing despite adverse weather conditions. Starbucks: Tata Starbucks recorded a strong quarter and now 348 stores. In the International business, pricing actions and structural interventions have led to sequential improvements in margin for 3 quarters now.

Broadly they are in the ballpark of the India business, but we need to continue to improve from here. Demand softness needs to be an area to watch. We are in the middle of an NCLT process in the final stages. We do expect approvals to come through soon and as soon as that happens, we remain committed to completing the integration very quickly hopefully in this financial year. EBITDA margins continue to improve despite continuing investments in new business and despite powering brands with A&P and spending on distribution expansion. Going forward we will continue to stay focused on driving profitable growth, balancing top line and margins. Back to you, Nidhi.

Nidhi Verma: Thanks, Sunil. Okay. Moderator, we can go to the Q&A please.

Moderator: Thank you very much. First question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Congrats on good numbers. My first question is on Tata Soulfull. So versus when you acquired and now, what would be the market share movement in the core business? So in the breakfast cereals, how is the market share improvement given you would have scaled up much higher distribution and much higher advertising? And the new products in Tata Soulfull essentially, if you could talk about masala oats, how was the performance this quarter? And what is the thought process on Nutri Drink+ and Nutri Drink+ for the adults also? So are you going to target the Horlicks market because that has been a very tough category and that faces also the milk usage and inflation issue? So will this product be able to overcome that?

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Sunil D'Souza: Just to give you the investment thesis in Soulfull; strong brand, good products, strong team; needed to be fueled with distribution and marketing dollars. I think that thesis has borne out.

Last year Soulfull doubled in revenue and again this quarter we have had north of I think 50%, 55% growth. So very strong growth. In terms of market share itself, significant improvements from where we started, but I would say we're in the mid to high single-digit range right now in overall cereals category.

Masala oats actually, we have crossed I think, I would say, strong double-digit market share especially in places where we are present. So I would measure say modern trade, we are at a very, very decent double-digit market share number. In specific geographies where traditional trade has executed, again very, very strong market share numbers.

We still continue to expand the availability there. Now last point is in many of the categories that Soulfull will enter, we will not be category creators just as a

perspective. So where there

are large categories, I can bring a differentiated brand to play and connect with the consumer with a great product. There is no reason why I should not. And that's the reason for example you'll see Nutri Drink.

As we speak, I think in the next probably 72 to 96 hours we will be shipping out one more category. Every category that Soulfull is entering, we are seeing good traction. More importantly, the Soulfull margin is also accretive to our total portfolio. I think they have done a very good job on owning the millets branding, the kids portfolio doing very well, all new launches. So far so good. I think we're on a good track.

Abneesh Roy: Right. Just one small follow-up there. You grew 2x last year and this year also 50% growth in Soulfull. So wanted to understand here lot of the growth will be coming because of so much of diversification also and initially of course the pipeline filling is there for the new products. So you're saying the core business is also doing quite well, right? Because the mid to high single-digit market share, that seems to be a bit lower versus the kind of expansion you have done?

Sunil D'Souza: So absolutely, Abneesh. I mean just like our overall businesses, our core has to do very well and then the expansions have to fire, right? So the whole equity of Soulfull has been built on breakfast cereals and we are moving out from there. Just like the TCPL algorithm is built on

decent volume, strong categories, market share growth in tea and salt and that is helping us drive the rest of the portfolio.

Abneesh Roy: Sure. My second question is on Growth business. So extremely impressive performance so now it's 20% of the India business. My question was when I see your broader gross margin and EBITDA margin in profile, it's around 43% gross margin, EBITDA margin 15%. But when I see your market share for example in Soufull say high single digit, it is not a market share which can make lot of money at the EBITDA front. So wanted to understand here how you're seeing this entire 20% of the India portfolio in terms of profitability metrics. Is there a good movement or still because new products are getting launched, at an overall this 20% level the EBITDA margins, et cetera, may not have had a significant improvement versus say 3 years back?

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Sunil D'Souza: So Abneesh, just as a perspective. The way we measure -- and there's a reason they're called growth businesses because we do think they've got a long runway. Just as a perspective today my business is highly tea and salt in India and we moved from almost single digit to about 20% right now. Just as a perspective, that 20% is also dependent on seasonality because NourishCo remember fires very well in summer and that's one of the reasons why it has hit 20% from 15% where it was same quarter last year.

But you're absolutely right, the margin profile on some of the Growth businesses is not where it needs to be. That said, it will improve with scale and as we fine-tune our entire offering there. What we do measure is a) growth rate; b) the fact that the growth rate is getting fueled by the right amount of A&P and distribution; and lastly, the contributory margin has to continue to improve because essentially the thesis is that these are; for example Soufull, Sampann; these are riding on my base logistics and S&D platforms and there is not incremental fixed cost that we are incurring out there. So as long as the contribution margin moves in the right direction, I am adding in incrementality to the business.

Abneesh Roy: Sir, last, very quick question. We have seen in some of the other categories where sharp deflation has happened, for example coconut hair oil or say detergent, there is a level of pipeline -- the inventory destocking because trade is expecting more of

the price cuts. In salt, is

there a price cut which you have taken and would you see that there will be a requirement of price cuts there? Because you are still saying that the price hike will not happen, but you have not spoken on the price cut. And second, of course will be on the market share loss at the lower end, would you be worried because in tea we have seen earlier and we have also seen wherever sharp price hike happened and then deflation happened, regional players are coming back.

Sunil D'Souza: So Abneesh, the good and bad news is last year when everyone was facing inflation especially for businesses which were exposed to palm oil, crude, wheat or sunflower; we were not. In fact our tea prices were on a reverse trend. And therefore, we did not have as much of a price uplift in our portfolio. Right now what we are seeing is broadly flat to slightly marginal downtrend on tea. I would say right now we are braced for a flattish versus last year's sort of number, maybe slightly below, but that depends on how weather plays out especially in the north.

On salt itself, we would have expected the total cost to come down a bit because it's made up of 2 things: a, is imported coal, therefore coal, imported coal and the dollar prices and it is brine, which is so urled locally. Now dollar is stable, coal has come down a bit; but the catch is brine has seen a little bit of uptick given the recent cyclone which has happened in Gujarat.

So broadly it is flattish, all these numbers put together. So we are not seeing cost movements and therefore we do not see price cuts happening for now and the reason I'm emphasizing for now is because tea prices we had thought will come down. We had not expected this heat wave in the north in April and May, which held up the tea prices. But if all things remain constant, tea we would start to see it coming down, which we have not till now, okay?

And therefore, broadly we are playing in a flat cost environment and therefore no price cut anticipated. On the salt question itself, I wouldn't be too worried simply because I know I've

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taken a 33% price increase. The local players, which play even at a lower quality, there might have been a bit of swing. But I do think I have the ability to recover it very quickly once prices stabilize, which is what we are seeing now.

Moderator: Thank you. Mr. Roy, may I request to join the queue for any follow-ups. The next question is from the line of Namant Satiya from Mirae Asset.

Namant Satiya: My first question is on the NourishCo business so that's almost INR300 crores this quarter.

Can you discuss what's driving this growth and the kind of scale you expect for this business 2 to 3 years down the line?

Sunil D'Souza: So Namant, essentially again the hypothesis in the NourishCo business was that great differentiated products, which could be scaled up significantly both with geographic expansion and portfolio expansion. So both geography and portfolio expansion is at play. I would say we are broadly in about 75%, 80 % of the country in terms of production right now. Again hypothesis being that we will not drive more than 150 kilometers, 200 kilometers with these products because we play at affordable price points and therefore, freight is a very, very significant factor.

We have expanded portfolio. We have expanded into jelly for Gluco+, juice and jelly in PET. We have expanded into -- just like I said, we're expanding our mineral water play. Himalayan distribution and execution is off to a good start. Right now where we closed last year at INR300 crores -- sorry, INR600 crores, the target for this year is to hit a 4-digit number.

Namant Satiya: And sir, could you talk about a few years down the line what kind of scale you expect in this business?

Sunil D'Souza: We do expect to see continue

ued strong momentum in NourishCo, again I will say driven by geography and portfolio.

Namant Satiya: Sure. Sir, and my second question slightly I just wanted to understand the quick commerce channel a little better and wanted to hear your thoughts on this channel. So do you see this channel becoming sizable a few years down the line and what's the contribution this has to our business currently?

Sunil D'Souza: See, I am not a forecaster. All I can say is a lot of these trends you can see going up and down. Just like many people who were very, very bullish on the online space during COVID times and you can see lot of brands/businesses fading off in that space. All I can say is on a long-term basis consumers will move to convenience, consumers will move online and therefore, we remain committed to growing our total e-commerce business.

Now in that total e-commerce business, quick commerce has been on the upswing I would say in the last 6 to 12 months so to speak and we do see that building up. Now ultimately again the cost economics ultimately has to be working for those channel specifics so that they can sustain and continue to grow. I wouldn't pass judgment on that piece. As long as the businesses continue to deliver their promise to consumers of quick without a significant upcharge on the product itself, I think they've got a good proposition and we remain committed to that.

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We are seeing strong growth in our e-commerce, I think 28% is what I alluded to. All I will say is quick commerce is growing stronger than the average and we remain committed to making sure that we continue to grow that. Incidentally, on the online space in the tea business, we are the market leaders.

Namant Satiya: Sir, that's helpful. Just 1 follow-up. So how would the trade terms in quick commerce versus overall e-commerce or modern trade?

Sunil D'Souza: I would say we are competitive and that's why they make sure that we are well positioned in that channel.

Namant Satiya: But the usual credit and slightly higher margin that's offered to MT and e-commerce, this is largely the understanding for quick commerce as well, just that bit.

Sunil D'Souza: I would say we are competitive in the channel in all trading terms, including discounts and credit, and that's why we continue to power ahead.

Moderator: Mr. Satiya, please join the queue for any follow-up as we have several participants waiting for their turn. The next question is from the line of Jitendra Arora from ICICI Prudential Life.

Jitendra Arora: Just one quick question on NourishCo. That's a brand where we have also expanded our distribution reach significantly over last couple of years. So just wanted to understand from you that going forward in terms of growth mix, how do you see that being driven by distribution versus the product introduction/innovation?

Sunil D'Souza: So like I said, we're in about 80% of the country right now. We are still not present in large swathes of geography and large urban cities for example, right? We are still yet to build up distribution completely in Bombay, in Bangalore or Delhi. I mean we are picking and choosing where we want to play where we can get the fastest dime for the buck if I may speak so. But you're absolutely right. We still got a long way to go on distribution. But I would say in the near to medium term, we will complete the distribution gap and then it will be a game of 2 things: a, is building out strength in the outlets per se and expanding portfolio. On both these things, we've got a healthy pipeline lined up and therefore, we remain confident of continuing to deliver strong numbers in NourishCo.

Jitendra Arora: So given that we are likely to hit 4 digit this year, sir, as expected or that's the aspiration; when do we expect to double this? In how many years do we expect

ct to doubt this thereafter ?

Sunil D'Souza: So all I can leave you with even with these strong numbers, if you look at my market share just for example in the water category, we have not even hit mid -single digits. So we've got a long, long runway. And I just say that we remain very confident of delivering strong numbers in this business.

Moderator: The next question is from the line of Tejash Shah from Avendus Spark.

Tejash Shah: A couple of questions from my side. Sir, if we see both the top players in tea segment have delivered or indicated low single -digit growth versus category growth that you have shared of Tata Consumer Products Limited

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7.9%. So are the regional players making a strong comeback? And with the kind of deep and regional portfolio that we have also created, why are we kind of not participating that aggressively as we would have expected?

Sunil D'Souza: So Tejash, I would presume the 7.9% you're referring to is the Nielsen growth number which was quoted. I just urge to remember 2 or 3 things about that. a) iis Nielsen measures offtake from retail . But when we declare our numbers, it is primary sales from us. You have to remember after the primary sales from us; there is distributor inventory, then there is retailer inventory and then there is consumer offtake, right? So I would not do a like -to-like period comparison. That's number one. Number two, you have to also realize Nielsen does a sampling based indicator. So I use Nielsen more from a trend rather than absolute numbers. While market share I would absolutely measure absolute numbers from Nielsen, but overall most of the other numbers are directionally what I would pick up.

Number three, to your answer your question, there is a point below which the gross margins that you play with become very, very, I would say razor thin and dangerous to tread and especially in systems like ours where we hold inventory for some time whereas the loose and local players buy, pack, sell. Right? There is no inventory cover, etcetera. Therefore, it is a slightly dangerous territory to tread on those very, very low margin segments.

That said, just as a perspective, I think even in our report we have disclosed saying that Tata Agni, which plays at the bottom of our portfolio, has started to see strong growth. So in any business, I think walking the balance between margin and market share is a critical piece knowing when to trade off for what. If all things come together, then it's the magic of margin increasing and market share increasing. But quite a lot of the times, you've got to decide what you're going to trade off . But over the longer term, I would say you should see market share inching up continuously.

Moderator: Mr. Shah, is your question answered?

Tejash Shah: Sir, so second question pertains to NourishCo and then you have always maintained that you prefer to solve growth and profit problem statement together and not separately. Now the kind of growth that we're seeing here, how should we think about margin trajectory in medium term and at what scale, let's assume 2x or 3x from here, margins will start converging with the company level margins?

Sunil D'Souza: So Tejash, just like I said, I look at the contribution margins first and then how does it flow through the total line. NourishCo is broadly in the ballpark of what we are on the contribution margin, gross margin as we measure from a company perspective. Incidentally even on the total all -in loaded P&L, if I were to do a hypothesis, last quarter was good. So directionally as long as contribution margin is inching up, fixed costs remaining the same, P&Ls are continuing to move up and therefore become EBITDA accretive. That's the way I would play it.

Moderator: Next question is from the line of Sumant Kumar from Motilal Oswal.

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Sumant Kumar: Sir, can you talk about the region -wise penetration of NourishCo, where we are lagging, where we are going to have a more expansion in which region? And also how is the profitability scenario in next couple of years considering we are going to have a scale? As per my understanding, currently we have a higher single -digit margin in NourishCo. So when we can reach a double-digit margin?

Sunil D'Souza: So Sumant, NourishCo we started off when we inherited; it was primarily Andhra, Telangana, Orissa and a little bit of Tamil Nadu. I would say right now we've built a very strong footprint in those geographies and last year we had expanded or end of year before we had expanded to the east per se where we are still building out. Last year we started moving to the north and this year now we are slowly coming to the west and the rest of the south. That's where we are and that's why I said in footprint terms, we are probably around 75%, 80% of the geography, but we would have built out strongly in about 25%, 30%.

We would be still building out in 25%, 30% in about 25% we would be starting off having put in the manufacturing and distribution in place. Now I'm not sure when you refer to single-digit margin. As I said, the contributory margin, gross margin level as we measure, we are in the ballpark of total TCPL. Last quarter was a good quarter, but you have to remember, NourishCo is a seasonal business. We do expect them coming close to profitability on a fully loaded P&L by the end of this year.

Sumant Kumar: Okay. So can you talk about the Tier 2, Tier 3 category cities penetration of NourishCo and how are we planning to penetrate more in these cities?

Sunil D'Souza: So as I said, as we've expanded, we have left out large part of metro geographies, et cetera, because that is normally the more expensive distribution to tackle and more difficult distribution to tackle because everyone is playing there. Our hypothesis is we will not drive for more than 150 kilometers, 200 kilometers with our products because that is when freight comes into play. So we have focused on very, very specific radiuses around the factories that we have put in. I would say I don't think we are targeting a Tier 2, Tier 3 sort of mix per se. We are targeting very specific geographies around the plants that we have set up, which are in line with the total footprint road map that we had drawn up.

Moderator: The next question is from the line of Percy Panthaki from IIFL.

Percy Panthaki: Again I also want to ask on NourishCo. So my understanding is that Bisleri, which is the largest player in this field, makes EBITDA margin somewhere in the low to mid-teens. They have their own manufacturing also. We don't. So if we are paying conversion charges, our margins would probably settle around that 10%, 11% kind of mark. What is wrong in my thought process here?

Sunil D'Souza: So essentially not all of Bisleri's manufacturing is owned. They operate through a significant amount of franchisees and independent distributors per se. That's number one. Number two, we are not only Tata Copper+. We are also Tata Gluco+, which is significantly higher margin and product that we -- and we are also Himalayan and we are launching products, which are significantly higher revenue, higher gross margin percentage and higher absolute gross
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margins per se. Number three, I would prefer to run with the route that we have chosen, which is franchisee producer -- or not franchise, co-manufacturers and distributors because then it is almost an infinite ROCE, right? And beyond a point, I do think we can get to a very, very decent EBITDA percentage, which is in the ballpark of where TCPL is today.

Percy Panthaki: Okay. That's very helpful. I also wanted to ask

regarding the spices business. So between the pulses and the spices business, I find the spices business more attractive because it's a set business model with many players where many of them made close to a 20% EBITDA margin compared to pulses where we are actually experimenting the business model. So just wanted to understand where you are going more aggressive between pulses and spices and why don't we see -- I mean correct me if I'm wrong, but I'm not seeing that kind of aggression in terms of spices from your side, which is actually a more attractive business in my view?

Sunil D'Souza: So Percy, I have to make sure that my team demonstrates that we are showing higher aggression. But just as a perspective, it is not a n 'or' game; it is a n 'and' game that we're playing. So we are focusing both on spices as well as pulses. But there are some significant differences when you look -- I mean from a margin perspective, from an outside-in perspective when you look at the numbers, you're absolutely right. The EBITDA margins in spices are significantly higher than pulses.

But you have to also remember that there is a difference because pulses, we are the only national player offering products of quality consistently to consumers at a very decent price and that's why they are off on a very good wicket and we're seeing good growth there. The spices category is a very, very, very sticky category. While pulses make a lower margin, blends make a higher margin, but blends are more sticky. Therefore, it takes time to move consumer habits.

I use it because my grandmother used it and my mother used it and therefore, I will use it. The frequency of usage -- frequency of purchase of blends is significantly lower than pulses and that's why you'll also see in my spices business, my pulses contribution is higher than compared to the market because pulses it is easier to bring in the consumer than blends. But that's not to say that we are not focused on spices. Just for example last year we decided to enter the south. We had not tweaked our blends to play in the south or our products to play in the south. But whether it is pulses or blends, south requires a different tweak. Just as a perspective with continuing Hing for example, we went in the north, we found a good traction; but when we went to the south again, we found that the south Hing is slightly different to the north. We've tweaked it and now we are going behind it. So again I repeat it's a n 'and' not a n 'or' game, but these are 2 different playing fields, if you may.

Percy Panthaki: Sure. And lastly, on tea business margins, would we be right in assuming that the India tea business margins in FY '24 at an EBITDA level should be roughly the same as what you did in FY '23?

Sunil D'Souza: So Percy, I think the big thing here is how do tea prices move and our ability to take that tea price to customers. Like I said, we had expected the tea crop in India in June quarter to be
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better than last year, but unfortunately in Assam, the heat wave I think played a bit of a spoiler and therefore while prices have moved down, they have not moved down as quickly. Now if the trend continues, we do see a little bit of margin expansion happening on tea. But again I would take it probably not one month, one quarter at a time when moving this. Broadly tea margins have come back to the ballpark, but they're still not where they should be. I think there is a little bit of opportunity out there, but I would take it one quarter at a time.

Moderator: The next question is from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was on the pulses business. So there is a possibility of high inflation this year in pulses is what we hear. How are you placed for this? Typically in the past cycles like in other categories, do

you end up gaining market share or having very high revenue growth with good volume growth when you get into these kind of high inflation years?

Sunil D'Souza: So the good news is that we had very clearly focused on building a strong procurement engine for ourselves on the non-tea commodity so to speak. And over the last about 12 months, I think we have started to get a few things right whether it is the upcycle or the downcycle which is happening in these commodities. And therefore, I see no reason to worry about. As commodity prices go up so will we take up prices and when they go down, we will also correct it. Overall margins, again the way we measure gross margins, contribution margins; they have gone up for Sampann overall and we are spending money behind brand building for Sampann which we had not for the past few years. So we do expect volume and revenue growth to happen.

Arnab Mitra: Okay. My second question, Sunil, was on NourishCo's business model. Essentially that in most consumer businesses, you have a gross margin when you're building it up and then you have high ad spends, which there is operating leverage on. But just wanted to understand in NourishCo, is the advertising spend angle much lesser and it's more of feet on street and incremental distribution that you have to build, in which case that variable cost will continue to go up as you ramp up the distribution? That's the first part. And the second part was within the geographies you are present, what would be your like distribution versus, let's say, the market's distribution of water or other beverages?

Sunil D'Souza: So overall in the beverage business, availability matters first and then it is -- physical availability is first and mental availability is second and therefore the focus is on building distribution. But that said, after a point in time you do have to build your brand very strongly and we started doing it this year. This year for Gluco+ for example, we did our first national campaign. We have never advertised nationally. This year we did that and I do think the INR300 crores partly is a result of that, number one.

Number two, as we expand both manufacturing and distribution, the costs are all variable and therefore they will go up and down as the volume goes up and down. So that I wouldn't be too worried about. In terms of distribution per se, as I mentioned earlier, we've got a long, long, long way to go. Because as I said, I would say Copper+ is roughly probably maybe 35%, 40% of my portfolio out of the INR600 crores that we did last year.

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But despite that, we have still not hit mid single-digit market share. And in outlets where we are present, outlets specifically our share among handlers is quite strong. So we've got still a long way to go to build distribution and therefore market share and therefore total business.

Moderator: The next question is from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: Sunil, my first question was with respect to the incessant rains that are happening in most parts of the country. Are we impacted in any way with respect to our supply chain?

Sunil D'Souza: So the incessant rains you would hear about I think in specific parts of the north per se. Other than that, I don't think there has been significant disruption in terms of logistics, et cetera.

Again when I talk about Delhi, with all due respect I think it's a few parts of Delhi which are making headlines. It's not across the city of Delhi. Yes, there are some issues specifically in Himachal, etcetera; but those are not as significant parts of my portfolio. So yes, there have been those sporadic issues, but nothing that I would call out in terms of disruption.

Sheela Rathi: Understood. And my second question was with respect to the number you provide on the innovations

ide. It's very interesting to see how the share continues to rise. Just wanted a clarification. When you say 5% of the sales, if you could just share how this number could look like when we just look at the India Branded business, what the share would be?

Sunil D'Souza: So effectively when I say innovation to sales, we take products which have been launched in the last 3 years. Again when I say product, changing of packaging, new graphics, new brand architecture, etcetera, doesn't qualify. It has to be distinctly new products per se or products which have been tweaked substantially. That's the number. When I do a benchmark with Indian food and beverage companies overall, about 4% to 5% puts us in the top quartile and that's why we had set a long-term target -- medium to long-term target of hitting 5%. It's good that we hit 5% in the first quarter. I would say I'm just keeping my fingers crossed that we continue at this level going forward.

Sheela Rathi: Okay. Understood. Third was with respect to the new innovation on water side on NourishCo. Just wanted to understand where you have mentioned that we want to be competitive here. But when I look at the price point with respect to this introduction, it seems to be more closer to Himalayan than to Tata Copper. So what's the plan here in terms of driving growth?

Sunil D'Souza: Absolutely. So let me put it this way. There are 2 distinct segments in water. One is bottled water, which is where Tata Copper+ plays. There is Bisleri, there is Kinley, there is Aquafina. And then there is mineral water, which is where Himalayan plays and market share of Himalayan in that is significantly high. Now the catch is there is a significant difference in pricing between Tata Copper and Himalayan because Tata Copper is produced locally with water sourced locally whereas Himalayan is bottled at source in our Paonta Sahib plant.

Now the thing is we want to premiumize our play and play at the higher end. So the reason we are constrained with Himalayan because we have to source from our Himalayan mineral water and for example even to sell it to Chennai, I have to drive it all the way from the Himalayas to Chennai. The idea in launching a slightly affordable play of mineral water is it is not tied off to a source. It is mineral water bottled at source, but it is not tied to a source and therefore we will

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be looking at bottling this at different mineral water sources across the country. Right now it's a pilot being run up north to see how much incrementality does it get for us in volume terms beyond Himalayan. Once we read it perfectly, then we will be looking at expansion.

Sheela Rathi: Understood. And 1 final question if I may ask, please, and I'll borrow your own comment which you made earlier, which is to do with changing habit is a difficult thing. I just want to pick your brains on the thought of how we're going to drive the change with respect to the Nutri Drink which we have introduced because again there's a habit change which is required. If I have consumed as a child a particular drink, that's the thing I will pass on to my own child. So just want to hear from you is there a strategy in mind in terms of how we are going to drive this?

Sunil D'Souza: So if you look at it, I mean we are driving a consumer proposition under Tata Soulfull, which is health, nutrition with all the goodness of millets and all the products that you will see are being driven around that. And therefore, from a consumer communication perspective, any advertisement of Soulfull will have a reflection on the entire product portfolio. That's number one. Number two, again as I said earlier, my main game in Soulfull is breakfast cereals and rest of them are adjacencies in the portfolio.

So am I looking for phenomenal market share or to drive up significant s

ize in any of the

categories? No. I do know there are adjacent categories, which are of decent size where I can leverage the Soulfull portfolio and make a pretty package without spending too much. That's the whole idea of expansion out there. Will I get to a 25%, 30% market share in the cereal, drinks portfolio? No, I don't think that's the ambition. But even with a mid single-digit market share, I think we'll make good money because we are spending on the Soulfull platform and the Soulfull brand.

Nidhi Verma: Moderator, since we are running out of time, we'll just take one more question from the queue and then we'll go to webcast. And we are extending by another 5, 10 minutes if that's okay.

Moderator: We'll move to our next question that is from the line of Jay Doshi from Kotak.

Jay Doshi: Sunil, the Growth business which is now about 20% of your India Branded business, how should we think about profitability of this business given that you'll be continuing adding new products, categories and innovations in this space? Will it improve 100 basis points, 200 basis points every year from where it is today or how should we think from a 3-year viewpoint?

Sunil D'Souza: So number one is on a year-on-year basis, these businesses while they are there for top line growth, have to also improve their contribution margins, but definitely the total fully loaded P&Ls also, right? Whether it is Sampann or whether it is NourishCo, we have seen very clearly contribution/gross margins improving as we gather scale. And therefore, the total bottom line in those businesses as long as I increase advertising marginally compared to where I am today because there is no other fixed cost getting added as significantly to my profile.

Jay Doshi: Understood. And everything other than tea and salt going forward will be kind of classified as Growth businesses, this bucket. Should we think of your India business as tea growing at a
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certain rate, salt growing at a certain rate? Both these are mature categories and then everything else is Growth business? It should grow maybe 25%, 30%, 35% levels, right?

Sunil D'Souza: No, absolutely so that's what we said. Tea and salt, both broadly it will be mid to high single-digit volume growth, little bit of percentage on top of that with price mix. But the big, big top line growth drivers will continue to be the Growth businesses. As of now, we've classified 4 businesses there; which is NourishCo, Soufull, Sampann, and Tata Yumside; and these businesses have both a distribution highway as well as a product portfolio highway to play in. And at the same time as we get scale, they will continue to improve their contribution margins.

Nidhi Verma: So we'll go to the webcast to take a few questions. There is a question from Bauva. The question is what synergies do we expect from integration of Tata Coffee?

Sunil D'Souza: L. K., do you want to take that?

L. Krishnakumar: Yes. So there are 3 areas which will get impacted, right? First is we are integrating the extraction business so that will give us opportunities to serve customers better and hopefully grow the business faster than would otherwise be the case. There will be cost savings because of scale and saving on admin costs. And third is this integration will help us to consolidate all minority interest under the parent entity, which will free up opportunity to restructure some of our entities outside India. So net-net, the guidance we have given is when we started about a year back, we said that we will have a 5% to 10% positive impact on EPS going forward. So we're staying with that and we expect the exercise the first part to be completed this year and the international end to be completed either towards end of the year or going into next year.

Nidhi Verma: The next question is from Bhara

Sheth at Quest. Sunil, he's asking what is our thought process on inorganic growth? What are the underlying criteria for any application?

Sunil D'Souza: So I think we've articulated this very, very clearly. Tata Consumer will grow both organically and inorganically. We have very clearly identified the areas for inorganic growth and those would be simply because they bring a scale, they bring a profitability, they bring a brand, they bring a team, they bring a technology in spaces which will take us too long to build. And we've distilled the entire food and beverage space and sort of narrowed down the segments basis gross margin, competitive plays, what R&D can we bring to bear, does it work in our distribution system, do we have the marketing chops to make a difference out there. So we've narrowed that down and then we've laid down very, very clear financial guardrails within which we should operate. So yes, we've been evaluating lot of opportunities per se. But if it doesn't fit strategic or financial parameters, then I would give it a pass. And the only thing I would like to highlight is I think in the inorganic space while we can put out an intent, I do not think it is right to put out a target because we are not chasing a top line through acquisitions. We are making sure that we are doing the right acquisitions to create shareholders' value.

Nidhi Verma: And perhaps the last question we'll take which is from Tejash at Avendus Spark again. He's asking we are right on track to achieving our distribution footprint target. Would you prefer to
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consolidate here for a while or the aggressive expansion will continue? If yes, then would it be possible to share the new target?

Sunil D'Souza: So Tejash, I would say we will continue both our width and depth focus in distribution. And the reason I say this is for example when we are looking at split routes in the 1 million plus, it is width in the outlet that we are looking at -- sorry, depth in the outlet that we are looking at. And when I'm going down the pop strata going to 50,000 pop strata towns and 20,000 pop strata towns, it is width that I'm looking at.

I think there is still a long, long way to go before I say we are up there with the leaders in the industry. Even in the food and beverage space if you look at it, people are at 5 million sort of numeric reach -- 5 million, 6 million numeric reach. There are, I mean your guess versus mine, 8 million to 9 million kiranas across the country. So yes, direct distribution at a point in time we will slow down and I think we will add, but not as aggressively.

And the focus will start moving the throughput through the wholesale multiplier, which is what we are just beginning to start up. But I think TCPL as a company, we have to continue to power our growth as I keep saying through distribution, innovation and marketing and deliver top notch financial results. So that's what we will continue to be focused on.

Nidhi Verma: Okay. I think we've run out of time. There might still be questions though so you can get in

touch with us if you have any questions. With that, I would like to thank everyone on behalf of the management for joining us today. Over to you, moderator.

Moderator: Thank you very much. Ladies and gentlemen, on behalf of ICICI Securities, that concludes today's call. Thank you all for joining us and you may now disconnect your lines.

Call: Nov 2023

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Sub: Transcripts of Conference Call pertaining to financial results for the quarter and half year ended September 30, 2023

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we are submitting the Transcripts of Conference Call held on Wednesday , November 1, 2023, in respect of the financial results for the quarter and half year ended September 30, 2023

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully ,
For Tata Consumer Products Limited

Neelabja Chakrabarty
Company Secretary & Compliance Officer
Encl.: as above

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Internal

"Tata Consumer Products Limited Q2 FY-24 Earnings
Conference Call"

November 01, 2023

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR & CEO
MR. L. KRISHNAKUMAR – SENIOR ADVISOR [EX-
EXECUTIVE DIRECTOR & GROUP CFO]
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR &
COO
MS. NIDHI VERMA – HEAD- INVESTOR RELATIONS &
COMMUNICATION
MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Internal Moderator : Ladies and gentlemen good day and welcome to Q2 FY24 Earnings Conference Call of Tata Consumer Products Limited hosted by ICICI Securities .

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities . Thank you and over to you sir.

Manoj Menon : Hey wonderful good morning , good afternoon , good evening to everyone who's there on the call today . At ICICI Securities it's our absolute pleasure once again to host the results conference call of Tata Consumer Limited. Over to Nidhi from the management team for further proceedings.

Nidhi Verma : Thank you, Manoj and thanks for hosting us. Welcome everyone. As usual I have in the room with me. Mr. Sunil D'Souza – Managing Director and CEO , Mr. L. Krishna kumar – Executive Director and Group CFO and Mr. Ajit Krishna kumar – Executive Director and Chief Operating Officer .

In terms of format , we'll spend about 15 minutes where Sunil will give you a quick overview of our results and performance during the second quarter and then we will open the floor for Q & A. I'll just like to draw your attention to the disclaimer statement which is visible on your screen. With that over to you Sunil.

Sunil D'Souza: Thanks Nidhi. Before I start off the call , just wanted to highlight that officially we've announced LKK's retirement effective today. With that said , as we are in the process of inducting his successor , LK will stay on with us to make sure the successor lands on his two feet and after that is in a stable position. So as of now , for all practical purposes you can continue to treat LK as the go to person for all things finance.

With that I go to the executive summary :

We delivered a strong quarter with 11% top line growth , 10% in constant currency , the 4-year revenue CAGR is now 12% in Q 2 FY24. India Beverages grew 8%, the key volumes up 3%, NourishCo grew 25 % . NourishCo first half is up 44 % , India Foods up 16 % volumes up 6%, Tata Sampan n was up 47 %.

International Business came to the party big time this time ; 13% revenue growth , 8% in constant currency with EBIT growth of 60%. We continued momentum in India growth. Combined they grew for 39 % and they moved from 15% to 18% contribution to India business during the quarter . EBITDA grew 30 % . The margin expanded by 220 b ps, primarily driven by improved profitability in international and non-branded . On a MAT basis our salt and tea businesses saw marginal share loss. And I'll come to the shares when we talk specifically on those slides.

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Internal Innovation is now 5.5% while we have guided for a full year of 5%. This is the second quarter in a row that we've exceeded that . We've achieved new milestone in our S&D journey. We had committed saying that we will have split routes in all 1 million plus towns and substantially in

all 1 million plus towns we do have it. On top of that we have direct distributors now in all 50,000 plus towns. Just as a perspective, during that time there was a little bit of a blip and you would have seen some movements in that total numeric reach number. But now that the infrastructure is in place, now execution in these places will be the focus. And in addition, we will move beyond the 50,000 population to start expanding more into the rural spaces. We also announced the amalgamation of our wholly owned subsidiaries which is NourishCo, Tata Consumer Soulful, and Tata SmartFood

z with the parent entity. We do expect to see synergies in terms of back end and more in terms of direct and indirect tax synergies.

Business Snapshot:

I talked about India Beverages 3%, volume 8% revenue, India Food 6% volume 16% revenue, U.S. Coffee was soft. Just as a perspective, the volume softness when you look at it, we have already mentioned that it was to do with a pack price architecture where we degrammed pack sizes to hit price points and that's why you'll see volume negative 13%, revenue negative 7%. International tea 15% volume and 30% revenue ex-acquisitions minus 5% and plus 16%. Tata Coffee while volume was soft primarily driven by plantations, revenue was up 2% and consolidated all in 11% revenue growth at 3,734. So, 3,734 which is 11% growth on the top line 569 crores which is a 30% growth on EBITDA, PBT up 36% at 505 crores. Group net profit negative 7%. I would just like to highlight that we had a one-time gain of 147 crores on sale of land in Tata Coffee last year which was an exceptional item. So that is why this shows a negative. But if excluding exceptional items, the growth is 24% in group net profit, and we are sitting with 2,500 crores of cash. In the same quarter last year, it was about 2,000 crores. Against the strategic priorities, I'll straight move into the distribution slide. We had committed 4 million by September '23. We are more or less there, it was 3.9 it's moved down to 3.8 as we've actually rejigged below the lower pop-strata, replacing sub distributors in 50,000 [population] towns with distributors. Like I said, we do believe right thing to do, and it sets us up well for the future because now we will focus on building a super stockist and rural distributor /sub-distributor in pop-strata below. We'll come out with a specific target of which pop-strata and how many distributors are we looking at very shortly. Direct reach continues to be strong at 1.5 million. We've implemented the split and the 50,000 plus [population towns] distributors that we commented. Modern trade continues strong growth exceeding the overall India growth numbers and e-commerce continues on a strong wicket with a 33% growth.

India Business:

A&P continued to be high at 6.7%. We have powered up our brands. Now just wanted to make a statement on Tea. The shares that you see out here are MAT. On a quarter to quarter, it's almost flat and just wanted to highlight that you normally see blips in market shares as tea prices come
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Internal down. They are more or less stable right now and we do believe given both distribution, expansion that we are doing along with powering brands we will get back the tea share quickly. Quarter-on-quarter the tea share is stable. Salt, it's a mathematical exercise. We were the first off the curve last year when we started taking up price. Over the last 12 months various other competitors have come up in price, so the whole value table has gone up and therefore you see the value share lost out here. But just as a perspective, now that we are cycling one full year, we see stability in prices. In September we hit a 38% share which is a 12-month high, and we do believe now that prices are stable, we will start getting back to our standard share gain trajectory. Just wanted to highlight that 3 years back when we took over, the share was 30% and for the month of September, we exited at 38%.

Innovation:

We continued the momentum on innovation. Pilot launch of energy products, sports drinks, we've launched decoction; ready-to-pour decoction, launches in tea, value added teas, GoFit saw an expansion with Apple Cider Vinegar. Soulful which is our play in breakfast, mini meals and snacking. Having completed the breakfast portfolio, we are now starting to expand into snacking. This is the first of what

that I would say many more to come. Simply better cold pressed oils, we launched it on Amazon Prime Day, and it is off to a fantastic start online. We've entered a significant category with vermicelli and off to a very good start both on the top line as well as the margin front, relatively in Sampan terms. Walnuts and seeds was our expansion in dry fruits. We've rejigged our mixes and we're now playing in the dessert mixes with the Gulab Jamun mix which again has started to do well. We had launched Himalayan Saffron last quarter at the very high end with the QR code, etc. Now we have entered the mid-range play also with Tata Sampan Saffron.

Momentum continues in the engines of growth, growing 39% now moving from 15% to 18%

contribution to the India business. We've reaffirmed our commitment to sustainability and just as a perspective it is not 2030 and 2040. We've put out very specific targets for FY25-26 on climate, circular economy and people and community.

In terms of business performance:

India Packaged Beverages:

On MAT basis I talked about (-95) bps but on a quarter-to-quarter basis it's stable. Volume growth of 3% and value now ahead of volume as our premiumization efforts continue to play out. Coffee incidentally grew 17% during the quarter.

India Foods:

Salt, I talked about the mathematical market share of salt. Overall value-added salts are 6.6% of our portfolio, continue to climb. Overall foods growth of 6, revenue growth of 16%. Sampann had a strong quarter at 47% [growth]. That said I'll guide you back to what we have said, our
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Internal long-term aspiration is a 30% growth in Sampann. NourishCo strong quarter, 25% revenue growth and 172 crores of revenue. We remain on track for the aspirational target of 1,000 crores for the full quarter [erratum: year]. Just as a perspective for the first half we would have grown 44% despite unfavorable weather.

Tata Coffee:

Extractions grew 11% and the stellar performance here was Vietnam where we had a fantastic price-mix realization which contributed to the profitability. Revenue growth was plus 1%, plantations was (-11%) as buyers hold off a bit when they see coffee prices coming off.

Starbucks:

We opened 22 net new stores 24 minus 2 is the number. Now we are in 370 stores in 49 cities and Starbucks grew 14%. The focus remains on accelerating store growth so that we take full opportunity of the long term out-of-home coffee consumption story in India.

International Operations:

UK on a very strong wicket with the entire rejigging of cost. With the relaunch of Tetley in the most sustainable pack, putting A & P behind it, revenue growth of 13%, black tea share of 19.5%. But what I would like to point out is the fact that we have always mentioned that the opportunities in fruit and herbal and specialty and we've been focusing on that with Good Earth and Tetley and now fruit and herbal in the month of September, we've got a 10% market share.

US little bit of a work to do as coffee prices are coming off and promotional intensity starts heating up. We put in correctional actions late in the quarter which should start reflecting in this quarter but overall, more or less maintaining market share but revenue is a bit soft. Canada the star in our portfolio continues to deliver 8% revenue growth and 28% overall market share.

In terms of financial performance, over to LK.

L. Krishnakumar: Thanks Sunil and morning everyone.

As Sunil mentioned it was a strong quarter. We grew 11% in top line, 10% in constant currency. India business grew by 11% and within that we had India beverages growing by 8%, food by 16% and overall, the growth portfolio grew by almost 40%.

In terms of the international businesses, growth was 8%, flat to marginally positive if you take out the acquisition. But with

in that UK saw good growth compared to the same period in the previous year. Non-branded business grew 3%. In terms of EBITDA, we had strong increase of 30% and with an improving EBITDA margin. India business EBITDA grew proportional to turnover. EBITDA margin at 15.7% was in line with the previous year.

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Internal EBITDA growth was driven by pricing, interventions and also saving from restructuring we did in different markets, but the major improvement was in the UK business. The increase in EBITDA for the non-branded family reflects higher prices of coffee but also some amount of inflation coming down on freight and other logistics costs which were high in the previous years because of supply constraints and inflation. For the half year similar trends, not very different in terms of [inaudible]. Our consolidated revenue grew by 12% and EBITDA grew by 24%.

Moving on to the actual SEBI format. Just want to draw your attention to a few points. We've talked about revenue and EBITDA. Talking about exceptional items, we have in this quarter a charge of 15 crores on restructuring cost. In the previous year, we had the impact of the sale of property, so we had a significant exceptional income which is not there. Hence, we are seeing that the growth in PAT is lower at 359 versus 355. The group net profit after associates is also lower because if you look at the format, you'll see the share of profit or loss from associates is

lower than the same period in the previous year, mainly due to our North India plantation which had an adverse impact both on account of crop and prices. The trend for the half year is similar 12% top line growth, EBIT growth of 25%, PBT before exception 29% and lower growth of group net profit at 5%.

Moving on to the standalone:

Standalone really reflects our tea business and the foods business. We had 11% top line growth in the quarter and 17% improvement in PAT. Just to mention that this standalone also has some portions of our non-branded business which is the tea extraction. There is also other income from investment and others which is in the standalone. On a year-to-date basis, revenue from operations 11% up and PAT up by 20%.

Moving on to segment performance for the quarter:

Revenue up 11%, we've talked about that. In terms of segment results, you've seen a 7% change compared to a higher EBITDA number we talked of in the past. The reason for this being lower is because we wrote off some assets which were obsolete and were not being used. So, there was some amount of one-time charge that we took. So, the depreciation is slightly higher in this quarter. That's the reason for lower growth in the segment results compared to what you see elsewhere in the presentation.

International Business improvement we said is primarily because of UK to some extent other markets also had marginal improvements but UK and inclusion of Joekels resulted in a 60% improvement in EBIT. Non-branded improvement primarily reflects the higher prices but there's also an element of sale of timber of 5 to 7 crores that is included in the results.

Segment revenue 72% from India, 28% from international business.

In terms of profitability, India business is slightly higher at 78% versus 22% for international.

But as we said the outlook for international in the medium term is to keep improving the

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Internal EBITDA margin so that the difference is catching up. In terms of the half year performance no additional call out. The proportion of revenues is 73% and 27% and EBITDA is 76% and 24%.

That's it from our side, over to Sunil.

Sunil D'Souza: So, if I conclude – we've seen a stable demand trend in India, and we remain cautiously optimistic and continuing our mo

mentum. We see demand headwinds in our international

markets even as we've delivered a competitive performance, and we remain confident that we can continue to deliver.

In terms of the business, we again delivered a double-digit top line growth with EBITDA margin expansion. The interventions that we put in for our India Tea business continue to yield results. This is the third consecutive quarter of volume led growth.

Salt, despite the price increases we've seen volume growth and continued premiumization and we do expect that now that we've got stable pricing and we've built out more infrastructure for distribution we continue to drive volume.

Growth businesses are on a very strong trajectory. JV Starbucks now has 370 stores across 49 cities. International business we have taken structural interventions and pricing actions which have now started to deliver margins. As I said the US is the only place where we've got to tweak in the short term right now and we've started to put money back into A & P to strengthen brands so that we move from a push-based model to a pull-based model internationally.

On the NCLT approvals, we're waiting for the final approvals to come through. The hearings are all through and post obtaining those approvals we expect to complete the merger of Tata Coffee business in this financial year.

With that back to you, Nidhi.

Nidhi Verma: Thanks Sunil. Moderator we can go to the Q & A queue.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: My first question is on your energy drink and sports drink. So Rs. 10 price point with a very different brand name 'Say Never', wanted to understand does this compete with the Rs. 20 price point energy drink of cola companies? Cola companies have seen spectacular success but your pricing is half of that. So, will this compete against that product? Is it largely similar but smaller quantity and in terms of distribution, Cola companies have reached strong distribution in this kind of a channel, so how do you intend to compete if you want to take it pan India and big how do you intend to compete in this?

Sunil D'Souza: I go back to the fundamental premise of acquisition of NourishCo, which was that we had a good team and a good base infrastructure, and we needed geographical and portfolio expansion. We

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Internal are in the process of geographical expansion. We've up to 44 plants now and portfolio we're expanding. We've got juice and jelly we've got jelly drinks and now we're just starting to dip our toes exactly in to what you said, the big emerging energy market. Now just as a perspective, you're absolutely right. (A) the cola companies are priced at if I'm not mistaken 20, in some cases 15 for a different serving size. Our whole logic is that of the cup format. The cup format does two things for us. (A) it is a lower packaging cost and (B) because we are distributed manufacturing our freight cost is low and of course it's a smaller serving size and therefore, we are able to hit a price point. We've launched it in very limited geographies right now to test the concept to see if it works. We are quite confident that it will and if it works then we'll come out with a full-fledged plan on how to expand it across all the geographies. We're still not national. I would say we're about 75 %-80% of the country in terms of coverage and that's where we will play. Where we have cup lines, we will come back with an exact plan on how to play it. Early days, I would say wait and watch.

Abneesh Roy: My second question is on NourishCo and India modern trade. You have done well in most other parts of business but when I see NourishCo, it seems much lower than the run rate which you are having

. So, 60% growth in Q1 dropping to 25% which is a very big drop. Similarly, India modern trade first quarter growth was 22%. Q2, you have not given number but my sense is around mid-single digit. So why is there such a drop? Is there any impact of the festival shifting in the modern trade, is that reason? But I don't see that impacting your e-commerce business. In fact, ecommerce business India has accelerated significantly in Q2 versus Q1. So, if you could explain all these three aspects.

Sunil D'Souza: So Abneesh let me answer your second question first. The reason absolutely as you pointed out for modern trade is a bit of shift of festival s because normally modern trade loads up about 15 - 20 days prior to the festival dates and there has been a shift, significant decent amount of shift this year in the festival date. So, we do expect this quarter modern trade to pick up quite well. I don't think there is anything else to it because market share wise, we are maintaining market share across all the categories that we play in. E-commerce would have performed better for two reasons, (A) there is not as much loading into the warehouses as modern trade does and the second piece is that there is a significant amount of new launches that we are playing only online and it is not even in modern trade and e-commerce, for example Go fit AC V, a lot of the dry fruits etc. is primarily online. That would be the other factor. But the bigger factor would be exactly what you said is the shift of festival days. So that's the answer to your question number two. On question number one, it is primarily to do with weather. While we did push on despite inclement weather in the first quarter, we had blips in the second quarter when we had unseasonal rains etc. which continued beyond their normal date. But like I said we had said we are setting out an aspirational target of 1,000 crores for NourishCo for the full year and right now we remain committed to that.

Abneesh Roy: My last quick question is on Tata Sampan. Most of your products in Sampan are in terms of more on health and more on fiber etc., for example your pulses clearly on that. Also seeds and nuts all are on health platform. When I see your latest launch of the Gulab Jamun mix it seems
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Internal a bit different, so will it work? I understand the overall mother brand strategy but having a dessert brand against healthy pulses and healthy nuts and fruits will it work?

Sunil D'Souza: So let me step back. So Abneesh Tata Sampan is a pantry brand. Yes, and most of the categories that we have chosen to play in are on the healthy side. But if I look at the specific category of mixes, when you distill the entire opportunity out there in the mixes segment per se, you will see that there is a significant amount of opportunity out there in dessert mixes which were leaving it out on the table. So, this is our first. Again, if I say launch and learn experiment of launching a Gulab Jamun mix into the trade, also this is a very seasonal product. So that's why we've launched it about a month and a half before Diwali to test it out. If this works, then we will have to step back and look at our whole portfolio play and see what tweaks do we need to make.

Moderator: We'll take the next question from the line of Manoj Menon from I CICI Securities.

Manoj Menon: Sunil, just wanted a bit of a macro marketing perspective from you. When I broadly look at the revenue performance, particularly volume performance of consumer staples. There is a very clear divergence between food companies and home and personal care. While there is certain hypothesis which I do have, just wanted to pick your brain on let's say what are those drivers which you are witnessing and how do you see this trajectory? Can it even accelerate food versus HPC?

Sunil D'Sou

za: Manoj I would not comment on broader macroeconomics and other companies . All I can say is we see a huge runway whether it is in Tea whether it is in Salt whether it is in Sampan n, Soulful I everything. We remain focused on our categories. We remain on focus on what we can control and what we can't , we make sure we've got adequate actions to make course corrections. In Tea we've always said that we see a long-term growth of 5%. We are slightly short of that. We're better than where we were a year ago where it was in a decline. We do see a little bit of stress on rural and this is I mean you see every FMCG company commenting upon it. We have seen an effect of inflation we've seen an effect of erratic monsoons. We've seen an uptick on MNREGA but that said again we've seen jump in two-wheeler sales as of late. So , we remain cautiously optimistic out there . On Salt again we've guided for a mid-single digit volume growth, and we are more or less inching towards that being faster coming towards that than the beverages space . Sampan n, we have always said we'll grow 30%. Soulful is a wide space for us to play. We moved from breakfast to snacking and now I think you'll see us expanding our TAM and growing far faster. So , I do hear various chatter from various different people, but I would not comment on it without knowing the details there.

Manoj Menon: Fair enough sir. Secondly on the distribution with good work by the team till now , would you be able to give us some quantification of the growth from the sales vector which you have got let's say in the last 3 to 5 years and how do you see some quantification on how do you see this into the medium term also in volume terms ?

Sunil D'Souza: In terms of where are we getting the growth from , Manoj actually speaking while everyone is talking about rural stress and we do think there is a little bit of that still left out there , for us rural

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Internal is an opportunity where we are expanding with distribution. And therefore , for us internally rural growth , urban growth is working out to almost the same in percentage terms. That's number one.

Number two , where we had done split routes in urban areas with the hypothesis being that we will expand the bandwidth at the front end and therefore be able to drive depth in the outlets rather than width. We are seeing that with decent increase in lines and therefore growth rates on split routes versus non split . 50,000+ towns which was our width expansion in semi urban and rural . Early days , encouraging signs. But the reason why we are confident is because now we are going to step out beyond the 50,000+. On tea volumes itself , Manoj I think for the last what about three quarters we've been seeing about (+3%) volume growth. We had seen a little bit of an upsurge on local regional brands. But now like I said once tea prices are more or less stable , it boils down to branding and execution, and we remain confident that we should be able to equal if not exceed these numbers towards our midterm aspiration as we go forward.

Manoj Menon: Just simply if I may , on the salt business , given the limited operating histories which we have just a question where will you put the category strength or your brand strength in terms of linkages to commodities ? What I'm trying to understand is let's say look at businesses like soaps for example or Marico 's Parachute , while these are all brands but let us say Lux is a brand but there is a commodity linkage where there is a necessity to drop prices or manage a profit pool appropriately else you lose market share. But in a salt business in a scenario which may happen at some point in time or lower input cost , where will you put the price retention power, or the profit pool actually can expand or not?

Sunil D'Souza: Manoj, I let me put it this way normally price

elasticity comes when there are substitutes. The

good news is there is no substitute for salt and therefore it's got a mode of its own. It's not that people can eat less or use less of salt unlike most of the other categories which you mentioned which includes various factors , number one . Number two , if you look at the cost of salt is primarily determined by two things. Number one is the cost of brine, rather three things cost of brine, cost of fuel , and logistics. Now, if you presume that cost of brine and logistics is equal for everyone the only place where I am slightly off is cost of energy for conversion because we use coal and more or less imported coal. So , it's a dollar denominated and price of international coal. But that is not a very significant portion of my mix and therefore we will continue to be not insulated per se but relatively lesser impacted with movement in commodities. That's number two. Number three , with a 38% share we have the strength to move the market like last year when we took up the pricing , historically this company has never taken beyond a Re. 1 and at one shot I think in two quick moves we moved out Rs. 5. The reason is because were confident (A) of the brand (B) of the fact that what is hitting us is hitting everyone else and (C) the fact that we can execute as well if not better than everyone else in the market. And that is why you will see despite taking that steep price increase we've more or less maintained market share. Yes , there have been small movements but like I said September is back to 38 which is again a 12-month high and we expect to keep this trajectory going .

Manoj Menon: I do remember last year noting that very few brands can actually have 30% price growth and still have volume growth.

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Internal Moderator: We have our next question from the line of Percy Panthaki from II FL.

Percy Panthaki: My question is on the growth businesses which are high teens percentage of your India business.

Can you give a little more color on that as to what is the profitability of this business, point one or rather I should say point one is what is the breakup of that? We don't want exact numbers but some color on the breakup of this business between pulses, spices, Nourish Co numbers you gave but whatever else remains in this. And also, we did a calculation last quarter where we said that since this business is probably not making profit right now, the rest of the portfolio actually has seen like a 200-basis points margin expansion versus 4 years ago which is not very visible in the reported numbers. I think probably it might help if you also sort of highlight this to investors, that the EBITDA margin expansion is actually much higher than what it seems if you adjust for the growth business. So sorry for the long question but to sum it up, do you think that as this business grows bigger it will have a negative mix impact on the overall sort of India business or do you think that the recovery in margin of these businesses itself should nullify the negative mix impact going ahead?

Sunil D'Souza: Percy, Tata Consumer Products was built for growth and when I say growth, we've always said double digit top line growth and improving EBITDA. We are acutely conscious of the fact that we are behind many of our listed FMCG peers in terms of EBITDA margins and therefore you would see us continuing to deliver EBITDA gains. Now the mathematical formula the way it works is more or less we've built out the fixed cost, there is not going to be a significant increase and therefore whatever comes in terms of gross margin, I would say margin after promotions at the top will flow to the bottom. So, we manage the India business as a whole to make sure that we're delivering this and therefore you'll find different puts and takes across different businesses

from time to time. Now that said the growth businesses are very high growth rates and if I look at the three businesses that we classify today as growth —the NourishCo, Smart Foodz, sorry four businesses —NourishCo, Smart Foodz, Sampann and Souful I. I would say broadly NourishCo, Souful I and even Smart Foodz broadly percentage margins are in the range of our India base business. Sampann would be a little bit behind probably because of the categories that we play in and this is a mix to manage for us to deliver the total India business P & L. Yes, even if it is in Sampann if you slice and dice it, spices should be higher than our base business, today they're still building it out, mixes should be higher than our base business, pulses would be slightly short of that. Now that's number one. Number two sequentially over the last 3 years or so we've improved the margins in all the Sampann categories while growing the top line significantly. Number two, as we are growing these businesses, we are very clear we are playing for the future. It's not a number for every quarter and therefore we are putting A & P far ahead of the curve in all these businesses. So NourishCo for example today if I turn off the tap, I am profitable, but will I turn it off, no because I think there is a substantial headroom for growth. Similarly, with Souful, if you turn off the A & P tap, we are profitable. But we are not playing this game for the next one quarter or one year, we see a substantial runway for growth. Sampann, the entire pantry space is open and today actually speaking we are heading towards close to 900 to 1,000 crores in Sampann for the full year. And that's we built this in roughly about what 3.5 years, similarly in NourishCo. So, I would not want to slice and dice it saying should I put on the brakes on this business, so that my margin. The game is to continue to deliver double digit, top line and

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Internal improved EBITDA margins. So therefore, you will see EBITDA margins improving. This quarter for example compared to last quarter we've improved (+200) bps on last year same quarter, (+200) bps of EBITDA margins while delivering growth. So that would remain the objective.

Percy Panthaki: Sunil just a quick follow up on this on the tea business in India, when you look at your EBITDA margins and I'm not asking for the figure but just when you internally look at it and compare it with best-in-class tea margins across competitors in India, do you think you're more or less there or do you think you still have some catch up to do according to you?

Sunil D'Souza: Percy, I would say not probably the right way to look at it and there's specific reason why right. I would look at margin after promotion expenses and not at the EBITDA because when in the EBITDA pieces you load various middle of the P & L and depending on your scale and leverage on your fixed cost you will have a different output there. But the margin after promotion expenses, I would say they're in the ballpark. We're still not there but we're in the ballpark of most of our big competitors. EBITDA percentage margins we will be lower because the center of the P & L some of the larger players have got significant leverage on costs which we don't. LK you want to add anything.

L. Krishnakumar: I just wanted to say that just one point which I guess all of you are aware, that relative comparison of our portfolio versus our key competitor. I think there is scope for us to premiumize and we are doing that very rapidly and we have been making good progress in south. I think for us there is some scope for improvement from where we are. The only message I want to leave is because there is greater opportunity for us to premiumize and win in certain markets where relative share is probably lower

and that's upside for us.

Sunil D'Souza: Just to add to what LK said, our strength is mass to mass premium whereas if you look at our key competitor, strength is from mass premium to premium so slightly higher revenue. And therefore, even while percentage margin remains the same in absolute rupees it is slightly higher. I would say about 10% to 12% higher numeric distribution and therefore ability to spread costs faster and because of the larger portfolio their central fixed costs etc. the leverage that you'll get which will translate into EBITDA percentage, we would be slightly behind. That said that is why the whole objective is to continue to grow rapidly while maintaining fixed costs so that we also come into the same ballpark.

Moderator: We have a next question from the line of Tejas Shah from Spark Capital.

Tejas Shah: My first question is extension of one of the previous participant's questions, only that we have shown very good execution on our numeric distribution expansion, both on direct and indirect. But when we see as an outsider, how should we see this lever? Is it a growth lever or is it just a necessary condition but not a sufficient condition to kind of connect with the growth itself?

Sunil D'Souza: Tejas, I would say it's a necessary but not sufficient condition for 2-3 reasons. (A) total universe 8-9 million outlets, you take your pick from whose numbers you choose. If you look at Tea, as Tata Consumer Products Limited
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Internal defined, it's about available in about 6 million outlets plus per se. And I'm talking about my total reach being about 4 (million). So, there is still a significant amount of and we would be about 2.8-2.9 million only for tea. So, there is still half the way still to go. That's number two. Number three is even if you reach there the question is how well are you executed in terms of your lines, in terms of your displays in the outlets, in terms of the right packs being available. That's a long way to go, so it is work in process. I like the word that you use necessary but not sufficient. We've got to 4 million now that in the 4 million we've got to improve but we've also got to go beyond the 4 million. So that is why you'll see us doing this various different items of whether it is split route, whether it is direct distributors up to 50,000, below 50,000 now starting to expand rural and sub-distributors or we're in the middle of rejigging our entire SFA and DM S. We will probably be what I would say best in class by exit for this year on the front-end DMS-SFA which would then enable pinpointed execution by outlet.

Tejas Shah: Second question is on the accessibility curve of NPD when it moves across channels. For example, you said that a lot of our launches are now focused on online. When we do something on online and it works there and when you transcend the channel you move it to MT and then MT to GT does the accessibility curve remains the same or it drops materially and how it happens vice versa. Let's say you started something with GT acceptability is very high on MT and online, how does that work?

Sunil D'Souza: Tejas, let me say I see more of launches online than going to MT and GT rather than vice versa. I don't think we would see that other way around. Why? Because it's very easy to launch online addressing a target consumer of one. I mean I can talk to every single target consumer one on one. That's (A). And (B) I like to use this term to beat up my sales guy saying when it is only the consumer and me which is online that is when the power of the brand comes in. After that it is your execution ability. So, for example in tea we are the market leaders on e-com. So therefore, the strong hypothesis that if we get our distribution in place there's no reason, we should not be closing the gap on market share. But to your point after w

e launch online we do have to make

tweaks. Let me give you the example of dry fruits. Dry fruits was off to a very strong launch online. We started hitting about 50 to 70 crores annual run rate if I may. That's the terminology which the online guys use, ARR, and then we said okay it's got legs to go offline. As we went off-line, we figured out we've got to make two tweaks to our packaging. It's very nice to sell a product simply with pictures and then deliver it at home. But when consumers actually shop off-line, they want to look at the product and therefore there has to be a see-through window on the packaging and the second thing is the package cannot lie flat which is the way we designed the package. It has to be a stand-up pouch. So right now, we're in the middle of modifying the package because we did a trial in very limited markets in GT/MT and we could get in dry fruits because by now everyone knows Sampan dry fruits available online. But unless we make this modification to our packaging we can't get going. So, you're right we will launch products online, we will see the acceptability and if we find enough legs we will go offline. But as we go offline,

I think we will have to make tweaks to our product , packaging , pricing strategies.

Moderator: We have a next question from the line of Mihir Shah from Nomura.

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Internal Mihir Shah: If you can talk about the timing and the synergy benefits from the amalgamation of Nourish Co, Souful I and SmartFoodz and kind of any ballpark quantification impact that we can see on margins on the back of that.

L. Krishnakumar: These companies are already consolidated . Basically , their larger objective is simplification. There will be some amount of rationalizing the support cost because of combining entities but in business not very significant benefits. There will be however some benefit on account of GST, more cash , little bit P & L because for us we have an inverted duty structure. That means our input costs are higher in terms of than the output GST whereas for the other companies it's reversed. So, we'll have some cash flow and a little bit of P&L benefit, not significant. In addition , because of carry forward loss we'll be able to absorb some of the losses of these companies which will give us a benefit on the tax line. Again , it will be overall a number of all things put together would be in the range between 50 to 100 crores. Somewhere in between all things considered , some of it cash flow some of it P&L .

Tejash Shah: My second question is on margins. When we see the international margins on a sequential basis , they appear to be down while on a Y OY basis expansion. So how should we think about international margins from here on , was it seasonality? Second subpart is on the India margins again . They appear to be lower largely. Is it a function of higher ad spends or anything else would be pulling down India margins in a tad bit ? And lastly on the non-branded margins , it appears to be higher than the branded ones. If you can share , how should we think about that as well?

Sunil D'Souza: I'll start with the non-branded margins. First non-branded margins is primarily a factor of coffee prices and great performance by our Vietnam business on the price mix . I mean there's no capacity changes. It is just that we played the right game on the customer /price mix out of Vietnam and that's why the margins look better. I think they will continue to be in a decent range going forward because the focus on making sure that we derive value out of all our investments has come in , that's number one. Number two , on the international piece or the India piece per se , you have to remember two things. We have seasonality in our businesses especially for tea and coffee , more tea than coffee. For international , I would

I'd urge you to look at year -on-year and not quarter -on-quarter because there will be changes that we will do especially on A&P etc . This quarter we have spent higher and why have we spent higher? Because we rejigged our entire packaging with our investments into the Eaglecliffe factory. We came out with the most sustainable Tetley -pack. We took some time to get it into the trade. We took pricing to make sure it stabilized and after it has stabilized , now we have put A&P behind it. Apart from that we're expanding distribution, which as you realize in the international market does require listing fees, etc. Our Good Earth, for example, which were only piloting in Sainsbury's now we have decided to take it across and we are now entering multiple geographies. We have launched Joyful in Tesco , there's initial activation fees etc. So therefore , I would urge you to look at year -on-year and not quarter -to-quarter. That's number one . In the India business we do not look at it again similarly on quarter -to-quarter because the tea business in India you do realize is highly seasonal. The North kicks -in in Q3 more in Q4 and tea prices are dramatically different on what you buy in Q1 versus Q4. So, this will go up and down. The balance businesses will more or less remain

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Internal steady. There will be a little bit of cost movement here and there. As for example we've invested ahead of the curve on sales and distribution in splitting the routes and putting the distributors in all (+50,000) towns which in my mind is right thing to do because it's not watching out for a quarter -to-quarter but as you build out the distribution system for the long run this is the right thing to do.

Moderator: We have our next question from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question was on the Sampan 47% growth , seems to have stepped up and also higher than your normal 30% range. Is there a significant pricing step up due to underlying commodity here? Also if you could help us understand how much of the volume growth is being driven by incremental distribution and addition of new segments outside the pulses? If you could just give us some flavor on both of those other than pricing.

Sunil D'Souza: Let me answer your second question first. Is the whole premise of doing split routes in a million plus towns was the fact that we thought there was a bandwidth release which was needed at the front end. And if we did that , we would get growth. So , whether it is in beverages or it is in foods

we are seeing incremental growth in the split routes rather than the non-split routes. So that's number one. Number two, Sampan n growth, that is why we have constantly guided for a 30% growth in the medium term. This quarter I think we've delivered beyond that on the base business as well as there is some inflation effect especially in the areas of pulses etc. But while we will continue to push the needle to the maximum, longer term we do stay committed to the 30% growth for Sampan n.

Arnab Mitra: And is there a significant or a significantly increasing contribution from the newer segments like dry fruits and others or they are still very small in the mix in Sampan n?

Sunil D'Souza: Right now, they are small because the big pieces in Sampan n if I look at it, is pulses, besan, spices and then we've got all the other new categories. But do realize that the new categories have just got launched probably in the last 12-18-24 months per se and it takes time to build up. But whichever category we are entering, we are confident that the categories are large. Because let me put it this way the expansion is not a mindless expansion. It is a roadmap drawn out about 2 years back of which categories we should enter and what size they will get to (A). And (B), the reason why we

get into those categories is specifically because we've got growth, we've got a specific target, we've got ability to create a difference, there is a trust deficit in that category and therefore we'll be able to get a decent market share.

Moderator: We have our next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question was again with respect to the growth businesses. If I see from FY22 to FY24 we have almost doubled the share of growth businesses from 10% to 18% now. So, Sunil should we see a similar trajectory to play out say in the next 2 years that the share of these businesses could be circa 40% or say 50% in the next 3 years.

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Internal Sunil D'Souza: So, fundamentally we've said Tata Consumer will deliver double digit growth and EBITDA ahead of that double digit growth. So, if I peel back, if I take my base categories of tea and salt we've always said mid-single digit volume and a few basis points on that of price which will not get me to the double digit growth and therefore the growth businesses have to be delivering substantially more than the base businesses. All I can say is I think we've made our aspirations for this year at least very clear with Sampan n 900 to 1000 crores, for NourishCo we've already said the aspirational target for this year is 1000 crores and we do seem to be on track to deliver that. Soulful is on a very strong trajectory. We are moving from now breakfast into the larger snacking occasions which should deliver us more. So yes, the short answer to your question is I think you will see substantially faster growth in the growth businesses compared to our base business.

Sheela Rathi: And the second part to the same question is how we should think about the growth businesses in terms of, you talked about tea, we are more on the mass and mass premium side, mid premium side. How would you categorize your growth businesses? Will it be mid-premium or will there be a share of mass in this growth business also because we are also doing pulses?

Sunil D'Souza: Sheela, I would split the businesses and talk about it. If I talk about Soulful I would say it is mass premium to premium. If I talk about NourishCo, it is more I would say 90% mass and 10% premium. Because we do have Himalayan out there. We've launched Himalayan Saffron. We've launched Ready to Drink Coffee which is again premium this thing. But as a percentage of the mix, it will be relatively smaller. Sampan n largely would be a mass. But again, I would put a fine rider out there. In whichever category we play, we do command a premium on the base portfolio. For example, our pulses would be roughly a 10 to 15% premium over every regional competitor if I may. Similarly, our spices would be benchmarked to the national players and more or less in that ballpark on the pricing. So, it depends by category it's where we've defined and even within that category it depends on who is the benchmark and what are we going for. The big play would be Sampan n. The big play would be the NourishCo mass. These would be probably like I said Sampan n would be at 10% to 15% if you take pulses NourishCo would be in the mass pricing range.

Moderator: Thank you.

Nidhi Verma: We'll just go to the webcast for a question and then we can come back. So, Sunil there is a question from Saurabh Patwa at Quest. He's asking for Sampan n which started with pulses, besan etc. Incrementally we seem to be moving towards ready to cook products like vermicelli, tea mixes etc. and high value trust deficit categories like dry fruit, saffron. What is the strategy moving towards higher margin products, given the distribution and brand awareness is being established over the last few years? Also, on saffron we launched one in Sampan n as well as Himalayan. Is there a change in

strategy on both the product strategy or both the products can coexist as premium and super premium?

Sunil D'Souza: Let me put it this way. Like I mentioned earlier it is not that this is not we're thinking on our feet. This is a roadmap drawn out on which categories we are going to enter. We drew it up about
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Internal 24 months back. Every category was defined in size of category, margins, right to succeed, do we have the differentiation in ability to differentiate the product itself? Is it trust deficit? Because the Tata brand name does magic in trust deficit categories. So, all the launches that you see are the result of that roadmap which is drawn. There would be products which would be high margin. Each of these categories has a role to play in our portfolio. There would be some which will drive for volume, there's some which will drive for margin and of course there will be some which will drive for imagery. So, there is a roadmap, and we are following that roadmap. The answer to the saffron question is yes, we did launch saffron under Himalayan. This is saffron from Kashmir. It is accompanied, every single pack is accompanied by a QR code which gives you the authenticity of the saffron which was sourced. But that is at the very high end. Sampan is more or less as I just mentioned is a mass premium sort of brand. And therefore, we do think saffron given that it is a high trust deficit category, high margin, high value category we can make a play in that and that's why we've launched Sampan out there. We do think both the brands can play in the same space over a period of time.

Nidhi Verma: Moderator we can go back to the Q & A please and just take one last question perhaps given the time.

Moderator: Sure ma'am. We have a last question from the line of Sumant Kumar from Motilal Oswal.

Sumant Oswal: Can you talk about NourishCo channel expansion and key state expansion we have recently done?

Sunil D'Souza: NourishCo is as I said geographical and portfolio expansion. In geographical expansion we've got about 44 plants if I'm not mistaken. Right now, we cover about 650,000 outlets. Just as a perspective the large players I would say between 4 to 5 million easily. Therefore, while we have put up the geographical footprint in terms of manufacturing, we've still got a long way to go in terms of distribution and that remains the opportunity. As we build out our distribution, adding to the portfolio and strengthening our depth in the outlet is the other opportunity and that's why you would see us testing out energy drinks or sports drinks.

Sumant Oswal: In food category we have seen our product launches strategy is majorly focused towards premium product. So, do we have a strategy to launch or planning to launch to mid to mass segment also going forward?

Sunil D'Souza: Sumant, I would launch products where I can make money as simple as that, right? I would be very happy to launch high volume and high margin products, but I would struggle to find them.

So, like I said we've looked at the entire food and beverage space, looked at where are the spaces where we can create meaningful scale and make money there and that is the play that you are seeing play out.

Moderator: Thank you. I would now like to hand the conference over to Ms. Nidhi Verma for closing comments. Over to you.

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Internal Nidhi Verma: Thank you everyone for joining us and thank you ICI Securities for hosting us. In case there are further pending questions, you can reach out to us. Our contact details are mentioned in the investor deck. Thank you.

Moderator: Thank you. On behalf of ICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Sub: Transcripts of Conference Call pertaining to financial results for the quarter and period
ended Decem ber 31 , 2023
Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations"), we are submitting the Transcripts of Conference Call held on Thursday, February 8
, 2024 , in respect of the financial results for the quarter and period ended December
31, 2023

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.
Yours faithfully ,
For Tata Consumer Products Limited

Sivakumar Sivasankaran
Chief Financial Off icer
Encl.: as above

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Q3 FY '24 Earnings Conference Call "
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MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. L. KRISHNAKUMAR – SENIOR ADVISOR
MR. ASHISH GOENKA – GROUP CFO

MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call of Tata Consumer Products Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha from ICICI Securities. Thank you, and over to you.

Aniruddha Joshi : Thanks, Yashashri. On behalf of ICICI Securities, we welcome you all to Q3 FY '24 Results Conference Call of Tata Consumer Products. Now I hand over the call to Ms. Nidhi Verma, Head of Investor Relations and Corporate Communications, to take the call forward. Thanks, and over to you, Nidhi.

Nidhi Verma: Thanks, Aniruddha, for hosting us, and welcome everyone, to the Q3 FY '24 call for Tata Consumer. As you all would have seen, we've announced our quarterly results last evening. We also published all the materials, hope you had a chance to go through those. As we usually do in our calls, we'll spend about 15, 20 minutes sharing the key highlights of the quarter with you, and then we will open up the floor for Q&A.

I'd just like to draw your attention to the disclaimer statement, which should have been on your screen right now. But yes, with that, I'll just hand it over to Sunil.

Sunil D'Souza : Thanks, Nidhi. So if you can go to the executive summary. We've delivered another strong quarter of performance with consolidated revenue growth of 9%. If I take constant currency, it's 8%. And growth across all our businesses. Effectively, our CAGR for 4 years is no

w 11%.

We had volume growth in tea of 2% and India Beverages grew 8%. NourishCo grew 34%, bringing the 9-month growth to 41%.

India Foods volumes were up 5%. Revenue was up 13%, and Tata Sampann was another strong quarter, growing 40% year-on-year. International business is on an upswing, recorded 11% revenue growth, 6% in constant currency. EBIT more importantly, growth of 23%. India growth businesses continued their trajectory, grew 42%, and now they account for 17% of our total businesses. Our consolidated EBITDA was up 26%, expanded margins by 190 bps. Profitability profile of our growth businesses continues to improve as we grow scale in these businesses. On a MAT basis, there was a marginal dip on India tea and salt. Salt was just a very, very mathematical number. But on tea, I'd just like to point, saying that while you see improving trend while it's negative on a MAT basis, quarter-on-quarter, we have gained share. Tata Salt recorded its highest ever, and ever is ever monthly share -- market share, in December '23, so on a very, very strong trajectory. Innovation, which is a prime focus for us, continued to deliver. Same quarter last year was about 3%. This quarter was 5.3%.

Following all the regulatory approvals, merger of Tata Coffee has been effective 1st January. Right now, we're in the process of the final pieces of integration. Apart from that, in the middle Tata Consumer Products Limited
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of the quarter, we announced the acquisition of Capital Foods, which is the owner of Ching's Secret and Smith & Jones, and Organic India. And right now, we have closed Capital Foods and are in the process of integrating.

Just like to point out that we have made substantial progress on front-end integration. We had actually started invoicing both primary and secondary, primaries on the 1st (of February), secondaries on the 2nd (of February). And we are through a substantial way ahead on the front-end integration. We will now focus on completing the front-end integration, hopefully by the middle of this month, and then getting to the organization and the back-end integration.

Both the businesses, as we had stated earlier, are gross margin accretive to our business, and we see significant potential to derive both revenue and cost synergies.

If you move, in terms of businesses, I talked about the 2% volume, 8% revenue in India Beverages; 5% volume, 13% in India Foods. US Coffee, overall, the coffee business is under pressure on the demand side in the US, and also there is a huge amount of volatility on coffee. Coffee had spiked up, was coming down. Now in the last probably 2 months, 2 to 3 months, we are seeing an upswing. So this is something that we've got to tackle. But tea is now on a strong footing. Volume growth of 10% overall, revenue growth of 22%.

Tata Coffee has had another good quarter, 6% volume, 3% revenue. But more importantly, when you see the numbers, profitability has improved significantly. So overall, INR3,800 crores at a 9% growth. On a 9-month basis, 3% volume and 9% revenue in India Beverages; 5% volume, 17% India Foods. US Coffee, as I said, is still, overall the coffee category in the US is under a bit of pressure. Tea continues on a strong run, 11% volume, 21% revenue. Tata Coffee, you would see volume growth negative because of the sharp runoff of prices early in the year. But now volume growth has started to come back and revenue growth for 9 months was 6%. Overall, for 9 months, INR11,279 crores of top line and 11% growth.

Summary of performance, 9% revenue, 26% EBITDA. Before exceptional items, and this exceptional item, just to point out, the most significant piece is something relating to 25 years back. So if I net that off, we've had a 27% growth in PBT. Group net before exceptional is 31%. But the reported with exceptional is a negative 17% at INR300 cro

res.

The other thing I wanted to point out is INR2,945 crores of cash sitting on our balance sheet at the end of 9 months. Just to put it in perspective, last year, same quarter, we had about INR2,090-odd crores. So while delivering top line growth and value from the businesses and focusing on working capital, which we brought down by 7 days, it has translated to cash, which is 40% up versus the same quarter last year.

Nine months, 11% top line, 25% EBITDA. Before exceptionals, 29% PBT. 23% group net. Reported is negative 3%, which is INR1,000 crores. Net cash of INR2,900. For the 9 months, on a before exceptional basis, EPS growth of 22%.

Just in terms of our strategic moves. Our direct reach is now 1.5 million and total reach is 3.9 million. We are continuing to power ahead on modern trade and e-commerce. E-commerce, we are market leaders in tea. Apart from that, revenue growth of 37%. Most importantly, now

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we've crossed the double-digit mark on the channel contribution. It's now 10.7%. In modern trade, which is what allows us to play our entire portfolio very easily, our Sampann, Soulfull revenue growth is 49%, and we've introduced 45 new SKUs.

Sorry, if you just go back to the previous page. The one point I would want to highlight is we had stated that we will have distributors in all 50,000-plus towns, and we will focus our attention now below that because that is where there is a distribution, more importantly, market share opportunity for us. So now the focus is on the 10,000 to 20,000 plus population towns, where we are either appointing distributors or more importantly, laying out, re-laying the network of super-stockist and sub-distributors.

India business, we continue to grow our A&P investment. It was up by 6% versus last year.

MAT share in tea, I talked about, while you'll see these mathematical numbers, for the last quarter on volume, quarter-to-quarter, we've gained 30 bps, and value has gone up by 16 basis points.

Market share in Salt. This is, again, you're looking at MAT, which is minus 10 bps. But just we clocked a 39-plus share on value for Salt, which is the ever highest in the month of December.

We continue to drive premiumization through innovation. We've introduced new SKUs in Sonnets. Sonnets incidentally is our brand for everything that is made by Tata Coffee. So on the right-hand side top, you'll see cardamom, pepper, honey. This is all from the estates. Dry fruits, while we had played the mainline dry fruits, the big value creation is in the flavored and roasted, etc. So we have just entered into that piece. Right now, it is online. We will be looking at an offline expansion. In line with our value creation in salt and premium categories, we've

launched Black Salt and continued to expand our premium portfolio with the cold brew coffee cans in Tata Coffee.

With that -- sorry, next slide. Our growth engines, which is primarily Sampann, Nourish Co, Soufull and Yumside now has grown 42% for the quarter. And the growth businesses, like you see same quarter last year, was 13% contribution to the India business, is now 17%. And when we did the acquisitions, I think we have clearly said we are looking at ending this year close to 20% of contribution, growing at 30%. But with the addition of Organic India and Capital Foods, we are targeting to take that contribution to 30%, growing at 30%. Now over to Ajit to talk you through where we are on the integration of the 2 businesses.

Ajit Krishnakumar: Thanks, Sunil. I think we've already shown this on the 12th when we did the acquisitions. But the broad highlights are for both Capital Foods and Organic India, if you step back, they are strong brands. They have significant growth potential from a revenue perspective. They are also EBITDA accretive as far as we're concerned

from our -- relative to our current portfolio, therefore, very attractive for us.

From an execution perspective, what is going to become critical is that we integrate these businesses quickly into our system. Therefore, we've already started. As Sunil mentioned, we move to the next page here. As Sunil mentioned, we closed the acquisition of Capital Foods on Tata Consumer Products Limited
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the 1st, and we're able to move very quickly in terms of integrating the front line. We've made references to our playbook several times before since we have done this several times, we're able to do this very quickly.

So within about 2 to 3 days, we have been able to substantially complete the front-end integration. To be clear, this means that the Capital Foods products flow into our common warehouses, into our common distributors and into our common sales force. And this work has been substantially complete. The rest of the work should be completed in the next 60 to 90 days, and we are reasonably confident that we can do this.

Organic India, as we indicated at the time of the acquisition, would take about 45 to 60 days to close. We remain on track for that. We should be in a position at the end of March or early April to integrate. And we expect to be able to similarly integrate this into our TCPL distribution system and therefore, start realizing the synergies that we hope to drive.

With that, I would hand it back to Sunil.

Sunil D'Souza: Yes. So to quickly walk you through our current businesses and the performance. India Packaged Beverages, I talked about tea volume growth of 2% and revenue growth of 4%. This is the fourth consecutive quarter of positive volume growth. So for a 4-year CAGR, we are now at 8% revenue growth.

Most importantly, we've always said that our opportunity for growth is from the mass premium to the premium, which is the higher range of the portfolio. That is significantly now outperforming our popular and economy segments. Coffee also, which is a focus for us, grew at 32%.

Next slide. Foods business, overall 5% volume, 13% revenue. Basically, the 4-year CAGR of Salt is now 16%. Value-added Salts, which is growing the higher end of the portfolio, again is a focus, that grew 23% during the quarter. And Sampann, as I talked about, delivered another strong quarter growing at 40%. So the 4-year revenue CAGR for Sampann in line with what we have guided for, saying we are targeting for 30% growth, is at 29%, mostly in line with our aspirations.

Dry fruits, which is another big category that we're targeting, had a strong quarter, growing at 70%. Next slide. NourishCo, 34% revenue growth, INR160 crores for the quarter. It remains on track for delivering INR900 crores to INR1,000 crores for the full year. Both the value businesses, which is Tata Gluco Plus and Copper Plus, as well as the premium business of Himalayan, grew strongly. Most importantly, profitability has continued to improve quarter-on-quarter. We're targeting a breakeven this quarter -- this year. And the profitability will only improve as we gain scale from here on.

Tata Coffee, plantations grew 44%, in line with both actually, output as well as price. But overall, Tata Coffee, including Vietnam, had a 3% revenue growth. But had a stellar quarter in terms of the bottom line. Overall, for the extractions business, while revenue has declined 3% year-on-year, margins have seen a significant improvement.

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Tata Starbucks opened 22 new stores, 392 is the total store count. In line with what you would have probably heard from all the other QSRs around, this was a quarter of a bit of pressure. So

the top line has only grown at 7%. But year -to-date, they're still at a healthy 14% growth. We have already publicly announced saying we are targeting 1,000 s

toes by FY '28. If anything, we should deliver before that.

International coming back quite strongly. U.K., our whole game plan of revamping the entire back -end, new sustainable packaging, upgraded product, improved execution and higher A&P has started to deliver. Revenue growth of 14%. We have gained value market share. We are now at close to 20%. Most importantly, Fruit & Herbals and Specialty, which is the other target, we started to make traction on that as well. That Fruit & Herbal market share is now close to a double-digit on MAT basis.

US, I talked about the category being under pressure. Revenue growth of negative 9%. We more or less maintain market share. But most importantly, here, too, in line with our expansion, U.K., I had already talked about Joyfull having secured listings in Tesco, 400 -plus stores last quarter. In US, we've got listings in Giant Eagle, which should be starting to deliver end of this quarter.

Canada, I keep saying jewel in the crown, revenue growth of 0 for the quarter, but continuing to grow share. We had a record share of 61.5% in black tea for the month of December. Of course, we will not hold on to the 61.5%, we will go for the top line. Most importantly, the ethnic portfolio in Canada has started to get strong traction.

With that, I hand over to LK to walk you through the financial performance. LK?

L Krishnakumar : Thanks, Sunil, and hi, everyone. Let me talk you through the financial performance for the quarter and the 9 months, starting with the performance highlights for the quarter.

Consolidated revenues grew by 9%. And within that, the India business grew by 10%. And within the India business, the growth initiatives, which is NourishCo, Sampann, Soufull and the like, grew by about 40 %. In the international business, we saw a growth of 6% in constant currency. It was flat excluding the impact of acquisitions. The non -branded business grew by 4%.

Moving on to EBITDA margin, strong growth of 26%. EBITDA margin improvement by almost 2 basis points -- 2 percentage points. The India business EBITDA grew by 22%. Our EBITDA margin expansion is a function of better mix which Sunil talked of, operating leverage as well as some softness in tea costs.

International business grew by 19%. Margin expansion, apart from softening input costs, was also due to price increases we have taken in some markets like the U.K. as well as cost restructuring we did in the last year. EBITDA for the non -branded business grew by 54%, largely due to high coffee realization. But it's important to note that the high coffee prices have some impact -- adverse impact on the branded business, particularly the US coffee.

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Moving on to performance highlights for the 9 months. Consolidated revenue grew by 11%. India business, again, strong growth of 12%, driven also by the growth portfolio. Non -branded business grew by 4%, more or less the growth in line with what we saw for the 3 months, slightly higher. EBITDA margin grew by 25%. India business, 17%. International business EBITDA growth at 23% was slightly higher than what we saw for this quarter. And non -branded business continues to have strong performance.

Moving on to the next slide, which has the consolidated performance. We talked about the revenue growth of 9%, EBITDA growth of 26%, and there's a PBT growth of 27% for the quarter. Let me stop for a minute on the exceptional items. You see, a cost of INR92 crores versus an income of INR79 crores.

In the previous year, the main exceptional income was arising out of increasing stake in Joekels in South Africa. In the current year, we have 3 items under the head Exceptional. There is the cost relating to U.K. pension. I'll explain it in a minute. There are also costs relating to acquisitions and costs relating to restructuring.

In the case of U.K. pensions, we are accounting for some past service costs of earlier years. We are in a stage where we are looking to remove the pension liability from our balance sheet in the next year or two. And in that context, looking at doing a deeper investigation, right from the origin of the fund so that we can then give it on to insurance companies.

In the course of that review, it came to light that certain regulations or case law in the 1990s have not been properly given effect to in the scheme. We are not alone in that. There are other schemes in the U.K., where similar interpretation is happening. Consequently, we have taken a one-time hit in terms of past service costs. So profit before exceptional items, strong growth, but because of the impact of an income in the last quarter and a higher exceptional cost in the current quarter, the PAT growth in this quarter is negative.

On the 9 months performance, revenue growth of 11% and EBITDA growth of 25%. Again, exceptional items playing a role for reported profit being only at 3% growth. On the share of profit of JVs & Associates, if you look at the SEBI format, you will see that both in the quarter and year -to-date, the losses are slightly higher than the losses or profits reported in the same period in the previous year.

The losses in the Starbucks business are higher because of expansion and the way accounting standards work. Also a little bit of softness in the market, but more importantly, because of lower tea costs and because of wage increases. The performance of Amalgamated Plantations in North India is lower than what it was in the same period previous year.

So that's the change in the share of profit of JVs & Associates. From a 9-month perspective, we had a small element of Joekels also in the 9-month results last year.

Moving on to financial for stand-alone. I won't repeat a lot of what I said. What is important to note is that the EBIT margins at 15.6%, compared to 13.5% and 14.7% compared to 13.6%.

There is a clear improvement in EBITDA margins driven by premiumization mix, some amount of softness in commodity costs and also by operating leverage.

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So that, I think, is a good step. So again, repeat, strong double-digit growth by the India business and improving EBITDA margin.

Moving on to segment performance. We're seeing India business a strong growth of 23%, 10% in revenue and 23% in terms of operating profit. International, 11% and 23%. Non-branded, 5% revenue growth for a significant improvement in segment results driven by high commodity costs.

India business accounts for 70% of revenue and 77% of the segment results. Similar trend in the 9-month performance. India business, 72% of revenues and 76% of the segment results.

Back to Sunil for concluding remarks.

Sunil D'Souza: Thanks, LK. So to conclude, we've seen stable demand trends and most importantly, stable cost trends in the India business and remain cautiously optimistic of volume growth. Branded coffee category saw a decline in the US, a key international market, which we've got to tackle and the UK tea category saw growth led by pricing, and now we're seeing volume growth also starting to come back.

In Q3 '24, we've delivered a strong quarter. Our India and international branded businesses grew in double digits. Interventions that we put in place of our India tea business continued to yield positive results, volume growth with improving mix and most importantly, margins also more or less where we want them to trend.

We continue to premiumize our portfolio, and we will continue to run for share. In salt business, growth was led both by volume and premiumization, value-added salts growing 23% and overall volume growth, highest market share that we saw in December.

Our growth businesses continue to

grow at 42% and now account for 17%, up from 13% last

year. Starbucks is now 392 stores across 55 cities. Totally during this year, so far, we've added close to 59 stores. We have closed Capital Foods, started integration. Organic India expected to close within 45 to 60 days.

We will complete both the integrations as and when -- the Capital Foods has already happened, even when Organic India happens, we'll close it in 100 days. We'll finish the integration in 100 days.

In line with our simplification agenda, we had announced India and global restructuring. We have already started work on the Tata Coffee India leg, and we will now move to the international businesses. This will help us move to the next phase overall -- in terms of our simplification agenda, giving us legal, tax, reduction of managerial time, et cetera, apart from some other financial benefits. With that, I hand you over back to Nidhi.

Nidhi Verma: Thank you, Sunil. I think we can just go to the Q&A now, moderator.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Abneesh Roy from Nuvama. Please go ahead.

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Abneesh Roy: Congrats on the good numbers. My first question is on the innovation. So when I see spices and honey, you have launched under Sonnets. You also have some spices like haldi, etcetera, under Sampann. So why have two brands and similarly honey, you do have Himalayan honey also and you have now got Sonnets honey also? Plus, is the label on the spices and honey, etcetera, saying by Tata Coffee. So it's looking a bit strange, right? You have cardamom and black pepper and then, say, by Tata Coffee. So I wanted to understand all this in terms of brand

architecture and positioning.

Sunil D'Souza: So thanks, Abneesh. So let me say, Sampann is the mass market brand where we will play for the larger market and we will compete in the mainline spice business of whatever, INR60,000 crores, total INR20,000 crores on branded spice category. That is the big play.

The Sonnets by Tata Coffee is a very, very niche play. Right now, it is online. If it gains traction, we will see how to take it elsewhere. This is an origin of Tata Coffee. That is the brand positioning. Everything that you see out there is authentically grown on Tata Coffee or honey, for example, is harvested from Tata Coffee estates. It is a significant premium to the Sampann portfolio.

Himalayan, on the other hand, is everything from the Himalayas per se. Again, this is a premium above Sonnets also. And that is, again, origin/provenance brand that we are playing. Right now, again, that is primarily online, a little bit in offline outlets, but I would say the significant thrust on top line and growth share will be behind Tata Sampann.

Abneesh Roy: Sure. My second question is on your foods business. So we are seeing the market leader in masala oats see significant slowdown in Q3 with mid-single-digit kind of growth. So in your Soulfull portfolio, how is the growth rate in Q3? I understand you have come out with a lot of new products, so your growth rate could be good. But if you could comment on the existing non-masala oats portfolio of Soulfull? Plus, how is the performance within masala oats? Are you taking good market share in the e-commerce and modern trade?

Sunil D'Souza: So Abneesh, overall, I wouldn't comment about other competitors, but all I can say is we remain focused on our growth businesses. Growth businesses delivered 42% growth. Soulfull itself delivered a 47% growth for the quarter, a vast majority of it coming from the base and not from the new launches like Choco Sticks, etcetera.

On masala oats specifically, quarter-on-quarter, we continue to gain share. I would say, broadly, we are trending towards a double-digit share. But in modern trade,

where we are

present for a decent amount of time, we are already into the high teens sort of market share.

Abneesh Roy: Sure. My last question on NourishCo. So you have grown strongly in Q3 at 34% and 9 months also at 41%. You had a very ambitious target of around INR1,000 crores business in FY '24 on this. It seems that you are going a bit slower than that. So if you could comment on Q4, do you think that you'll be able to have a good catch-up on that? And any reason for slightly slower growth than the initial ambition?

Sunil D'Souza: So Abneesh, we remain focused on the INR900 crores to INR1,000 crores that we had talked about for NourishCo for the full year. But just to put it in perspective, Q3 is normally the

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slowest quarter of the year, given the seasonality, especially in Northern India. The season would actually start kicking in end of January, early February, so to speak. So this quarter will be a substantially higher number.

For NourishCo, I think the growth rates are immaterial. The number -- the highway is vast. And I will remain quite confident that we'll deliver the INR900 crores to INR1,000 crores number.

Moderator: We have our next question from the line of Vivek M. from Jefferies. Please go ahead.

Vivek M: My first question is related to what earlier participant asked. Sunil, in terms of portfolio, so while we like the growth agenda, but do you not think that there is a bit of a complexity in the portfolio with Organic India also overlapping with some of the existing portfolio, and so on and so forth. How do you think about this? Do you think at some point of time, you will have to think about consolidation? And can this also have a drag on the bandwidth of the team?

Sunil D'Souza: So Vivek, let me answer it this way. For the overall complexity and before commenting on Organic India specifically. Complexity is dealt with depending on how you structure your team to play on, right? So while you see a lot of new launches, etcetera, they are not on the offline business. They're not in the general trade because that is where the confusion can arise because of limited amount of bandwidth for the front end.

Some of it is not even in modern trade because I do not think these products will move off the shelf in modern trade and/or create complexity for the team. So you would see the entire portfolio definitely play online because on online for my entire portfolio without complicating anyone's life. So that's number one.

So the -- for example, dry fruits, we launched only online. The next as it gained traction, we are looking at select -- we're still not into -- we are not into all of modern trade. We are looking at select modern trade. We have still not ventured into general trade, but products which have got traction, we go all across the place.

Sonnets, for example, will be for the foreseeable future only online. It was that these products were already being produced by Tata Coffee. They were under various different brand names or being sold B2B. We do see an opportunity to make some money out of this while building a

decent provenance brand of Tata Coffee. Now coming specifically to Organic India. Organic India portfolio is primarily into, I would say, 2 parts: the first part is what I call organic tea and more importantly, infusions. And the second part is supplements.

Supplements, absolutely, there is no overlap at all, and that is completely on its own. On the tea space -- on the infusion space, we play in tea, organic. And most of it is loose tea, a little bit of teabags under Tetley green, black and various flavors. Organic India is completely tea -- completely organic, and more importantly, the large part of their portfolio is infusions. If anything, it right now, the way we see it, it complements our portfolio. But that said, we have just s

tarted work on building out the entire innovation pipeline and where to play in both Capital Foods and Organic India. As we work through the details, extremely mindful of the Tata Consumer Products Limited
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point that you made is not to create confusion in the ranks as we execute, making sure that all these businesses are value accretive.

Vivek M: Got it, Sunil, for the detailed explanation. Just a kind of a follow-up to this. I mean, over the last few years, you have done small to reasonably sized acquisition. And I remember at the time of acquisition call recently, you mentioned that the capital raise would be with the mindset that you still want to have enough cash on your balance sheet.

But -- and again, I understand the uncertainty around M&As. But do you think that you have brand architecture pretty much in place, so the acquisition, incremental acquisitions need to be really solving some problem or a portfolio gap? Or let me ask you what would be your thought process in terms of M&As from here? What kind of targets you will go after, now that you have like quite a few brand platforms architecture in place?

Sunil D'Souza: So Vivek, let me put it this way. When we started our journey 4 years back. We had done detailed mapping of the food and beverage universe. Every category of size, if I remember, we had looked at 30-odd different categories of INR5,000 crores plus where there were options for us to play and create value.

We have made substantial progress, but we are not there quite yet. Capital Foods, for example, complements from a cuisine perspective. We cover all the 3 cuisines, I would say, Indian with Sampann, Western with Smith & Jones, and then I would call the oriental piece with Capital Foods. Apart from that, it gets us into categories of chutneys, dips, sauces, noodles, which we did not have in our portfolio. Similarly for Organic India.

Now while these have filled in some gaps in our portfolio, I think we've still got options to play. But as you rightly said, and we have always maintained, we will grow organically, inorganically. We've also publicly said that right now, in the short term, we will put our heads down, make sure we integrate these businesses and deliver value. But we remain quite open to organic and inorganic options to go forward.

So short answer, this is not the end of the road for M&A. We've still got options to play, providing they make sense, both from a strategic and financial perspective. And when I say the strategic perspective, filling gaps faster than what we can on our own on our entire food and beverage road map.

Vivek M: Got it, Sunil. And last question on margins, if I look at exit margin as in the December quarter margins for both India and international businesses at EBIT level, let's say, is it fair to say that India margin expansion from here will be more modest, whereas there is still a catch-up in case of international business over the next few quarters?

Sunil D'Souza: So Vivek, let me put it this way. When I look at our peer set, I think we've still got opportunity on EBIT margins. As we bolt on these value-accretive inorganic acquisitions that we've done along with the growth that we aspire to in our base businesses, we will continue to leverage economies of scale and margin-accretive categories.

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I think overall as a company, now 15% EBITDA margins is something which we had aspired to deliver. Now we are there. Now that becomes the base. From here on, we will be continuing to target higher. And upfront, I mean, even in the food and beverage space or in the overall FMCG space, when you look at the peer set, we are still not even in the middle of the heap.

Vivek M: Got it. I understand, Sunil. But I know smaller contribution from international, but I

would

imagine that international margin expansion should be far higher than what you can do in India in the next, let's say, few quarters. Is that fair?

Sunil D'Souza: Absolutely. Vivek, International, I've always maintained margin-wise, has to be accretive to

the India business. The growth will be slower, margin -accretive. The one good thing that is happening with these acquisitions, we will -- add a decent amount of value on the top line as well to both these businesses, along with the expansion of Joyfull, etcetera . But you're absolutely right. Our international business margin has to be accretive to India. We directionally started to move in that space. I think there is still a decent amount of runway to go.

Moderator: We have next question from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Congrats on a good set of numbers. So my question again is on the margin front. But just taking a step back, while if one -- the gross margin, when one looks at the gross margins, you are seeing better -than-expected improvement in gross margins. Can you share which business has led to this improvement? Is it the softness in the tea cost? Or is it the improving profitability in the growth businesses that is driving this or maybe some other reason for that?

Sunil D'Souza: So Mihir, let me answer it in 3 or 4 different pieces, right? Overall, commodity costs have been benign, whether it is in -- and when I say benign, tea costs are pricing cyclical. You have to remember that. So when I compare to the same quarter last year, it's largely benign.

Salt costs are largely benign. More importantly, other input costs and our gross margin, when we quote, is inclusive of variable freight, etcetera . So given our whole petroleum prices being flat, therefore, logistics costs being largely, I would say , flattish. That is where a contribution - where our gross margins have improved. Both for tea and salt, gross margins are broadly in the bracket where we want it to be.

On the growth businesses, obviously, as we gain scale, whether it is ready -to-drink, Sampann, Soulfull, as long as we continue to gain scale, leverage, operating cost leverage, margins are continuing to improve. So it's a mix of various parameters that's driving up the overall gross margin portfolio.

Mihir Shah: Okay. Sir, can you highlight what is the differential gap between the EBIT food margin and EBIT margins for beverages now currently as the major...

Sunil D'Souza: Mihir, we look at the India business in totality as a food and beverage portfolio because we always make choices depending on where we can create the greatest value. So we segregate up to the gross margin level or margin after promotion, but -- promotion and advertising. But

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below that, it is all common cost of the India structure. Therefore, we don't break up the EBIT margins for India Food and India Beverage.

Mihir Shah: Okay, okay. So just another follow -up on margins. You mentioned that international margins should be accretive to the overall business. Can you share any timelines that you have in mind by when can we expect international margins to be accretive to the overall business?

Sunil D'Souza: So let me just before that, just to qualify the statement that I had made earlier. The way we are structured is by category in India. So packaged beverages is a category. Packaged foods is a category. Soulfull is a category, etcetera . So therefore, all these category leaders have accountability up to margin after promotion expenses. The balance, everything, the back end, front end and all the other functional costs are all common. And that's why we don't look at separate, this thing.

I mean you could do it by allocation, but then it's a theoretical exercise. On the international business itself, broadly, if I look at it , U.K

. has started to come back into a very strong space.

As I said, EBIT margins had -- I've never seen it in the past 3 years. Last quarter, we saw double -digit EBIT margins. Canada has always delivered very, very strong margins and continuing to do so. The US is a little bit of work in process. I would say, over the next 6 to 12 months, you should see substantial progress on that front.

Mihir Shah: Wonderful. Sir, sorry, 1 more follow -up on margins. Now after reaching 15% EBITDA level, can you share what kind of headroom opportunity do we see out here? Any medium-term guidance, if you can talk about, will be wonderful.

Sunil D'Souza: So, Mihir, we always benchmark to our peer set, right? And if you look around in the other FMCG companies, I think the range is between -- depending on -- if you take food and beverage, it's about 17% to 25%. But overall, I would say, broadly, people are, if you take a median, it's about 18% to 20%. So there is a decent amount of headroom for us to grow margin. But the most important piece is we are a growth company, but we are a growth plus profitability company. So we will continue to deliver double-digit growth while improving margins at the same time.

Mihir Shah: Got it. Got it. Sir, secondly, I wanted to check on the coffee business. When one looks at the coffee volumes, both for India and US, they seem to have stabilized. Can one expect improvement from here on? And no further drag on volumes like we had seen in earlier quarters? And also on pricing, on US Coffee, it's turned negative. Have we taken price cuts because coffee prices are actually trending upwards? So I'm unable to understand that math.

Sunil D'Souza: So let me answer your second question first, Mihir. Starting July 2021 onwards, first Arabica up and then Robusta ran up in conjunction with Arabica. Some time around March, April of 2023, prices started coming down. Again, Arabica started coming down first, followed by Robusta. So the secular trend was for a decline in coffee prices. But starting around September of this year onwards, again, driven by a little bit of niggling issues in Brazil and the Vietnam crop not coming on to the market completely, Robusta prices have started to climb up. Arabica has started to climb up in conjunction with Robusta.

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Now the forecasts are that they will start to plateau/soften towards the end of this calendar year. But again, a forecast is a forecast. So we continue to move up and down along with coffee prices and the activity that we see on the shop floors in terms of promotions, pricing, etcetera. Because ultimately, we will maintain our market share/grow market shares. So that is why you will see the ups and downs.

As of now, I think the prices are starting to move slightly north, but I wouldn't try to forecast too far into the future given the volatility that we're seeing. We would try to play close to where the market is. So that's number one.

On the coffee volumes itself, the category itself is soft in the US, overall. And we are also soft in line with the category or maybe a slight bit more, but we will get back to category-plus numbers. India business, we grew 32% on coffee, but it's a small portion of our business, and it continues to be a growth focus.

Mihir Shah: Got it, sir. And lastly, any synergy benefits that you can expect to call out on that can accrue on the integration of international and the coffee business that you've worked out now?

Sunil D'Souza: So there are synergy benefits. The bigger substantial benefits are in legal, tax, cash flow and management time. But as we work through, we will come out with very specific numbers as we go forward.

Nidhi Verma: Moderator, can we please request everyone to limit their questions to max two at a time?

Moderator: We'll take our next question from the line of

Percy from IIFL. Please go ahead.

Percy: My first question is on the new portfolio, the new businesses, which are growing at 35%, 40%.

So just wanted to understand, is the growth currently being driven mainly by plugging the availability gaps? Or are there some other drivers of growth as well? Now I understand it will always be a combination of many things. But is it mainly the availability gap, which you are plugging which is driving the growth? Or there are other strong or important factors as well?

Sunil D'Souza: So Percy, incidentally, we are growing at 42%. We have grown at 42% for the last quarter. But just to come back to your question, very, very specifically, for example, in NourishCo, we had said both geography and portfolio. When we inherited the business, it was just a Gluco Plus and it was a Tata Water Plus, which we transitioned to Tata Copper Plus.

Tata Copper Plus is growing far faster than Gluco Plus. But -- there is a bit of geographic expansion, but there's also portfolio. We've launched Tata Gluco Plus Jelly. We have launched Himalayan. We've expanded our distribution. We've launched the Himalayan provenance range. We've entered cold coffee. We've just started to pilot sports drinks, energy drinks. So it is both geography and portfolio.

Similarly, in Sampann, the big business was pulses. We've started to expand into spices. We've gone into mix. We've expanded poha. And it is both a combination of new categories as well as, I would say, in Sampann, it is points of availability. In NourishCo, it is points of distribution and manufacturing. And in Souffull, it is plain and simple getting the product

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across to multiple people. And we've now entered muesli. We've entered choco sticks, and there is a whole range of more innovation. I would say equal weightage to both geography and portfolio.

Percy: And in terms of geography, are there any sort of white spaces right now? So one is, of course, in a city, you can always cover more outlets which are not covered. But do you still think there is easy pickings in terms of going to cities and towns which you have not gone at all until now?

Sunil D'Souza: So, yes and no, because different parts of the portfolio play differently. In NourishCo, I would say we probably have manufacturing, and we have started, and the key word is started, distribution in about, I would say, 80%, 85% of the country. And that started distribution has to now play out and there is expansion in number of outlets that we will do.

But Souffull, for example, from where they were with about 15,000, 20,000 outlets, is now about -- trending about 5.5 lakhs, 6 lakh-plus outlets. But there is still -- remember, just in

terms of direct outlets, I touched 1.5 million. So there is that much room to grow.

Sampann, similarly because remember, I am also competing with the kirana owner himself, who is normally selling loose/locally packaged pulses, spices, etcetera. So while we are present in modern trade throughout, there is, I think, a huge amount of runway in still expanding distribution in general trade with Sampann. So different parts of the portfolio, different opportunities. But as we had said, we are targeting to exit close to 20% of our portfolio with growth businesses growing at 30%, which we will now, with the acquisitions, take it up to 30%, growing at 30%.

Percy: Right. I am asking only this one question. So allow me to delve a little deeper into this. So when you talk about something like a Sampann and you say there is a scope for going into GT. So typically, see, what happens is that availability, of course, drive growth. But there is a limit to that, right? So if there is a product which I want to buy, if it's not available in one shop, I get it in another, it really doesn't incrementally improve sales very much by making it available

in

the nearby shop. So what my question for Sampann is that do you think that as of now, the audience for it and the people who want to buy it are already buying it and it's not as if they are not getting the product when they want to buy it?

Sunil D'Souza: I would beg to disagree with you, Percy, because the key barrier is to overcome the margin difference between the local loose versus Sampann and getting into the Kirana store. Because once we get into the Kirana store, then I've never heard of a consumer who shifted back into any other portfolio, right? So from that perspective, creating consumer preference is part number one. Making sure we put it into the store and make it available is part number two. On both the pieces, I think we've got a significant amount of runway to play.

Percy: Okay. So the main challenge here is bringing down the price premium of products like Sampann?

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Sunil D'Souza: No. I think maintaining the price premium, creating the consumer pull and making sure that we provide a compelling proposition for the retailer to stock the product. I think that is the problem to solve.

Moderator: We have our next question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question was on NourishCo again. So in terms of distribution, where do you think you end up in FY '24 in terms of direct reach or weighted average availability in the category? I was just trying to understand how much more headroom do you think is there after what you've done already this year.

And a related question to that is that the energy drink that we launched, so it's very early days. Any sense of consumer response? Does it look like something which can significantly ramp up quickly? Or it is something which is a little more of an evolved product and therefore, will need more time for consumer acceptance?

Sunil D'Souza: So Arnab, let me answer your second question first. We are still at a pilot stage with the energy drink. The whole thing is to give the proposition of a INR10 energy drink giving the same efficacy that the consumer seeks for in other brands. We've got to get our -- both our distribution act together as well as our marketing mix perfected before we roll it out. So very early days.

Energy drinks, India and globally seems to be a booming segment. And therefore, getting the proposition right is the key because I do believe if we get it right and given the price points that we are looking to target, I think we'll have substantial throughput. So that's point number one.

Point number two is with respect to number of outlets. I think by the end of this year, we'll exit at about 8.5 lakhs, 9 lakhs or so. But just to put it in perspective, if you benchmark against the other big beverage majors, and look at their number of outlets, I would think we are probably scratching the surface. We are about 20%, 25% there of their total universe. So we've still got substantial ground to cover.

Arnab Mitra: And my last question is on the acquisition of Ching's. So what we've seen in other companies is typically when a large company acquires a small company, there is a lot more inventory in the distributor channel, in the retail channel that has expired stock, and there is some kind of initial hiccups in the first couple of quarters. So based on what you have, what you know and what you've seen because the business is already -- the transaction is completed, do you anticipate any issues in the first couple of quarters, which will be cleaned up for reduction in inventory?

Sunil D'Souza: So, I mean, I think Ching's was a decently run company when we took it over. The big impetus for us was to give distribution expansion. In many, many parts of the country, they are not distributed. So it is all incremental distribution.

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But where they were already distributed, we are clearly having a full-fledged integration process where we go through the whole piece of taking inventory, making sure we clean up the -- any damage, expiries, which are there, making sure we're helping existing distributors to transition very, very smoothly. So far, it's already been about 7 to 8 days of integration. We are not seeing any major hiccup. There will be small niggles here and there, but nothing that I would really worry about.

Moderator: We have our next question from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Sunil, my first question was again on EBITDA margins. I heard you say that 15% is now the bottom with respect to the margins. And I also understand this is coming from the commodity deflation which we are seeing. But is there something more which is driving this confidence on EBITDA margins, especially coming from the growth businesses?

Sunil D'Souza: So Sheela, number one is, I would say, the confidence stems from 3 or 4 different pieces, right? The gross margins of tea and salt are broadly now where they should be. And this is, when I say they should be, given the historical numbers that we have.

Number two is the growth businesses are on a very strong trajectory. But overall, as we are adding businesses, we are not adding costs on the bottom line. So the whole advantage of scale and operating leverage is what is helping us derive efficiency on the bottom line. And again, when you look at benchmark companies around, there is no reason we should not be getting to -- like I said, 15% is a base. I mean even with this, we are still not in the middle of the pack when it comes to EBITDA margin.

So overall, given top line growth, given gross margin efficiencies, given our cost focus on the middle of the P&L, I don't think there is a reason. Just one rider, I would say. While I say 15% is a base. There will be some ups and downs. But we would say directionally, 15% would be the base, and we will grow beyond this.

Sheela Rathi: Understood. And my second and final question is we talk about e-commerce share for us being at about 11%. But if you -- just trying to understand what the share of e-commerce would be for the growth businesses right now?

Sunil D'Souza: Okay. So Sheela, we have not actually dissected the share of the Growth. But broadly, for Sampann, I think I would have a higher share on e-commerce versus offline from the simple fact that I said, I mean, we compete with the kirana stores themselves in many categories, that's number one.

For Soulfull again, we would have probably higher than what we have as overall e-commerce share because, again, availability and drive continues to be an opportunity for us. NourishCo, I mean I think our offline share would be higher. But overall, I think 10.7% e-comm, I would think we would be in the top quartile of FMCG companies in the country.

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And just to highlight, when we have started our journey, we had said we will build very strong muscles in modern trade and e-commerce. And functionally, we had said we will build RTD and digital. And you can see that all that translating down into the business.

Moderator: We have our next question from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Just on the salt business, wherein we are clocking a very strong volume growth. Anything you could highlight in terms of any specific plan or segments which has been doing well for us in salt? I know the premium is doing well, but other than the premium part?

Sunil D'Souza: So Amit, first of all, the opportunity in the salt business is immense because I think top 5 brands account for about 50%, 52% of the total branded market. And remember, I

am 39%. So

you can imagine the rest of the brands. So the balance, large part of the salt landscape is what I call no-name brands. It's not loose, but it's not specific brands per se. So there is a huge runway for us to continue to gain share, that's number one.

Number two, overall salt volume, I would say, is still very, very highly dependent on base Tata Salt because that is the big boy in the pack. If I'm not mistaken, close to about 87%, 88% of our volume is primarily from Tata Salt itself. So unless Tata Salt grows, the rest of the portfolio doesn't grow.

Value-added salts grew 23% this quarter, but the volume growth of 5% was largely led by Tata Salt. And I would attribute it primarily to the factors that prices are now stable for almost a year now. And as prices have begun to be stable, volume growth has started to come back into

the category.

Amit Purohit: And any update on the Shuddh launch in solar salt?

Sunil D'Souza: So Shuddh launch in Solar salt was very, very targeted into geographies where, A) we had a relatively lower share and where it was solar salt, which was the big category. Right now, we seem to be doing well. But again, we've got a long, long way to go.

Amit Purohit: Sure. And lastly, would you be able to share the salience of the wa ter in the NourishCo?

Sunil D'Souza: I would say water would be largely 50% or so of the total NourishCo portfolio. While it is growing faster rig ht now, I would think once we get our entire innovation act together in the Gluco Plus and the cup formats and expand the geographic footprint, you would see Gluco Plus also coming to the party on growth big time.

Nidhi Verma: Moderator, since we've already reached the end of time, if there are any other questions on webcast, perhaps we can take it offline. I requ est everyone to reach out to us if there are any remai ning questions. Can we just close the call now, please?

Moderator: Sure, ma'am. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your l ines.

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MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. L. KRISHNAKUMAR – SENIOR ADVISOR
MR. ASHISH GOENKA – GROUP CFO
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '24 Earnings Conference Call of Tata Consumer Products Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha from ICICI Securities. Thank you, and over to you.

Aniruddha Joshi : Thanks, Yashashri. On behalf of ICICI Securities, we welcome you all to Q3 FY '24 Results Conference Call of Tata Consumer Products. Now I hand over the call to Ms. Nidhi Verma, Head of Investor Relations and Corporate Communications, to take the call forward. Thanks, and over to you, Nidhi.

Nidhi Verma: Thanks, Aniruddha, for hosting us, and welcome everyone, to the Q3 FY '24 call for Tata Consumer. As you all would have seen, we've announced our quarterly results last evening. We also published all the materials, hope you had a chance to go through those. As we usually do in our calls, we'll spend about 15, 20 minutes sharing the key highlights of the quarter with you, and then we will open up the floor for Q&A.

I'd just like to draw your attention to the disclaimer statement, which should have been on your screen right now. But yes, with that, I'll just hand it over to Sunil.

Sunil D'Souza : Thanks, Nidhi. So if you can go to the executive summary. We've delivered another strong quarter of performance with consolidated revenue growth of 9%. If I take constant currency, it's 8%. And growth across all our businesses. Effectively, our CAGR for 4 years is now 11%. We had volume growth in tea of 2% and India Beverages grew 8%. NourishCo grew 34%, bringing the 9-month growth to 41%.

India Foods volumes were up 5%. Revenue was up 13%, and Tata Sampann was another strong quarter, growing 40% year-on-year. International business is on an upswing, recorded 11% revenue growth, 6% in constant currency. EBIT more importantly, growth of 23%. India growth businesses continued their trajectory, grew 42%, and now they account for 17% of our total businesses. Our consolidated EBITDA was up 26%, expanded margins by 190 bps. Profitability profile of our growth businesses continues to improve as we grow scale in these businesses. On a MAT basis, there was a marginal dip on India tea and salt. Salt was just a very, very mathematical number. But on tea, I'd just like to point, saying that while you see improving trend while it's negative on a MAT basis, quarter-on-quarter, we have gained share. Tata Salt recorded its highest ever, and ever is ever monthly share -- market share, in December '23, so on a very, very strong trajectory. Innovation, which is a prime focus for us, continued to deliver. Same quarter last year was about 3%. This quarter was 5.3%. Following all the regulatory approvals, merger of Tata Coffee has been effective 1st January. Right now, we're in the process of the final pieces of integration. Apart from that, in the middle
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of the quarter, we announced the

acquisition of Capital Foods, which is the owner of Ching's

Secret and Smith & Jones, and Organic India. And right now, we have closed Capital Foods and are in the process of integrating.

Just like to point out that we have made substantial progress on front-end integration. We had actually started invoicing both primary and secondary, primaries on the 1st (of February), secondaries on the 2nd (of February). And we are through a substantial way ahead on the front-end integration. We will now focus on completing the front-end integration, hopefully by the middle of this month, and then getting to the organization and the back-end integration. Both the businesses, as we had stated earlier, are gross margin accretive to our business, and we see significant potential to derive both revenue and cost synergies.

If you move, in terms of businesses, I talked about the 2% volume, 8% revenue in India Beverages; 5% volume, 13% in India Foods. US Coffee, overall, the coffee business is under pressure on the demand side in the US, and also there is a huge amount of volatility on coffee. Coffee had spiked up, was coming down. Now in the last probably 2 months, 2 to 3 months, we are seeing an upswing. So this is something that we've got to tackle. But tea is now on a strong footing. Volume growth of 10% overall, revenue growth of 22%.

Tata Coffee has had another good quarter, 6% volume, 3% revenue. But more importantly, when you see the numbers, profitability has improved significantly. So overall, INR3,800 crores at a 9% growth. On a 9-month basis, 3% volume and 9% revenue in India Beverages; 5% volume, 17% India Foods. US Coffee, as I said, is still, overall the coffee category in the US is under a bit of pressure. Tea continues on a strong run, 11% volume, 21% revenue. Tata Coffee, you would see volume growth negative because of the sharp runoff of prices early in the year. But now volume growth has started to come back and revenue growth for 9 months was 6%. Overall, for 9 months, INR11,279 crores of top line and 11% growth.

Summary of performance, 9% revenue, 26% EBITDA. Before exceptional items, and this exceptional item, just to point out, the most significant piece is something relating to 25 years back. So if I net that off, we've had a 27% growth in PBT. Group net before exceptional is 31%. But the reported with exceptional is a negative 17% at INR300 crores.

The other thing I want to point out is INR2,945 crores of cash sitting on our balance sheet at the end of 9 months. Just to put it in perspective, last year, same quarter, we had about INR2,090-odd crores. So while delivering top line growth and value from the businesses and focusing on working capital, which we brought down by 7 days, it has translated to cash, which is 40% up versus the same quarter last year.

Nine months, 11% top line, 25% EBITDA. Before exceptionals, 29% PBT. 23% group net. Reported is negative 3%, which is INR1,000 crores. Net cash of INR2,900. For the 9 months, on a before exceptional basis, EPS growth of 22%.

Just in terms of our strategic moves. Our direct reach is now 1.5 million and total reach is 3.9 million. We are continuing to power ahead on modern trade and e-commerce. E-commerce, we are market leaders in tea. Apart from that, revenue growth of 37%. Most importantly, now
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we've crossed the double-digit mark on the channel contribution. It's now 10.7%. In modern trade, which is what allows us to play our entire portfolio very easily, our Sampann, Soulfull revenue growth is 49%, and we've introduced 45 new SKUs.

Sorry, if you just go back to the previous page. The one point I would want to highlight is we

had stated that we will have distributors in all 50,000 -plus towns, and we will focus our attention now below that because that is where there is a distribution

tion, more importantly,

market share opportunity for us. So now the focus is on the 10,000 to 20,000 plus population towns, where we are either appointing distributors or more importantly, laying out, re-laying the network of super-stockist and sub-distributors.

India business, we continue to grow our A&P investment. It was up by 6% versus last year.

MAT share in tea, I talked about, while you'll see these mathematical numbers, for the last quarter on volume, quarter-to-quarter, we've gained 30 bps, and value has gone up by 16 basis points.

Market share in Salt. This is, again, you're looking at MAT, which is minus 10 bps. But just we clocked a 39 -plus share on value for Salt, which is the ever highest in the month of December.

We continue to drive premiumization through innovation. We've introduced new SKUs in Sonnets. Sonnets incidentally is our brand for everything that is made by Tata Coffee. So on the right-hand side top, you'll see cardamom, pepper, honey. This is all from the estates. Dry fruits, while we had played the mainline dry fruits, the big value creation is in the flavored and roasted, etc. So we have just entered into that piece. Right now, it is online. We will be looking at an offline expansion. In line with our value creation in salt and premium categories, we've launched Black Salt and continued to expand our premium portfolio with the cold brew coffee cans in Tata Coffee.

With that -- sorry, next slide. Our growth engines, which is primarily Sampann, Nourish Co, Soufull and Yumside now has grown 42% for the quarter. And the growth businesses, like you see same quarter last year, was 13% contribution to the India business, is now 17%. And when we did the acquisitions, I think we have clearly said we are looking at ending this year close to 20% of contribution, growing at 30%. But with the addition of Organic India and Capital Foods, we are targeting to take that contribution to 30%, growing at 30%. Now over to Ajit to talk you through where we are on the integration of the 2 businesses.

Ajit Krishnakumar: Thanks, Sunil. I think we've already shown this on the 12th when we did the acquisitions. But the broad highlights are for both Capital Foods and Organic India, if you step back, they are strong brands. They have significant growth potential from a revenue perspective. They are also EBITDA accretive as far as we're concerned from our -- relative to our current portfolio, therefore, very attractive for us.

From an execution perspective, what is going to become critical is that we integrate these businesses quickly into our system. Therefore, we've already started. As Sunil mentioned, we move to the next page here. As Sunil mentioned, we closed the acquisition of Capital Foods on February 08, 2024

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the 1st, and we're able to move very quickly in terms of integrating the front line. We've made references to our playbook several times before since we have done this several times, we're able to do this very quickly.

So within about 2 to 3 days, we have been able to substantially complete the front-end integration. To be clear, this means that the Capital Foods products flow into our common warehouses, into our common distributors and into our common sales force. And this work has been substantially complete. The rest of the work should be completed in the next 60 to 90 days, and we are reasonably confident that we can do this.

Organic India, as we indicated at the time of the acquisition, would take about 45 to 60 days to close. We remain on track for that. We should be in a position at the end of March or early April to integrate. And we expect to be able to similarly integrate this into our TCPL distribution system and therefore, start realizing the synergies that we hope to drive.

With that, I would hand it back to Sunil.

Sunil D'Souza: Yes

s. So to quickly walk you through our current businesses and the performance. India Packaged Beverages, I talked about tea volume growth of 2% and revenue growth of 4%. This is the fourth consecutive quarter of positive volume growth. So for a 4-year CAGR, we are now at 8% revenue growth.

Most importantly, we've always said that our opportunity for growth is from the mass premium to the premium, which is the higher range of the portfolio. That is significantly now outperforming our popular and economy segments. Coffee also, which is a focus for us, grew at 32%.

Next slide. Foods business, overall 5% volume, 13% revenue. Basically, the 4-year CAGR of Salt is now 16%. Value-added Salts, which is growing the higher end of the portfolio, again is a focus, that grew 23% during the quarter. And Sampann, as I talked about, delivered another

strong quarter growing at 40%. So the 4-year revenue CAGR for Sampann in line with what we have guided for, saying we are targeting for 30% growth, is at 29%, mostly in line with our aspirations.

Dry fruits, which is another big category that we're targeting, had a strong quarter, growing at 70%. Next slide. NourishCo, 34% revenue growth, INR160 crores for the quarter. It remains on track for delivering INR900 crores to INR1,000 crores for the full year. Both the value businesses, which is Tata Gluco Plus and Copper Plus, as well as the premium business of Himalayan, grew strongly. Most importantly, profitability has continued to improve quarter-on-quarter. We're targeting a breakeven this quarter -- this year. And the profitability will only improve as we gain scale from here on.

Tata Coffee, plantations grew 44%, in line with both actually, output as well as price. But overall, Tata Coffee, including Vietnam, had a 3% revenue growth. But had a stellar quarter in terms of the bottom line. Overall, for the extractions business, while revenue has declined 3% year-on-year, margins have seen a significant improvement.

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Tata Starbucks opened 22 new stores, 392 is the total store count. In line with what you would have probably heard from all the other QSRs around, this was a quarter of a bit of pressure. So the top line has only grown at 7%. But year-to-date, they're still at a healthy 14% growth. We have already publicly announced saying we are targeting 1,000 stores by FY '28. If anything, we should deliver before that.

International coming back quite strongly. U.K., our whole game plan of revamping the entire back-end, new sustainable packaging, upgraded product, improved execution and higher A&P has started to deliver. Revenue growth of 14%. We have gained value market share. We are now at close to 20%. Most importantly, Fruit & Herbals and Specialty, which is the other target, we started to make traction on that as well. That Fruit & Herbal market share is now close to a double-digit on MAT basis.

US, I talked about the category being under pressure. Revenue growth of negative 9%. We more or less maintain market share. But most importantly, here, too, in line with our expansion, U.K., I had already talked about Joyfull having secured listings in Tesco, 400-plus stores last quarter. In US, we've got listings in Giant Eagle, which should be starting to deliver end of this quarter.

Canada, I keep saying jewel in the crown, revenue growth of 0 for the quarter, but continuing to grow share. We had a record share of 61.5% in black tea for the month of December. Of course, we will not hold on to the 61.5%, we will go for the top line. Most importantly, the ethnic portfolio in Canada has started to get strong traction.

With that, I hand over to LK to walk you through the financial performance. LK?

L Krishnakumar: Thanks, Sunil, and hi, everyone. Let me talk you through the financial performance for the quarter and

the 9 months, starting with the performance highlights for the quarter.

Consolidated revenues grew by 9%. And within that, the India business grew by 10%. And within the India business, the growth initiatives, which is NourishCo, Sampann, Soulfull and the like, grew by about 40%. In the international business, we saw a growth of 6% in constant currency. It was flat excluding the impact of acquisitions. The non-branded business grew by 4%.

Moving on to EBITDA margin, strong growth of 26%. EBITDA margin improvement by almost 2 basis points -- 2 percentage points. The India business EBITDA grew by 22%. Our EBITDA margin expansion is a function of better mix which Sunil talked of, operating leverage as well as some softness in tea costs.

International businesses grew by 19%. Margin expansion, apart from softening input costs, was also due to price increases we have taken in some markets like the U.K. as well as cost restructuring we did in the last year. EBITDA for the non-branded business grew by 54%, largely due to high coffee realization. But it's important to note that the high coffee prices have some impact -- adverse impact on the branded business, particularly the US coffee.

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Moving on to performance highlights for the 9 months. Consolidated revenue grew by 11%. India business, again, strong growth of 12%, driven also by the growth portfolio. Non-branded business grew by 4%, more or less the growth in line with what we saw for the 3 months, slightly higher. EBITDA margin grew by 25%. India business, 17%. International business EBITDA growth at 23% was slightly higher than what we saw for this quarter. And non-branded business continues to have strong performance.

Moving on to the next slide, which has the consolidated performance. We talked about the revenue growth of 9%, EBITDA growth of 26%, and there's a PBT growth of 27% for the quarter. Let me stop for a minute on the exceptional items. You see, a cost of INR92 crores versus an income of INR79 crores.

In the previous year, the main exceptional income was arising out of increasing stake in Joekels in South Africa. In the current year, we have 3 items under the head Exceptional. There is the cost relating to U.K. pension. I'll explain it in a minute. There are also costs relating to acquisitions and costs relating to restructuring.

In the case of U.K. pensions, we are accounting for some past service costs of earlier years. We are in a stage where we are looking to remove the pension liability from our balance sheet in the next year or two. And in that context, looking at doing a deeper investigation, right from the origin of the fund so that we can then give it on to insurance companies.

In the course of that review, it came to light that certain regulations or case law in the 1990s have not been properly given effect to in the scheme. We are not alone in that. There are other schemes in the U.K., where similar interpretation is happening. Consequently, we have taken a one-time hit in terms of past service costs. So profit before exceptional items, strong growth, but because of the impact of an income in the last quarter and a higher exceptional cost in the current quarter, the PAT growth in this quarter is negative.

On the 9 months performance, revenue growth of 11% and EBITDA growth of 25%. Again, exceptional items playing a role for reported profit being only at 3% growth. On the share of profit of JVs & Associates, if you look at the SEBI format, you will see that both in the quarter and year -to-date, the losses are slightly higher than the losses or profits reported in the same period in the previous year.

The losses in the Starbucks business are higher because of expansion and the way accounting standards work. Also a little bit of softness in the market, but more importantly, because of

lower tea costs and because of wage increases. The performance of Amalgamated Plantations in North India is lower than what it was in the same period previous year.

So that's the change in the share of profit of JVs & Associates. From a 9-month perspective, we had a small element of Joekels also in the 9-month results last year.

Moving on to financial for stand-alone. I won't repeat a lot of what I said. What is important to note is that the EBIT margins at 15.6%, compared to 13.5% and 14.7% compared to 13.6%.

There is a clear improvement in EBITDA margins driven by premiumization mix, some amount of softness in commodity costs and also by operating leverage.

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So that, I think, is a good step. So again, repeat, strong double-digit growth by the India business and improving EBITDA margin.

Moving on to segment performance. We're seeing India business a strong growth of 23%, 10% in revenue and 23% in terms of operating profit. International, 11% and 23%. Non-branded, 5% revenue growth for a significant improvement in segment results driven by high commodity costs.

India business accounts for 70% of revenue and 77% of the segment results. Similar trend in the 9-month performance. India business, 72% of revenues and 76% of the segment results.

Back to Sunil for concluding remarks.

Sunil D'Souza: Thanks, LK. So to conclude, we've seen stable demand trends and most importantly, stable cost trends in the India business and remain cautiously optimistic of volume growth. Branded coffee category saw a decline in the US, a key international market, which we've got to tackle and the UK tea category saw growth led by pricing, and now we're seeing volume growth also starting to come back.

In Q3 '24, we've delivered a strong quarter. Our India and international branded businesses grew in double digits. Interventions that we put in place of our India tea business continued to yield positive results, volume growth with improving mix and most importantly, margins also more or less where we want them to trend.

We continue to premiumize our portfolio, and we will continue to run for share. In salt business, growth was led both by volume and premiumization, value-added salts growing 23% and overall volume growth, highest market share that we saw in December.

Our growth businesses continue to grow at 42% and now account for 17%, up from 13% last year. Starbucks is now 392 stores across 55 cities. Totally during this year, so far, we've added close to 59 stores. We have closed Capital Foods, started integration. Organic India expected to close within 45 to 60 days.

We will complete both the integrations as and when -- the Capital Foods has already happened, even when Organic India happens, we'll close it in 100 days. We'll finish the integration in 100 days.

In line with our simplification agenda, we had announced India and global restructuring. We have already started work on the Tata Coffee India leg, and we will now move to the international businesses. This will help us move to the next phase overall -- in terms of our simplification agenda, giving us legal, tax, reduction of managerial time, et cetera, apart from some other financial benefits. With that, I hand you over back to Nidhi.

Nidhi Verma: Thank you, Sunil. I think we can just go to the Q&A now, moderator.

Moderator: Thank you very much. We will now begin the question and answer session. We have our first question from the line of Abneesh Roy from Nuvama. Please go ahead.

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Abneesh Roy: Congrats on the good numbers. My first question is on the innovation. So when I see spices and honey, you have launched under Sonnets. You also have some spices like haldi, etcetera, under Sampann. So why have two brands and similarly honey, you

do have Himalayan honey

also and you have now got Sonnets honey also? Plus, is the label on the spices and honey, etcetera, saying by Tata Coffee. So it's looking a bit strange, right? You have cardamom and black pepper and then, say, by Tata Coffee. So I wanted to understand all this in terms of brand architecture and positioning.

Sunil D'Souza: So thanks, Abneesh. So let me say, Sampann is the mass market brand where we will play for the larger market and we will compete in the mainline spice business of whatever, INR60,000 crores, total INR20,000 crores on branded spice category. That is the big play.

The Sonnets by Tata Coffee is a very, very niche play. Right now, it is online. If it gains traction, we will see how to take it elsewhere. This is an origin of Tata Coffee. That is the brand positioning. Everything that you see out there is authentically grown on Tata Coffee or honey, for example, is harvested from Tata Coffee estates. It is a significant premium to the Sampann portfolio.

Himalayan, on the other hand, is everything from the Himalayas per se. Again, this is a premium above Sonnets also. And that is, again, origin/provenance brand that we are playing. Right now, again, that is primarily online, a little bit in offline outlets, but I would say the significant thrust on top line and growth share will be behind Tata Sampann.

Abneesh Roy: Sure. My second question is on your foods business. So we are seeing the market leader in masala oats see significant slowdown in Q3 with mid-single-digit kind of growth. So in your Soulfull portfolio, how is the growth rate in Q3? I understand you have come out with a lot of new products, so your growth rate could be good. But if you could comment on the existing non-masala oats portfolio of Soulfull? Plus, how is the performance within masala oats? Are you taking good market share in the e-commerce and modern trade?

Sunil D'Souza: So Abneesh, overall, I wouldn't comment about other competitors, but all I can say is we remain focused on our growth businesses. Growth businesses delivered 42% growth. Soulfull itself delivered a 47% growth for the quarter, a vast majority of it coming from the base and not from the new launches like Choco Sticks, etcetera.

On masala oats specifically, quarter-on-quarter, we continue to gain share. I would say, broadly, we are trending towards a double-digit share. But in modern trade, where we are present for a decent amount of time, we are already into the high teens sort of market share.

Abneesh Roy: Sure. My last question on NourishCo. So you have grown strongly in Q3 at 34% and 9 months also at 41%. You had a very ambitious target of around INR1,000 crores business in FY '24 on this. It seems that you are going a bit slower than that. So if you could comment on Q4, do you think that you'll be able to have a good catch-up on that? And any reason for slightly slower growth than the initial ambition?

Sunil D'Souza: So Abneesh, we remain focused on the INR900 crores to INR1,000 crores that we had talked about for NourishCo for the full year. But just to put it in perspective, Q3 is normally the

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slowest quarter of the year, given the seasonality, especially in Northern India. The season would actually start kicking in end of January, early February, so to speak. So this quarter will be a substantially higher number.

For NourishCo, I think the growth rates are immaterial. The number -- the highway is vast.

And I will remain quite confident that we'll deliver the INR900 crores to INR1,000 crores number.

Moderator: We have our next question from the line of Vivek M. from Jefferies. Please go ahead.

Vivek M: My first question is related to what earlier participant asked. Sunil, in terms of portfolio, so while we like the growth agenda, but do you not think that there is a bit of a comp

lexity in the

portfolio with Organic India also overlapping with some of the existing portfolio, and so on and so forth. How do you think about this? Do you think at some point of time, you will have to think about consolidation? And can this also have a drag on the bandwidth of the team?

Sunil D'Souza: So Vivek, let me answer it this way. For the overall complexity and before commenting on Organic India specifically. Complexity is dealt with depending on how you structure your team to play on, right? So while you see a lot of new launches, etcetera, they are not on the offline business. They're not in the general trade because that is where the confusion can arise because of limited amount of bandwidth for the front end.

Some of it is not even in modern trade because I do not think these products will move off the shelf in modern trade and/or create complexity for the team. So you would see the entire portfolio definitely play online because online for my entire portfolio without complicating anyone's life. So that's number one.

So the -- for example, dry fruits, we launched only online. The n as it gained traction, we are looking at select -- we're still not into -- we are not into all of modern trade. We are looking at select modern trade. We have still not ventured into general trade, but products which have got traction, we go all across the place.

Sonnets, for example, will be for the foreseeable future only online. It was that these products were already being produced by Tata Coffee. They were under various different brand names or being sold B2B. We do see an opportunity to make some money out of this while building a decent provenance brand of Tata Coffee. Now coming specifically to Organic India. Organic India portfolio is primarily into, I would say, 2 parts: the first part is what I call organic tea and more importantly, infusions. And the second part is supplements.

Supplements, absolutely, there is no overlap at all, and that is completely on its own. On the tea space -- on the infusion space, we play in tea, organic. And most of it is loose tea, a little bit of teabags under Tetley green, black and various flavors. Organic India is completely tea -- completely organic, and more importantly, the large part of their portfolio is infusions.

If anything, it right now, the way we see it, it complements our portfolio. But that said, we have just started work on building out the entire innovation pipeline and where to play in both Capital Foods and Organic India. As we work through the details, extremely mindful of the Tata Consumer Products Limited

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point that you made is not to create confusion in the ranks as we execute, making sure that all these businesses are value accretive.

Vivek M: Got it, Sunil, for the detailed explanation. Just a kind of a follow-up to this. I mean, over the last few years, you have done small to reasonably sized acquisition. And I remember at the time of acquisition call recently, you mentioned that the capital raise would be with the mindset that you still want to have enough cash on your balance sheet.

But -- and again, I understand the uncertainty around M&As. But do you think that you have brand architecture pretty much in place, so the acquisition, incremental acquisitions need to be really solving some problem or a portfolio gap? Or let me ask you what would be your thought process in terms of M&As from here? What kind of targets you will go after, now that you have like quite a few brand platforms architecture in place?

Sunil D'Souza: So Vivek, let me put it this way. When we started our journey 4 years back. We had done detailed mapping of the food and beverage universe. Every category of size, if I remember, we had looked at 30-odd different categories of INR5,000 crores plus where there were options for us to play and create value.

We have made substantial progress, but we are not there quite yet. Capital Foods, for example, complements from a cuisine perspective. We cover all the 3 cuisines, I would say, Indian with Sampann, Western with Smith & Jones, and then I would call the oriental piece with Capital Foods. Apart from that, it gets us into categories of chutneys, dips, sauces, noodles, which we did not have in our portfolio. Similarly for Organic India.

Now while these have filled in some gaps in our portfolio, I think we've still got options to play. But as you rightly said, and we have always maintained, we will grow organically, inorganically. We've also publicly said that right now, in the short term, we will put our heads down, make sure we integrate these businesses and deliver value. But we remain quite open to organic and inorganic options to go forward.

So short answer, this is not the end of the road for M&A. We've still got options to play, providing they make sense, both from a strategic and financial perspective. And when I say the strategic perspective, filling gaps faster than what we can on our own on our entire food and beverage road map.

Vivek M: Got it, Sunil. And last question on margins, if I look at exit margin as in the December quarter margins for both India and international businesses at EBIT level, let's say, is it fair to say that India margin expansion from here will be more modest, whereas there is still a catch-up in case of international business over the next few quarters?

Sunil D'Souza: So Vivek, let me put it this way. When I look at our peer set, I think we've still got opportunity on EBIT margins. As we bolt on these value-accretive inorganic acquisitions that we've done along with the growth that we aspire to in our base businesses, we will continue to leverage economies of scale and margin-accretive categories.

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I think overall as a company, now 15% EBITDA margins is something which we had aspired to deliver. Now we are there. Now that becomes the base. From here on, we will be continuing to target higher. And upfront, I mean, even in the food and beverage space or in the overall FMCG space, when you look at the peer set, we are still not even in the middle of the heap.

Vivek M: Got it. I understand, Sunil. But I know smaller contribution from international, but I would imagine that international margin expansion should be far higher than what you can do in India in the next, let's say, few quarters. Is that fair?

Sunil D'Souza: Absolutely. Vivek, International, I've always maintained margin-wise, has to be accretive to the India business. The growth will be slower, margin-accretive. The one good thing that is happening with these acquisitions, we will -- add a decent amount of value on the top line as well to both these businesses, along with the expansion of Joyfull, etcetera. But you're absolutely right. Our international business margin has to be accretive to India. We directionally started to move in that space. I think there is still a decent amount of runway to go.

Moderator: We have next question from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Congrats on a good set of numbers. So my question again is on the margin front. But just taking a step back, while if one -- the gross margin, when one looks at the gross margins, you are seeing better-than-expected improvement in gross margins. Can you share which business has led to this improvement? Is it the softness in the tea cost? Or is it the improving profitability in the growth businesses that is driving this or maybe some other reason for that?

Sunil D'Souza: So Mihir, let me answer it in 3 or 4 different pieces, right? Overall, commodity costs have been benign, whether it is in -- and when I say benign, tea costs are pricing cyclical. You have to remember

that. So when I compare to the same quarter last year, it's largely benign.

Salt costs are largely benign. More importantly, other input costs and our gross margin, when we quote, is inclusive of variable freight, etcetera. So given our whole petroleum prices being flat, therefore, logistics costs being largely, I would say, flattish. That is where a contribution -- where our gross margins have improved. Both for tea and salt, gross margins are broadly in the bracket where we want it to be.

On the growth businesses, obviously, as we gain scale, whether it is ready-to-drink, Sampann, Soulfull, as long as we continue to gain scale, leverage, operating cost leverage, margins are continuing to improve. So it's a mix of various parameters that's driving up the overall gross margin portfolio.

Mihir Shah: Okay. Sir, can you highlight what is the differential gap between the EBIT food margin and EBIT margins for beverages now currently as the major...

Sunil D'Souza: Mihir, we look at the India business in totality as a food and beverage portfolio because we always make choices depending on where we can create the greatest value. So we segregate up to the gross margin level or margin after promotion, but -- promotion and advertising. But

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below that, it is all common cost of the India structure. Therefore, we don't break up the EBIT margins for India Food and India Beverage.

Mihir Shah: Okay, okay. So just another follow-up on margins. You mentioned that international margins should be accretive to the overall business. Can you share any timelines that you have in mind by when can we expect international margins to be accretive to the overall business?

Sunil D'Souza: So let me just before that, just to qualify the statement that I had made earlier. The way we are structured is by category in India. So packaged beverages is a category. Packaged foods is a category. Soulfull is a category, etcetera. So therefore, all these category leaders have accountability up to margin after promotion expenses. The balance, everything, the back end, front end and all the other functional costs are all common. And that's why we don't look at separate, this thing.

I mean you could do it by allocation, but then it's a theoretical exercise. On the international business itself, broadly, if I look at it, U.K. has started to come back into a very strong space.

As I said, EBIT margins had -- I've never seen it in the past 3 years. Last quarter, we saw double-digit EBIT margins. Canada has always delivered very, very strong margins and continuing to do so. The US is a little bit of work in process. I would say, over the next 6 to 12

months, you should see substantial progress on that front.

Mihir Shah: Wonderful. Sir, sorry, 1 more follow-up on margins. Now after reaching 15% EBITDA level, can you share what kind of headroom opportunity do we see out here? Any medium-term guidance, if you can talk about, will be wonderful.

Sunil D'Souza: So, Mihir, we always benchmark to our peer set, right? And if you look around in the other FMCG companies, I think the range is between -- depending on -- if you take food and beverage, it's about 17% to 25%. But overall, I would say, broadly, people are, if you take a median, it's about 18% to 20%. So there is a decent amount of headroom for us to grow margin. But the most important piece is we are a growth company, but we are a growth plus profitability company. So we will continue to deliver double-digit growth while improving margins at the same time.

Mihir Shah: Got it. Got it. Sir, secondly, I wanted to check on the coffee business. When one looks at the coffee volumes, both for India and US, they seem to have stabilized. Can one expect improvement from here on? And no further drag on volumes like we had seen in earlier quarters? And also

on pricing, on US Coffee, it's turned negative. Have we taken price cuts because coffee prices are actually trending upwards? So I'm unable to understand that math.

Sunil D'Souza: So let me answer your second question first, Mihir. Starting July 2021 onwards, first Arabica up and then Robusta ran up in conjunction with Arabica. Some time around March, April of 2023, prices started coming down. Again, Arabica started coming down first, followed by Robusta. So the secular trend was for a decline in coffee prices.

But starting around September of this year onwards, again, driven by a little bit of niggling issues in Brazil and the Vietnam crop not coming on to the market completely, Robusta prices have started to climb up. Arabica has started to climb up in conjunction with Robusta.

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Now the forecasts are that they will start to plateau/soften towards the end of this calendar year. But again, a forecast is a forecast. So we continue to move up and down along with coffee prices and the activity that we see on the shop floors in terms of promotions, pricing, etcetera. Because ultimately, we will maintain our market share/grow market shares. So that is why you will see the ups and downs.

As of now, I think the prices are starting to move slightly north, but I wouldn't try to forecast too far into the future given the volatility that we're seeing. We would try to play close to where the market is. So that's number one.

On the coffee volumes itself, the category itself is soft in the US, overall. And we are also soft in line with the category or maybe a slight bit more, but we will get back to category-plus numbers. India business, we grew 32% on coffee, but it's a small portion of our business, and it continues to be a growth focus.

Mihir Shah: Got it, sir. And lastly, any synergy benefits that you can expect to call out on that can accrue on the integration of international and the coffee business that you've worked out now?

Sunil D'Souza: So there are synergy benefits. The bigger substantial benefits are in legal, tax, cash flow and management time. But as we work through, we will come out with very specific numbers as we go forward.

Nidhi Verma: Moderator, can we please request everyone to limit their questions to max two at a time?

Moderator: We'll take our next question from the line of Percy from IIFL. Please go ahead.

Percy: My first question is on the new portfolio, the new businesses, which are growing at 35%, 40%.

So just wanted to understand, is the growth currently being driven mainly by plugging the availability gaps? Or are there some other drivers of growth as well? Now I understand it will always be a combination of many things. But is it mainly the availability gap, which you are plugging which is driving the growth? Or there are other strong or important factors as well?

Sunil D'Souza: So Percy, incidentally, we are growing at 42%. We have grown at 42% for the last quarter. But just to come back to your question, very, very specifically, for example, in NourishCo, we had said both geography and portfolio. When we inherited the business, it was just a Gluco Plus and it was a Tata Water Plus, which we transitioned to Tata Copper Plus.

Tata Copper Plus is growing far faster than Gluco Plus. But -- there is a bit of geographic expansion, but there's also portfolio. We've launched Tata Gluco Plus Jelly. We have launched Himalayan. We've expanded our distribution. We've launched the Himalayan provenance range. We've entered cold coffee. We've just started to pilot sports drinks, energy drinks. So it is both geography and portfolio.

Similarly, in Sampann, the big business was pulses. We've started to expand into spices. We've gone into mix. We've expanded poha. And it is both a combination of new categories as well as, I would say, in Sampann, it is p

oints of availability. In NourishCo, it is points of distribution and manufacturing. And in Soulfull, it is plain and simple getting the product
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across to multiple people. And we've now entered muesli. We've entered choco sticks, and there is a whole range of more innovation. I would say equal weightage to both geography and portfolio.

Percy: And in terms of geography, are there any sort of white spaces right now? So one is, of course, in a city, you can always cover more outlets which are not covered. But do you still think there is easy pickings in terms of going to cities and towns which you have not gone at all until now?

Sunil D'Souza: So, yes and no, because different parts of the portfolio play differently. In NourishCo, I would say we probably have manufacturing, and we have started, and the keyword is started, distribution in about, I would say, 80%, 85% of the country. And that started distribution has to now play out and there is expansion in number of outlets that we will do.

But Soulfull, for example, from where they were with about 15,000, 20,000 outlets, is now about -- trending about 5.5 lakhs, 6 lakh-plus outlets. But there is still -- remember, just in terms of direct outlets, I touched 1.5 million. So there is that much room to grow.

Sampann, similarly because remember, I am also competing with the kirana owner himself, who is normally selling loose/locally packaged pulses, spices, etcetera. So while we are present in modern trade throughout, there is, I think, a huge amount of runway in still expanding distribution in general trade with Sampann. So different parts of the portfolio, different opportunities. But as we had said, we are targeting to exit close to 20% of our portfolio with growth businesses growing at 30%, which we will now, with the acquisitions, take it up to 30%, growing at 30%.

Percy: Right. I am asking only this one question. So allow me to delve a little deeper into this. So when you talk about something like a Sampann and you say there is a scope for going into GT. So typically, see, what happens is that availability, of course, drive growth. But there is a limit to that, right? So if there is a product which I want to buy, if it's not available in one shop, I get it in another, it really doesn't incrementally improve sales very much by making it available in the nearby shops. So what my question for Sampann is that do you think that as of now, the audience for it and the people who want to buy it are already buying it and it's not as if they are not getting the product when they want to buy it?

Sunil D'Souza: I would beg to disagree with you, Percy, because the key barrier is to overcome the margin difference between the local loose versus Sampann and getting into the Kirana store. Because once we get into the Kirana store, then I've never heard of a consumer who shifted back into any other portfolio, right? So from that perspective, creating consumer preference is part number one. Making sure we put it into the store and make it available is part number two. On both the pieces, I think we've got a significant amount of runway to play.

Percy: Okay. So the main challenge here is bringing down the price premium of products like Sampann?

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Sunil D'Souza: No. I think maintaining the price premium, creating the consumer pull and making sure that we provide a compelling proposition for the retailer to stock the product. I think that is the problem to solve.

Moderator: We have our next question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question was on NourishCo again. So in terms of distribution, where do you think you end up in FY '24 in terms of direct reach or weighted average availability in the category? I

was just trying to understand how much more headroom do you think is there after what you've done already this year.

And a related question to that is that the energy drink that we launched, so it's very early days. Any sense of consumer response? Does it look like something which can significantly ramp up quickly? Or it is something which is a little more of an evolved product and therefore, will need more time for consumer acceptance?

Sunil D'Souza: So Arnab, let me answer your second question first. We are still at a pilot stage with the energy drink. The whole thing is to give the proposition of a INR10 energy drink giving the same efficacy that the consumer seeks for in other brands. We've got to get our -- both our distribution act together as well as our marketing mix perfected before we roll it out. So very early days.

Energy drinks, India and globally seems to be a booming segment. And therefore, getting the

proposition right is the key because I do believe if we get it right and given the price points that we are looking to target, I think we'll have substantial throughput. So that's point number one.

Point number two is with respect to number of outlets. I think by the end of this year, we'll exit at about 8.5 lakhs, 9 lakhs or so. But just to put it in perspective, if you benchmark and against the other big beverage majors, and look at their number of outlets, I would think we are probably scratching the surface. We are about 20%, 25% there of their total universe. So we've still got substantial ground to cover.

Arnab Mitra: And my last question is on the acquisition of Ching's. So what we've seen in other companies is typically when a large company acquires a small company, there is a lot more inventory in the distributor channel, in the retail channel that has expired stock, and there is some kind of initial hiccups in the first couple of quarters. So based on what you have, what you know and what you've seen because the business is already -- the transaction is completed, do you anticipate any issues in the first couple of quarters, which will be cleaned up for reduction in inventory?

Sunil D'Souza: So, I mean, I think Ching's was a decently run company when we took it over. The big impetus for us was to give distribution expansion. In many, many parts of the country, they are not distributed. So it is all incremental distribution.

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But where they were already distributed, we are clearly having a full-fledged integration process where we go through the whole piece of taking inventory, making sure we clean up the -- any damage, expiries, which are there, making sure we're helping existing distributors to transition very, very smoothly. So far, it's already been about 7 to 8 days of integration. We are not seeing any major hiccup. There will be small niggles here and there, but nothing that I would really worry about.

Moderator: We have our next question from the line of Sheela Rathi from Morgan Stanley. Please go ahead.

Sheela Rathi: Sunil, my first question was again on EBITDA margins. I heard you say that 15% is now the bottom with respect to the margins. And I also understand this is coming from the commodity deflation which we are seeing. But is there something more which is driving this confidence on EBITDA margins, especially coming from the growth businesses?

Sunil D'Souza: So Sheela, number one is, I would say, the confidence stems from 3 or 4 different pieces, right? The gross margins of tea and salt are broadly now where they should be. And this is, when I say they should be, given the historical numbers that we have.

Number two is the growth businesses are on a very strong trajectory. But overall, as we are adding businesses, we are not adding costs on the bottom line. So the whole advantage of scale and operating leverage is what

is helping us derive efficiency on the bottom line. And again, when you look at benchmark companies around, there is no reason we should not be getting to -- like I said, 15% is a base. I mean even with this, we are still not in the middle of the pack when it comes to EBITDA margin.

So overall, given top line growth, given gross margin efficiencies, given our cost focus on the middle of the P&L, I don't think there is a reason. Just one rider, I would say. While I say 15% is a base. There will be some ups and downs. But we would say directionally, 15% would be the base, and we will grow beyond this.

Sheela Rathi: Understood. And my second and final question is we talk about e-commerce share for us being at about 11%. But if you -- just trying to understand what the share of e-commerce would be for the growth businesses right now?

Sunil D'Souza: Okay. So Sheela, we have not actually dissected the share of the Growth. But broadly, for Sampann, I think I would have a higher share on e-commerce versus offline from the simple fact that I said, I mean, we compete with the kirana stores themselves in many categories, that's number one.

For Soufull again, we would have probably higher than what we have as overall e-commerce share because, again, availability and drive continues to be an opportunity for us. NourishCo, I mean I think our offline share would be higher. But overall, I think 10.7% e-comm, I would think we would be in the top quartile of FMCG companies in the country.

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And just to highlight, when we have started our journey, we had said we will build very strong muscles in modern trade and e-commerce. And functionally, we had said we will build RTD and digital. And you can see that all that translating down into the business.

Moderator: We have our next question from the line of Amit Purohit from Elara. Please go ahead.

Amit Purohit: Just on the salt business, wherein we are clocking a very strong volume growth. Anything you could highlight in terms of any specific plan or segments which has been doing well for us in salt? I know the premium is doing well, but other than the premium part?

Sunil D'Souza: So Amit, first of all, the opportunity in the salt business is immense because I think top 5 brands account for about 50%, 52% of the total branded market. And remember, I am 39%. So you can imagine the rest of the brands. So the balance, large part of the salt landscape is what I call no-name brands. It's not loose, but it's not specific brands per se. So there is a huge runway for us to continue to gain share, that's number one.

Number two, overall salt volume, I would say, is still very, very highly dependent on base Tata Salt because that is the big boy in the pack. If I'm not mistaken, close to about 87%, 88% of our volume is primarily from Tata Salt itself. So unless Tata Salt grows, the rest of the portfolio doesn't grow.

Value-added salts grew 23% this quarter, but the volume growth of 5% was largely led by Tata Salt. And I would attribute it primarily to the factors that prices are now stable for almost a year now. And as prices have begun to be stable, volume growth has started to come back into the category.

Amit Purohit: And any update on the Shuddh launch in solar salt?

Sunil D'Souza: So Shuddh launch in Solar salt was very, very targeted into geographies where, A) we had a relatively lower share and where it was solar salt, which was the big category. Right now, we seem to be doing well. But again, we've got a long, long way to go.

Amit Purohit: Sure. And lastly, would you be able to share the salience of the water in the NourishCo?

Sunil D'Souza: I would say water would be largely 50% or so of the total NourishCo portfolio. While it is growing faster right now, I would think once we get our entire innovation act together

in the

Gluco Plus and the cup formats and expand the geographic footprint, you would see Gluco Plus also coming to the party on growth big time.

Nidhi Verma: Moderator, since we've already reached the end of time, if there are any other questions on webcast, perhaps we can take it offline. I request everyone to reach out to us if there are any remaining questions. Can we just close the call now, please?

Moderator: Sure, ma'am. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2024

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Sub: Transcripts of Conference Call pertaining to financial results for the quarter and year ended
March 31, 202 4

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations"), we are submitting the Transcripts of Conference Call held on
Wednesday , April 24, 202 4, in respect of the financial results for the quarter and year ended March 31,
2024.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully ,
For Tata Consumer Products Limited

Sivakumar Sivasankaran
Chief Financial Officer
Encl.: as above

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"Tata Consumer Products Limited
Q4 FY'24 Earnings Conference Call"
April 24, 202 4

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – TATA CONSUMER
PRODUCTS LIMITED

MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER – TATA CONSUMER PRODUCTS LIMITED
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER – TATA CONSUMER
PRODUCTS LIMITED
MS. NIDHI VERMA – HEAD - INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS – TATA CONSUMER
PRODUCTS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '24 Earnings Conference Call of Tata Consumer Products Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, sir.

Manoj Menon: Hi, everyone. As always, it's our absolute pleasure at ICICI Securities to host the Results Conference Call of Tata Consumer Products. A wonderful good morning, good afternoon, good evening to you, depending on the part of the world you are joining from. Now handing over the call to Nidhi Verma from the management for the introduction and for further proceedings. Thank you.

Nidhi Verma: Thank you, Manoj. Thanks for hosting us. Welcome, everyone to the Q4 and FY '24 Conference Call for Tata Consumer. I am joined by Mr. Sunil D'Souza, Managing Director, and CEO; Mr. Ashish Goenka, Group CFO; and Mr. Ajit Krishnakumar, Executive Director, and COO. I hope you have had the time to go through the materials that we put out yesterday. But as we usually do, we will spend about 10 to 15 minutes going through the key performance highlights of the quarter and the year and then open the floor for Q&A. I just want to draw your attention to the disclaimer statement, which is on your screens right now. With that, I will hand it over to Sunil.

Sunil D'Souza: Thanks, Nidhi. So

, if I walk you through the executive summary, overall, our top line was up by 9%, in constant currency, 8%. India Beverages, flat volumes, but revenue grew 3%. India Foods continued its strong trajectory, including Capital Foods, was up 20%. If I exclude Capital Foods, 11%. Like-for-like volume growth, and this is primarily driven by Salt, was 4%. International business, 7% revenue growth, 5% in constant currency, most importantly, significantly improved profitability.

During the year, consolidated revenue, up 10%, 9% in constant currency. India Beverages volume up 2%; revenue, up 7%. India Foods like-for-like is 15%. Including acquisitions, was 18% with a 5% like-for-like volume growth. International business was up 9%, 5% in constant currency.

The big upside -- a big bright spot for us is that the India growth businesses continued their strong trajectory, growing 40% in FY '24, accounting for 18% of India business, up from 15% last year. We had a strong improvement in overall profitability, consolidated EBITDA growth of 24% and margin expansion, 170 bps to 15.3%.

On a MAT basis, the India businesses saw a marginal share loss. That said, quarter-on-quarter, we are seeing stability/improvement. Salt shares are up to close to 40% right now. Just to

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recap, when the merger happened, we were at 30%. They improved by 50 bps on an MAT

basis.

Innovation to sales ratio, up from 3.4% to 5.1%. I would say, towards the top quartile of the industry now. Front-end and back-end integration for Capital Foods was completed within 60 days. We had always set out a target of full integration in 100. We're on track for that.

Transaction for Organic India closed on 16th April, which is this quarter. And therefore, you will not see the numbers of Organic foods [India] in the last quarter numbers. And again, the target for integration is also 100 days, in the case of Organic India as well.

We continued our good work on net working capital. The India core business is down to 0.

Overall, as a company, we are down by 8 days versus last year down to 27 this year. India, including all the other businesses, net working capital of 4 days.

In terms of performance for the quarter, I talked about 0 volume growth and 3% revenue for India Beverages. India Foods, leaving out Capital Foods, was 4% volume and 11% revenue. Including Capital Foods, and just as a perspective, Capital Foods was only February and March, was 5% volume and 20% revenue. U.S. coffee volume growth of 6% and revenue growth of 3%.

International tea broadly flat, minus 1% volume and 9% revenue growth. And non-branded had a 4% revenue growth. Overall, INR3,927 crores, growing 9%. For the full year, INR15,000 crores, growth across -- revenue growth across all segments, excepting for U.S. coffee, where we've seen significant volatility in coffee prices, and we moved our numbers up and down on the shop floors as coffee prices have moved. Double-digit revenue growth of 10%. In constant currency, it is 9%.

In terms of group performance, 9% revenue, 22% EBITDA, before exceptionals PBT of 12%, before exceptionals group net of 46%. We had exceptional items of INR200 -plus crores this quarter, because of which the reported group net profit is negative 27%. We've used a significant amount of cash for the acquisitions in India. And therefore, net cash, while we've been constantly showing close to INR3,000 crores on the books, is now down to INR118 crores.

In terms of the full year, 10% revenue, 24% EBITDA, 24% PBT, 29% group net. And because of the exceptionals, apart from this quarter, about INR200 crores. If you remember, we had some significant numbers last quarter, primarily the U.K. pension numbers, which, therefore, the group net reported is negative 8%.

Against our strategic priorities, we have now -- we're still almost there, still

not fully there. We

are implementing a split-route implementation in all million-plus population towns and a significant amount of 0.5 million plus population towns, we are going with 3 routes. Just as a perspective, broadly, it is beverages plus Organic. It is Salt plus Sampann and Yumside. And it is Soulfull plus Capital Foods.

We -- our significant gap on distribution was in the lower pop strata, and we've had a huge focus on adding distributors in all 50,000-plus towns. We've added roughly 1,300 distributors

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in the last year in our Rural markets. And now we are focused on building a super-stockist, sub-distributors network to reach less than 50,000 population towns. We are now at 1.6 million direct reach, reaching 4 million outlets.

Very strong performance in the, what I call, channels of tomorrow, modern trade, and e-commerce. Between the two, they contribute to 25% of contribution now to our business.

We've had a significant number of new SKUs on shelf, Soulfull because it is available in modern trade, has seen a significant growth of 65%. And we have seen a significant improvement in our premium salt salience in e-commerce. Which just lends credence to the fact that we now need to expand the distribution of this portfolio.

India Business. Overall, we continue to add to brand building. Our A&P spends were up 16% versus FY '23. Salt market share was up by 50 bps. Overall, I talked about the softness on tea market share, negative 50. The only point I would like to make is, while, overall, Nielsen does show a 7% growth in the tea business, we strongly feel that we have not lost market share, and therefore, we would wait for competitive numbers to see where this stands out.

We have upped our innovation engine. And effectively, we've launched one launch every week of the year. Our innovation to sales ratio is now 5.1%. As I mentioned, it is -- we are in the top quartile of the FMCG space in India, at least. And we have added products across all the 3 big verticals that we were looking at, convenience, health, and wellness and premiumization.

We've had a significant step jump in digital transformation. We are in the midst of rolling out our new distributor management system and Salesforce app. This is built on the Salesforce platform. It is not out-of-the-box solution and therefore, a very, very customized but very adaptable platform for us to enable decision-making at the front line. Apart from that, we have

digitized a significant portion of our back end, including procurement and logistics. We had committed to simplify, synergize, and scale our businesses. We finished the merger of Tata Coffee during the quarter, 1st of January was when it became effective. We've announced amalgamation of all our subsidiaries in India. That will bring another round of synergies and simplification. And we're already on track on our international simplification. And a part of that has already started flowing through into our P&L as we walk you through it. Growth businesses. We had said the target was 20% of our businesses growing at 30%. And with the new acquisitions, we are on track for 30% of our business, growing at 30% in India. For the full year, we've delivered 40% growth from our growth businesses. We are walking the talk on sustainability. We've already put out our FY '26 numbers out there. And across all different items, we are making progress. Now in 4 years of TCPL, effectively, the India-branded business has delivered a CAGR of 16%; international, 5%. Overall, a 12% revenue growth translating into a 15% EBITDA growth and a 27% group net profit. And we've unlocked efficiencies. Our working capital is roughly half of where we started off. India has made significant progress. International will continue to make progress. EPS is up

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significantly from Rs. 5 to Rs. 12.3, a CAGR of 26%. Operating cash flow is now 101% of EBITDA, and total shareholder return in the last 4 years is roughly 400%. In terms of the macros, tea costs broadly benign. Coffee, again, a bit of volatility with Robusta leading the charge, moving up; and Arabica, moving up in tandem. We need to stay very close to this, especially for our U.S. business. In terms of business performance, overall, revenue for India Packaged Beverages is up 2%. For the year, we grew with 2% volume growth, revenue up 3%. A 4-year CAGR of the beverage business is 9%. The significant part is now 2/3 of our portfolio is in the mass premium to premium segments. Coffee grew strongly, 29% growth for the year, accelerating to 45% for the quarter. Important is also that we continued our leadership -- market leadership in the e-comm channel. Just another perspective, I think we have not alluded to it earlier, we have incubated a vending business. And now the vending business has crossed the 1,000-machine milestone. India Foods, like-for-like revenue growth of 11%, volume growth of 4%, and overall revenue growth of 20%; Salt touched a 40% market share. Tata Sampann finished on a strong note with a 42% year-on-year growth in Q4. Soulfull grew 42%. NourishCo had a slightly subdued quarter given the delayed onset of summer. Just as a perspective, in many parts of the country, summer is determined -- the onset of summer is determined not by the temperature outside, but the onset of Holi. Holi was about 20 days late this year. And we are seeing strong traction in the business now. So overall, NourishCo grew 13% for the quarter with INR204 crores of revenue. We had guided for close to INR900 crores to INR1,000 crores of top line for the year, but we ended up with INR825 crores, but we remain bullish on the business because of 2 or 3 big reasons. We have almost grown 50% in outlets last year. That should stand us in good stead. Innovation continues to be a strong engine there at a 20% innovation-to-sales ratio. And we have augmented capacity and distribution to prepare for the season in this year. Non-branded business. You will see a consolidation of the non-branded business into the TCPL P&L for this quarter. Overall, plantations revenue was down, but that is primarily because we had a bit of, how do I say, a pause in sales while we did name changes from Tata Coffee to Tata Consumers. So, auctions and overseas customers, we had a bit of a hiccup. Therefore, there is an inventory sitting in the business rather than getting translated into sales, which should get corrected very quickly. But solubles revenue grew at 19% and revenue grew 4%. Tata Starbucks, while they had, I would say, a subdued quarter given the overall trends that we're seeing in the QSR business, we saw March better than February and April better than March. So, we see a better trend right now, but we remain focused on the larger India opportunity. We opened roughly 95 stores. We're in 61 cities, revenue of INR100 crores, targeting 1,000 stores by FY '28.

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Our international business was a star performer for this quarter. Overall U.K. revenue growth of 11%. We are at a 20% market share here in Everyday Black. And strategically, we needed to grow our market share in Fruit & Herbals. We are now at 9%. U.K. delivered a very strong

EBIT performance as well. The U.S. revenue growth was up 2%. Our market share is in the ballpark. Canada continues to be the star with 9% revenue growth and a 28% overall market share.

This quarter, we've always maintained that the role of the international business is accretive EBIT margins compared to the overall business. In this quarter, the International has delivered to that level.

I'll ask Ashish to walk you through the financials quickly.

Ashish Goenka: Thank you, Sunil. Just turning to financial key highlights. Our stand alone revenue grew at 13% for the quarter and consolidated revenue grew 9%. Just to point out that stand-alone now includes our coffee soluble business, and the base has been restated to that effect. EBITDA growth of 8% on stand-alone and 22% for the consolidated numbers. On a full year basis, stand-alone revenue growth was 11%, consolidated came in at 10%, EBITDA growth of 15% and 25%, respectively.

On consolidated financials, while you have seen the numbers and Sunil talked about it, I just want to point out on specific items. One is exceptional items. They are largely attributed to stamp duty on the Tata Coffee merger; and provision on prudence taken on some of the underutilized assets across our entities; and fair value loss on the financial instrument as part of our annual review process.

The other is on tax. As you would all know that we've been restructuring our structure -- corporate structure in the U.S. And bulk of it is now complete. And therefore, we have taken a onetime gain of close to INR 92 crores in the tax line. And therefore, the ETR for the quarter looks at a lower level.

And with that, I think I will hand over back to Nidhi for questions and answers.

Nidhi Verma: Thank you, Ashish, and Sunil. Rachel, we can now go to the Q&A queue now, and we will take the questions from the webinar after that.

Moderator: Thank you very much, ma'am. First question is from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: Congrats on international margins and innovation. My first question is on Capital Foods and Organic India. I understand Organic India will be coming in FY '25 numbers. But wanted to understand from inventory in the pipeline how is it, because the initial part of the -- any M&A, we do see that the inventory is there. Higher channel selling is there.

So, when I see your numbers in first 2 months, that leads to INR532 crores annual revenue versus INR705 crores revenue in FY '23. In media interaction, you said for Capital Foods, you expect double digits. So, this double digit is for INR705 crores of a number? Or it's from a Tata Consumer Products Limited

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more FY '24 kind of a run rate? So, if you could give clarity on both Capital Foods and on Organic India, how should we build in the FY '25 numbers?

Sunil D'Souza: So let me take that. A, you're absolutely right. When there is transitions, there are adjustments of inventory, etcetera, because remember, they had a multilayer system. They had a set of super stockists, sub-distributors, etcetera. So Abneesh we've -- in the integration, we've flattened the structure integrated. So, we've taken about 200 distributors from their side. The balance we've integrated with our systems. That's number one.

Number two, we've reached to almost 95% up -- 95% of our distributors have already built Capital Foods, and we are on our way. We are basing our numbers of growth on the 705 to 750 sort of number. And we will work off that base. We are not working on the 500-odd base because we know it is under-pegged.

We remain extremely confident of our ability to drive the top line given what we are seeing on secondary sales, that's number one. Number two, what we are seeing the response to our integration in the international markets as well. For example, in the U.S., we moved from 4 distributors to 13 distributors because of their strong connections, and B, I think the innovation pipeline is very strong, and Ajay being there, continued with us, giving us the history and what he's seeing in the future of the business helps actively.

In addition, as I said, the most important thing to drive at the front line is all our 1 million plus and 0.5 million -- significant

number of 0.5 million plus cities. We've got 3 salesmen at the front end now with 1 salesman focusing exclusively on Capital Foods and Soufull, primarily because there is a lot of commonalities in the product throughput and, and b, the type of outlets that they will address.

Abneesh Roy: And this will apply even for Organic India, right, in terms of the growth numbers?

Sunil D'Souza: Yes. Organic India, we just finished in -- on the 16th of April. We're still working through all the details. Again, there's only 24,000 outlets. So -- I mean there is a significant amount of

headroom to grow out there. Again, we will -- we are targeting growth on the, how would I say, normalized run rate for these businesses, as they continued alone. And it's not on the short-term adjustments that we will have to do.

Abneesh Roy: So, my second and last question is on NourishCo. So, you have done exceedingly well past few years on NourishCo. And you have also given, I think, in the media interaction, the growth expectation of around 30% in FY '25. So, want to understand here what are the products or the brand -- the sub-brands here, which are doing really well.

And in terms of distribution synergy, is it now largely done in terms of your total universe. So, is a good penetration already there? And second related question is, first half, very strong growth in FY '24, Q3 slowed down, and Q4, it slowed down significantly for the entire sector, I understand that. But is the size now becoming an issue? Because FY '23, 60% growth, FY '24 second half significant slowdown. Is size also an issue now given the kind of growth you are seeing earlier?

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Sunil D'Souza: So let me answer it in 2, 3 ways. Abneesh, I think size, we are far, far, far from where we will say that we'll become sizable enough that growth rates will slow down. Both the category growth of Packaged Beverages in India as well as the opportunity for us to address that remains significant enough. The big brands in the portfolio which are growing are Tata Copper Plus and Tata Gluco Plus. Tata Copper Plus is seasonal but not as seasonal as Tata Gluco Plus.

And Tata Gluco Plus, which is the higher revenue or higher margin product, is what -- did not fire as well as we thought it would because of the delays set of summer.

In terms of the outlet base, we have now about 900,000, 950,000 outlets, which is a significant -- how do I say, we're significantly behind the rest of the competitors -- the large competitors if you look at it. So, we've got still a significant portion to run, and we remain confident that we will continue to deliver these growth numbers that we talked about. We -- until January, we were very, very confident of hitting the 900 to 1,000. Unfortunately, I would say, second half of February, March was a little bit of a dampener, but nothing has changed on the basics of the business, so we remain extremely confident.

Moderator: The next question is from the line of Jay Doshi from Kotak.

Jay Doshi: Yes. First question is a bookkeeping question on Capital Foods and Organic India. What will be the aggregate amortization charge for both the entities and depreciation as well? And what is the ballpark EBITDA that you are sort of building for FY '26 for the EPS neutral MAT?

Ashish Goenka: So, Jay, in terms of Capital Foods, it's going to be a round INR160 crores per year. Organic India, we've just closed, as Sunil said, on 16th of April, and we're still working through the financials and PPA. I think we'll be able to convey that number later. On forward-looking EBITDA, I think, I will refrain from giving a guidance at this stage.

Sunil D'Souza: But essentially, what we have said is both these businesses will be cash accretive right from this year, and EPS overall accounting accretive starting next year -- FY '26.

Jay Doshi: Will it be EPS accretive or EPS neutral? And is this after factoring in amortization charges?

Ashish Goenka: So, after factoring in amortization charges, Jay, the way we've built the business case, and if we deliver on that, then, of course, by year 3, we're likely to become overall accretive.

Jay Doshi: All right. FY '27?

Ashish Goenka: Yes. FY '27.

Jay Doshi: Got it. And a couple of more questions around profitability. First of all, thanks for the disclosures on profitability movement for different businesses. Now from next year perspective, what is the outlook on profitability for the international business? And I'm talking about the branded -- international branded business. We understand the volatility in non-branded.

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And second is, what about the synergies for Tata Coffee? At the time of consolidation merger announcement, you had indicated some cost savings and other synergies. So, are you still on track or expecting those to materialize? And if you could quantify that for us again.

Sunil D'Souza: So let me take that question. A, we had always maintained that the international EBIT margins should be accretive to the total India portfolio. And starting this quarter, given the U.K. strong turnaround, I would say, a; and b, the continued delivery of Canada and the improvement in the U.S. U.S., we still got work to do. We expect international to continue to be accretive on EBIT margins going forward, a.

B, overall, as a company, I think we've said EBITDA margins, we have delivered 15.3%, for whole of last year -- last quarter was 16.1%, but we will be improving of the 15.3% number as we go forward. And sorry, on the Tata Coffee merger, yes, we have started realizing the

synergies. The integrated organization has already got announced. And therefore, from a cost perspective, we have seen the synergies coming in.

In terms of revenue synergies, early signs, there were top line synergies as well, as we put both the teams together. Complementary geographies, complementary products coming together. We have started seeing early signs of those synergies coming in, and we do expect to deliver on those commitments.

Moderator: The next question is from the line of Mihir from Nomura.

Mihir: So, my first question on the tea business, on the tea volumes. How should one think about the tea volumes for the coming year? In fourth quarter, volumes became flat. No sooner, the base volumes came back to positive trajectory. And that trend will continue. So, can volumes in tea business languish in FY '25? Or steps are being taken to curtail market share losses?

Sunil D'Souza: So, a, I'll react first to the market share question. As I mentioned, we don't expect the industry grew by 7% last quarter, as reported by Nielsen, and therefore, we would wait for competitive data to come out before making a judgment on that. That's number one.

Number two, long term, we do expect the India Tea business volumes to be about a 5% growth. And a couple of points on that -- on our price mix and revenue growth management numbers. Yes, this quarter was a bit soft compared to what we were seeing as a trend because we had seen volumes coming to a 2% to 3% volume growth. We do expect to see at least a 2% to 4% growth -- volume growth numbers, at least in the short term. But in the medium to long term, we do expect tea to come back to a mid-single-digit volume growth.

Mihir: Understood, sir. Sir, my second question is on the coffee soluble business. What is the steady-state margin for this business? And given this 22-odd percent margin is driven by price increases, can these margins sustain for some more quarters till it gets anniversarized? Or how should one look at the margins for this business at least for the coming few quarters for the year?

Sunil D'Souza: So again, I would

separate out the non-branded margin into 2 different pieces. There is a coffee solubles and there is a plantation business. Coffee solubles is a pass-through -- largely a Tata Consumer Products Limited

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pass-through number. There might be differences in margins between timing of buying of inventory and selling of inventory because, remember, we are buying coffee from various parts of the world, converting it to extracts or solubles, and selling it onwards. So, there is an input price also differential.

Whereas in the plantations, we get the upside of the entire coffee pricing going up. It will remain volatile for some time. We had seen a sort of plateauing of that over the past 3 quarters. But in Q4, again, we've seen Robusta starting to jump up and in tandem, then Arabica jumping up.

We would say we would expect volatility, at least in the short term on this piece, but we will have to manage the numbers. Now just as a perspective, overall, the non-branded business is just about 10% of our total India revenue. So, from that perspective, it is not as significant, but we would expect some road bumps at least in the short term.

Moderator: We'll take the next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: My first question, again, was on coffee business. So, Sunil, if you would like to call out what kind of distribution innovation plan, we have with respect to taking up our coffee branded business higher from where we are today?

Sunil D'Souza: So let me say, we've got significant opportunity out there. I'll point back to one of the reasons why now we have done a split routes at the front end, is primarily because that was becoming the blockage for us to expand our portfolio and expand different SKUs.

Coffee did grow 29% for the year and 45% for the quarter, but I think we're still scratching the surface. We've still got a significant amount of runway out there. This year, that remains a focus, especially with, a, the innovations that we have planned; b, the amount of media spend that we are putting behind it; and c, between the enabling infrastructure that has been put into place.

Sheela Rathi: And what kind of distribution the coffee business would have currently versus say our tea business? And if there is any difference here in terms of B2B or B2C strategy?

Sunil D'Souza: So, it's primarily a B2C strategy. We are significantly behind. I think we've got still a way to go. In the southern markets is where we had initially focused. There, the gaps are -- they're still large, but relatively smaller compared to the rest of the country. We've still got -- we're not there by a mile.

Moderator: We'll take the next question from the line of Percy Panthaki from IIFL Securities.

Percy Panthaki: Sir, in the standalone, we have seen some kind of a margin contraction this time. I believe it's because of higher ad spend, which is purely a phasing issue. So, can you just try and quantify that for us what is the increase in ad spend on a Y-o-Y basis as a percentage of sales so that we

can get a better idea of the underlying profit growth for the stand-alone business?

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Ashish Goenka: So, Percy, thanks for the question. We have stepped up our A&P as Sunil mentioned earlier. It's almost 100 basis points increase over last year. So that's the one reason for a bit of underlying numbers on the EBITDA on standalone. The second, of course, is the Capital Foods, which has a marginal impact. As the full synergy benefits come through, we will see this improved.

Percy Panthaki: But Capital Foods is not in the standalone, no? It's in the subsidiary, right?

Ashish Goenka: Part of it is in the standalone as well. But I think bulk of it is attributed to the A&P, which is almost 35% growth versus last year, as I

said, 100 basis point improve.

Percy Panthaki: Understood. Understood. Secondly, I just wanted to understand on NourishCo. What is the total distribution reach that you have right now? And how does that compare to the universe?

Sunil D'Souza: So, the total distribution reach last year was about 650,000 outlets, which we improved to 950,000 this year. So that's about a 50% increase. But I would say we're probably index -- if I take an index to what the universe is there, we're probably at maybe 15%, 20% of the universe, Percy, a long way to go.

Percy Panthaki: Understood. Understood. And you're growing so rapidly. So, are you really just taking market share from the very small unorganized tail brands? Or is it also some amount of market share gain from the larger brands in the packaged drinking water space?

Sunil D'Souza: So, our portfolio is completely different from the big boys, right? I would say in the packaged drinking water, which is Tata Copper Plus, and I'm just taking -- there will be a significant amount of market share that we will be taking from other players as well as taking off from organized players, but the larger -- unorganized players, sorry. But the larger portion, I would say, is probably coming even from the branded players, right? Now we're the #5 water brand now in India. Tata Gluco Plus is a cup which is a completely differentiated format. I'm not sure we are taking away from the big boys. There is enough category expansion out there given per capita consumption that we are driving for.

Percy Panthaki: And Tata Gluco Plus would be approximately what percentage of your NourishCo turnover?

Sunil D'Souza: It would roughly be about 40% of the total NourishCo turnover, 60% would be Tata Copper Plus.

Moderator: Thank you. We'll take the next question from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question, again, was on the international margins. So, we've seen a big step-up in the fourth quarter compared to even the last 2 quarters. Was there anything specific this quarter which additionally led to a margin expansion? Or this is the full benefit of the changes you've done? And a related question is this coffee inflation last time did hurt your U.S. margins. Do you anticipate any pressure given the current trend from the coffee prices?

Sunil D'Souza: So let me answer your second question first. I think last time around, we were -- what's the right term, we were a bit slow on the reaction because we had not expected the pricing to move

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as fast as it did when coffee prices came down. And our reaction time on the shop floor and converting it into promotions was a bit slower than competitors. And therefore, it was a double whammy. I mean, volumes were soft, and we did not get the throughputs.

This time around, we've been very agile because we saw this coming slightly early in the day, and therefore, we moved in line with coffee prices. So, I would not -- while absolutes might move up and down because of the softness on the total top line, with the price increases that we are now seeing coming in back into the market. Margin terms, I don't think there will be too much of an impact. If anything, we should expect an improvement. That's number one. What was the first question, sorry?

Arnab Mitra: Sir, it was the 1.5%, the margin...

Sunil D'Souza: Okay. So, on the international business, a couple of things. We had kicked off our international restructuring last year in the same quarter, right? So, this year, we are seeing the full benefits of the entire -- and when I'm talking of restructuring, it's not the legal entities restructuring, the cost restructuring in the international business. So, we're seeing the full benefits of that flowing in and that's number one.

Number two, last year, about this time, was when we start

ed, how do I say, revamping our

entire products/brand proposition in -- especially in the U.K., where we put in 10% Assams into the tea, brought it up to par, changed our entire packaging, make it -- made it sustainable,

changed our execution dynamics and went for proper distribution, execution in a heightened manner.

We're seeing the benefits of all that flow in. Plus, because now we've got a stronger proposition in the market, we have also started to take price increases to put us on par and not at a discount to all the competitors in the market. We have taken some pricing again this year, and we are seeing our maintaining of market share despite all the pricing that they have taken. That's number one.

Number two is also, remember the Fruit & Herbal and specialties are, a, the growing parts of the market, also the better margin parts of the market. That part of the portfolio is also getting ramped up between Good Earth and teapigs. We are now up to a 10% share in the U.K.

So, all multiple pieces flowing in, we do expect to see, as I said, the international margins, right now are about 200 to 300 bps better than our India businesses -- overall businesses. We do expect to see that accretiveness to continue.

Arnab Mitra: Sure, Sunil. My last question was on Salt. So, you've had a huge margin -- market share expansion. Now from here on, is the pace of expansion going to be a lot more modest given that the distribution leg has already played in. And given that the category itself doesn't grow much, does it mean we should expect less than mid-single-digit volume growth now in Salt going ahead?

Sunil D'Souza: So let me put it this way. If I rewind about 18, 20 months back was when we took our significant price increases, which is roughly around 30%. At that point of time, our value

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markets -- our overall market share was primarily driven by value and not by volume because we put our margins on track and continued to execute. Right now, our growth is driven by volume and not as much value because we've not taken pricing, at least for the last, I think, 15 to 18 months, if I'm not mistaken. So right now, it is a pure distribution expansion, portfolio expansion.

Now value-added salts are now 9% of my portfolio versus when we started with the merger 4 years back. It was about less than 1% out there. So value-added salt, volume growth, distribution expansion. You would have seen the recent IPL opening day, Tata namak advertisements. We're putting salience behind it. So, we remain confident of continued growth in market share. I do not see a reason for us to slow it down significantly.

Moderator: We'll take the next question from Rohan Kalle from InCred Capital.

Rohan Kalle: Just wanted to check on the non-branded business margins. So, I'm assuming you've got strong gains on lower price inventory of coffee. So, I just want to understand how much of this inventory do we have left? Assuming now you will be procuring at current market prices, how should we look at these margins sustainably, at least in the near term?

And second question on the asset write-downs that are mentioned in the exceptional items. I just want to understand what the INR620 million asset write-downs was?

Sunil D'Souza: So let me take the first one, and I'll ask Ashish to take the second piece. Like I said, the unbranded business is in 2 pieces. There is largely a flow-through with a delayed impact of either upper or down on coffee prices in the solubles business because we buy coffee, convert it into soluble/extracts and then sell it off.

On the coffee plantations, there is a straight revenue uplift, which increases margins. Right now, we are seeing prices going up, and therefore, there is a benefit for the coffee plantations more than soluble. On the soluble business, we do not expect

too much movement because of prices going up and down. Ashish?

Ashish Goenka: Yes, on the second bit, as I was explaining earlier, this is largely a part of our annual review process that we look at all assets and across various parts of business, looking at the capacity utilization. On a most prudent basis, we have taken provision on some of these assets.

Moderator: Ladies and gentlemen, I would request Ms. Nidhi Verma to kindly proceed with the next question on the webcast. Over to you, ma'am.

Nidhi Verma: Sure. Thank you. So, there are a few questions on the webcast link. Okay. I'll just read those questions out. The first question is from Kajol. She's asking, "Can you please provide some more light on the subdued performance of Starbucks during the quarter?" And -- yes.

Sunil D'Souza: We've already talked...

Nidhi Verma: Yes, we've already answered that during the opening remarks, Kajol.

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There is another question from Nikhil. How long will it take for it to complete the integration of acquisitions? And when can we expect margin expansion based on these acquisitions?

Sunil D'Souza: Yes. So, we've always guided for 100 -day integration. We remain on track for -- so Capital Foods, we acquired February 1. So, by April end, we will complete the acquisition [integration] . Like I said, 95% of our front -end distributors are already billing Capital Foods, and we are on our way. So, we will complete Capital Foods in 100 days. Organic India was 16th April. We will complete it in 100 days. And post that, you will start to see margin expansion coming in.

Nidhi Verma: Yes. Thank you. There is a question from Keshav. He's asking, "Is there any update on the rights issue and any timeline ?"

Ashish Goenka: So, Keshav, we are on track on the rights issue and the process is on. And I think we should be able to conclude it by early quarter 2.

Nidhi Verma: Thank you, Ashish. There is a question from Jigar. He's asking, "What is the reason of profit decline even though revenue has grown?"

So, I think this has been explained enough, Jigar . It's led by exceptional charges. Net of that, the profit has actually grown 42% as we've seen.

There is a question from Samar. He's asking, "Can you give some color of the business of Starbucks a gain in terms of its revenue and earnings to overall business?"

So just -- I think you're asking about the accounting treatment . It's shared...

Sunil D'Souza: So, Starbucks is not accounted for in our consolidated. We consolidate it as part of associates and JVs, INR 1,200 -plus crores of top line, which has grown at 7% for the quarter.

Nidhi Verma: Yes, I think that's pretty much it from the webcast. Sorry, there is another question asking if there are any plans on entering the BPC segment?

Sunil D'Souza: So, like I said, we've always said that we want to be a total FMCG company. Right now, we are focused on being a food and beverage company. I think we've shown our intent very clearly to grow organically and inorganically. We do think there is still a runway left there. Once we think we've exhausted the runway out here and we see a bigger opportunity in moving beyond food and beverage, we will definitely look at that.

Nidhi Verma: Okay. And I think there is another housekeeping question from Neeraj. He's asking, "Is the decline in India business EBIT margin, like what is leading to that? Why is it declining from 15.5% to 12.9%." That's his question.

It is led by the amortization charge, Neeraj, yes.

Sunil D'Souza: Amortization of Capital Foods.

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Nidhi Verma: Yes. Okay. And there is one question asking what would be the growth strategy for Tata Sampann moving forward?

Sunil D'Souza: So, Tata Sampann, we very clearly said that we want to be a total pa

ntary brand. We've

identified very clearly the categories that we want to play in Tata Sampann. Right now, we are in pulses, spices, and a variety of other pantry products. As we gain scale and improve both our brand strength and therefore, pricing power and our back -end procurement, we continue to improve margins on Sampann.

Nidhi Verma: There's a question from Sachin asking, "When you say growth businesses will be 30% of the consolidated revenue, does it also include Capital Foods and Organic India?"

Sunil D'Souza: Yes. We said before we did this integration -- we did these acquisitions; we had said we expect growth businesses to account for 20% of our top line and growing at 30%. Just as this thing last quarter, we grew at 18%. Going forward, with Capital India -- Capital Foods and Organic India, we expect growth businesses in India to be 30% of our portfolio, growing at 30%.

Nidhi Verma: Thank you. Thank you, Sunil. I think we've covered most of the questions, actually, all of the questions on the webcast now. So yes, with that, I think there are no further questions in the Q&A queue as well. I would just like to take this opportunity to thank you all for joining the call. If you do have any remaining questions, please feel free to get in touch with us. Thank you.

Moderator: Thank you very much, ma'am. Thank you , members of the management. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

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Sub: Transcripts of Conference Call pertaining to financial results for the quarter ended June 30, 2024

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), we are submitting the Transcripts of Conference Call held on Tuesday , July 30, 2024, in respect of the financial results for the quarter ended June 30, 2024.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
Membership No. ACS73704
Encl.: as above

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External -Generic

"Tata Consumer Products Limited Q1FY25 Earnings
Conference Call "

July 30, 2024

MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR & CEO
MR. ASHISH GOENKA – GROUP CFO
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR & COO
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS &
CORPORATE COMMUNICATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Tata Consumer Products Limited
July 30, 2024

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External -Generic Moderator: Ladies and gentlemen, good day and welcome to the Tata Consumer Products Limited Q1 FY25

Earnings Conference Call hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you, sir.

Manoj Menon: Hi everyone, wonderful, good evening to all of you. Representing ICICI Sec as always, it's our absolute pleasure and privilege to host the Management of Tata Consumer Products for the Results Conference call.

Over to Nidhi Verma from the management for further proceedings, please. Thank you.

Nidhi Verma: Thank you so much, Manoj for hosting the call. Hi, welcome everyone to the Q1 FY25 Call for Tata Consumer.

As you would have seen, we have just announced our results this evening. For today's call, I'm accompanied by Mr. Sunil D'Souza – Managing Director & CEO; Mr. Ashish Goenka – Group CFO; Mr. Ajit Krishnakumar, Executive Director & COO.

What you see on your screen is the safe harbor statement. So, I want to draw your attention to that. As you might be aware, we are in the middle of our rights issue, which we recently announced, and the details of which are available in the letter of offer. But before we proceed, I just want to give you some context that as per the statutory guidelines issued by the regulator regarding disclosures and external communication, we would not be able to share any forward-looking statements and also not disclose any further details on the proposed fund raise other than what is shared in the letter of offer.

So, I request your cooperation to limit your questions related to Q1 FY25 performance. So, with that, I will now hand it over to Sunil.

Sunil D'Souza: Thanks, Nidhi. We announced our results today.

Our consolidated revenue was 16% in Quarter 1. Organic growth was 10%. Two acquisitions contributed to 6% additional growth. During the quarter, India beverages grew 6%, 1% of which was organic growth with flat tea volumes year-on-year. India Foods continues its strong trajectory with revenue of 30%, 14% of which was organic. Volume growth was 10%. India International Business recorded 10% revenue growth, 8% in constant currency with EBIT growth of 46%, driven by previously executed structural cost initiatives and by significant pricing.

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External -Generic Now just as a perspective, when we are talking about India beverages, India foods, and International, for purposes of this discussion, we are calculating for Capital Foods in India foods, Organic India in India beverages because that is the way we manage the businesses on a day-to-day basis. And because the acquisitions were done with a substantial business in India, from a management perspective, it is easier for us to calculate it this way. So, therefore, you will probably find a bit of discrepancy between the statutory numbers versus what you see on the management commentary. For example, in the statutory pieces, you would see all the sales done for Organic India in the US calculated on the US numbers or Capital Foods done in the US calculated there whereas here, we are collating it into India. So, just wanted to clarify this because I believe there has been some queries about why the mismatches.

Now, growth businesses grew 20% organically. The ready-to-drink business was impacted by intense summer and our ready-to-drink business is primarily an out-of-home single-serve business. It is no

t a take-home business and that is why we saw the impact. Apart from that, there were some pricing actions, tactical pricing actions which were delayed during the quarter that also impacted the business.

Now profitability continued to improve at group level. So, while our consolidated revenue has grown 16%, our consolidated EBITDA has grown at 23 % giving us a margin expansion of 80 bps to 15.4%. Integration of Capital Foods, including cleanup of the additional channel inventory that we talked about last quarter, is complete. And the run rate is trending as expected. Integration of Organic India is moving as per schedule. We had committed to complete it in 100 days and we seem to be on track for that.

Starbucks, in line with our plans, opened 70 new stores during the quarter and therefore now we are totally at 438 stores at the end of Q1. We announced the rights issue. We expect to close on 19th August. And as announced, we will use the proceeds to repay short-term debt financing raised for acquisitions.

In terms of performance, India beverages, which I repeat, if you see the logos underneath, includes Organic India there, grew by 6% and delivered Rs. 1,523 crores of revenue. India foods were Rs. 1,346 crores of revenue with a growth of 30% which includes Capital Foods. Excluding Capital Foods was 14% growth for India Foods. India beverages was a 1% growth. International constant currency growth of 10% 8% to 2% growth including Forex and therefore total revenue growth of 10%. Non-branded had a good quarter with a total revenue growth of 33 %, all in Rs. 4,352 crores. Organic growth of 10% and total revenue growth of 16%. So, Rs. 4,352 crores 16% revenue growth translating into 23% EBITDA growth at Rs. 671 crores expansion of 80 bps.

PBT before exceptionals, just to draw your attention, PBT includes two items. One is amortization for the acquisitions, which was not there last year. And number two, the impact of using up all the cash that we had on books as well as drawing up on bridge financing which has resulted in interest cost for the quarter. And that's why PBT before exceptionals is negative at 6%. And group net profit before exceptionals is down by 11% versus last year at Rs. 302 crores.

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External -Generic All in, net profit at Rs. 289 crores and net cash, so for the last two quarters is when you would have seen a reversal. We used to sit on a similar number excepting in the positive territory. Right now, we are Rs. (-2,857) crores, which the rights issue would help us to repay and therefore remediate.

In terms of strategic priorities, in line with what we had already talked to you in Q4, we spent Q1 in adding feet on street. In all 500,000 population towns, we have two salesmen going to market. One salesman carrying tea, Organic India and Soulful and second salesman carrying salt, Sampann and Capital Foods. Whereas in the still larger cities with a 1 million population and select 500,000 plus population towns primarily in the South of India, we have three different salesmen. The whole objective being as over the years from being a simple tea and salt company, we have grown into a larger food and beverage company. Our portfolio has got complex with multiple products, categories, and SKUs added. And therefore, to release bandwidth at the front end, we have separated out the categories so that the salesmen get more time to focus.

Modern trade continued strong growth at 28%, e-commerce continued at 61%, and in line with our announcements during the acquisitions itself of addressing the opportunities in the pharmacy channel and food service, we have initiated pilots in six cities for pharmacies and planned pilots in two cities in food service. We have invested behind our brands, our A&P to sales ratio has been inching up and you see it as 7.8% for the quarter. And

and our journey of innovation has now

evolved into more breakthrough, more margin accretive, bigger, better innovations. We launched Tata Salt Panch Tatva, which is with added 5 vitamins and minerals.

One of the single biggest consumer pain points in using Millet Atta, that is Ragi Atta or Jowar Atta is a fact that you can't roll it like you roll Wheat Atta and the R&D team has cracked the code on this one and we have launched Easy Cook Ragi Atta, by which you can make rotis as easily as you can make with atta from wheat. We have also launched Millet Oats Plus Dal Shakti, which is giving a completely different texture and taste to the product. And our launches online with cold press oils, for Tata Simply Better have done very well and therefore we have added one more SKU to it of olive oil.

We had committed last quarter when we finished the acquisitions that we will move our growth businesses from being 20% of the portfolio to 30% of the portfolio. We had also committed saying 20% of the portfolio was growing 30% and that 30% will grow at 30%. Unfortunately, we have been a little bit short this quarter. And like I mentioned earlier, it is primarily to do with NourishCo and the base growth portfolio grew at 20 %. But if I add, and this is mathematics, if I add Organic India and Capital Foods, it now shows 66 %. We have more or less completed our integration of Capital Foods including announcing the new organization and reporting structures. And we are on track as I mentioned to complete Organic India in 100 days.

Key commodities for the quarter. The only thing I would urge you to remember is that commodity prices in the quarter do not impact the quarter necessarily, could impact different quarters. Tea prices have been hovering between 15 % to 20 % higher in North India because of the impact of drought and therefore the reduction in crop in North India. Similar story for South India. Tata Consumer Products Limited
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External -Generic India but the impact has not been as high. It's roughly around 10%. The good news on the other side is that prices have been largely benign for us in the Kenyan market. On coffee, they have been on a secular uptrend, whether it is Robusta or Arabica. Robusta prices are roughly 50% higher from where they were just about 2 quarters back.

In terms of business performance, India packaged beverages impacted by a very high heat and summer wave, volume growth flat, revenue growth of negative 1%, volumes are flat, category impacted by intense summer. Coffee, however, we continued to have a good run, albeit a relatively smaller base and we grew at 28%. We did have a few launches including Tata Tea Chakra Vita Care which was launched in Tamil Nadu, and we did put A&P money behind the brands.

On foods, volume growth came in at 10 %. Organic revenue growth at 14 %, but total including Capital Foods revenue growth at 30 %. Salt revenue grew 9% driven by 8% volume, which is probably one of the stronger volume growth that we have seen in sometime. Value-added salts also grew 35% in line with our premiumisation agenda. Sampann continues its strong trajectory growing at 37%. Ready to drink - Copper Plus did grow at 22%, but overall, we had softness on the Gluco Plus, which is a single serve part of the portfolio and therefore revenue came in at only 7% and Rs. 311 crores for the quarter.

Capital Foods combined gross margin of 48.4 % between Capital Foods and Organic India which is accretive to the India portfolio. Organic India revenue came in at Rs. 71 crores, Capital Foods Rs. 164 crores, which is more or less in line with what we expected. The identified synergy benefits, meanwhile, have started flowing in and we can already see it in EBITDA margins for the quarter itself.

Non-branded business, we had a very strong quarter of 34% revenue growth, primarily driven by very good

coffee prices. Plantations also recorded growth of 34%. EBIT margin for the non-branded business probably hit a record, expanding 600 basis points. Starbucks opened 17 stores, now it's present in 65 cities with 438 stores. Traffic was a bit of a challenge given the heat wave during the last quarter.

UK continued its strong results, growing revenue 14%. US, while coffee revenue declined 4%.

Tea revenue grew by 8%. Canada continued its strong performance with 12% revenue growth and more importantly, 17% growth in specialty tea as Canada continues to look to expand beyond Everyday Black.

Financials, Ashish?

Ashish Goenka: Thanks, Sunil. I think Sunil has largely covered the key financial highlights for the Quarter. I will just make a few key call-outs.

One on the standalone results, the growth in revenue was 21%, and EBITDA growth was 8%.

Consolidated revenue, as Sunil mentioned earlier, was 16%, and on an underlying basis, also

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External -Generic 16%. We had a strong EBITDA growth, growing at 23%, and our margin expansion, consequently, was about 80 basis points.

On the financials at a consolidated level, I think a couple of call-outs. One is on the depreciation and the amortization line. You would have seen a significant growth versus last year. Large part of this is contributed by the amortization charge that we're taking on the recent acquisitions of Capital Foods and Organic India. The approximate quarterly charge is about Rs. 55 crores here. Then on the net interest income line, again, you'll see a big swing that is impacting the profitability by almost 200 basis points. That, again, is on account of 2 factors. One, we have swept up the cash that we were carrying to fund for the acquisition. And we have a bridge finance of Rs. 3000 crores that we will be taking out once we have the proceeds of the rights issue. And that is impacting the profitability at a PBT level this quarter. So, with that, the PAT growth came in at minus 12% and the group net profit, therefore consequently came at minus 14%.

Segment performance, nothing much to call out as Sunil has already explained. The way we are reporting our segments are inconsistent with what we have followed in the past, which is to account for the businesses as per their geography and therefore you will see a bit of a diversion from the way we are explaining the numbers to make it more understandable versus the way

reporting it in our segment reporting .

Sunil D'Souza: So, if I conclude; A) the intense summer in many parts of the country impacted demand especially for hot beverages which is primarily our Tea business in India and out of home categories. Within international, demand remains stable in UK and Canada. Coffee category in the US continues to face some headwinds and high volatility in terms of coffee prices. Erratic weather patterns have affected tea production in India, leading to volatile prices. While packaged beverages, ready to drink, and Starbucks businesses were impacted by the heat wave which I have talked about, India Foods , international and non -branded delivered a strong performance. Growth businesses accounted for 29% of the India business, that's including Capital Foods and Organic India. The international business continued its strong momentum, growing 8% in constant currency with a significant expansion in EBIT margins of 420 bps, led by structural interventions of the past as well as tactical pricing.

Non-branded business continues to benefit primarily from record high coffee prices. While the Capital Foods integration is largely complete, the transactions for Organic India was completed on 16th April and we have made a commitment of completing it in 100 days.

Nidhi Verma: We can open the floor for Q&A now. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer

session. The first question

comes from the line of Ab neesh Roy from Nuvama . Please go ahead.

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External -Generic Abneesh Roy: Yes thanks. My first question is on your initial remarks of pilot project you are doing in chemist

shop and food services. If you could elaborate what exactly you are testing there and when do you see proof of the pudding coming out and second is now that 3-4 months of the M&A has happened on these two. What are the key differences in terms of technology, systems and process? And which ones would you need to change to align with the mother company?

Sunil D'Souza: So, in terms of channels, as was the hypothesis right in the beginning when we acquired these companies, we have products which could appeal to the pharma channel, excepting today our distribution system doesn't reach into the pharma channel because they're not geared towards that. They primarily reach to the kirana stores and groceries. The idea is to figure out a distribution system . There are different ways of reaching the pharma channel. You can go through an OTC distributor, you can go through a pharma wholesaler, you can go through FMCG distributor. So, it's basically to prove a sustainable model by which we can reach the pharma channel. So, we are trying out a few hypotheses because we do believe if we manage to put this system into play, we can sell a decent range of premium products into this channel because if you look at pharmacies , normally they would sell green tea, they would sell coffee, they would sell premium water, they can sell low sodium salt, a lot of them do sell sauces, ketchups, etc. So, that's number one. In food service , again the idea is that today we have a portfolio which includes almost everything that almost significant portion of what a hotel or a HoReCa channel player buys. Again, we do not directly reach that channel today. And like we have said, if you look at it globally, many of the large multinationals do have a dedicated food service distribution system. So, the idea is to figure out how to create that system between Capital Foods and the soups, noodles, ketchup, sauces that they have, the tea, coffee, salt, pulses, water. I do have a sizable portfolio to address the HoReCa needs. Again, the idea is to first create a pilot to figure out that we can profitably sustainably build this channel out. And once it is proven out, then we will figure out how to scale it. So, that's number one. In terms of having seen these different products, the manufacturing technologies in these two products are different, right? So, that is one of the things we highlighted is again this is in line with what was the hypothesis for the acquisition is these are value -added products with gross margins significantly ahead of our base portfolio. The manufacturing technologies for these are different. For example, in Organic India supplements , it's manufacturing capsules, right? I mean, nowhere else in our business do we manufacture capsules. Now we have learned what we need to do to handle that part of the portfolio or for example in Capital Foods, one of the highest selling products is Schezwan chutney. In our system, we have not sold chutney, not in bottles. So, now we have learned those technologies. I do think we have integrated these businesses very well so far. There are opportunities that we have seen. We have highlighted that earlier in terms of synergies, in terms of various cost items, including packaging etc., which the team is focused on. But in technology terms, again, this is not high technology in its truest sense and therefore not difficult to master.

Abneesh Roy: My second question is on the heat wave in Q1. So, it impacted both in -home tea consumption and also impacted NourishCo out of home consumption. So, now global warming is a reality.

This kind of effect

can again happen next year or maybe year after that. So, is there any proactive step you can do to de-seasonalize Q1? And second related question is FY24 started with a bang for NourishCo. After that, almost every quarter, some or the other issue has happened. So, in
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External -Generic terms of distribution or the pricing, you mentioned some bit on pricing also. Is now Nourish Co 2.0 needed to overcome all this?

Sunil D'Souza: So, a couple of things, Ab neesh. I cannot predict the future and therefore, I cannot predict what climate change will do. All that I can do is make sure that my system is robust enough to handle the ups and downs of either consumer demand or commodity cost fluctuations as and when they happen. Last year also, that I am talking of FY 23-24 also, we had seen heat waves in, if I am not mistaken in the month of July and therefore commodity prices going up and down. This year we saw slightly more severe version so to speak, but the point about de-seasonalizing is I cannot change consumer demand per se, and therefore that is the difficult portion, but at the backend, we are putting in systems to make sure that we're adapting to these changes as we go forward, that's number one. NourishCo, you're absolutely right. I think we need a set of corrections. As I said, while it had an impact of unseasonal summer and an impact on out of home consumption. As I mentioned, we also did not take some tactical pricing decisions in time for the business. So, I wouldn't go as far as to say we need a NourishCo 2.0. I think we just need to put our feet on the ground, our heads around the table, figure out what it needs to fix and go fix it, as simple as that. Not a very difficult proposition. And I would think the team has already started putting last quarter itself towards June, we have started putting the corrective actions in place.

Moderator: Thank you. The next question is from the line of Manoj Menon from ICI CI Securities. Please go ahead.

Manoj Menon: I've got a couple of clarifications. If I take a step back, let's go 12, 18 months back, you had attempted a bunch of innovations, right? Whether it is saffron or almond etc. in e-com specifically. And I do recall, there's been a lot of new category experiments you have done. If you could just highlight what are the learnings from those and are there any particular sub segment which you see significant promise?

Sunil D'Souza: So, Manoj, absolutely right. I mean, one of the reasons why you see Sampann chugging along at a 37% is because of some of the innovations and expansions that we have done, especially online. Specifically coming to dry fruits, that was one of the categories that we had entered with the hypothesis that a) there is no national brand, b) it is a trust deficit category, and therefore we have every reason for the Tata brand name to succeed there. And we have been proven right because only online we have managed to build about Rs. 70 to Rs. 80 crores run rate in dry fruits. After that, about six months back, we took it offline to figure out whether now it has legs to go offline. We figured a couple of tweaks needed for the offline business. A) was instead of the standard pillow packs that we were selling online, we needed standup pouches and B) the consumers in offline wanted, at least in specific, for example, in cashews, needed a transparent window to see what is the percentage of broken in the packs, for example. So, it took us some time to get the packaging modified. But now that we got the packaging modified, we are seeing traction on placing dry fruits in offline as well. Similarly, cold press oils, one of the hypothesis again was there is no big national player there. And therefore, there is an opportunity in a category which could be a question, right? Is it really cold press? Is it not? And therefore, we

put in, if I'm not mistaken, we put in two or three SKUs and slowly now we're figuring out

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External -Generic success. Again, we are coming up, I think, close to a 100 -crore run rate only for cold press oils and only online. But that, for now, we will continue online. At some point of time, we need to figure out if at all we go to offline.

Manoj Menon: Understood. Sunil, if I just try to understand, let's say of the excellent growth in Sampann, how much broadly would be let's say the base one, which is let us say pulses, etc. and the newer products?

Sunil D'Souza: So, I would say probably two-thirds, one-third, probably two-thirds of the growth is coming from the base businesses. And one-third is coming from newer launches, which I would say is probably 12, 18 months old.

Manoj Menon: Understood, that's very helpful. Just one comment that you had made, I think again 18, 24 months back, was that in Sampann, the pulses part of the business or let's say the closer to commodity part of the businesses, given that some value has to come from supply chain also, you indicated some work being done there. And if I recall correctly, it was a year timeline from at that point in time. Any update, any changes you have done, any tweaks in the backend?

Sunil D'Souza: So, Manoj, essentially we had said that as we grow scale and as we stick in the business for a longer time, we will figure out how to build margins in the business. Now we are seeing

Sampann margins slowly, steadily rise every quarter. And that is for two or three specific reasons, right? A) As we have played around with these commodities, we have learned more about the commodities, we have learned about the cyclical nature of the commodities. For example, now we know we monitor your sowing area right in advance so that we know upfront what is coming around the corner in pricing or we figure out right now whether the crop is high, low, etc. and therefore what is going to happen in pricing or the fact that the government is allowing imports and /or exports and therefore what's happening in the pricing. So, a) trends we are able to read better , number one. Number two, we have got larger scale and therefore the ability to negotiate harder in the Mandis when we are buying. And number three , is very, very specifically we have now started to look at 3-4 months ahead and take positions on commodities. Yes, have we gone right all the time? No. But broadly we have been in the ballpark on the money when it comes to making the calls on doing forwards. So, these are the two or three big items that we have learned to do. And like I said, Sampann margins, the good news is they've been creeping up every quarter.

Manoj Menon: Very clear, thank you. And one last thing from my side, your views on quick commerce and how significant it is for you because the reason I'm asking because what I do hear from those companies is that it appears to be a channel which kind of, let's say, pushes premiumization significantly. So, just some color on, let's say, how are you working with quick commerce and within your e-com, how big has QC become as we speak? Thank you.

Sunil D'Souza: So, Manoj , we have seen overall e-commerce grow and within e-commerce, quick commerce grow quite significantly. Now, the good and bad part is in some cases , it is difficult to quantify what is quick commerce and what is commerce. BB and BB Now, right? There is a very, very
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External -Generic fine line drawn there. But that said, if I'm not mistaken, about 35% of our e-commerce business, and we showed you e-commerce is growing 60%, about 35% of that is coming from quick commerce.

Moderator: Thank you. The next question is from the line of Mihir P. Shah from Nomura . Please go ahead.

Mihir P. Shah: So, my

first question is on the Tea landscape in India. I believe that in this quarter also there is a price cut that was effective along with the market leader who had also taken a price cut and now we are seeing tea prices shooting up. How should one read the tea prices shooting up as your low price commodity would have been exhausted in this quarter and maybe higher tea prices can start impacting margins? So, maybe some color if you can share on pricing action needed or margin pressure and the competitive intensity in the tea landscape currently.

Sunil D'Souza: So, Mihir, apologies for this, but in line with what Nidhi said, right? I cannot make any forward-looking comments today. I can give all the clarifications after we finish the rights call later on. But for now, I can give you data points of the past. You are absolutely right that there have been some cuts in price and or additions of grammage at the same price in the last quarter, number one. Number two, Tea prices in North India have been up by about 15 %-20%. Tea prices in South India have been up by about 10 %.

Mihir P. Shah: I understand completely. So, second, I wanted to check on the international business. Coffee prices, again, they have shot up. We are seeing pressure on volumes once again on coffee prices. However, I believe given the change in dynamics that have happened with Hindustan Unilever globally in the Tea, you are being a key beneficiary of Tea. And that is why we are seeing good growth in Tea coming. So, maybe if you can help us with the breakup like you used to give before on constant currency , volume , pricing, that would be very helpful for us to model in our numbers.

Sunil D'Souza: It's a fair point. The only reason why we did not give volume, for example, India beverages like I said today includes Organic India and India Foods includes Capital Foods. And that is why we have not given volume because it's not a straightforward line. But point taken, we will try to be more specific as we go forward.

Moderator: Thank you. The next question is from the line of Latika Chopra from JP Morgan. Please go ahead.

Latika Chopra: I wanted to understand what is your procurement process ? What is the salience of North India versus South India Tea composition in your mix? And what is the sense on inventory for tea that you have? And I believe the typical tea procurement season starts for you over June, July. If you could give some color on the process and then the typical inventory that you hold. Thank you.

Sunil D'Souza: So, Latika, A) is overall industry is about 80 -20, 80 % North India and 20 % South India and we are more or less in line with the industry. That's number one. Number two, you're right, actually procurement season for us starts sometime, I would say middle to end of May and goes on till

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External -Generic about October, November. And we buy through the season because starting mostly depends sometimes early December, sometimes end December, the Tea Board would stop plucking in North India. And therefore, there is very minimal Tea available and whatever is there is not of the quality that we would require in entire Q4. So, buying is primarily end of middle to end of Q1 going up to Q3.

Latika Chopra: My question was on the India business revenue growth on an organic basis was 7%. And the EBITDA growth was 6% in the quarter. Any color you can give on what caused the margin moderation or anything specifically?

Sunil D'Souza: So, it was primarily I would say impacted by two items. Number one is there is basically extra A&P spending that we have done during the quarter to fuel the brands and we called that out. A&P percentage to sales in India is 7.8%, number one. Number two is we have added feet on street, which again has impacted the P&L line and there's been that cost which has come

into the

P&L, both of which we think is the right direction for the business to go to.

Ashish Goenka: Also, just to add, we have also lapped up the cost of Capital Foods and Organic India, which has also come into the base now and as these businesses scale, we will start seeing the leverage come through.

Moderator: Thank you. The next question comes from the line of Vivek Maheshwari from Jefferies, please go ahead.

Vivek Maheshwari: My first question is, this time you have not explicitly mentioned anything on the market shares in Tea and Salt. Can you just elaborate on how has been the trend for you?

Sunil D'Souza: So, let me say, Vivek, trends have not changed dramatically from the past. Historically, we have seen gains in salt. Tea prices more or less have been balanced between the two layers. Yes, that's all I would say for now.

Vivek Maheshwari: And on the NourishCo bit, Sunil, once again, do you think, I mean, you did mention about some of the interventions, but from a product perspective, you are still happy with the product, whatever is there in the market and I know you can't talk about post the quarter, but anything to relook from a product perspective, offering perspective?

Sunil D'Souza: So, from a product perspective, I don't think there is anything significantly wrong Vivek, because these products have been proven over the past few years. And as you've driven availability, driven distribution, we have seen instant reaction. Like you saw Tata Copper Plus, there is absolutely even last quarter despite the heat wave, we didn't see too much of an impact, A. B)

For Tata Gluco Plus, as I said we missed some tactical tricks as there were movements in competitive activity and I think we did not react quick enough. We put in those corrections at the end of last quarter. On top of that, we have also launched Fruski now in cups which got a good response last quarter and now we are expanding it, A. B) Never, the energy drink, if you remember which we had piloted about 3 quarters back, think we are off to a good start and we

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External -Generic are going to expand. So, that's number one. Number two, I would also urge saying that if you look at last year Q1 for NourishCo, if I'm not mistaken, we had grown close to 60%. So, we are cycling a very, very high base. So, multiple pieces there. But let me say there is nothing that I find worrying in the business that we cannot correct going forward.

Vivek Maheshwari: OK, that's good to know. Lastly, from a presentation versus SEBI disclosure, it complicates things a bit at our end, because your segment from a, let's say, even at an overall level, India versus international, the SEBI disclosure has international piece of Capital Foods as well as Organic India, whereas the way in which we model revenues would be from CPT. Is there a possibility that you can align presentation also to include the way in which you include Capital Foods and Organic India as part of domestic sales instead of, you know, because as these two businesses grow faster, I think the gap between segments will keep expanding quite a bit. Is that something that you can look at?

Sunil D'Souza: Fair point. Vivek, we will definitely look at, I mean, we have got this feedback, I think, from multiple people in the past one hour or so. So, the idea is we want to be very transparent in the numbers that we put out. We will try and give all the different options so that you can look at and model it your ways.

Moderator: Thank you. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Just following up on the previous question. For this quarter, can you just give us a breakdown of how much would be the international business within Capital Foods and Organic India?

Sunil D'Souza: So, let's get back to you separately on

that, and we will give all the numbers.

Aditya Soman: Understand. And lastly, would you have a breakdown of contribution of modern retail and e-commerce for at least at a segment level, let's say, beverages or foods?

Sunil D'Souza: No, unfortunately, we don't track on a daily or a regular basis contribution by category, by channel, on a consolidated basis. Overall, historically, we have had about 11% to 12% contribution from e-commerce and 14% to 15% contribution from modern trade.

Moderator: Thank you. The next question is from the line of Vishal Punmiya from YES Securities. Please go ahead.

Vishal Punmiya: Yes, so my question is on Capital Foods revenue for the quarter. So, we have clocked around Rs. 164 crores for the quarter, which, if I extrapolate it to portfolio, it looks lower, way lower compared to the growth rates we are targeting for the business, as mentioned in the previous quarterly call. Any seasonal effect in the quarter or anything that needs to be highlighted?

Sunil D'Souza: So, a couple of things, absolutely right. If I do a straight line method, then 640 is roughly what we acquired the business at right for last year. And that's absolutely not the intent. I would just urge you to remember saying that by the time we finished signing up and starting to integrate, we were already in middle to end of Q4 last year. And therefore, this was still, I would say, a

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External -Generic quarter of integration for a couple of reasons. Number one was, as I said, when we took over the businesses, we figured out the inventory in the channels was a decent proportion higher than what we had expected it. So, that took some time to normalize, number one. Number two was while we moved the stocks from distributor A to distributor B etc., we insisted on a full and final before we started operations so that we don't land up into issues with any of the distributors anywhere and that's why we have had a very, very clean transition, even though in some places business paused for about a week, 10 days or so, that's number two. Number three, with modern trade in many cases, we did see some discussions starting again on terms of trade and can we do this, that, so there were pauses there. While also there were some delays on innovation from moving from Capital Foods to TCPL including in the case of canteen services etc. where again the supplies did get hindered to some extent. Apart from that, of course, there was also the quarter of learning for a team which was handling these categories for the first time and therefore the logic of forecasting, by pack, by channel etc. took a little bit of learning. For example, in ginger garlic paste, the team under forecast the Rs. 5 pack and over forecast the 200 gms pack or completely under forecast business in soups and then scampered around trying to figure out how to make ends meet. So, I would term this quarter as a quarter of learning. But like I said, we saw June almost normalized and come back to what we would expect the business to deliver going forward and therefore remain confident that we should be able to deliver the business case.

Vishal Punmiya: Understood. And also, in terms of gross margins, you mentioned combined gross margins at 48.4% and this looks lower than the 50% gross margin that Capital Foods has and 55% that Organic India has. So, when all these things normalize, do we expect those gross margins to go back to previous level?

Sunil D'Souza: Yes. Ultimately, we do expect gross margins to come back to the numbers that we stated which is significantly accretive to our current portfolio. In fact, if anything, the gross margin should climb higher and not stay where they are.

Moderator: Thank you. The next question is from the line of Akshen from Fidelity. Please go ahead.

Akshen: Just a couple of questions on the acquisitions.

First, for the quarter, you called out gross margins.

Could you just help us understand if the EBITDA margins, I know at EBIT you will have amortization. So, at EBITDA margins, are the two acquisitions accretive to overall margins in Q1. That's question one. And then question two is that from the time of acquisition to the closure, we had a number on revenue of around Rs. 1,100 crores between the two acquisitions combined, which was your forecast for FY24. Would you have an update on sort of if the numbers was ballpark the same number because when we are forecasting growth we are looking at that number. So, I don't want to mismatch that the number is higher or lower versus what we were thinking about when we made that position. Thanks.

Sunil D'Souza: So, to your question about EBITDA margins being accretive to what we took over, absolutely yes. With a small difference being we're seeing it significantly higher in Capital Foods because we had one full quarter of integration. Whereas Organic India, I would remind you saying we closed the deal on April 16th. And in Organic India, unlike Capital Foods, we did not transfer

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External -Generic stocks from distributor to distributor at the ground. We got stocks back to the C & F because 400 odd distributors, small distributors didn't want to get into issues of trying to settle with each and every distributor. And therefore, it took a little bit longer but let me say Organic India broadly has delivered margins in line with what they were delivering earlier. Capital Foods, we started to see the incrementality. We do not have any reason to believe we will not be able to deliver

the incremental numbers that we had looked at in the business case because nothing has changed in the assumptions. So, that's number one. Number two, for Capital Foods and Organic India, you mentioned that we had said about, if I'm not mistaken, it was 70 0 plus 400, Rs. 1100 crores is what we had talked about roughly. Instead of that, the final numbers for FY24 came in at Rs. 1007 crores.

Akshen: And just a follow up when you're thinking about growth of you know 25 %-30% on a run rate basis , you're looking at it on the revised base or at 1100, just..?

Sunil D'Souza: So, right now, we are working on what we have. And we remain quite confident that we will be able to deliver the business case.

Moderator: Ladies and gentlemen, we will now move to questions which we have received online.

Nidhi Verma: Yes, thank you. So, I will just read out a couple of questions. There is a question from Amit Agarwal. He's asking about the fact that we mentioned in the previous quarter that we lost market share in Tea business domestically. Have we been able to recover that? What is it as of now in tea and salt business? I think we have already answered that Amit. We have given you some flavor on how it's been trending. So, I move on to the next question. The next question is from Sachin Jain. He's asking, can you please provide EBIT coming from Capital Foods and Organic India for Q1?

Sunil D'Souza: So, on that one, very clearly, we do not break EBIT percentages for each and every category in India. We club it under the India business overall, and we report the EBIT numbers for India, because that's the way we manage the business. We do not have separate supply chains and separate sale systems for our different businesses. And therefore, we do not want to get into this allocation business and calculating numbers for every single category. I would urge you to look at EBIT and EBITDA numbers for the India business totally because one of the things that we had said was Capital Foods and Organic India margins are accretive and therefore they will be accretive to the EBITDA margins. I think you should watch out for the fact of whether we are delivering to that number or not.

Nid

hi Verma: There is a question from Senthil. He is asking in terms of energy drinks, are you looking at adding any SKUs in PET bottles similar to competition?

Sunil D'Souza: So, Senthil, very , very clearly we have always maintained that you got to play to your core competency and /or your differentiation. We do think that our primary differentiation is the fact that we are in cups which allows us to have distributed manufacturing at low cost CAPEX . And basically, as long as we drive around 150 -200 kilometers radius, it's a profitable business to
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External -Generic drive. Our cups are priced at Rs. 20 10 versus most of the big brands in the market of energy which are priced at Rs. 20. And therefore, we do think that price will be a significant differentiator. And there is no intention currently of moving into PET bottles. Cups is my single biggest differentiator, helps me manage the price point, helps me build the imagery and therefore currently we will stick to it.

Nidhi Verma: If I remember in the last quarter you briefly mentioned about vending business . Could you provide a quick update on the same. And secondly, can you provide some flavor on amortization charges for the acquisition?

Ashish Goenka: So, on the acquisition as I mentioned while discussing the financials, that is a charge of about Rs. 55 crores per quarter and that is likely to remain static quarter -on-quarter.

Sunil D'Souza: Yes, in the vending business, we did say that we have started, we did a pilot for the vending business , having seen success and the fact that we can build a sustainable business , we are starting to accelerate placement. We now have an installed base about 1700 odd machines and the plan is to aggressively expand that going forward.

Nidhi Verma: I think with that, we come to the close of this call. If you do have any pending questions, you can get in touch with us. Thank you again.

Sunil D'Souza: Thank you, everyone.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Oct 2024

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27 (Physical)

Sub: Transcript of Conference Call pertaining to financial results for the quarter and half ended
September 30, 2024

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations"), we are submitting the transcript of Conference Call held on
Friday, October 18, 2024, in respect of the financial results for the quarter and half year ended September
30, 2024.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
Membership No. ACS73704
Encl.: as above

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"Tata Consumer Products Limited
Q2 FY '25 Earnings Conference Call "
October 18, 2024

MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Tata Consumer Products Limited
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Moderator: Ladies and gentlemen, good day and welcome to Q2 FY '25 Earnings Conference Call of Tata Consumer Products Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you and over to you.

Manoj Menon : Hi, everyone. As usual, it's a wonderful good morning, afternoon, evening, depending on part of the world you are joining this call from. This is Manoj Menon representing ICICI Securities, and it's our absolute pleasure to welcome the Tata Consumer Management team for the 2Q FY '25 Results Conference Call.

Without much ado, over to Nidhi from the management for the further proceedings, please.

Nidhi Verma : Thank you so much, Manoj, for hosting us. Hi, everyone. Welcome. We announced our Q2 FY '25 results this afternoon, and we hope you have had some time to go through the materials. In the room, I have with me Mr. Sunil D'Souza, Managing Director and CEO; Mr. Ashish Goenka, Group CFO; and Mr. Ajit Krishna kumar, Executive Director and COO.

In terms of the format, what we'll do is walk you through some of the key updates during the quarter and then open the floor for Q&A. I would just want to draw your attention towards the disclaimer statement that is up on the screen. And with that, I will hand it over to Sunil.

Sunil D'Souza : So I would say in the face of what was a tough operating environment, I think we delivered a decent result. Up -- revenue

up 13%. India Beverages up 3% with tea volumes actually declining year-on-year. Just as a perspective, I think this is probably after a long, long time, we have seen a decline in tea volumes. India Foods revenue grew 28%, 9% organically because Capital Foods, for example, is collated here and volume growth was 1%. As a perspective, again, for salt, last quarter, we had grown 8%, and this quarter was 1%.

International business continued to fire, 7% revenue growth, 5% in constant currency and significantly improved profitability, primarily led by the U.K. continuing to go from strength to strength. Growth businesses grew by 15% organically. It's primarily because on the Ready-to-Drink business, we were impacted by unfavorable weather on one part. And the second part was there was competitive pricing, which we were late to the party. We have now corrected the pricing across the geographies. We are competitive now. And therefore, I would expect us to be coming back to our normative 25% to 30% growth very soon.

Newly acquired businesses continued. We have finished the integrations. We're now focusing on growing. And quarter-on-quarter, we are seeing growth coming in. Capital Foods quarter-on-quarter grew 25%. Organic India grew 45%. As we understand the business in more details, including the back-end channels, products, I think we will very soon be on a very strong wicket here.

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Consolidated EBITDA grew 11%. Margin actually contracted 30 bps to 14.9%, primarily led by higher input costs for the India tea business. As a perspective, tea costs have gone up by about 25% to 30%, and we expect them to stay elevated for some points of time. While we have taken gradual tea price increases, we have not so far passed on the entire tea cost increase to the consumer.

Salt market share continued to strengthen. We're now up by 150 bps on an MAT basis. Our tea business was marginal value movement of 20 bps. Just a point on market share out here. We've always maintained Nielsen is a sampling and doesn't pick up market share accurately. But finally, for the first time, now they have started to pick up competitive moves also in line. So that is an encouraging sign. Incubation of food services channel, which we had committed, we've started pilots in Mumbai and Ahmedabad and pharma channel across 10 cities, on both these things, we've started -- we're still not -- I would guess we will finish appointing all the distributors by end of this month, but initial results look quite encouraging.

We had NCLT approval, and therefore, we finished the merger of our wholly owned subsidiaries. And therefore, in line with that, you will also see a tax impact on our P&L because we had the advantage of offsetting some of the accrued losses in the wholly owned subsidiary. We continue to remain focused on the longer-term business opportunity in India for Starbucks. So Tata Starbucks is now the largest cafe operator in India with 457 stores across 70 cities.

Overview. As I mentioned, India Beverages revenue grew 3%, and revenue was about INR1,380 crores. India Foods about INR1,368 crores, revenue growth of 29%. International at INR1,000 crores, revenue growth of 7%. Overall, Non-branded, primarily driven by coffee prices, and to an extent -- a small extent with tea prices also had a 19% growth, reaching close to INR500 crores of revenue, all-in consolidated, 13% growth at INR4,200 crores.

Therefore, for the first half overall, India Beverages is a 4% growth. Foods is 29%. International is 9%, Non-branded 26%, all in INR8,500 crores at a 15% growth. So overall, 13% revenue for the quarter, INR4,200 crores, 11% EBITDA, PBT minus 16%. Just as a perspective, we still had debt on our books as we entered Q2. We finished the rights issue in the middle of Q2. And now as we exit the quarter, we are debt free, and there

fore, there will be

a positive impact from that perspective as we go forward.

But that said, you will still have an issue with -- because we used to carry cash, and therefore, there was an interest income. While we are now building up cash from the INR332 crores piece. So there will be a gradual build-up to the same level of other income that you would see on the P&L.

For the first half, 15% revenue, minus 11% PBT, group net profit minus 4%. Yes. And as you can see, now we are starting to be cash positive. So overall, a lot of action on some basic work across different functions. Overall, now we are into -- we are 30 out of our 43 -- roughly 30 of our 43 C&FAs are now on centralized planning and dispatch. As in orders from the distributors come to these locations. And therefore, it is just dispatch instructions which go to the C&FAs.

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The C&FAs don't have to sit and do their collation of orders, make the loads, calling the trucks. It's all done centrally, which, a) therefore, efficiency; b) in terms of monitoring service deliveries. Then the distributors, we have gone to an auto replenishment system. At the end of the quarter, it's now in 100% of the distributors where forecast minus inventory equals orders -- as simple as that. And therefore, there is no time spent by the sales guys on negotiating orders. More importantly, the new products launched, the smaller SKUs, etcetera, which normally get lost in the system will all start to balloon up, and we will make sure we are executing our entire range across every single distributor.

Lastly, we had rolled out our new DMS, which we named MAVIC starting last quarter, that is Q1. Now we are in 100% of the distributors. I would dare say we are now best-in-class on the system, albeit I would also say that not all the functionality is yet loaded in because we are going in phases. And very soon, there will be multiple capabilities, which will be loaded on here. Modern trade is now almost -- I mean continuing the trend. So the softness which you saw in the last quarter was primarily in general trade. Modern trade continued to deliver at 17% growth. E-commerce was 50% growth. And in e-commerce, we saw quick commerce come in very, very strongly.

I already talked about the food services and pharma channel. We continue -- despite the softness, we want to continue to strengthen our brands and our A&P-to-sales ratio in India continued at 7.5%. I talked about the market share [salt] plus 150 and [tea] minus 20. We

continued our focus on innovation. Innovation -to-sales ratio, we were at about 4.1% for the quarter. which is on track to -- for us to deliver a 5% plus for the full year. We had committed saying growth businesses will be 30%. Yes, we also said they'll be growing at 30%, which did not happen. But overall now, they are at a 30% contribution to TCPL [India] business. The growth businesses grew at 15%. And as I mentioned, primarily because of an impact on the NourishCo business, which we should see getting reversed soon. We did get an award for being the most sustainable consumer goods company, in fact, being Number 2 among the top 50 most sustainable companies across sectors from Business World's IMSC rankings in 2024.

In macro terms, you would see the dark blue line showing you the tea prices in Northern India, which are up by about 30% compared to 25% compared to last year. Similarly, while you will not make out just because of the scale differences, even South India has moved from INR102 to INR128. So there also, you're seeing a 30% swing. So tea prices on the upswing. Coffee prices, I don't comprehend the logic now for this anymore, but they continue to move up.

We've -- just as a perspective, earlier, we used to put Robusta in terms of dollars per kilo, but just to show you that they're moving in tandem, we've

moved both of them to cents per ounce.

In terms of business performance, we talked about packaged beverages, negative 3% on revenue, now negative 4% on volume. I talked about the raw tea prices. As I mentioned earlier, we have taken staggered price increases. We have not translated the entire cost increase into consumer price increase. Coffee continued its strong trajectory, and we grew 29% during the Tata Consumer Products Limited

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quarter. And we sort of re-launched the Tata Tea Premium hyperlocal campaign in version 2.0 in the key markets of UP, Punjab and Haryana and that has been received very well.

On India Foods, 28% growth, 9% of it was organic growth and 1% was volume. Salt market share, we continue to go from strength to strength. Value-added salts in line with their continued trajectory so far, continued to grow strong double-digit, grew 26%. Rock Salt continues to scale new heights every quarter. Sampann had a strong quarter, 26% growth. We did have impact on cost for salt because Mithapur recorded its highest ever rain since 1929. And in line with mitigating the cost increase, we've announced a INR2 price increase, which will start getting into the market this month.

On Ready-to-Drink, this was what I talked about. Revenue was negative 11%. We've re-indexed our pricing, and that was primarily to do with Tata Copper+ -- sorry, Tata Gluco+. Tata Copper+ continued to grow. It is up by 6%, but that is not on par with our expectations for this category. And we do expect that it will come back to growth very, very quickly.

New acquisitions have -- as I mentioned, we have continued to see growth quarter-on-quarter. Overall, Organic India, INR102 crores, Capital Foods, INR206 crores, both put together a 31% quarter-on-quarter growth. Gross margins for both the businesses are in line with expectations, accretive to the company. More importantly, we've started seeing synergies in both the businesses with very, very strong EBITDA expansion year-on-year.

Capital Foods, we had taken over at about 250,000 outlets. It now reaches close to 500,000 outlets. Organic India also, we have started to move aggressively on growing the brand. Sampling is the key focus. We have reached about 400,000 outlet -- households in Q2. Non-branded business, another strong quarter, 19% revenue growth, but just a piece of caution is now we are starting to see stress on demand in the Solubles business when pricing has reached, I would probably use a slightly loose term saying stratospheric levels. So therefore, now we are starting to see the stress there on Solubles.

We continue to be very, very watchful of coffee prices to make sure we don't get caught on a wrong footing in case there's a correction.

Starbucks, 19 new stores, as I mentioned, 457 stores now in 70 cities. A bit of stressful quarter here as well. And I would probably say in line with what we are hearing of across the QSR category. Traffic is the issue. Ticket size is not because once the consumer enters, we do see spending happening. Revenue grew only 2%. The team has put together a range of initiatives to try to drive traffic back very quickly, including launching a new classic range, which is both food as well as coffee, the pricing being the attractive piece to draw consumers into the stores. Our International, a strong quarter overall. UK, we are now officially the Number 2 branded tea player, Tetley share of 15%, Teapigs and Good Earth put together, adding to that share story. Revenue was up 7%. US, I would say, stabilized right now from being quite turbulent for about three quarters in a row. Coffee revenue up 2%, tea up 6% and market share now stable, both across bags as well as K-Cups.

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Canada, a bit of a hiccup, I would say, as we implemented our new packs from the Eaglescliffe factory.

This is the most sustainable packaging, PLA -based tea bags, with better quality of tea as well, which was launched in the UK is now being rolled across Canada. So as they've phased in and phased out, there has been a little bit of a hiccup, nothing fundamentally wrong with the business per se. Ashish?

Ashish Goenka : Thank you, Sunil. I think Sunil has talked about most of the key highlights on financials. Let me just cover some key points overall. At a consolidated level, I think quarter, we've seen 13% growth. In terms of EBITDA, we saw 11% growth over last year. Margins came in at 14.9%, this is a contraction of 30 basis points over last year, largely led by India. However, we did see significant margin expansion both in international and the non-branded business.

On a first half basis, overall, revenue at a consolidated level came in at a 15% growth. We saw growth across India, International and Non-branded business. Even at an organic level, the growth was 4% in India and at an overall portfolio level was at 7%. On a consolidated margin level, EBITDA margins came in at 15.2%. This is an expansion of 30 basis points over last year, and we saw margin expansion across India, International and non-branded.

On the consolidated financials, I think Sunil has talked about the numbers, maybe just two callouts. One is on the interest line, given that we have already squared off the bridge finance that we had taken for the acquisition, and this was done through the rights issue proceeds. We should now see significantly enhanced flow-through from EBIT to PBT as the interest cost comes down. And we will also see improvement in our other income as we start to build back cash.

The other point to highlight is on the tax line. The ETR for the quarter was significantly lower and as Sunil mentioned, this was on account of a one-off benefit that we got this quarter on account of the carry forward losses from our three wholly owned subsidiaries that got merged in the consolidated results. So I think that's about it from my side. I'll probably hand over to Sunil for the concluding remarks.

Sunil D'Souza : Thanks, Ashish. So in summary, erratic weather patterns have affected tea and salt production leading to input cost inflation. And we will start passing this off into consumer price. Global coffee category continues to face demand headwinds owing to record high coffee prices. India Foods, International and non-branded business delivered a strong performance, while India beverages had a soft quarter. Tea prices remain elevated. I would say you could expect to see that getting into quarter 1 of next year.

And therefore, staggered price increases have been actioned and you will see more price increases around the corner. We announced a price increase in Tata Salt effective October to mitigate the salt cost increase. We will continue to build momentum in the new businesses of Capital Foods and Organic India. We've done the rights issue, short term debt paid off and therefore company is now net cash positive. I will pause here.

Nidhi Verma : Thank you. We can open up the call for Q&A.

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Moderator: Thank you very much. We will now begin the question-and-answer session. We'll take our first question from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi : Hi, thanks for the opportunity. I have a couple of questions on profitability. Now India branded business EBIT was down 26% Y-o-Y. How should we think about now since you've taken a few staggered price increases in tea as well as price increase in salt. Going forward, sequentially will margins improve or will there be more pain before margins recover from September quarter levels? And this is primarily India branded business organic EBITDA margins.

Sunil D'Souza: So Jay, let me slice it in two or three different ways. For salt

it I think more or less we mitigated the cost increase. So that is done. You could see us maintaining/inching up slightly the margin. I would say no significant movement there.

Jay Doshi: Was there a significant headwind from salt also in September quarter in terms of your profitability?

Sunil D'Souza: No. September quarter the cost has not come in through us. Remember the cost comes in at Mithapur which then flows in into our system. When we knew this cost is coming through because they had to buy brine because of the excessive rains, our own fields could not supply the brine. Therefore, we had to buy brine which is the cost. And therefore, when we knew it was happening, we have proactively mitigated it with the price increase.

On tea there are two things. A) in a logical world, you would pass on the cost to a consumer, albeit maybe in a graded way so that you don't pass 100 at one shot, you pass it in two parts or

three parts. Now the thing -- key thing is you have to remember, it's a competitive environment out there and the one thing we will not do is sacrifice the long term to deliver a short term. Therefore, I will -- and I've maintained this earlier market share is a very, very important metric to me. Profitability is probably the next. Ideally, I would like to see both of them there. But therefore, we will make sure we are competitive out there and move lockstep as competitors move.

Therefore, while I expect the margins to be slightly better, I would not put a wager on it because it depends on the competitive environment as well. I've given a long answer to a short question, but I do overall think that they will probably move better. How much? I'm not very sure.

Jay Doshi : Sure. A follow-up there. First of all, I think India business EBITDA on organic basis has declined 23%, that you've called out in the presentation. So what would be the decline for branded businesses because I believe the India business would also include some non-branded component?

And I initially referred to 26% EBIT decline that you report in segmental, but I'm assuming that would have some inorganic component also. So if I can understand what is the branded business India EBITDA decline Y-o-Y?

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Ashish Goenka : So Jay we will reach out and give you the numbers separately, but I think the branded business the largest impact was in the tea cost as Sunil mentioned, because year-on-year we are seeing almost a 20% decrease in tea cost. And the unmitigated portion of the tea cost because as we started taking staggered price we could not fully mitigate the cost. So that's the largest impact. And probably that's the only impact in terms of the overall EBITDA for the India branded business.

Jay Doshi : Understood. And a separate question on non-branded -- you've been -- incremental Y-o-Y EBITDA has been about INR 50 crores for the past two, three quarters and that is led by coffee realization. So how long will it sustain? The current run rate of INR100 crores EBIT -- segmental EBIT INR 100 crores plus is sustainable or it will you think over the next few quarters settle back at INR 50 crores, INR 60 crores levels?

Sunil D'Souza: So Jay, if I knew that, I would be in a different planet. So that's number one, but just to give you an educated guess, if I may call it. There are two parts of the unbranded business. One is the solubles business where it is a pass-through. So whatever upsides you would have seen was because of inventory carry forwards and the future prices being better than where it is now. So that's number one.

And then there is the plantations where it's a pure naked realization game because cost of inputs is not going up in line with that. Now the catch is what we are seeing on the solubles piece is now demand softness. As the prices have reached those levels, I think now

we are

testing the boundaries I don't know if they will continue to go up sequentially because now what we are hearing across from all the top coffee roasters around is they are starting to -- when I see the word saying demand destruction being used, I know there is stress.

So I think you will -- my guess is you will probably see prices hovering around this level, which means you will start to see us coming back to EBITDA on wherever we used to have because there is no forward inventory advantage. It might be there for a quarter, but going forward, I don't think you will see that.

Jay Doshi : Understood. So just to be clear, soluble business is inventory advantage that lasts for three, four quarters and you are towards the fag end of that cycle, but coffee plantations can continue to see solid profitability or the contracts there also get revised upwards in terms of your costing?

Sunil D'Souza: No, that's more or less you will see steady profitability there. I don't think you will see an increase, but here's the thing -- I mean, when I'm buying this quarter and selling next quarter, the prices have already gone up and that's where the EBITDA continues to go up. Now if that starts to plateau, you'll start to see a normative level come in.

Jay Doshi : Understood. One final question on competitive intensity. In the previous inflationary cycles, we saw price increases being taken more proactively by the leading players. Why is it that this time around we did not see any price increase until probably early October or end September? And I mean, your competitor is also facing equal margin pressure. So what has changed this time around that the industry did not take the price increase almost 3 months indeed?

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Sunil D'Souza: So, Jay, I have no clue about that. But my only point is and I use this word with Nidhi. If one

can play the game, two can play the game. So if the game is saying that they will outlast or they will hold on for longer and put stress on the rest of the industry. I would just say rest of the industry minus Tata Consumer is who's going to feel the stress. So I will not forgo market share because gaining back market share in the longer term is a far more painful and far more expensive proposition.

Jay Doshi : Understood. I'll get back in the queue, but I'll just request your comments on Starbucks later sometime on the call if somebody asks the question. I mean does it warrant -- demand is very weak. Would you like to reevaluate or reconsider your store opening strategy there? Maybe you can answer it later. I'll get back in the queue. Thank you so much.

Moderator: Thank you. We'll take our next question from the line of Manoj Menon from I CICI Securities. Please go ahead. Mr. Menon please go ahead with your question.

Manoj Menon: Sorry, I was on mute actually. So it's audible, right?

Moderator: Yes.

Manoj Menon: Sunil, actually when I look at the longer term of what the information we have on the salt value growth, volume growth and market share and I do recall many conversations earlier where it never actually moved in synchronization with the reality, particularly the market share aspect. And this time it has actually come. So what I'm trying to understand here is while I would assume that the value shares are going much faster than volume, but when I look at a quarter in which largely most of the line items are flat, you have 150 bps.

There's two questions here. One, that is there some corrective measures in your understanding which Nielsen have taken where it is reflecting this. Point number two, what would be the broad, let's say, difference between the value shares and volume shares for you?

Sunil D'Souza: So let me answer the second question first, Manoj. So if I'm not mistaken, my volume share is about 30%, 31%, and my value share is 37%, 38%,

right? So it's about a 20% premium. That's number one. Number 2, while we have taken a price increase, what I would urge is this price increase of INR2 on a INR28 base, which is roughly around 7%, comes after a two-year hiatus, right? So, in the last two years, we've not even taken general cost of inflation increase. So therefore, I don't think there will be this thing. If anything, I would say the team continues to focus with the primary objective being to continue to gain market share.

Manoj Menon : Understood. Personally, just delving on that volume aspect or the volume market share leading into the value market share later. Post integration, the erstwhile Tata Tea and Salt coming into it, there was a rather numeric placement led market share gains opportunity. Now when I think about the medium term, how do I understand that, let's say the volume market shares will actually happen? Is it something to do with product? Or is this going to be sales vector-driven or marketing -vector driven?

Sunil D'Souza: So, Manoj, I would say a bit of both. And the reason is while we have expanded distribution, we are still at 43% numeric distribution . Of a possible universe of 100, I'm present only in 43

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outlets. And that's primarily the gaps would be semi-urban and rural, which is where we are building out width of distribution. That's number one. Number two is, we've always maintained saying there is space below Tata Salt and there is space above Tata Salt to play. So Shuddh , which we've launched in the southern states, we did a relaunch last year because we learned a few things in the pilot and corrected. Now it seems to be on a solid wicket. Above Tata Salt, there is a range of games that we are playing. One is the plain and simple value addition in terms of Immuno , which is loaded with Zinc. Now we've launched a Iron fortified salt. We've launched a Panch Tatva and then there is Rock Salt, which is on a different planet in terms of growth. Rock Salt, I think the growth targets are month-on-month and not even quarter-on-quarter, forget year-on-year. So I think there is enough space to play both on width as well as in terms of portfolio expansion.

Manoj Menon : Understood. Okay. If I may, just one follow-up. Actually, I completely appreciate the growth opportunity in the non-base variant. Given that the base variant is probably the highest, right? I mean just trying to understand, apart from sales, there's no other marketing vector on the base variant, right?

Sunil D'Souza: No. On the base variant, the primary thing is with the top-of-mind awareness that exists in Tata Salt, the game is to put in reminders and continue to gain saliency. Let me say there, the marketing job is just to remind people that it is Tata Salt, it is purity, and it is guaranteed . As soon as we've done that, we've seen all the numbers move up and this was pre-price increase. So, if anything, a part of the price increase, we will be using to up the reminder game on Tata Salt.

Manoj Menon : Very clear. Sir, the second and last question, then I'll come back in the queue. When I look at the presentation on the HORECA opportunity, I do find that the picture that you have put probably includes many of the brands. But which in your opinion, are the top 3 brands, which

has got the HORECA opportunity?

And point number 2, when you look at HORECA, what exactly are you defining internally as the actual opportunity, not the numbers as such. For example, let's say, if a restaurant is adding a Tata Salt by paying a premium in terms of sourcing, how will the restaurant monetize is a question which comes to my mind. The same thing maybe for a Tata Soufflé also.

Sunil D'Souza: So, Manoj, let me put it this way. I would look at four big categories to drive the business in the HORECA channel. Number 1 is obviously salt.

Number 2 is Sampann especially pulses.

Number 3 is the Capital Foods and, Capital Foods I would include the sauces as well as we are in the process of launching mayo targeted at the HORECA channel. And then, of course, there is the tea and coffee. Primarily tea more than tea and coffee.

Now that said, the reason why the outlet would buy from us, A) is because it is consistent service delivery, number 1, number 2, guaranteed products and number 3, he has to use some salt, right? And instead of buying a no name salt from the corner when he gets Tata Salt delivered to the doorstep and incidentally, I mean if you talk of premium etcetera, from a restaurant perspective, instead of paying INR15 for a no name salt, he is paying INR30 and Tata Consumer Products Limited

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getting Tata Salt, right? So INR15 in the scheme of things is not a deal breaker for a quality listing.

And that is why we were running the pilot to prove the hypothesis. The other good part is we are getting higher traction in our lower share geographies, which, means then it helps me to strengthen the brand image there as well. So that is the other hypothesis, which we are testing is do we get a bigger bang in the high market share or the low market share. The low market share is giving me a higher number, which then from a brand development perspective also, then this channel helps me out.

Manoj Menon: Very clear. And I fall back in the queue. But I must congratulate Jay for asking a fifth question by not asking about Starbucks.

Moderator: We'll take our next question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy: My first question is on your two acquisitions which you have done. So in terms of two quarters, we have now a fair bit of data. So, if you could tell us what are the key wins in both the acquisition of Organic India and Capital Foods? And what are the things which did not pan out and what are the learnings?

And in terms of growth metrics, I'm not talking about FY25. This is the first year of acquisition and always is a more challenging year. But from FY26 and FY27 in terms of growth expectations for these two, would you like to recalibrate slightly lower versus initial expectation?

Sunil D'Souza: So, number 1, Abneesh, I'll start by answering your last question. I don't think we're calibrating anything lower. In fact, while we started with a lower base than what we thought it was, we remain quite bullish that we will be able to catch up to our business case numbers very quickly. That's number one.

Number 2, in terms of learnings, I can write a long book on the learnings. A) we integrated pretty quickly and got going. But through this process, let me give an example. In Organic India, one of the things that we learned were there were about 1,000 outlets across the country, which were the primary volume drivers for the business. And what had happened during the integration, when the team rationalized the discounts, promotions, etcetera, they'd rationalized and there fore suddenly these outlet sales had dropped. But very quickly, the team did an analysis, figured out, okay.

So, they've gone back with a revised proposition to the stores and started to enroll the stores back and guess what they're coming back. So we remain quite bullish coming up with that. So that's the example for Organic India. In Capital Foods, there is a whole host of things, including the fact that the Capital Foods team was very, very nimble and agile on, for example, the ginger garlic paste recipe. They used to keep modifying it to make sure that they are in line with commodity trends. And typical in a large company, that doesn't happen.

So, for the first month, we saw our margin dip saying why? Because we were not agile enough. So now we've created a playbook of 10 different recipes, which we've loaded up on Tata Consumer

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SAP, so depending on what the commodity prices are, the team selects the optimal thing, number one. Number two, there are certain geographies where we figured out that there is an

issue. So, while we had selected the best distributor in the town among Organic India, Capital Foods and TCPL, in some places we figured that the TCPL distributor was not delivering up to par. And then when we figured out that in some of the places, for example, the Capital Foods distributors were getting into confectionery wholesalers, and that's where their volume was coming from. And my guys were not going there. So now we figured out in many of these towns, we appointed the erstwhile Capital Food distributors as sub distributors for certain channel and a portfolio. We figured that some of the suppliers of Capital Foods, especially for the frozen stock, et cetera, were not up to par, but we had not proactively scouted around for suppliers. So there was a bit of a hiccup on that supply front. So the learning is now we proactively keep a list of suppliers and definitely more than one supplier in a category so that we don't land up in this hiccup again.

But what was the positive surprise across both the pieces, is the strength of the brands, even where they were not distributed. So for example, when we took Capital Foods to the South, hardly any resistance in terms of distribution and the South has taken off very, very nicely.

Organic India, I was not as bullish on the organic food range. But now when you see the demand for organic jaggery, organic ghee, organic rock salt, now we're chasing our tails trying to make sure the supply chains are in place.

Abneesh Roy : My last question will be on NourishCo. So three, four quarters, we have seen growth being well below your own expectations. There has been a business head change also, I think, in NourishCo. And you spoke about Gluco+ challenges. Now what is the way forward here? Next one year, how do you see this business given base is very favorable? And you must have thought about the corrective actions.

And if you could talk about Campa Cola because that's available at INR10 per bottle. I know still very early days in terms of market penetration for them. But would you need to go back to the drawing board and because your pricing is also INR10 for Tata Gluco+, but when customers see a INR10 Campa Cola per bottle and when he sees your product.

What is the design change, what is the pricing change needed to succeed in the broader scheme of things. It may not be like-to-like for the customer, but ultimately, customer, everything is thirst quenching. So if you could comment on that.

Sunil D'Souza : So Abneesh, absolutely right. Technically, I think a new player coming in with a different price point disrupted the industry. While on paper, it is INR10 versus INR10. The other piece that you have -- at least it had not -- it didn't surface quickly enough was that it was -- while the INR10 was the same to the consumer, the trade price was dramatically different. So -- and the other big multinationals adapted their pricing on the trade very, very quickly. We did not. And obviously, I use the word from my Whirlpool days, which my marketing head used say, 'is there gold in Whirlpool?'. So it's that, right? You've got a fantastic product, but you've got to be competitive on price. There is a level up to which you can charge a premium, not beyond Tata Consumer Products Limited

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that. We were roughly about, I would say, about 30% premium to competitor A, and about 20% premium to the multinationals in terms of price to retail.

Now just as a perspective, we know at that price to retail that is not sustainable, and the loss is roughly INR2 -- INR1.50 to INR2 per bottle. So this is a penetration strategy. So -- but here's the point.

I will repeat what I said in the beverages piece as well. I am here for the long haul, and I will not forgo market share. We have gone in there, we made the corrective actions, we've taken down price.

And that's why I emphasized the impact was on Tata Gluco+ only, not as much on Tata Copper+ because there is not all this action out there. And therefore, we have re-indexed our pricing. We have corrected some other stuff happening through this thing because of the stress in -- when a business is stressed, there are 10 other things which pile up. We took that in our stride in September and it's cleaned up.

And we do expect -- I would say, by end of this quarter, we should be back to our 25%, 30% growth levels.

Abneesh Roy : Okay. Understood...

Sunil D'Souza : Just one more thing, Abneesh. The other thing in the whole food and beverage business is marketing and innovation is the lifeblood of getting new consumers in, right? You cannot afford to get complacent. So the other piece that you will see kicking in big time. And I think, if I'm not mistaken, starts kicking in from October -- November, actually, is that you will start seeing a flavor, format, pack innovation starting to kick in aggressively in Tata Gluco+.

Moderator: We'll take our next question from the line of Mihir Shah from Nomura.

Mihir Shah : So firstly, I wanted to check if you can throw some light on how the unorganized players are behaving with rising tea prices? And the kind of quantum of price increase you have taken, Essentially, I'm trying to understand is the down trading that was happening in tea will stop.

And will volumes recover in the near term? Or we expect with the tea price increases, volume to continue to see an impact?

Sunil D'Souza : So Mihir, logically, and this is what we saw during the COVID time, when there is a sharp increase in prices, normally, the local players, A) have issues on working capital and, therefore, also on inventory. So it is not only pricing, which they start taking up very quickly, but also they run out of tea because there's that much money that they put on the table and it takes some time for them to raise their working capital.

So in the short term, last time around, we did see -- but there is one fundamental difference. Last time around, we saw one jump, a massive jump, and it went from 0% to 70% increase in the space of, I think, about 15 days -- 15 days, 30 days, whereas here, it has been over a period of time if you've seen the graphs which happened. So I think people have got time to adjust. But that said, I do expect overall loose tea prices to -- loose players to be more stressed than the organized players. And to -- I think, Jay's original question in terms of what is the Tata Consumer Products Limited
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competitor trying to do. Maybe it's putting stress on the locals and gaining share from there. I'm just second guessing it. So logically, there should be a stress and therefore, organized players should gain faster.

But so far, at least from the Nielsen numbers, I have not seen that happening, but I'm keeping my fingers crossed.

Mihir Shah : Sir, one small quick question on quick-commerce. We are seeing that space growing aggressively. I wanted to check are you seeing large packs being sold of your products in quick-commerce? Or do you think they are just top up products or top -up orders that are getting sold. And if you can share any saliency of these large packs or are the saliency of large packs increasing? Anything on that? And one quick question on amortization, if you can share the number on amortization as well. That's all from me.

Sunil D'Souza : So Mihir, amortization, the exact numbers, I think Nidhi will share with you this thing. I just -- ballpark about INR50 crores, right, for a quarter. But quick-commerce, here's my thing . When people are buying iPhone 16s on quick-commerce,

I'm sure they can afford a 1 kilo tea on

quick-commerce, right? So -- but on a more serious note, people are buying large packs as well.

Why should a person buy ? I can't answer that question, right? But people are buying. I don't see the mix of -- apart from -- if you leave the value packs -- I mean, the pause packs, as we call it, the LUPs out of the equation because that you don't see it happening on quick-commerce. But otherwise, on quick-commerce, the range is equally spread among different pack sizes.

Moderator: We'll take our next question from the line of Aditya Soman from CLSA.

Aditya Soman : Sir, two questions. One, can you give us some sense of how margins are trending for Sampann? And secondly, on Starbucks, can you just give us some understanding of what same -store sales -- that our same -store sales growth is there at Starbucks? And also, why we are seeing so much stress in the channel? Is it the weather or is it something else?

Sunil D'Souza : Let me answer with the last question first. I don't think -- last quarter, we did feel that it was weather simply because it was significantly hot. The good and bad part is, I think the stress is being seen across the QSR segments. I think it's an overall consumer spending issue, especially in urban areas. And my hypothesis is probably food inflation is higher than what we think it is and the impact is far higher.

And therefore, there is a tightening of belts, A. B) also, you have to remember there is a shift in festival dates, ■hradh. I think, almost ended around September and therefore, that might have had an impact. That said, said same -store sales is negative, and I think it is negative for the sector for now.

Aditya Soman : There's a question on Sampann margin?

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Ashish Goenka : So I think Sampann margin, we see sequential and year -on-year improvement. I think we do not disclose the number, but structurally, we are improving the margins on Sampann...

Sunil D'Souza : Yes. I think we've publicly said from, I think, close to 0 plus when we started four years back, we are now trending towards a very high single -digit, close to double -digit number. And we don't see a reason why that will not continue going forward.

Aditya Soman : Yes. That's very clear. And maybe just a follow -up on that Sampann margin number. What's the best way to understand why this is happening? Is this just a function of leverage as you scale up the business and you get leverage over fixed cost? Or is it a better sourcing efficiency

or pricing?

Sunil D'Souza: So it's a bunch of things. A) it's a product mix. Originally, when we started, we started only with pulses. As we are moving up, say, for example, spices will have it depending on what it is 25% to 35% margin. There are other products like dry fruits, which is a higher margin. There is -- so it's a mix as we launch products, which are accretive to the base margin, that will improve. That's number one.

Number 2, as we build and advertise our brand, our ability to charge a premium in certain products. That's number 2. And number three, as we become larger, the simple ability to negotiate price basis scale, that's number 3.

Moderator: We'll take our next question from the line of Lokesh Gusain from BOB Capital Markets.

Lokesh Gusain : So just a couple. First of all, what was the sales growth in both businesses, ex NourishCo and M&A? And then secondly, how much pricing do you need in tea to fully offset the inflation? And what percentage of the portfolio have put through the pricing yet?

Sunil D'Souza: So let me answer the second question first. If there is a 30% cost increase, you have to put through at least 30%, if not more, to recover margin as well, right...

Lokesh Gusain : I'm sorry. My question is more around like you've taken, I think, 4% pricing. I'm talking at a bucket level

I, like if the tea category as a whole, how much pricing do you need to put through at an aggregate level to offset the inflation?

Sunil D'Souza: So that's what I was saying for that. If there is a 30% cost increase. I had to put up a 30% price increase to jog in the spot, right?

Lokesh Gusain : Yes, okay.

Sunil D'Souza: And I think your other question was the details between growth businesses, NourishCo and this thing. I think Nidhi can get in touch with you and walk you through the details.

Moderator: We'll take our next question from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari : On the Starbucks bit, you mentioned about the demand environment, urban consumption, food inflation. In terms of, let's say, FMCG demand, Sunil, what is your view? I mean we have seen so far, let's say, DMart, Bajaj Auto, Nestle also posting okay-ish numbers. What do you think Tata Consumer Products Limited

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about demand scenario right now and your outlook, let's say, for the next few months or quarters?

Sunil D'Souza: So Vivek, first of all, on the outlook, I'm very bad at forecasting, right? So that's number one.

So I normally react to conditions and react quickly. That said, at least my current view is that rural is recovering from where it was. I think a good monsoon and therefore, the Kharif crop is only going to help in the rural recovery, but it is still not at the stage where it gives us a double-digit volume growth and the penetration growth, etc. But while this has happened, urban has softened.

As I said, I think we are probably underestimating the stress on the consumer in terms of the food inflation, etc. That's number one. Number 2, I also think that a large part of the GDP growth was driven by government capex and spending. And given the elections, I think there was a bit of a pause on that, a and b) from what I hear recently, even the cash flows, which were supposed to be released post budget have not been released there. And therefore, the multipliers might not have happened.

I'm just hoping that -- I heard that they've been released and they are moving. I'm just hoping that, therefore, spurs demand in the urban environment to come back because like I believe 4-wheelers are soft, which is my -- normally my indicator for urban. Recently, another let me say, food and beverage company, which I think has strength in urban released its results. You saw that. You hear the same stress in the DMart results overall, Reliance as well.

So I do think there is stress on consumer spending. But I do think given the recent whatever government spending coming back, rural coming back, I think you'll start to see recovery. How fast and how much? Your guess is as good as mine.

Vivek Maheshwari : And just one another question on the tea business. So we have spoken about the other part of beverages. On the tea side, what is your outlook on both volume and revenue growth as we go forward?

Sunil D'Souza: So Vivek, my presumption is, let me say, sanity will prevail in the sector, and you will start seeing industry taking -- all competitors taking pricing in line with cost increases. Like I said, if they don't, we will not. So therefore, if there is logic out there and prices go up, there will be revenue increases. And I'll draw you back to the COVID era, where you saw significant revenue increases in line with pricing, but there was pressure on volumes.

Volumes didn't go negative. There was immense stress, but there was no growth, if I may. I think you will probably see that scenario play out because if there is a 30%, 35% price increase, which will have to happen to translate this cost in, I do think you will start seeing stress on volume.

Vivek Maheshwari : And since you mentioned versus COVID, Sunil, the difference that I see is this time around the last few quarters, volumes have not been that good in

tea either. So can that help? And even while you're taking up prices, there may be some bit of better volume growth compared to what we saw in the past in such cycle?

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Sunil D'Souza: I am not very sure about that Vivek because like the difference is when we entered COVID and tea inflation hit the roof, at that point of time, demand was not such a big issue when you entered COVID, right? Right now, I'm seeing stress on overall consumer demand. And therefore, it's not only tea. It's the overall basket from a consumer spending that I see, which people will think about.

Moderator: We'll take our next question from the line of Sheela Rathhi from Morgan Stanley.

Sheela Rathhi : Thanks for the update on how you think about the recovery. Just one question. Going into the second half, which part of the portfolio you think that can surprise positively? Because from beverage portfolio point of view, Gluco Plus, you said, NourishCo. But we're getting into a season which will be more on the cooler side, so probably there could be some -- and then we have tea inflation and volumes have been dipping. So how should we think about the growth outlook going into the second half? And obviously, there is a wall of worry to climb, but still, how are you positioning yourself?

Sunil D'Souza: So overall, if I say and I would say you're probably seeing us play at the bottom in terms of growth expectations, right? I think overall, you will start seeing improvement from here on. How much and how quickly I'm not very sure. In terms of categories, A) I would expect salt to chug along because it's a strong enough brand. And the focus for us now has to be on maintaining volume share as we go forward. Tea, again, it is probably maintaining volume and value share as we move forward.

NourishCo, I think it will recover. And NourishCo, if you remember, there are 2 parts of the business A) there is Tata Gluco+, which is seasonal, but Tata Copper Water, which is non-seasonal. I think that you will continue to see the growth and Capital Foods and Organic India, I would say you would see quarter-on-quarter growth continuing for some time.

Sheela Rathhi : Sunil, if you could guide us how large would be Tata Copper for us now?

Sunil D'Souza: I would say probably about -- out of the INR 850 crores about 40% would be Tata Copper+ and 60% will be Tata Gluco+.

Sheela Rathhi : And just a second and final question is last year -- I mean, in the last few quarters, you have mentioned that 15.3% would be the margin, which was the number we had for F Y '24 would be the base for us. How should we think about the margins? And I know you have answered this question, but should we -- how should we think about the aggregate margins for F Y '25?

Sunil D'Souza: See, overall, like I said, it's not quarter-on-quarter. You should look at margins over a slightly longer period of time because there are multiple moving parts every quarter. But fundamentally, we will improve margins year-on-year. We are at the lowest end of the FMCG sector in terms of -- while we have improved from where we've come from, we've still got a long way to go to come up to, I would say, benchmarks in the food and beverage sector. So we've got some way to go.

Ashish Goenka : And in the near term, Sheela, I think, of course, a large dependence will be on how that impact dynamics between price and cost play out in the tea segment. I think that's the key watch out

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for quarter 3, quarter 4. But as Sunil said, in the long run, of course, we'll be looking at structurally improving our margins. Also, we have now tailwinds from the new acquisitions that we made, which comes in at a significant accretion to overall margins.

Sunil D'Souza: So -- and Sheela, just to add, right? If -- for a minute, if you

assume that the competitive environment allows us to pass on the cost into price in tea, there is no reason why we will not continue to improve EBITDA margins.

Moderator: We'll take a last question from the line of Jitendra Arora from ICICI Prudential Life Insurance Company. There is no response from Mr. Arora's connection.

I will now hand over the call to the management team for closing comments. Over to you.

Nidhi Verma : Thanks, everyone, for joining us late into Friday evening. On behalf of the management, thanks again. And I know that perhaps there were some questions, which we couldn't address, so you can get in touch with us for those. Thank you.

Sunil D'Souza: Thank you.

Moderator : On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter and
nine month s period ending December 31, 2024
Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("Listing Regulations"), please find enclosed the transcript of Earnings Conference
Call held on Thursday , January 30, 2025, in respect of the financial results for the quarter and nine month s
period end ing Dec ember 31, 2024.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions
of the Listing Regulations.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
ACS73704
Encl.: as above

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"Tata Consumer Products L imited
Q3 FY '2 5 Earnings Conference Call "
January 30, 202 5

MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – CHIEF FINANCIAL OFFICER
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. ANIRUDDHA JOSHI – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY '25 Earnings Conference Call of Tata Consumer Products Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please contact your local administrator. Thank you for participating in this conference call. This call is being recorded. Tata Consumer Products Limited
January 30, 2025

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signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Aniruddha Joshi from ICICI Securities. Thank you, and over to you.

Aniruddha Joshi : Yes, Thanks Yashashree. On behalf of ICICI Securities, we welcome you all to Q3 FY '25 Results Conference Call of Tata Consumer Products. Now, I hand over the call to Ms. Nidhi Verma, Head of Investor Relations and Corporate Communications, to take the call forward. Thanks, and over to you, Nidhi.

Nidhi Verma : Thanks, Aniruddha, and thanks for hosting us. Welcome, everyone, to the Q3 FY '25 call for Tata Consumer. We've just announced our results, as you would have seen. As usual, we will take you through some of the key updates. I have with me Mr. Sunil D'Souza, Managing Director and CEO; Mr. Ashish Goenka, Group CFO; and Mr. Ajit Krishna Kumar, Executive Director and COO. And over the next 20 minutes, we'll walk you through some key highlights, and then we'll open the floor for Q&A. With that, I'll hand it over to Sunil.

Sunil D'Souza: Yes. Thanks, Nidhi. If you would -- in summary, we had, I would say, a good quarter on the top line. Consolidated was 17% on the top line. If I net out the acquisitions, we were still 9% growth. India Beverages

grew 16%, of which 9% was organic with tea volumes. I'll repeat volumes grew 7%. India Foods revenue grew 31%, 11% of which was organic. International business recorded 8% revenue growth, 4% in constant currency, but strong big time on profitability, which was 35% year-on-year.

India Tea, we have pressure on the tea prices, but tea is a cyclical commodity. And we know sooner or later, either price catches up or cost goes down. And therefore, we remain focused on building long-term competitiveness.

We have done a robust volume growth during the year. One thing I'd like to emphasize, it is not extra discounting. It is competitively priced, but we have driven execution, albeit there is a stress on the margin parameters. Calibrated price increases have been taken, making sure that we are competitive, but we are not falling behind.

Salt delivered a strong quarter. Traditionally, when we have taken up prices, volumes have been negative. This time around, we managed to grow even on the volume front, and market share has continued to go from strength to strength, another quarter of 110 bps MAT share gain. Sampann continued strong performance with 23% growth. YTD is now 28%, it's in the ballpark of the 30%, which we talk about Sampann.

Ready-to-drink business, we had issues with competitiveness last quarter, which we have corrected, and it delivered double-digit volume growth. The exit volume growth for the month of December was 39%.

Capital Foods and Organic continue to build momentum, and we expect Q4 to have a very good acceleration from here on. Consolidated EBITDA was flat, primarily as a result of the tea. Tata Consumer Products Limited
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margin pressure. Assuming India Tea margins were at the Q3 FY '24 level, our overall EBITDA margin for the quarter would have expanded at least 75 to 100 bps.

Also, we made progress on building our sustainability credentials with improvements in the DJSI and Sustainability scores. Very quickly, 16% revenue growth in beverages, 31% food, international 8%, constant currency 4%. Non-branded had another strong quarter of 9% revenue growth. All in 17%, organic growth of 9%.

For the 9 months, again, revenue growth of 8% in India Beverages, 2% is organic. Remember, for the first 2 quarters, tea was under a little bit of pressure on the top line front. India Foods was 11% organic, total 30% growth. International 8%, non-branded 20%. All in, 15% top line, of which 8% is organic.

INR 4,444 crores of top line. EBITDA came in flat versus last year. Profit before tax, before exceptional was negative 20%. Group net close to INR 287 crores and now after the rights issue, we are now starting to spin in cash again. So we have INR 880 crores on the books. For the 9 months, 15% top line, INR 13,000 crores of revenue, 11% growth in EBITDA, but remember for the first quarter or maybe -- and even the first half of Q2, we were sitting with older season teas, and therefore, there was not as much pressure as is building up now. Also, I'd like to -- in percentage terms, I think Q3 would be the peak of the pressure. Given that we've taken significant or decent amount of hikes as well. I think we would start to see the margin pressure ease off going forward.

So here's strategic priorities, very quickly, we have defined 6 set of strategic priorities, minor tweaks to that. So earlier, while we had strengthen and accelerate core, we've added strengthen and accelerate core and growth businesses, the ones which we already have in our bag for some time, like Sampann, Soufflé, et cetera, are featuring in that bucket.

The new opportunities is Capital Foods and Organic and keeping a look out for inorganic as well. The one big item which we have brought in is execution because now we've got a fairly decent sized portfolio in the business. We now need to button down our execution, including execution

on on cost takeouts. Balance remains the same.

A&P to sales, as I've said, we should be probably in the 7.5%. We were marginally down at 6.7%. Market share, salt continued to grow at 110 bps, minor movement in tea. We have guided for 30% of our businesses being growth businesses growing at 30%. We grew at 89%, and now they will contribute to 27% of our portfolio. Organic albeit, the growth businesses were 14%, and I'll come to the details.

One of the big reasons why we have grown decently compared to our peer group, at least from announcements that we've seen so far is we've continued to focus on building front-end execution. We've got roughly 10% higher distributors, 30% higher DSRs as well as expanded rural distribution through super stockists and sub-distributors. Our direct reach is now north of 1.8 million. Our front-end DMS and SFA is fully implemented, including across the super stockist network.

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We are fully on the auto replenishment system, and therefore, the tail-end SKUs are also picking up wind. And in line with what we had committed on building out the food services and pharma, we have finished the pilots, proved the test case and are now going to expand rapidly.

Modern trade continued to deliver for us, 14% top line growth, e-commerce 59%. E-commerce now accounting for 15% of our top line, almost equal to -- actually slightly higher than modern trade.

Continued innovation, there was one brand on which we did not have a premium leg, which was Tata Tea Premium, on which we have built a 'care' variant. It's got off to a good start in the north. Tetley powder, which negates the bitterness that you see and the inconsistency, which you see with teabags also off to a good response. Ready-to-drink coffee is again started off very well. We brought in Jelly with a renewed focus with new flavors.

On foods, dry fruits is now INR 100 crore ARR. Cold pressed oils is INR 70 crore ARR. We are continuing to double down behind it. Apart from that, breakthrough innovation of Quick Cook Kabuli Chana, which is just put it in a bowl, put water, put it into the microwave and you've got ready to eat. No soaking, no overnight, no pressure cookers.

Capital Foods also continued to expand the portfolio with Schezwan Fried Rice Masala as well as veg Hakka Noodles. I talked about retaining an 'A' rating in MSCI's ESG index. DJSI score continued to improve. We are now 65 versus 56 and further improvement in Sustainability.

On the macro piece, I don't think I need to talk about the tea prices, which are about 25% to 30% higher than last year. Albeit, the Kenyan prices have sort of flattened out. Coffee, your guess is as good as mine as to where is this graph going. It is now -- I probably -- I mean, 40, 50-year high in terms of prices. Yes. So we just got to keep reacting to this pricing.

In terms of business, Packaged Beverages India volume up 7%, net revenue up 10%, marginal movement on market share. Coffee grew 28%. And like I said, we've taken calibrated price increases across the tea portfolio, probably compensated for about 40% of the tea price increase. The 60% is still out there.

Next, we had a 1% volume growth in salt. Overall, Foods organic revenue growth of 11%, 31% when I include the acquisitions, market share continued to go from strength to strength.

Sampann had a strong quarter at 23%, YTD 28%. Value-added salts continue to outpace everything growing at 31%, and I talked about dry fruits and cold pressed oil.

Ready-to-drink portfolio, I'd point you to the left side graph where we had said that we will bring the trajectory back. Volume grew 39% for the month of December. Yes, value was slightly down because we have re-indexed our pricing to be competitive in the market. 14% volume growth for the quarter, close to INR 160 crores of revenue. Most important

ly, Tata

Copper, which is not at the focus of the entire competitive actions, continue to do well with a 21% top line growth.

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Capital Foods and Organic India, trajectory is in the right direction, albeit this quarter was, I would say, more of stabilization from where we had. You will probably see the next jump coming in Q4 as we roll out the food service, pharma and the innovation portfolio as we go forward.

Combined gross margin of 47% in the ballpark of where we had said it will be. Yes. Non-branded business, strong revenue growth of 8%. Soluble business grew 2%, primarily driven by the very, very high inflation that we're seeing on the coffee space. EBIT margin was very, very strong, expanding 180 bps year-on-year.

Starbucks, improving quarter-on-quarter. Same-store sales growth better than where it was last quarter. Now, we are in 473 stores, having opened 16 more stores for the quarter in 4 more cities. Now we are present in 74 cities.

U.K., we continue to deliver strong performance, strong #2 share, Good Earth. Remember U.K., the growth is happening in fruit and herbal specialty, and we are focused on that. Apart from the Teapigs, now we are also finding tailwind behind Good Earth, which has now entered into Tesco. Fruit and herbal market share now 10%. We are the #2 tea player in the U.K.

U.S.A., after a couple of quarters of pressure now back to performance, 5% growth on revenue for coffee, 4% on tea, and market share, at least for the last 2 months have started to trend up.

Canada, after a bit of hiccup last quarter as we implemented our Andromeda packs, which is our most sustainable packs from the U.K., now back. Revenue growth of plus 5%. Specialty tea grew up 21% and market share overall -- remember, black tea we're close to 50%, overall market share for tea is about 27%. We're the #1 player in Canada.

For financials, Ashish, up to you.

Ashish Goenka: Thanks, Sunil. Good evening, everyone. I'll focus primarily on the consolidated financials. As Sunil mentioned, at a consolidated level, top line grew 17% on an underlying basis, that represents a 9% growth. Growth was fairly broad-based across our businesses and across geographies. India reported growth 23%, organic growth of 10%, led by the very impressive performances in tea and salt.

International contributed its good run with 4% top line growth and non-branded, we saw buoyancy continued because of the inflated coffee prices. So overall, a good 17% growth for the quarter.

EBITDA margins were flat versus last year, primarily on account of the impact in India of tea costs. [inaudible 0:14:38] business continues to improve and expand margins. India business was particularly impacted by the high tea cost, and we saw margin contraction, but international and non-branded business continued to deliver very impressive margin expansion. International is more structural and non-branded getting the benefit of high commodity prices as of now.

On a 9-month basis, consolidated revenue growth of 15%, again, growth across businesses and geography and we are seeing also EBITDA growth of 11%, albeit quarter 2 was partially and

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quarter 3 were significantly impacted by high tea prices in India. Rest of the portfolio continues to expand margins. So therefore, on a consolidated financial level, again, nothing much to call out. EBITDA remains subdued versus last year on account of high tea cost in India.

EBIT, again impacted by a flow-through from EBITDA plus the amortization impact on account of Capital Foods and Organic India, which is close to INR 60 crores on a quarterly basis. On PBT, we were impacted by higher interest costs versus last year, but that's beginning to improve now as we build on cash. As Sunil said, we have moved close to IN

R 900 crores of

cash. And as we continue to build that, we will see significantly higher flow through from

EBIT to PBT. So therefore, at an overall level, PAT came in at INR 282 crores, which is down 6%, largely because of the impact of tea, as I said, interest costs and amortization costs.

So with that, I think, let me hand over back to Sunil for the closing.

Sunil D'Souza: Yes. Thanks, Ashish. So, essentially, we'll continue to prioritize a longer-term competitive market position in the India Tea business because we know that if the incoming crop is normal, we will have prices move downwards and that will put margins back on track or if they don't, industry will take pricing up, and therefore, margins will come back to normal. But, that said, more importantly, the India business delivered robust double-digit growth, backed by strong volume, which is a multi-quarter high.

EBITDA margin overall impacted as I talked about, normalized for -- if I take out both the price increases as well as the cost increases on tea, our EBITDA margins would have expanded at least 75 to 100 bps. Foods, International and non-branded, strong quarter. Trade pricing interventions in the RTD business has revived volume growth. It's just a question of -- matter now before the revenue also starts to turn positive.

Having stabilized Capital Foods and Organic India, now focus shifts to accelerating growth with innovation and expansion of the food services and pharma channels. Incidentally, in the pharma channels, about 85% to 90% of the products that we are selling are Organic India, and therefore, a significant amount of uplift will come here.

Tata Starbucks, albeit a little bit under pressure because of demand, improved quarter-on-quarter, witnessed good growth and new initiatives that we've launched, driving affordability and traffic are showing promise.

So back to you, Nidhi.

Nidhi Verma: Yes, moderator, we can open up the floor for Q&A now?

Moderator: Thank you very much. We'll take our first question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: My first question actually was on tea margins. If you could just help us understand over the next 2, 3 quarters until the next crop comes in, what do you expect tea margins to do in terms of year-on-year impact? And do you think the industry will take sequential pricing? Or do you

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wait for the next crop where if it doesn't, as you rightly said, if it doesn't come off their pricing would happen then?

Sunil D'Souza: So let me answer your second part of your question first. I can't second-guess the industry. All I can promise you that I will remain competitive. I will drive volume and value growth, yes?

That's number one. Number two, like I said, the brunt of the price increases was felt in this quarter. As we go forward, because of the past pricing that we have taken, tea cost -- input cost is not going to change, but some of the pricing which you've taken towards the later half of the last quarter is going to -- and some of it which will take now will start to flow through, and therefore, it will get eased out. But it will remain under pressure.

We do expect this pressure to continue till probably end of Q1, early Q2 until the new flush comes in, assuming that it will be normal. But, yes, as a normative margins which the industry has operated in, we are roughly off by at least 60% of that. So I do expect either price increases in case the tea costs don't change or tea cost goes down and therefore, I mean, we get a little bit of more breathing space. But, Ashish, would you want to add anything?

Ashish Goenka: Nothing further to add. As Sunil said, we will see, I think, some pressure over the next 2 quarters albeit the maximum delta was this quarter, so it should start easing over the next 2 quarters. But

since there are no fresh teas available, I think that input costs are pretty much locked in for the next 2 quarters. So, a large part of it will depend upon how the market prices move and how the tea season opens...

Arnab Mitra: Sure. That's very helpful. My second question was on the RTD business. You've seen a good improvement here with the changes or the actions you've taken. Wanted to understand, is the competitive environment here stable? Are you seeing further intensity from some of the new entrants? And do you think what you've done is sufficient to get you back to revenue growth, let's say, a few quarters down the line as you see it?

Sunil D'Souza: So here's the couple of things on the RTD business, right? The reason why we are in the cups business at INR 10 is because the unit economics work. I'm not sure -- at least I don't fathom, and I can't understand how unit economics will work in any other package with a large capex and large freight, right? And therefore, I remain convinced that we've got to stick to our strategy and continue to execute.

Now, beyond INR 10, I mean if you expect consumer -- competitors to really go below that and say more aggressive, it's possible, I'm not sure that will happen. So we are geared for the long haul to fight the battle at INR 10 and move the business into profitability, and we will do that.

Arnab Mitra: Got it. Understood. And my last question was just on the international and the non-branded business. While year-on-year margins are up a lot, it's slightly tapered off sequentially. Do you expect at least the non-branded business to now start moderating? Or do you expect in the near term margins to remain healthy in both of these?

Sunil D'Souza: If you can tell me where coffee prices are going to go, I can promise to tell you the margins.

The whole problem is every time we think that we hit a peak and therefore, we're going to

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contract, it takes another big leap, right? So the only pressure point on the non-branded business is at some point, there is going to be an impact on the demand, and that is going to flow through, and that should be the trigger for pricing.

You are right, coffee prices, sorry, yes, 5,400 and \$3.5, right? Robusta and Arabica. These are 50-year highs. Not sure, I mean, where it is going from here. We remain very, very cautious on the inventory front, not wanting to be too long on the commodity.

Moderator: We'll take our next question from the line of Abneesh Roy from Nuvama.

Abneesh Roy: Yes. My first question is a follow-up on tea. So, normally, we see, Sunil, that whenever sharp raw material inflation happens in any commodity of 25%, 30%, say, which is very sharp, FMCG sector takes price hike in 2 tranches. So now why would you rule out one more price hike because we are talking about Q4 being soft, it may improve versus Q3. Q1 also being soft and Q2 almost also getting impacted, so it's almost 3 quarters. So is it fair to rule out one more round of price hike given it's largely a 2-player market? There are multiple local players, but what is preventing one more round of hike given 2, 3 quarters of pain?

Sunil D'Souza: Abneesh, you are absolutely right. So 2, 3 things, I would say, right, a 25%, 30% price hike.

The one thing different from the past is this has happened gradually, I think from August to October, November. So the local players have had time to adapt to the new prices, and therefore, not being starved of working capital overnight. So that's number one. And therefore, you've not seen the spikes of market share that you saw during the COVID times, A.

B is nothing prevents industry providing every player is rational and wanting to take up price.

Let me just say in markets where we think we can lead with price, we have already led with price, and we'll continue to lead. It's not neces

sary two – I'm willing to take it 5 times, right?

But I am not willing to be go too much ahead and leave a gap, which competitors can exploit.

Abneesh Roy: So one follow-up here. So would you say that market share gain versus local players is something a bit difficult in the near term, given what you mentioned staggered impact? I'm not mentioning against the number -- the other larger player, because I think both can do well.

My question is more on the local players. Is there an opportunity in next 2 quarters to see a real market share? See, let's ignore the Nielsen market share. Is there an opportunity to gain market share in the real term?

Sunil D'Souza: No, no. I absolutely think so. Because, Abneesh, I don't think industry has grown 7% volume right? And my price index to local has not changed dramatically. But as prices have gone up, I think slowly, slowly the oxygen is getting thinner. So I would definitely say market share will go up.

Abneesh Roy: Sure. That's helpful. My second question is on Sampann and salt. So salt, low single-digit volume growth, and Sampann, Q3 growth is lower than the H1 growth. Now both are big premium players definitely versus rival, and urban slowdown, is there Sampann clearly the urban business. So given the urban slowdown, how do you see volume growth in salt where you are a premium player and Sampann where clearly you are urban player?

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Sunil D'Souza: So Abneesh, number one, urban slowdown, I think I am probably seeing a different picture than everyone else. If you do not count modern trade and e-commerce and only count general trade, my urban growth is low single digits, rural growth is close to double digits. If I add back modern trade, which is primarily urban and e-commerce, including quick commerce, which is primarily urban, then my urban growth also is close to double digits. I am not getting tea growth of 7% if urban doesn't grow as much.

Now the point about salt, very clearly, historically, as I said, when earlier, we have taken price increases for at least one quarter, we've had negative volumes as trade has down stocked. This time around, I think I would like to credit my team with execution, planning, thinking, whatever, we have grown on volume as well. And remember, we've taken a 7% price increase after 2 years. I mean it doesn't sound too much over 2 years. But remember, if we've taken one shot, it was a bit of a shock. So I would say on salt, I'm pretty happy with where we have come out.

Sampann, I think it's a question of commodity, some of the commodity spike for which we had to take pricing up. And it normally takes a bit of time for trade to react because we take it as quickly because we don't sit with huge inventories and play arbitrage, and therefore, we translate immediately. So Sampann, I wouldn't worry too much about, as I said, for the first half, we've delivered 28%, which is in the ballpark.

Abneesh Roy: Sure. Last quick question on Organic India and Capital Foods. The first is what has not worked till now because we have seen in other companies, in other categories distribution change happens and it becomes counterproductive. In your case, you have pointed a lot of things which have worked and Q3 is stable versus Q2 sequentially.

But if you could tell us what has not worked, both in terms of margins and distribution. And given urban slowdown and on the other side, pharma expansion, pharma outlet expansion, FY '26, how does it look? Could you give us some clarity? I'm not asking about numbers because given current scenario, but if you could discuss on a holistic basis, where are we in these 2 businesses?

Sunil D'Souza: Yes. So okay, what -- so we've had a lot of learnings through the last, I would say, 2 quarters, right? Number one, as we took over the businesses, there was a bit of softness simply because

the team which was selling knew that they were going to sell the businesses and they're going to move away, right? So from that perspective, I think execution slipped a bit in the market. So we had to, A, bring it up to that level and then improve from there on.

So that's number one. Number two, categories like frozen, we have never handled frozen, and we have never done exports. And we've never done exports and frozen with a place where we had to drive the agenda for the international retailers like Patel Brothers or a Mustafa or a Sabrini, right?

So that took us a bit of time. So we've probably lost a quarter on that piece. Number two was in categories like ginger garlic paste, where commodity price moves rapidly, making sure that we've built a playbook with 10 recipes to adapt to the conditions, that was the number two.

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Number three, the fact that there was an active channel which catered to all the street vendors for chilli sauces, et cetera, we needed to figure that piece out. We had factored in food services to be a faster growth. I think by the time we set it up -- recruited and set it up, it took in a little bit of more time than what we expected. That was on the Capital Foods front.

On Organic India, a significant amount of growth was built on the pharma channel. And we took again a bit of -- remember, Organic India, we closed only in April. And probably for the first 30 days, we just took back stock and because we didn't want to -- so actually, we got going by June. So we're about 3 months behind Capital Foods, even in Organic India. There, again, because the team was moving on, they had moved on.

Organic India, let me say my single biggest learning was while we had 2x -- actually not 2, we have 5x of where they were in terms of expansion, in terms of outlet distribution. I think the big learning was we need to go with those big outlets for massive depth. And therefore, we are now going to go after a very specific set of outlets, build displays, build promoters, build sampling, build consumer education out there and rapidly expand the pharma channel.

Food services, we piloted in 2 cities. We are going to be in 16 next year. We are already in the phase of rolling out to 16. Pharma, we piloted in 10 cities, we're going to be in 40 next year. So you're going to see a substantial jump shift, I would say, at least in the next 90 days, if not in the next 30, 60 days.

One more last thing, last thing was innovation, right? By the time we figured out, at least it took us 3 to 4 months to understand the categories, understand the consumer, what are the big gaps, where can we bring value to the table. So I think you've started to see the start of innovation. I think you'll see some rapid stuff coming in, in the next probably 1 to 2 quarters.

Moderator: We'll take our next question from the line of Aditya Soman from CLSA.

Aditya Soman: So 2 questions. So one, are you seeing, in tea when you mentioned that some of the smaller competitors, they've had more lead time to adjust to prices. But is there also a sense that some of these players are also benefiting from easier access to the market whether it's because of modern retail or quick commerce?

Sunil D'Souza: I'm not sure. I mean, the access -- modern retail, I don't think things have changed significantly. Quick commerce, I'm not sure you're seeing all the tail-end SKUs coming. So -- and that was always there. So it is not -- yes, it could be, but I don't think we're seeing anything dramatically different in that front. In fact, e-commerce, we are the #1 player, and we continue to be the #1 player, and we are expanding market share as we speak. So I'm not sure we're seeing what you mentioned.

Aditya Soman: No, very clear. And the second question on the Beverages business. So would it be fair to say that now the product i

s a lot more competitive from a pricing perspective and which is what is driving up the volumes?

Sunil D'Souza: Absolutely. So if I divide the ready-to-drink business, there are 3 parts of the business, right? Himalayan was unaffected. It's on a different planet, if I may, in terms of image, premium, Tata Consumer Products Limited
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type of outlet, et cetera. That's number one. So, number 2 was Tata Copper Plus, which we showed you the revenue growth of 18%. That's on a strong wicket going from strength to strength.

Tata Gluco Plus was the one impacted where -- while the INR 10 price was matched by competition, they had gone significantly deeper on retail margin, and that is what we've matched. And like I said, the critical thing is to make sure we build momentum back under the business and then figure out how to improve profitability there on.

While, like I said, in December, top line -- I think for December, we exited at a 39% volume growth. For the quarter, it was 14% because it is accelerated month-on-month. But the 14% volume growth translated into minus 2% on revenue, primarily because as we re-indexed retailer margin that has had an impact on revenue. But here is the thing. First, guys, as long as my unit economics works, and I have question marks on the other side, and therefore, what exactly is going to happen in the future, my game is to stay in the market, build momentum and build profitability from here on.

Aditya Soman: Understood. And just a follow-up on that. So it's fair to say that the margins for that business, the Gluco Plus business aren't impacted? Or would there be an impact where you've taken down margins as well, but you're okay with the new level of profitability? Is that what you...

Sunil D'Souza: So we have taken down prices and that has had an impact on the revenue line and the margins. But, a, remember there is -- Tata Gluco Plus in perspective is 2.5% of my total revenue as a company. And if that is a business which I'm sure is a longer-term, bigger bet, we need to grow, I have a competitive advantage, so I will stay the course and I will build the business. We will figure out how to compensate that margin pressure from other businesses.

Moderator: We'll move to the next question from the line of Mihir Shah from Nomura.

Mihir Shah: Congrats on a very strong performance. Sunil, if you can just throw some light on the divergent trend that you're seeing in your urban versus the peer set that we are seeing. Would it be a function of the categories that you are present in where there is a higher composition of unorganized players, and because of the price hikes have been limited versus them, that is leading to formalization? Would it be one key reason for you seeing better urban growth versus peers?

Sunil D'Souza: So number one, my price hikes are not more or less than competition. It's almost like-for-like, right? Either I move first, competition moves later, competition moves, I move. We don't -- I don't think we're going to win the game by leaving money on the table or discounting, right? So I'm not a believer on that piece, A.

B, I would say, a lot of work has gone into driving better distribution, A. You see the larger feet on street. I've got 30% more DSRs with a very focused set. There is a guy who's selling beverages plus Organic India. There's a guy who's selling salt plus Sampann, and there is a person who is selling Soufflé and Capital Food. So we have brought in focus on all those categories. I think that is working, number one. Number two, we've got auto replenishment systems, which means every single SKU is available. Number three, we've got the new DMS
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and SFA implemented at the front end, which means it is far more analytical, far more data-oriented.

Number three, for -- and this

is I'm going beyond urban, we have expanded our number of super stockists and therefore, we're close to 10,000 sub-distributors now, which operate primarily the below 50,000 population strata. And yes, so that's about it. Like I said, if I don't count modern trade and e-commerce, I'm low single digits. If I count modern trade and e-commerce, I'm double digits, right? So I'm not sure I can comment on other players, but I can talk about my numbers.

Mihir Shah: Got it. On tea, kind of volume growth, I don't remember when are we seeing this kind of volume growth. Clearly, I don't -- do you think that these are the sustainable volume growth for the near term at least? And what is the level of pricing that you have taken along with the industry or tea specifically?

Sunil D'Souza: So let me comment about pricing. We've probably taken 40% of the cost into pricing so far. We've still got 60% to go, which is a gap as we enter this quarter, A. B, in terms of overall growth rates, I -- we've always guided saying mid- to longer term, we will see mid-single-digit

beverage growth, and we stick by it.

Now, it's also -- it could be a fact that we have put more focused A&P power. We have probably executed better. We've got a better pack-price strategy. So I wouldn't exactly want -- I have a detail on why we are growing 7% and others are not. All I can say that I do think we pull in every single lever to make sure -- if there is margin pressure, if not anything, we will make sure we are on a strong wicket when the margin pressure eases.

Mihir Shah: Understood. Okay. Lastly, on food margins, would it be incorrect to assume food margins has seen a material expansion, and what would be the key reason for the same? Would it be largely from salts or the price hikes that you've taken? Or it will be a contribution a bit from all the categories that you are investing in?

Sunil D'Souza: So in Foods, there are multiple set of factors playing out there, right? In salt, we've taken a 7% price increase, but it has put us back exactly where it should be in salt. So I don't think there's a margin expansion there. Sampann was a little bit of a margin dilution, if not anything simply because, in a few categories like pulses, et cetera, I think the costs went up before we took pricing, but that's very, very marginal.

Capital Foods, as we had said, one of the big reasons for acquiring it was that the margins were probably 50% higher than where our margins were. And as that plays in the portfolio, I think the overall Foods portfolio, you will see the margins go up. It's more a question of mix and growth rates of all the different parts of the portfolio rather than just pricing or cost advantages.

Moderator: Next question is from the line of Percy Panthaki from IIFL Securities.

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Percy Panthaki: Just a follow-up on the pricing, which Mihir asked. You mentioned 40% of the inflation. So, does that mean that because tea cost is up, let's say, 25% that the price increase you have taken is 10%? Is that the correct way to read it?

Sunil D'Souza: Ballpark, yes, Percy.

Percy Panthaki: Okay. So this quarter, we have seen only like 3% of the pricing come in. Is that because of -- is it because of mix? Or is it because that the pricing was taken through the quarter and did not affect the entire quarter?

Ashish Goenka: So there were 2 impacts. One, of course, the full impact of the price increases will flow into the next quarter. But also, there is an adverse mix playing out because of -- and given the dynamics in the tea category currently, of course, we -- while we have seen growth across the portfolio, the economy and popularity is growing faster than the premium segment. So there is also a function of mix.

Sunil D'Souza: But that said, I mean, the initial days when the price increases happened, we saw lower

part of

the portfolio fire better. But now, getting into January, February, the trend that we are seeing is, now the middle to higher part of the portfolio is also performing as strongly.

Ashish Goenka: Yes.

Percy Panthaki: Understood. So would it be fair to assume, given the price increases already under the belt, is not even counting anything more that Q4 should see at least a high single-digit pricing growth even considering some little bit of mix deterioration. Is that a fair assumption?

Sunil D'Souza: So Percy, all I can say is we'll continue to focus on volume growth. A, we have taken 40% pricing, and we remain committed to taking any other pricing opportunities that there are in the market, yes.

Percy Panthaki: Understood. Understood. Coming to the international portfolio, I just wanted to understand the margins. Are they -- I mean, of course, there is a coffee price impact there. I don't know how to look at it because for the international business, the coffee price would actually be like input cost inflation and despite that international margins are healthy. So what is driving that? And what do you think is the stable state international margin? Will it maintain at this level? Or is there a chance it could go up or down?

Ashish Goenka: So Percy, if you see the portfolio of international, the large part of the margin expansion is actually coming out from U.K. and Canada and because we have taken structural interventions in these markets. U.K., of course, we talked about it earlier. We did a lot of structural interventions, which are playing out now. U.S. margins are actually lower and largely...

Sunil D'Souza: Improved.

Ashish Goenka: Improved versus last year because overall coffee impact has not been that material in that market.

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Sunil D'Souza: So -- but that said, I think I will put back a certain amount of margin improvement in the U.K.

into brand building now. Now that we've got the business on steady footing, whether it is in terms of the manufacturing, sustainable packs, product quality, fully biodegradable tea bags, execution at the front end, got fruit and herbal, specialty, all firing up. I think it is high time to start building the brand to a stronger position.

So we will start giving this off. But international overall will be in the ballpark of the margins because while I give U.K. off, the U.S., I would expect to improve from here on as we improve 2 or 3 things. A, is the big opportunity of K-Cups is what we are pushing for. That is a better margin than bags. We have a significantly lower market share in that, number one. Number two, availability is a big opportunity. The team is focused on that.

C, smaller customers whom we're not focused on, who are more profitable from execution standpoint are getting focused on. And, D, most importantly, in the U.S. while earlier, our entire sales system was based on third-party brokers, we have now taken control of key accounts with putting in an in-house team to manage all the big accounts like Walmart, Kroger, Publix, et cetera, directly.

Percy Panthaki: Right. Got it. So just -- I know it's a very short-term oriented question and apologies for that. But do you think that we could have a couple of quarters where the India margin is still under pressure on a Y-o-Y basis, whereas the benefits of Unbranded and International on a Y-o-Y come into the base, and therefore, on a consol level, there is a lot more pressure on the EBITDA than what we've actually seen this quarter. Is that a possibility?

Sunil D'Souza: So Percy, if you tell me what is happening to coffee prices, if you tell me what is happening to the coming tea crop, and if you tell me what is happening to competition in the local market on the tea prices, I will be very happy to do that computation. Unfortunately, the only thing I can

do is react to the market. If players are rational, and if they put in -- I mean, behave rationally on cost, prices, et cetera, as I said, if I had computed my margins, net of tea cost increase and price increase, my EBITDA margin would have expanded 75 -- at least 75 to 100 bps, right?

So if anything, I think we should start seeing expansion rather than contraction.

Moderator: We'll take our next question from the line of Sheela Rathi from Morgan Stanley.

Sheela Rathi: I have 2 questions. So my first question, Sunil, was on the point, which is made in the presentation that with respect to prioritizing long-term competitiveness in the tea portfolio, is there a way we can think of that 7% is kind of a new narrative on the volume growth? Of course, we cannot make such projections, but how should we think about the volume growth trajectory in terms of what you are saying here?

And the second question is, I think Tata Consumer is the first company to call out that e-commerce is bigger than modern trade for us at 15% e-commerce and modern trade at 14%.

Just want to understand is what part of our portfolio is driving this, or we are going all in?

Because a lot of consumer companies say that they have a different portfolio for e-commerce vis-a-vis how are we different here? So 2 questions.

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Sunil D'Souza: So let me answer the second question first. Sheela, as a consumer, will you buy a different pack on e-commerce than what you get in your kirana store or modern trade, that I'm not very sure, right? We do play pack price from time to time, but broadly, categories, et cetera, I would go all in, A. We -- my philosophy is I will be where the consumer is shopping, right? I will not try to balance my margin profile and my channel profile basis how my mathematics works out. I will be where the consumer is and then work backwards to figure out how do I fit my profit profile. So that's number one.

Number two, on the tea margins, if this was the number, I would use that term on a lighter note if wishes were horses Sunil would ride, right? So 7% volume growth, I wish, but I think longer term, it is mid-single digit that we're guiding for, and we remain committed to that.

Moderator: We'll take our next question from the line of Bhavdeep Vora from Franklin Templeton Asset Management, India.

Bhavdeep Vora: I have 2 questions. The first is could you comment a bit on this recent news of -- on the snacking business about the tie-up with Pepsi for the Kurkure? And what does this entail? And are there kind of further such plans in the pipeline?

Sunil D'Souza: So the single biggest thing that we believe for Capital Foods is that, for example, Schezwan Chutney. We've got an 89% share of the segment and the game is to grow that segment. The easiest way to grow that segment is sample the product. Because I would find it very, very difficult to believe that someone sampled it and didn't buy the product, right? And therefore, you need to find a vehicle with whom you can partner with to do that.

So by partnering with Kurkure, we've got the Schezwan Chutney flavor with the Ching's bottle on the pack in front of every consumer who is picking up Kurkure. So for a very cost effective, I would say, execution, I've got -- A, I have got an ad, which has yet to come out, right, which you -- I mean, I think will be a breakthrough when 2 brands are coming together, A. B, we

have got sampling across the entire Kurkure range going on, and therefore, I expect my entire tailwind to come in into the Schezwan Chutney and Ching's portfolio.

Bhavdeep Vora: Okay. So does this kind of -- this is more of a partnership for kind of building the brand profile and this thing? I mean is there any further investments involved in this?

Sunil D'Souza: We will put in a little bit of money on A&P. Pepsi will put in

a little bit of money on A&P. But

if your question is, is there a commercial angle to this, is there a royalty, is there this thing?

No, there is none. I mean it is more of a branding and sampling exercise for us.

Bhavdeep Vora: Okay, fine. The second question is on the kind of profitability aspiration for the Sampann portfolio. If you could comment where are we? And over the next 3 to 5 years, where do you plan to be in that part of the business?

Sunil D'Souza: So when we had started off Sampann was zero or slightly below water, I would say. Over the past 4.5, 5 years, we built it to close to very high single digits, close to double-digit margins. I don't see a reason why gross margin and our gross margin is defined as including variable freight. I don't see a reason why, over a period of time, it can't go to 12% to 15%.

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Moderator: We'll take our next question from the line of Jitendra Arora from ICICI Prudential Life Insurance Company.

Jitendra Arora: Sunil, just wanted your qualitative comments on how our market share spanning out across channels, especially in quick commerce versus, let's say, GT right now?

Sunil D'Souza: So I like Abneesh's comment on Nielsen market share, right? So if you're asking for Nielsen market share, I would say compared to last December, we've narrowed our share gap in GT. In modern trade, we remain constant. And in e-commerce, which is the fastest-growing channel, we're continuing to maintain our market share, I mean, #1 position. Incidentally, Nielsen doesn't put e-commerce into its market share calculation as well, right? Though they give you a market share on e-com, but when they reported, they only add modern trade and e-com -- modern trade and GT, don't put in e-com at all.

Jitendra Arora: Okay. But basis, your own assessments given that the company will be getting the feedback with an e-commerce companies? How do you think they are, if you want to comment again?

Sunil D'Souza: I wouldn't comment on specific things. All I can say is, while I reported close to double-digit value growth. I think my closest competitor said low single-digit value growth.

Moderator: Next question is from the line of Lokesh Gusain from BOB Capital Markets.

Lokesh Gusain: Right. So my question is on tea pricing. So you mentioned 40% of the 25% inflation is through. So is that the net pricing inclusive of the mix impact? Or is that the list, I mean, pricing across the portfolio?

Sunil D'Souza: This is net -- including all the mix impact.

Nidhi Verma: Operator, can we go to the webcast for maybe one last question, please. Yes, I'll just read it out. There is a question from Jay Doshi at Kotak. He's asking is there any benefit of split route implementation now reflecting in your numbers? And yes, maybe first answer to that.

Sunil D'Souza: So split route implementation, I think by the time we got implementing it was end of the quarter, I think we're still -- there are still certain percentage of vacancies that I see on a daily basis. I think that's fully not there. A. Jay and the second thing is, I think putting in the salesperson is the easier part. Getting the confidence of the retailers, getting the product knowledge up, building the relationship and making sure execution happens at the front end is going to take time. So I would say it will only build up from here.

Nidhi Verma: Yes. The second question is, has sales and distribution now geared up and is the demand environment conducive for 25% growth in Capital Foods and Organic India?

Sunil D'Souza: So Jay, I wouldn't comment on the demand environment because I do think both Capital Foods and Organic India are small. I mean -- and the runway remains huge. So irrespective of demand, I think we should have significant growth, A.

And therefore, our course to grow: A, understanding the cat

egories completely; B, making sure

that we have enough innovation to make sure we're leveraging the brands and powering them;

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and C, making sure that we build out the new channels that are required to make them grow, the pharma channel for Organic India or the food services for Capital Foods. And the other thing is building the brand into stronger places.

So I do think the growth rate is achievable irrespective of the demand environment from the simple fact that we've got a long way to go.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question for today. I would now like to hand the conference over to Ms. Nidhi for closing comments. Over to you.

Nidhi Verma : Yes. Thanks, everyone, for joining. And I understand due to paucity of time, perhaps we haven't been able to address everyone's questions. So you can reach out to us for any remaining questions. On behalf of the management, I want to thank you all, and thank you, ICICI Securities.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

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Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter and year ended March 31, 2025

Dear Sir/Madam,
In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), please find enclosed the transcript of Earnings Conference Call held on Wednesday , April 23, 2025, in respect of the financial results for the quarter and year ended March 31, 2025.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions of the Listing Regulations .

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
ACS73704
Encl.: as above

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External -Generic

"Tata Consumer Products Limited
Q4 FY '25 Earnings Conference Call "
April 23, 2025

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. DHIRAJ MISTRY – ICICI SECURITIES

Moderator : Ladies and gentlemen, good day , and welcome to Tata Consumer Q4 FY '25 Earnings Conference Call . As a reminder, all participant lines should be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need

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External -Generic assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Dhiraj Mistry from ICICI Securities. Thank you , and over to you, Mr. Mistry.

Dhiraj Mistry: Thank you and good evening, everyone. First of all , I would like to thank the management of Tata Consumer to give an opportunity to ICICI Securities to host 4Q FY '25 earnings call. I would like to hand over the call to Nidhi Verma, Head IR and Corporate Communication at Tata Consumer to take the call forward. Thank you.

Nidhi Verma: Thank you so much, Dhiraj, for hosting us today. Good evening, everyone, and welcome to the Q4 FY '25 call for Tata Consumer. A while ago, we declared our results, and I hope you had some time to go through the materials.

I have in the room with me Mr. Sunil D'Souza, Managing Director and CEO ; Mr. Ashish Goenka, Group CFO ; and Mr. Ajit Krishnakumar, Executive Director and COO. As we usually do, we will spend about 15 -20 minutes walking you through the key highlights, and then we will open the floor for Q&A. I just want to draw your attention to the disclaimer statement, which is up on your screen.

With that, I will hand it over to Sunil.

Sunil D'Souza: Yes, thanks, Nidhi. I will jump straight to slide 6, yes. In summary, for the quarter, we grew revenue at 17 %. If you knock off the acquisitions, organic growth was 12%. And starting this quarter now, we will start declaring UVG, because we have feedback saying it 's slightly difficult to decipher volume growth for Tata Consumer given the expanse of the portfolio that we have. So organic UVG for the India -branded business grew close to 6%.

India Beverages, 9% organic growth, tea volumes were again up by 2%. India Foods, up 27%, 17% of that is organic . Salt volumes, decent growth at 5%. International business recorded a 5% revenue growth, 2% in constant currency. So for the full year, overall 9% organic revenue growth, 16% including the acquisitions. UVG organic for the India -branded business, close to 5%. India Beverages, organic growth up 3%, tea volume up 1%, primarily because of the softness of the first half.

India Foods, 13% organic with salt volumes up by 4% for the full year. And [inaudible 0:02:51], for quarter 4, we grew 12% organic and consolidated including acquisitions was 17%. This quarter onwards, we started to report UVG, because we've got feedback saying it's slightly difficult to decipher, because we report salt, tea separately, and there is the Sampann portfolio, etcetera . So we've started to disclose UVG or calculate and disclose UVG starting this quarter. For the quarter, UVG for the India -branded business was up 6%. India Beverages grew 9% organic, including acquisitions was 17%. Tea volumes were again in the positive with 2% year -on-year. India Foods , up 17% organic, including acquisitions up 27 % and salt volumes grew decent at 5%. International recorded a 5% revenue growth, 2% in constant currency.

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External -Generic Now, for the full year, we grew 9% in organic terms, 16 % if I include acquisitions and UVG for the India -branded business for the full year was close to 5 %. India -branded business was 3% organic with 1% tea volume growth . Tea volume just to point out was soft in the first half and recovered in the second half. India Foods , salt volumes for the full year grew 4% and 13% organic growth, international business had strong full year at 7%. Growth businesses organically

grew 24%, if I include acquisitions was up 66 % and crossed the INR3,200 crores of revenue, accounting for 28% of India business.

Consolidated EBITDA declined primarily on account of higher i

nput costs in India in tea and in

coffee in international, more tea than coffee , declined by 1%. For the year , EBITDA grew by 8% to INR2,500 crores, margin was down at 14.2 % , down 110 bps, primarily impacted by tea cost inflation. Adjusted for tea inflation, our EBITDA margins would have expanded -- and when I say tea inflation , I am knocking off both the price increase as well as the cost increase, the margin would have expanded by 80 bps.

We launched almost the same number of innovations this year as last year, 41 new products . I2s was 5.2%, up by more than 6 times since we started off. Net working capital was down by one day and the notable piece was in the India business , net working capital is now negative one day and the final dividend which has been declared for TCPL is at INR8.25 per share.

If I look at broad performances, I already talked about 17% India beverage, 27% India foods, international up at 5 % , non -branded up by 25 % , primarily driven by coffee prices and consolidated up 17 % , organically up 12 %.

For the full year, India beverages up 10 % . India foods including acquisitions up 29 % , international 7 % , non -branded with the coffee run is up 21 % and therefore consolidated we are up by 16%. INR4,608 crores of revenue, EBITDA minus 1%, P BT at minus 5 % , group net profit before exceptional was minus 34%.

We had primarily contingent adjustment and we had some asset provisioning because of which I mean net -net compared to last year where we had some significant write downs. Group net profit was up 64 % at INR349 crores and net at this end of this year we are sitting at INR1,800 crores of cash. If I talk of the full year, basically we are now north of INR17,500 crores , INR17,600 crores of revenue, EBITDA at INR2,500 crores , group net profit of INR1,250 crores and cash INR1,800 crores.

If I talk of strategic priorities, we continued our A&P to sales in India. So whether it is Q4 or full year, you see the same ballpark number. Now just to point out to you that the Nielsen panels have changed recently. Earlier they used to change it once in three years, this time they have changed it to a year. So it is not completely like -to-like to my mind, because the panels are slightly different, but overall a slight bit of a downturn in tea, whereas salt we continue our uptrend with a value gain of 30 bps. So in the last four years, we have grown our direct reach 3x and numeric reach 2x.

Now we do reach 2 million outlets in direct and 4.4 million of numeric reach. For the quarter, our modern trade grew by 26% and e -commerce grew 66%. Our growth businesses I talked

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External -Generic about , for the quarter up 24 % and for the year 66 % , and they account for 28% of the business. But to put it in perspective, in the last five years, Sampann has grown almost 4x, Himalayan last four years has grown roughly 5x and Soulfull in four years has grown roughly 5x.

A bunch of new products launched, including a relaunched pre -mix tea . We entered alkaline water with Tata Lyfe . We launched new flavors in Tata Gluco+ , new variants of salt, we launched Sampann chutneys, new dry fruits, we have enhanced focus on differentiated Chinese noodles, new momo chutneys and pizza pasta sauces, new flavors for Soulful I sticks and new products in Organic India.

We have improved our sustainability ratings overall, MSCI maintained, Sustainability improved, S&P Global improved . CDP improved and we are now a member of the sustainability year book on S&P Global. In the last five years, we have grown India branded revenue at a CAGR of 16 % , international revenue at 5 % , consolidated therefore is a 13% revenue growth, translating to 14% EBITDA and group net profit of 23%.

We have brought down working capital very significantly from the 50 days where we started off. We're at roughly ha

If of what it is. More importantly, like I mentioned, India is minus 1.

EPS is nearly 2.5 times from where we started and operating cash flow, we are now 101% of EBITDA and we have continued to deliver steady dividends. In the last 3 years, our payout ratios have been 65 % , 64%, 64%, respectively. In terms of macros, tea prices with the seasonality coming down, but still about 15% higher than where they were last year, same quarter. Coffee, of course, continues into uncharted territories only in one direction.

In terms of business, India packaged beverages volume up 2% on tea, net revenue up 9%. We did take graduated tea price increases to make sure that we recover margins, but make sure we maintain competitiveness. Now, as a perspective, for the full year, we have recovered about 30% of the impact of tea costs. For the quarter, it is about 46% recovery.

Salt overall grew 5% on volume, overall food [volume growth] 6%. 17% organic revenue growth

and 27% net revenue. Tata Sampann for the full year was up 30 %, Souful I grew 32%. RTD is now back into growth territory after we having re-indexed our pricing and re-jigged our distribution system, etc. We have had a 17% volume growth, 10% value growth, touching revenue of INR212 Crs. Just as a perspective, the INR212 Crs. like-for-like, you might not see the same number because last year, NourishCo was a separate entity and the re were accounting differences. But on a like-to-like basis, revenue has grown by 10%. Premium business has grown close to 30% and Tata Copper has recorded a 23% revenue growth.

Capital Foods, INR213 crores, Organic India INR109 crores and one of the big things is we had said that broadly the margins would be 50 % plus and we have continued to maintain that.

Non-branded business with coffee prices primarily had a strong quarter again. 12% revenue on solubles, 23% plantation revenue. Overall, plantations delivered a 60% year-on-year growth and this has been a record growth with revenue growing 20% and operating profit growing 63% year-on-year.

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External -Generic Starbucks, 6 new stores opened for the quarter. So, overall for the full year, we have opened 58 stores and now we are in 80 cities. We have tempered in line with statements we had put out in the middle of the quarter. Given the traffic movement that we were seeing, we have tempered our outlet opening a bit. But overall, we remain the largest coffee operator in the country and in the city of Mumbai, we now have 100 plus stores.

International operations, 2% net revenue, EBIT margin which we have said international will be accretive to India, delivered another accretive quarter with 12.6% EBIT margin. For the full year, EBIT grew 21% with the margin expanding 190 bps, primarily driven by a super performance again in the UK.

UK business for the quarter declined 7%, but this was planned decline because last year we had a competitive discontinuity which we exploited and the Red Sea crisis because of which there was up stocking of tea. So, revenue was down 7 %, but overall our market share continues to be in the 20 % range overall on black and close to 10% in the fruit and herbal.

US tea business, second strong quarter of showing a turnaround, coffee revenue up 3%, tea revenue up 15%. We continue to maintain our bag share at 4 %+. In Canada, after a little bit of hiccups during a pack transition in the middle of the year has come back very strongly. Revenue growth of plus 5 % with 2% growth in specialty and maintaining market share overall black very strong and total market share of close to 27%.

Financials, I'll hand it over to Ashish.

Ashish Goenka: Thank you Sunil. So, as Sunil mentioned, I think we had a strong quarter. Overall, standalone revenue grew at 21% and consolidated revenue we saw a 17% increase, 16% adjusted for currency and 12% on

an organic basis. EBITDA margins were a bit muted largely on account of the tea cost.

Overall margins were at 13.6% versus 16.1% last year on a consolidated basis. And on a standalone basis, we saw 14% decline in EBITDA over last year. Again, largely on account of the impact of the tea cost, which as Sunil mentioned, we have been able to pass on 50% and 50% is getting absorbed.

Rounding up the year, again, 16% growth on top line on a consolidated basis. On a standalone basis, the growth came in at 20%. On EBITDA margins, EBITDA growth was 8%. The margin again moderated a bit over last year. 90 bps drop largely on account of the tea cost that we had to absorb in the second half of the year.

Adjusting for that, the overall operating profitability actually improved on an underlying basis. And if you were to adjust for the tea cost impact, the underlying improvement would have been about 80 basis points. I think consolidated financials, nothing much to speak about here. I think we've talked about it. So, I'll probably skip this slide.

Same on standalone. I think segment performance is pretty much indicative of what we have shown earlier in terms of the India business , international and unbranded. And therefore, let's skip.

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External -Generic Maybe, I think nothing much to cover here. So, let me hand it back to Sunil for the closing remarks.

Sunil D'Souza: We've delivered another strong quarter across India , international and non-branded business and delivered strong growth for the year as well in a tough operating environment. India tea business, good part was we saw 4% growth in FY25. I mean, it was primarily driven by strong recovery in H2, up 10% driven by strong execution.

India foods, another stellar year, 13% organic growth total up 29 %. Growth businesses ended north of INR3,200 crores and when we had said they will account for 30 %, they account for 28% of India business. Tata Sampan up 30%. RTD business back on track, positive growth, 17% volume, 10% value growth for the quarter.

Capital Foods and Organic India continue to show strong progress and are helping us build the new channels of food service and pharma. Food service we are rolling out to 16 cities and pharma we will be in 40 cities and we should be there in the next one or two months. The beverage vending business ended with a 5% market share.

International business delivered all -round performance with 5% revenue EBIT up 21 %. Non-branded driven by coffee pricing, revenue up 20 %, operating profit up 63 %. And Starbucks is the largest coffee chain in India with 479 stores across 80 cities. Back to you, Nidhi.

Nidhi Verma: Thank you. Thank you, Sunil and Ashish. Moderator, maybe we can go to the Q&A line now.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Arnab Mitra with Goldman Sachs. Please go ahead.

Arnab Mitra: Hi. My first question, Sunil, was on the Capital Foods and Organic India business. So how do you see this business grow in FY26 now that the integration has been completed? In terms of revenue, I think when the acquisition happened, you had an aspiration to grow this at 30%. Do you think that kind of growth rate is something that the business can actually have? And also on the margin synergy side, have you already netted some of the margin benefits or they are more likely to come over the next couple of years?

Sunil D'Souza: So, Arnab, let me comment about the margins first. I think broadly, most of the margins are in the bag. And we are seeing close to business case margins, gross margins coming through. And of course, I mean, apart from that, below the line, the entire synergies on S&D, logistics, procurement, all that coming through very nicely.

On the top line, yes, we had guided for 30% growth and we remain

confident. As I said, we were

probably behind by a quarter from where we started because different channels, different outlets, different buying frequencies, different merchandising skills, different competitors, it took us a bit of time to learn.

But I think now we are fairly confident of having, let me say, got fully inducted into the business. And therefore, it is now about expanding distribution, portfolio and making sure we fire the marketing guns.

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External -Generic Arnab Mitra: And just a related question on the instant noodles launch, the choice of launching at INR10, which is where kind of the lowest price point in the urban market. Are you -- should we see this as your attempt to -- would you like to go very deep and wide in instant noodles, given that it's a very big category or it's a part of a portfolio extension and it might take time for it to really contribute in a meaningful way to growth?

Sunil D'Souza: So let me say, A, instant noodles is a large category. I don't think we are going to take it head on in terms of the category itself. We do believe Desi Chinese and the Ching's brand has robust credentials to carve out a decent enough space in that segment. B, the INR10 at 60 grams is what we are going in, has got a pretty decent margins also. So it is not significantly dilutive to our whole story, gives a very strong top line and a decent margins with a differentiated play.

Arnab Mitra: Thanks so much. One last question, which is on the tea business. So in the last cycle of tea, we had seen, you know, significant market share gains for the branded, the top two players in the market. This time, we are not seeing that. We are also seeing volume still remaining a bit tepid , despite you having taken the pain on margins. So in your view, what has changed this time? Are the local players, have they done something which is helping them overcome this very high inflation delay period?

And would you expect this to continue for the next couple of quarters till we see any change in the tea pricing environment?

Sunil D'Souza: So let me answer it in a variety of ways. Number one is normally when there is a very high inflation and prices go up, people do tend to down trade. I think that is normal. The difference between this cycle and the last one, last one was during COVID, because last one was not only pricing went up, it was also supply chains got disrupted. Locals couldn't, how do I say, put their supply chains together from auction to purchase to distribution. I think that is where the larger companies benefited a huge lot.

So here, classic, exactly what I said, down trading. If I dial back about six months back, or maybe about four, five months back, when we really started to deliver the price increases in the market, we saw our lower end of the portfolio growing faster than the premium, because even within the portfolio people, we saw them moving down. But broadly, I would say in the last two or three months or so, we are seeing growth across the portfolio, slightly stronger at the lower end. But overall, even the premium and mass premium segments coming back to growth, number one.

Number two, going forward, if the tea crop is normal, and if prices start to ease off, we would see margins starting to normalize. And like I said, volume growth, I would expect to start seeing coming back if we hold prices for some time.

But that said, again, this is a commodity business. I cannot forecast pricing because last year, I couldn't forecast the two droughts that happened. And therefore, again, this year, I'm keeping my fingers crossed. But if it is a normal crop, then if supply greater than demand happens, then we would probably see an easing of prices and relief on margins, and also volume growth coming back decently.

Moderator: Thank you. Next question comes from the

line of Sheela Rathie, Morgan Stanley.

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External -Generic Sheela Rathie: So my first question was with respect to the mention on the net working capital cycle for India coming to one day. Now I understand that e-commerce is growing very well for us, 66% growth.

So just wanted to understand, one, what is driving this improvement in such a steadfast manner?

And second is, how is the e-commerce business driving the net working capital for us in general?

Sunil D'Souza: So, Sheela, let me, I mean, e-commerce overall, including e-commerce and quick commerce is about 14% to 15% of my business, right? So it is, I mean, it's a relatively smaller piece in the scheme of things. Significant portion of my business is GT, which is almost zero credit. Modern trade is a little bit and e-commerce is a little bit. So from that perspective, outstanding's are not, I mean, hugely out of proportion, number one.

Number two, we've invested significant amount of capability, technology, talent, infrastructure at the backend to make sure that right from commodity to finished goods, inventories, etcetera, are in line. Whether it is enormous focus on packaging material, raw material, finished goods, or figuring out supplier credits, etcetera to make sure that we keep working capital under tight control.

Multiple measures have gone into place to make sure that this happens and this is sustainable.

It's not that it's a one-off thing. The system that we put in place, extremely sustainable.

Sheela Rathie: Understood. Second question was with respect to the NourishCo business. We have seen a very strong revival in the last two quarters. So obviously we see it in the presentation that we have done distribution expansion, portfolio expansion, and actions on the pricing side. But is there anything else, Sunil, you want to call out in terms of our efforts to sustain this kind of growth even going ahead?

Because obviously the competitive landscape has become tougher than where we were say 12 months ago in this particular piece. And where is Tata Copper now in terms of the portfolio mix?

Sunil D'Souza: So I did mention Tata Copper grew, if I'm not mistaken, 23% for the quarter. So Tata Copper has had a stellar run. The bigger pressure which had come was on the Tata Gluco+. And I had said, I think we missed a trick when Reliance came in because we thought they came in at INR10. Tata Gluco+ was at INR10. But their retail margins were higher than what we had and we didn't re-index fast enough.

After that we took corrective actions. We re-indexed the retailer margins. The product proposition consumer connect had no issue at all. It is plain and simple, a retailer disconnect that was pushing it down. Once we corrected that, and that is when everything has started to come back. Now as it has come back, we've also taken an opportunity to, I mean, rebuild the distribution.

Because once you have volume momentum going up, you do have some hiccups. That is almost done. And now that we have it, we are back to our original thesis of expanding portfolio, expanding distribution, making sure that we grow the business. The month of March, I think we exited, if I am not mistaken, at a 38% volume growth. While overall for the full quarter it was 17%, value was 10%. We are improving from month-to-month.

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External -Generic And we remain fairly confident that we will come back to the stated 30% top line growth very quickly.

Sheela Rathie: Good to hear that. And my final question is on the Sampan business. I think last five years growth as called out in the presentation has been very strong. So now what would be the largest piece in the Sampan portfolio for us? I know we are doing a lot of innovations here, but if you can just give some

qualitative and quantitative aspect to it.

Sunil D'Souza: Sorry, just for this thing, I just want to do this thing on the NourishCo piece. The other piece that I want to call out, we are still decent gross margins, even despite re-indexing on the retailer

piece. So it's a sustainable business for us. We can stay long term at this price. I am not very sure competition is doing exactly the same calculation. Right.

So that's number one. Coming back to Sampa nn, Sampa nn we have always guided for a 30% top line. As we have maintained about four years back, we did this entire work of scanning the entire horizon on the Indian food and beverage space and therefore made our choices on where to play and where not to play.

And we are sticking to that playbook. If you look at it today, I would say the biggest, this thing is still from pulses. The good news is the reason we are delivering continuous growth in pulses is because we've got our procurement, we've got our supply chains, we've got our pricing indices and our reaction times all tuned to the market.

That's number one. Apart from that, as you said, innovation, dry fruits is now close to a INR100 crore s plus run rate. Cold Pressed Oils , which we entered recently is a INR70 crore s plus run rate. We are seeing good traction continuing in poha. So, yes, overall, across the board, categories which we are playing, I think we have fine-tuned the playbook. Categories which we are entering, we are figuring out that the thesis of entering it is proving to be right.

Moderator: Thank you. Next question comes from the line of Mihir P Shah with Nomura.

Mihir Shah: So my first question is on the unbranded coffee business. You know, some insights on coffee pricing and crop pattern will be very helpful Sunil . I know you were -- last time highlighted that, you know, we should tell you what the coffee prices would be and then you can answer them. But given that you are the one of the key players, any insights on that will be essential.

Essentially, we are just trying to understand how should one -- how are you thinking about the revenue growth and margins from here on? As you will cycle, very significantly high margin base from the quarter going forward. So some insights will be very helpful on that front?

Sunil D'Souza: Absolutely right. And my answer remains the same as the last time around. I don't think, we can draw a trajectory or we can plan a forecast on where coffee prices will go. We did see a bit of a hiccup on the day the tariffs were announced. Little bit came off. I mean, the futures.

Arabica moved from 4.30 to about 3.80. It gave out \$0.50, but again, it started to climb back. So I'm not sure where it will settle. That said, post this tariff thing, the other big commodity which was moving around has come down significantly, which is cocoa.

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External -Generic So I am not sure who is how long has had most of these hedge funds, etc etera , gone . So therefore, I wouldn't be able to comment. Two or three indicators, A, Brazil, which is Arabica, and Vietnam, which is Robusta, both seems to be slightly below par in terms of the forecast crops for the year. A, and therefore, there might be an impact on pricing there. And B, everyone, including the large players, have started to shorten their hedging cycle. So everyone is expecting more volatility around the corner.

So I wouldn't put a forecast around where we are going to move. All I would say is we are going to react to whatever is coming around in the market. Now, again, in terms of the extractions and the solubles business, it is a pass through because we buy, move it into either freeze or spray and then sell it off.

So there is only a, say, conveyance and a margin there. Plantations is where there is, so roughly half the business, I would say, or slightly less than half is p

lantations, which is actually the

impact of coffee prices. Extractions and solubles is more of just a pass-through business.

Mihir Shah: Got it. Understood. Secondly, on margins, how should we think about the overall gross and EBITDA margin on consolidated level from here on? There has been a sequential improvement due to the price increases. But I think, if I heard you correctly, the tea pricing, you're absorbing some of them in the interim. So price increase from here can be limited. So how should one think about the improvement going forward from here on?

Sunil D'Souza: So, as I said, we have absorbed, we have passed on about 30 % or 28%, 29% of the tea costs for the full year. For the quarter, it's now 46 % with the price increases that we've taken through the year. So, yes, 54%, 53% of the costs have been absorbed.

That's primarily to make sure that we remain competitive while taking price increases and maintain the volume growth. That said, going forward, we expect tea pricing, tea cost to soften rather than pricing going up if the tea crop is normal. So, therefore, margins will come back.

As I said, for the last quarter, if you had added back the impact of the tea prices, my EBITDA margins would have expanded 80 bps. And, therefore, as tea prices come back, we would expect to see expansion of EBITDA. We would have expansion of EBITDA anyway because we have taken the price increases, but we would come back to normal territory of where we should operate in.

We were, if you remember, last year, we had closed at a 15.2 %, 15.3 % EBITDA margin. And if I normative add 80 bps, it should be, it should have been around 16%. So, there's no reason by end of Q2, early Q3, we should not be in that ballpark. And the reason I'm saying end of Q2 is

by the time the new tea crop costs come through into my supply chain would be end of Q1, middle of Q2.

Mihir Shah: Got it. That is very helpful, Sunil. Lastly, on salt, volumes have seen a decent pickup sequentially despite the price increases. Is this level of volume sustainable over the coming year? Also, keeping in mind that you have a high base coming up in 1Q? So, that's the last one.

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External -Generic Sunil D'Souza: So, here's the thing. I don't forecast quarter to quarter. We forecast for the short to medium-term.

And we've always maintained both for tea and salt, mid-single digit volume and a couple of bps on that on terms of pricing. So, tea, if you look at it, the good part is last quarter we delivered overall between price and volume 10% growth. This quarter, we've delivered close to 9% growth, but in a reverse scenario, 2% volume, 7% pricing.

Last quarter was 7% volume, 3% pricing. So, overall, it's in the ballpark, whether it's volume or price. Similarly, salt would be in that ballpark. Last quarter, we have delivered higher because we've taken price increase slightly ahead of the curve. But we remain on our forecast of mid-single digit volume and a couple of bps of that on pricing.

Mihir Shah: Perfect. Thank you. Thank you so much. And lastly, one bookkeeping any one-off in employee costs, that we should think about?

Sunil D'Souza: Yes. So, on the employee costs, I think if you're looking at the movement between December quarter, March quarter and March quarter last year, all the synergies which were planned through on all the acquisitions, etc. etc., came through. And there were some one-off credits on employee expenses which were passed through for March quarter.

Mihir Shah: Thank you. Wishing you all the best.

Moderator: We will now move to text questions. The first question comes from the line of Sameer Pitadia, an Individual Investor. The question is, with the Indian food business now surpassing the international portfolio in size, how should we think about the margin trajectory going forward?

rd?

Sunil D'Souza: So, if you're talking of margin trajectory in EBITDA terms for Tata Consumer Products, we remain continued guidance of double-digit top line and EBITDA growing ahead of top line. So, in effect, expansion on EBITDA margins as we go ahead.

Nidhi Verma: Moderator, we will just go to the webcast for a few questions. Yes. There is a question from Abneesh. He's asking on expectations of next tea crop in India and prices? Yes.

Sunil D'Souza: So, as I mentioned, I think if you look at, again, I separate it into North and South India. And, Abneesh, the reason I'm not forecasting is last year I didn't forecast the two droughts. So, this year I can.

Early indicators, South India crop seems to be better than last year. North India, March was better than last year. April is sort of sluggish, but the expectation is April plus May will come in better than last year. So, overall, till now, it looks like crop better than last year. And therefore, if crop better than last year, then we do expect some flex in price and softening out there.

Nidhi Verma: Thanks, Sunil. There is a question from Ray. He's asking, can you comment on preliminary thoughts on the tariff impact to the US business?

Sunil D'Souza: Now, the only question I would ask Ray is what will be the final tariff? If someone tells me that, then I would be very happy to answer. But if I take 10% as a normative norm, big business in the US is coffee and coffee is not produced in the US, it's all imported.

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External -Generic And therefore, from a competitive scenario, we'll be on an even keel with everyone else. In fact, because we are manufacturing onshore, we might have a little bit of a handicap in our favor as we go forward. Tea, again, the US doesn't grow tea and therefore, tea coming in, there will be a little bit of difference if someone is manufacturing in Canada versus the UK, but not significant enough.

Balance, organic India, supplements, infusions is primarily India based products going there. So, from a competitive perspective, I don't think it changes at all. Balance foods, again, India foods, people will be supplying out of India. And therefore, overall category wise, there might be a bit of pressure as inflation builds up. But that is your guess is as good as mine. But from a competitive scenario, we don't expect to be way off.

Nidhi Verma: Thank you. Thank you, Sunil. There's another question from Abneesh. He's asking about margins in Gluco plus and water, post higher trade margins?

Sunil D'Souza: So, Abneesh, as I mentioned, we have taken a bit of a hit on Gluco plus margins as we've re-indexed retailer margins, but it's fairly decent still. Water plus, that is Tata Copper, there is no significant difference. And as we showed you, our premium, including Himalayan, is growing

at 29%. We launched cold coffee which is off to a great start. We're in the process of launching Kombucha. Tata Copper grew by 23%. So, a slight bit of downside on margin, but more than made up in terms of top line growth.

Nidhi Verma: Thank you. There is a question on the presence of NourishCo on quick commerce seems limited. What is the reason for that and what's your plan?

Sunil D'Souza: So, quick commerce will always be limited. I mean, if I go back to the basic hypothesis of investing in NourishCo. Plastic, water and freight see these are the three big costs out there. And therefore, limited radius of distribution is the key to driving profitable growth. E-commerce is all about logistics and freight costs. And therefore, it's not a viable proposition. You will find our premium portfolio on NourishCo.

But the mass portfolio, I don't think the margins will justify, apart from the fact that they're bulky and fragile, I don't think the margins justify e-commerce at all.

Nidhi Verma: Okay. Thank you. Sun

il, there is a question from Akshin. I think we've already addressed in terms of one-off employee costs. And I think there's a question from Latika asking, do you see significant risk to revenue momentum in US/ UK market given recessionary risk for these markets?

Sunil D'Souza: Recessionary risk is, I mean, yes, people are calling off recessionary risk in the US, but I don't think they are calling it off as much for the UK. UK, we are on a very strong footing. We are at the number 2 in tea now. We've expanded margins. We are now, actually speaking, beginning of this quarter our first set of films and brand building for Tetley has started. We've defined the platform going forwards and we will be consistent in brand building.

So I expect to go from strength-to-strength in the UK. US, fingers crossed. For now, I'm not sure where it is headed, but coffee we are in the base consumption categories. It's not that we are in Tata Consumer Products Limited

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External -Generic a discretionary category and therefore we'll get thrown off by recessions. Coffee, tea, basic this thing, I don't - there will /might be an impact, but I don't think it will be significant enough.

Nidhi Verma: Thanks, Sunil. There's another question from Latika. She's asking that you mentioned that Capital Foods and Organic India have reached their business case gross margins. In terms of, what are your thoughts on operating margin given the likely step up in marketing spend?

Ashish Goenka: Latika, I think even in terms of A&P spends as a percentage to revenue, we were in line with the business case. So even at an EBITDA level, the margins are pretty much in line. So there should not be any further impact as we scale up A&P because it will be in line with the revenue scale up as well.

Nidhi Verma: Thanks Ashish. There's another question in terms of capex plans for next year?

Ashish Goenka: So capex plans for next year are also in line with the current year. There is no significant investment coming up next year. The Vietnam capex was done half this year, will continue half into next year. So in terms of percentage, revenue will be similar to current year levels.

Nidhi Verma: Thanks, Ashish. I think we can just go back to the Q&A queue now to take a couple of questions from there.

Moderator: Thank you. The next question comes from the line of Jitendra Arora with ICICI Prudential Life Insurance Company Limited. Please go ahead.

Jitendra Arora: Thank you. Two quick questions. You mentioned that there is a INR 90 crores export revenue for Organic India and Capital Foods in the international business. If you can help us understand how this piece has grown per se, is it in line with the rest of the Organic India & Capital Foods business? That is first.

And second, even though you mentioned that there were a few one-offs on employee benefit expenses, I just wanted to understand that if we were to look at the full year FY25 and we have to go to FY26, how should we see that growing?

Ashish Goenka: So in terms of the export revenue, as you would recall almost 40% of our Organic India business comes out of the US. Overall revenue from export is 50%. So this INR90 crores includes that part of the revenue. Of course, in line with our business plan, our US business has also done well and I think we have been able to grow the business in the US. Capital Foods has a small portion of about 15% of the total revenue coming out of exports. This again goes into various markets, namely US being one of the key markets, Middle East, etc etc.

And that portfolio has also done reasonably well. Sorry, your question was on the employee cost. So this year, of course, we have taken a lot of synergy benefits that came with the acquisition of both Organic India and Capital foods. And going forward we would see only normative increases

in line with the inflation on employee cost.

Sunil D'Souza: Percentage wise, I think as the top line grows, I think the percentage will start to get operating leverage.

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External -Generic Ashish Goenka: Yes.

Jitendra Arora: Sure. Thank you.

Moderator: Thank you. Next question comes from the line of Nihal Mahesh Jham, with HSBC Securities. Please go ahead.

Nihal Mahesh Jham: Sir, I have two questions on Sampan n. You had mentioned a couple of quarters back that the margins for the portfolio were close to double digits. Just wanted to check, have we seen any change to that?

Sunil D'Souza: No, overall for Sampan n, we remain in that ballpark. See, it's a question of tradeoff of top line versus margin. We are quite comfortable growing top line at an aggressive pace at a decent margin and we are in that ballpark. So nothing changes from that guidance.

Nihal Mahesh Jham: Understood. The second question was that for the 30% growth that you're targeting in the Sampan n portfolio, is there a ballpark mix in terms of what will be the contribution of new categories? I'm asking because you mentioned obviously, say for the dry fruits and some of the other categories, they've become reasonably sizable to the overall portfolio. So if we had to look two, three years ahead, are you looking at more categories and that would be the primary driver for Sampan n's growth and how would then that impact your margin expectations?

Sunil D'Souza: So going forward, I think more or less we've ticked off all the boxes on the categories that we had shortlisted, as I mentioned about 4 years back or maybe 4.5 years back. So I don't think you're going to see any more category launches. We are probably going to see an expansion in the same categories that we play in. For example, we might launch a GI-tagged dal or we might get into a new range of dry fruits or we might launch a different version of poha or a flavored version of vermicelli. I'm just making it up as I go.

So I don't think you'll find new categories as much as innovation within and the portfolio expansion within the category that we're playing. Sorry, just to add there. Remember, each of these categories, the runway for growth is huge. So I don't need to go look for new categories. In pulses, I think branded pulses are less than 1% of the total. So I mean, I don't need to, I mean, look far beyond where I'm playing to look for growth.

Nihal Mahesh Jham: Understood. That's it from my side. Thank you.

Moderator: Thank you. Next question comes from the line of Bhavdeep Vora, Franklin Templeton Asset Management India. Please go ahead.

Bhavdeep Vora: My question was on the new growth business. So that's roughly now 28% of the India business. I mean, what would be their exposure to the new age trend? So what percentage of their sales would be coming from modern trade /e-commerce? If you could share that?

Sunil D'Souza: So I don't think we have a sum total, but just to give a perspective overall, my e-commerce is about 14% of my total business. And out of 14%, about half is quick commerce, half is e-

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External -Generic commerce. I would say Sampan n is weighted, I mean, relatively more on e-commerce and modern trade and lower, slightly lower on GT compared to the rest of my portfolio.

But whether it is Organic India, Capital Foods, I think that, I mean, ready to drink is almost all is general trade. So it varies by segment. Capital foods, Organic India is in line with my, more or less in line with my overall channel mix.

Bhavdeep Vora: Okay. Fair enough. Got it. My last question was on the international business. So there seems to be a little bit of margin dip sequentially this quarter in the international business. So anything to read into it or what

should one kind of build in as a sustainable margin level for the international business?

Sunil D'Souza: So, margin level for this quarter, let me split it into two distinct reasons why. Number one is a conscious call on pricing on coffee in the US, because there was so much volatility. We had not gone in with a price increase, which we have announced. You need to get 60 to 90 days notice depending on the trade partners we've announced effective June.

So you will start seeing the margins coming back in the US on the coffee business. On the UK business, like I said, we had not been investing in the past. We've invested a decent amount. It was planned. Actually, while you see the margin dip, it's slightly better than what we had planned for because we have started investing back into the UK.

The UK accounting that we follow is whatever films we shoot, take the charge in the same quarter. So now those the thing going forward, it will only be airing and no production costs in the UK business.

Bhavdeep Vora: Okay. Got it. Thanks. That's all. That's it from me.

Nidhi Verma: Moderator, we'll take one last question.

Moderator: All right. Next question comes from the line of Sheela Rathi with Morgan Stanley. Please go

ahead.

Sheela Rath: Yes. Thanks for taking my questions again. Just, the reference you made about NourishCo being a less quick commerce play from a logistic standpoint. I just wanted to understand that. Is there a need for us to expand capacity for NourishCo as we go deeper in terms of distribution?

Sunil D'Souza: So, let me say I don't see a connection between e-commerce versus capacity. I do think it's 40 or 42 plants that we have for NourishCo. Broadly, we are well positioned in the geographies that we wanted to play in. And we've got ample amount of headroom for capacity expansion. And remember, this is cheap and cheerful capex, all third party and therefore very easy to ramp up if we do need.

So I don't see a need for capacity focus at least in for the next 1 or 2 years. If we really hit it out of the park continuously year-on-year, then I don't see an issue in expanding as well, because like I said, it's cheap and cheerful and it is third party.

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External -Generic Sheela Rath: Understood. And I do agree there's no reference to it. It just triggered the question. The second

question and the final one is, we called out the UVG growth for this year. Just want to understand from you, how should we think of the stable state, UVG growth if everything remains as is for the business?

Sunil D'Souza: So that we have to come back to you. I mean, we've also for the first time done our UVG numbers and looked at it. Like you understand, UVG is a slightly complex formula and we will take some time to digest. But I go back to my original thing, mid-single digit volume growth on tea, mid-single digit on salt, everything else where we look for revenue. We're looking at growth businesses being 30% of the portfolio growing at 30%.

Sheela Rath: Thank you, Sunil. This is very clear.

Moderator: Thank you. Next question comes from the line of Sumant Kumar with Motilal Oswal Financial Services Limited. Please go ahead.

Sumant Kumar: So, can you talk about the channel expansion and state wise, how the presence is increasing for NourishCo?

Sunil D'Souza: So, let me say NourishCo about, I would say 35%, 40% of the business comes from Andhra, Telangana, Orissa, which is the original states where we started off. Roughly around 20%, 25% comes from the east where we expanded post that, which is Jharkhand, Bihar, West Bengal. And the balance of 25%, 30% is from nationally.

Right now, we are after having re-indexed this thing, we are seeing good growth across. In fact, we are seeing the east and the original Orissa, Telangana, Andhra coming back to the

party

sooner than what we had expected.

Sumant Kumar: And where we have a gap and we are planning to expand more in near state?

Sunil D'Souza: So, we are not planning to expand states per se. We are planning to populate the geographies in which we are present much more intensely, because remember, it's just been about 2 or 3 years since we put up plants in the north or the west or even the southern states per se. So there is a huge headroom.

So if you look at even number of outlets that we go to, even in those geographies, I would say we could multiply it 2x, 3x, 4x very easily before starting to expand any more plants and geographies.

Sumant Kumar: Okay. Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question and answer session. I would now like to hand the conference over to the management for closing comments.

Nidhi Verma: Thank you so much, ICICI Securities for hosting us and thanks everyone for joining on behalf of the management. I just want to say, if you have any pending questions, please feel free to get in touch with us. Thank you.

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External -Generic Sunil D'Souza: Thank you.

Moderator: Thank you. On behalf of ICICI Securities and Tata Consumer, that concludes this conference. Thank you for joining us.

Call: Jul 2025

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Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter ended
June 30, 2025
Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("SEBI Listing Regulations "), please find enclosed the transcript of Earnings
Conference Call held on Wednesday, July 23, 2025 , in respect of the financial results for the quarter
ended June 30, 2025.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions
of the SEBI Listing Regulations .

Thanking You.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
ACS73704
Encl.: as above

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"Tata Consumer Products Limited
Q1 FY '26 Earnings Conference Call "
July 23, 2025

MANAGEMENT : MR. SUNIL D'S OUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER
MR. AJIT KRISHNAKUMA R – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Tata Consumer Q1 F Y '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you
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need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you, sir.

Manoj Menon: Hi, everyone. Representing ICICI Securities, as always, it's our absolute pleasure to host the management of Tata Consumer for an other results conference call. Without much ado, passing the baton to Nidhi Verma from the company for the intro of the management and further proceedings. Over to Nidhi, please.

Nidhi Verma: Thank you, Manoj, for hosting us, and welcome, everyone. I hope that you have gone through the investor presentation and other materials that we have uploaded. As usual, how we will run today's call is, we'll walk you through some of the key highlights of the quarter, and then we will open the floor for Q&A.

I'm joined by Mr. Sunil D'Souza, Managing Director and CEO; Mr. Ashish Goenka, Group CFO; and Mr. Ajit Krishna kumar, Executive Director and COO; and my colleague, Kaiwan from the Investor Relations team. And I want to draw your attention to the disclaimer statement that is up on your screen right now.

With that, I hand it over to Sunil.

Sunil D'Souza: Yes. Thanks, Nidhi. So in summary, we delivered double -digit growth, 10%. The India branded business and if you had noticed from the last quarter, we had

started publishing our

UVG. It was close to 7% at 6.8%. The core India businesses, both tea and salt, grew double digit in value, and they also grew in volume.

The growth businesses grew 7% on an aggregate basis. Yes, this was below par in our parlance. It was primarily driven by unfavourable weather impacting the RTD business, the monsoon came early. Despite that, we recorded positive volume growth.

Sampann obviously continued its strong momentum. We've always said it will be close to 30%. It came in at 27% in quarter 1. Capital Foods and Organic India, we were impacted by some transitory issues, which includes some capacity constraints, some rightsizing of inventories and supply chain hiccups in the export, both as well as imported ingredients pieces. The focus now remains to continue to accelerate growth through innovation and expanding distribution here.

International business is on a strong wicket and continued its momentum with a 5% constant currency growth. And this time, the U.S. has come to the party. Non-branded business was quick to adapt. Coffee prices are in at least a short -term declining phase and we need to be agile about figuring out sourcing and managing inventory. I think we did that quite well.

Consolidated EBITDA, primarily, I would say 2/3 of this EBITDA decline is accounted for by tea cost, and this declined by 8%, and other is primarily because of coffee price corrections in the Non -branded segment.

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Overall, EBITDA margin was down by 250 bps. As I said, 160 bps was accounted by tea cost

and the balance mostly with the coffee price. We continue to strengthen omnichannel capabilities. We're rolling out our food services and pharmacy and these are demonstrating robust growth, albeit on a small base. And I talked about coffee prices. Tea prices, however, currently remain favourable, and we remain cautiously optimistic.

In terms of performance, India Beverages was up by 8%, India Foods was up by 14%, International up 9%, in constant currency price 5%, Non-branded was up 7%, and Consolidated, we were up by 10%. Revenue 10%, INR4,779 crores. EBITDA, negative 8%, which is negative 250 bps. INR465 crores of PBT, which is up 10%. Group net profit is up to 6.9%, which has grown by 10%. And after exceptionals is -- total net -- before exceptional is up 10%.

Total net profit all in is up by 15%, which translates to a 12% EPS growth year-on-year. We've got roughly INR400 crores of cash on our balance sheet. Just to recap, at this time last year, we were negative since we had not done our rights issue.

Strategic priorities remain the same. We have maintained our A&P-to-sales in the 7% range.

Albeit in the short to medium term, we would like to go closer to 7.5%-8%. Just as a perspective, Nielsen keeps on changing the goalpost. They have rejigged their panel, which they used to do once in 3 years. This time, they have rejigged it in a year's time. And therefore, again, there is a new goalpost on the share front.

Apart from that, we have had several new launches. We've launched green tea with L-Carnitine. L-Carnitine is proven to burn fat. And we've brought in Sachin Tendulkar to endorse Organic India to build brand credentials and authenticity. We've also pumped up our communication on Tata Salt. Last year, we did the Desh Ka Namak campaign version 1.0. This is now 2.0, going retro. And even in RTD, we have started moving up the value chain and the RTD coffee has got off to a very strong start.

We're building multichannel capabilities. This quarter, e-com, including quick commerce, grew 61% for us. Modern trade grew 21%. Food services, which was the muscle that we're building, we've got now that we're in business for some time, we're now getting the tenders through and successful activation across several key large accounts and premium hotel chains. So t

he pharmacy rollout is going very well. We have now expanded to the 40 cities. And here, there's a very strange equation. The percentage of DSR on the street is equal to the percentage achievement against plan, which means it's only a question of putting feet on street and we're getting traction on top line. Just that feet on street is taking a little bit more time.

Vending is the other piece, which we have gone aggressive behind. We've now got 5% share in the bean-to-cup market with 5,000 machines. We had guided for 30% of our business coming out of the growth businesses, which will grow at 30%. In terms of percentage, it's still at 28%. We are still not there. It's not a satisfactory result on the growth number, which has come in at 7%.

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And as I mentioned, it's primarily to do with a little bit of transitory issues, primarily on Capital Foods and Organic India, more Capital Foods, I would say. And RTD, while volume growth has come through, could have been better. And of course, we've reindexed price and therefore, value growth has lagged.

We have done several launches across all our businesses this quarter. We've significantly improved our sustainability standing, and this has been steady progress. If you look at the CRISIL rating 57, 58, 61, we've moved the needle significantly and now in the strong territory. In terms of macros, tea prices right now, as of the latest auction is about 13% to 15% below last year same time, and we do expect it to trend lower as we go into the full season. Coffee, while it is trending downwards, there's not a uniform trend. There's still a bit of volatility there, and that is something which you've got to manage.

In terms of business performance, Packaged Beverages, as I had mentioned, volume is up 1%. Net revenue is up 12%. Growth was initially about 6 months back, it was the bottom of the portfolio growing faster than the top. But now more or less with pricing having settled, growth was broad-based across categories. I would especially want to highlight coffee still while we're a relatively smaller share player, we had, had a 33% growth in volumes and 67% value.

In terms of Foods, we had a 6% volume growth, 14% revenue growth. Salt grew 13% with 5% volume. Actually, we have achieved our highest-ever quarterly tonnage. Value-added salts continued their strong momentum, up 31%. Sampann has grown 27%. And most importantly here, the recent launches in Sampann of dry fruits and cold pressed oil continued to build on the growth momentum. And right now, we're tracking ARR of about INR200 crores.

On the RTD piece, we had a 3% volume growth. Net revenue delivered was INR271 crores. Revenue, however, was minus 13%. And this is driven by the reindexing of the price to retail that we did in Q2 of last year, end of Q1, early Q2 of last year. So now that is behind us. So

going forward, volume growth will translate into additional value growth as well. Apart from this, we've launched 8 new products during the quarter, all of them in the value-added range. Tata Copper continued to show strong growth. Despite the reduced season, we had 11% growth in Tata Copper+. Capita I Foods and Organic India, total of about INR260 crores between the two of them. Combined margin was at 50%. This is what we had guided for. And most importantly, Organic India's e-commerce revenue, which the e-commerce channel probably has responded best on Organic India, has grown 3.5x year-on-year. And I did mention the fact that we've partnered with Sachin Tendulkar using the integrity to build the brand's emphasis on quality and trust.

Non-branded business, slightly soft quarter as coffee prices came down, single-digit growth, both on solubles and overall revenue. Plantations delivered 11% growth as coffee prices moderated. Profitability for the business was impacted due to the drop in

the overall prices for coffee globally.

Starbucks, the good news was we're back to same-store sales growth. We grew in April and June; May, albeit was a decline, and that's primarily because we had about 10 days of impact

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because of geopolitical tensions, especially in North and Northwestern India driven by Operation Sindhoor, reduced store timing, shutdown of stores in some places, but we feel pretty confident about the uptick starting on both traffic, which we call ADT as well as same-store sales growth.

We tempered store opening for the quarter. We've added only 6 new stores for the quarter, focusing on the footprint growth across both metros as well as smaller cities. International, U.K. was negative 4%. Just to, I mean, point out, we were cycling a very strong quarter last year, where competition had a misstep in the quarter there, but share continues to be on a strong wicket, close to a 20% share.

Apart from that, on fruit and herbal, we have close to a double-digit share, which we are continuing to build on. The U.S. came to the party very strongly. Coffee growth of 20%, market share 4%. And overall market share growth in the U.S. after some -- a few quarters. Canada was a bit of soft performance this quarter, primarily to do with the shifting of promotion timings in one of the big retailers namely Costco in Canada. This will come back over the next few quarters.

I hand over to Ashish for the financials.

Ashish Goenka: Thanks, Sunil. As Sunil said, I think overall, we had a 10% growth at a consolidated level. EBIT was an 8% decline, largely on account of the impact of tea cost and some impact of the contraction that we've seen in coffee. Overall, EBITDA is down minus 8% and PAT up 10% as we have knocked off the interest costs from our base now given that we have repaid the bridge loan after the rights issue.

So that's flowing into the PAT now. And there was no exceptional items this quarter.

Therefore, reported group net profit was up 15%. Nothing much to cover on the segment. I think we have -- Sunil has really talked about and covered all the various aspects of the business. So we can move to the Q&A now. Thank you.

Moderator: Thank you very much. Our first question comes from the line of Jay Doshi from Kotak. Please go ahead.

Jay Doshi: I've got two questions. The first one is a slightly longer one on tea. So could you please explain us the commodity price trends over the past 6 months and the outlook for the year? I know you touched upon this in the presentation. How has the end product prices been in the last 3, 4 months and competitive activity?

And when you factor all of these three moving parts, are you still sort of confident that tea margins should -- could normalize to what you had called out couple of quarters back that tea impacted margins by about 300 basis points at a consolidated level? So do you still expect somewhere between 200 to 300 basis point improvement in consolidated margins as -- once commodity prices come into the P&L starting 3Q? So that's first question.

And second is a small one. See, Non-branded business margins have in a quarter corrected from 22% to 12%. I mean, the short-term falling coffee prices can actually drop to the other

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extreme just the way it went from 13%, 14% to 20% plus. In falling coffee prices, do you actually get adversely impacted by inventory losses? And can it go to low single digit or it will stabilize at these levels?

Sunil D'Souza: So Jay, let me answer the second question first, and Ashish chip in. The issue with falling

coffee prices is your trailing inventory, right? That is the whole catch. Because you're sitting with inventory and selling it at a lower price, it will stabilize at a point in time. And I would dare

say it's -- we are probably close to the bottom on the margins front. Ashish?

Ashish Goenka: Yes. So just to add to what Sunil said, I think we are fairly well hedged, of course, and we have taken a small charge this quarter on the mark-to-market. I think probably we'll have to see one more quarter, and of course, it largely depends on where the coffee prices finally settle. But if they are around about where they are currently, I think we'll see probably one more quarter of pain, and then we should get back to the historical margins that we had in the business.

Sunil D'Souza: Yes. And Jay, to answer your question on tea, broadly, I would say we've had about a 10 - percentage point impact of tea prices -- tea costs. We've been able to translate roughly 70% of the price increases of tea into pricing for the consumer. So 30% is still out there, and that has impacted our margins by about 10 percentage points.

Broadly, tea should operate in a margin range of about 34% to 36%, 37% gross margin. We're about 10 percentage points below that. So two things will happen from here on. A) is, like I said, 70% of the pricing we've already taken, a). So therefore, as tea prices come down and the latest auction for which data is available, tea prices were down 13% versus the same period last year.

Last year, overall, the rise was about 30%. Like I said, 13% has already come off. So that's 17% left there. We do think it will come down to a -- probably there's a mid - to high single - digit remainder, which will remain. Otherwise, we do expect this to come off and therefore, tea margins to expand.

Also, there is one more phenomenon which will happen as we go forward. If the tea prices come off rapidly, the locals will have access to lower tea prices. And therefore, as we see market prices moving, we will -- like I said, 34% to 36%, 37 %, is a margin which we are comfortable with. I don't think this category, you can go beyond this and therefore, as -- if prices come down more dramatically, we will have to give up something in terms of consumer price as well. But overall, I would say, by Q3, you should see margins operating in this range.

Jay Doshi: Can you give some color on competitive activity? Has the market leader sort of -- what is the extent of price reductions that they've already taken? And have you responded to it? So at a portfolio level, have you taken any price reductions in the last 3, 6 months, 3 months?

Sunil D'Souza: So I would say in the last 3 months in specific blends, in specific geographies. So let me put it this way. Jay, we've seen both sides moving. We've seen price increases and price declines.

Like I said, I do not think we are going to win -- I don't think any player is going to win the battle of market share by pricing. And therefore, if someone moves up, the other person moves

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up or down and it's vice versa. So from that perspective, I don't think there is a competitive advantage. As I said, overall, I do see margins first coming back and then competitive movement starting to happen.

Moderator: The next question comes from the line of Abneesh from Nuvama.

Abneesh: I have a few follow-up questions on the tea only. How relevant is the current spot prices because the crop will come in the next maybe 2 months. And currently, Northeast India has a deficit in rain. So would you see that as a risk because currently spot, the real buying is not happening, right?

So how relevant is the current prices? And would you see Northeast deficit in rains as a risk because it's already in deficit and the initial forecast, which came speaks on this deficit. So if you could discuss that?

Sunil D'Souza: So Abneesh, actually speaking, if you look at the crop itself, I think we are already ahead of North India compared to last year, right? If I'm not mistaken, May itself was close to abo

ut

25%, 30% higher than the year before, and it was equal to 2023. June, the Tea Board has still not published the numbers. But June last year was fairly decent. It was July, which ran into issues with the drought.

Now we do expect this year to be a normal -- even the IMD has forecast a normal rainfall season. And if that happens, there's no reason for us not to go back to the cropping levels of 2023 and therefore, the pricing to start unwinding. As I said, my expectation is, out of the 30%, you'll have some remnant single digit left.

The balance will unwind. Just as a perspective, buying has already started. I would say sometime mid-June onwards, everyone started to build up positions. Yes, the peak is yet to come. It's probably 30 days away in the peak buying this thing. But there's no reason for us at this point of time to speculate saying that we are not going back to cropping level of 2023 and

therefore, price corrections.

Abneesh: Sure. My second question is you have done quite well in dry fruits. And in pulses, definitely, you had a USP of, say, low contamination, more fiber, unpolished. In dry fruits, what exactly is working? Is it more of the unbranded opportunity getting branded? Is that the opportunity? And in terms of competition, a lot of start-up companies are there, a lot of private labels of the e-com, q-com is also there.

Long term, how do you see the business case here? In pulses, I do understand there's absolutely no pan-India large, branded player and definitely, you can command a premium. In dry fruits, if you can expect the same long-term right to win.

Sunil D'Souza: So Abneesh, I'll just reiterate, right? Any of the categories that we're getting in, it is -- let me say, it's not -- I mean, just on the spur-of-the-moment decide. This was all drawn up as a road map way back when we started in 2020, when we had scanned the entire horizon and we had evaluated categories on multiple axes, right, including growth, branded to unbranded margin, Tata Consumer Products Limited

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competition. If it was fragmented, there's a problem. If it's concentrated, there's a problem, ability to differentiate, et cetera.

And most importantly, we had evaluated lack of trust. In dry fruits is one of the categories, which is the largest lack of trust from a consumer perspective because it's very, very difficult for the consumer to judge whether it's INR150, INR200 or INR250. I mean, this is all the retailer telling them that this is the price, right? And that is why it's got off to a phenomenal start.

E-com is primarily the big driver for us, and that is where most of the top line is coming from. Once it is -- we've stabilized there, that is when we've started to go down to general trade. It's more general trade and less modern trade because modern trade players, like you rightly mentioned, they've got their own private label, et cetera.

Now I would also want to reiterate that plain dry fruits, which is what we have launched, is good top line, but relatively moderate margin. The margin in dry fruits is made once you roast, salt, flavour, et cetera, and you will soon start seeing us expand into that.

Now that we have figured out the supply chain for dry fruits because that is another tough nut to crack because there is a seasonality on sourcing and you've got to time it right, right origin country, all these kinds of places. Now that we've figured it, now you'll see us expanding into the value-added and driving up margins in this category.

Abneesh: Sure. Last quick question. Essentially on NourishCo, how do you see the coming 3 quarters, Q1, all summer categories have been impacted. So completely understand that. And if you can discuss both sales and volume because volume growth is back, but sales growth, the commission has been increased. So if you can discuss on sales.

And on Capital Foods now, this

is the sixth quarter we are now entering post-acquisition. So

where is the challenge and in terms of -- what else is needed for Capital Foods, the kind of growth this should grow, but that's not happening. What is the issue in terms of that?

Sunil D'Souza: So in terms of NourishCo, Abneesh, actually speaking, as I mentioned, we took the pricing corrections last year, last -- second half of June, early July, and that's why you'll see a cycling those things. So effectively, to give you this thing, Tata Gluco+ would be about -- at that point of time, about 50% of my portfolio, and we had moved the price to retail from roughly from INR8.20 to INR6.50, right?

So we've roughly doubled the retailer margin, and that is what has driven down value. So 3% volume growth, negative 13% value. But that is now behind us, because now Q2 onward, I'm cycling the INR6.50 pricing. And therefore, as I said, my volume growth will now translate into value growth as well. So there is -- that's number one.

Number two, remember, we've driven 3% volume growth despite missing out roughly, I would say, 10 out of 90 days of peak season. So roughly about 10% growth has disappeared from there. I -- plus all my new launches have got off to a good start, whether it is alkaline water, it is kombucha tea, it has got -- we are expanding ready-to-drink coffee, alkaline water. So Tata Consumer Products Limited

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there's no reason for me to say that we will not get back to the 30% top line growth, and that too, I would say, Q2, latest Q3. Q2, definitely, second half of Q2, it should exceed 30%.

Capital Foods, to your question, as I mentioned, there was a bunch of issues and we've termed it as transitory because more or less, we've figured out how to tackle it. Exports, we had shipping issues, especially with the geopolitical issues around the Middle East, et cetera. Apart from that, we had several imported ingredients, right? And you know the China story, and

therefore, we had to rejig our recipes in certain categories. In certain places, we had to right size inventories for certain categories.

And then, of course, things like noodles, let me say, my team did not figure out the capacity constraints in the right manner, which we unlocked only towards the second half of the quarter.

So going forward now, I think we should be in a good place.

Abneesh: What are the capacity constraints on noodles?

Sunil D'Souza: So noodles, for example. I mean, we didn't have the -- as soon as we said, we are going to expand into -- we didn't have a INR10 pack sold as a INR10 pack. We didn't have a INR15 pack sold as a INR15 pack, right? So we were selling all of them.

We were selling 4 packs put together at INR80, whereas the largest market leader was selling the same thing at INR60, right? So -- sorry, it's 4 packs at INR80 and market leader was 4 packs at INR60, and it was sold as a 4-pack, not as a single pack.

So we did two things. One is we dropped our price from INR80 to INR60 to match the largest competitor. And we've launched a INR15 pack, which is 60 grams as well as we've launched a INR10 pack, right? And team had underestimated the demand and we quickly ran short of product. And we had -- it took us some time to activate the 3Ps for us to expand.

Moderator: Our next question comes from the line of Mihir Shah from Nomura.

Mihir Shah: Firstly, again, on the NourishCo side of the business. In the 16% price cut that we are seeing, should one expect this price cut to continue for the remaining part of the 3 quarters? And will it have an impact? Or you're expecting volume growth of more than 20 -plus percent to make up for that price cut that we are seeing?

Sunil D'Souza: So, Mihir, very simply put, I cannot predict how long competition will hold out. But as long as competition holds out at this price, I'm holding out. And I will, therefore, drive volume to

make up for this gap. And as I said, we do expect saying for the next 3 quarters, we will grow upwards of 30%.

Mihir Shah: Okay. In the NourishCo business or the entire growth?

Sunil D'Souza: In the NourishCo business and the growth -- overall growth businesses also.

Mihir Shah: Understood. Fair point. Secondly, again, coming back to Capital Foods and Organic India. I understand that there is a one-off this quarter. But if you see the past run rates, they haven't
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moved much. What is the normal growth rate that one should consider in this business? And one should expect things to stabilize from 2Q? Is that what I understand correctly?

Sunil D'Souza: So yes, you should expect things to stabilize from Q2. In fact, already, we're seeing the stabilization happening in July. That's number one. Number two, Capital Foods and Organic India, as we said, are part of the growth portfolio for us, where we've guided for 30% of the portfolio growing at 30%. So in broad terms, you should expect a year-on-year growth of about 30%.

Mihir Shah: Got it. And lastly, a key question on the other expenses. Is there any one-off that is sitting out there? It seems to have declined. And if you've stepped up on ad spends and signed up Sachin, et cetera, one would have expected those line items to go up. How should one think about ad spends going forward and on the other expenses line item? And that's all from my side.

Ashish Goenka: Thanks, Mihir. I'll take that. I think you're comparing it with last year. In the base, we had a one-off charge on account of some of the hedge reversals that we had done. But having said that, we are also keeping a very tight control on our overall cost. However, we will not compromise on the A&P spend. We will continue to keep it at -- in fact, as Sunil said, from the current levels of 6.8%, 6.9%, we want to step it up to about 7.5%. But we will want to continue to keep a tight leash on the other [inaudible 0:33:11].

Mihir Shah: Understood, Ashish. So this run rate of INR925-odd crores that we are seeing on other expenses should continue going forward as well? Or it will materially go up to like INR950-plus crores?

Ashish Goenka: It should not go materially. I mean, there will some movements, but not material. As we step up our A&P spend, you could see -- we expect it to go up slightly, but I don't think we'll have a material change in this line.

Moderator: Our next question comes from the line of Arnab Mitra from Goldman Sachs.

Arnab Mitra: My first question is actually again on the tea business. See, in the last couple of years, one year was a deflation year, one was an inflation year. In both the years, the branded industry did not do very well in terms of volumes. So anything that you think has to be fundamentally changed here to get back the growth because now you're getting into a deflation year again, where obviously, the competitive strength of the unorganized or the regional players becomes a little higher.

So do you worry about the volume growth not coming back to some reasonable level of mid-single-digit that you have historically spoken about? And in that context, do you still feel

comfortable taking the margins back to that 34%, 35% levels?

Sunil D'Souza: So Arnab, here's the thing, right? We've -- I would say mid - to longer term, we have said mid - single-digit volume, plus a couple of basis points to ramp up and go to a slightly higher number on the total value.

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So just to put it in perspective, if I dial back, my December quarter was 10% growth, which was 7% volume, 3% value. My March quarter was 9%, which was 2% volume and 7% value. And right now, we're at 12%, which is 1% volume and 11% value, right? So this volume value, I think you will keep on seeing the whole thing move.

I do think going forward, now you'll see the value coming down and the volume going up. And I do think, as a) prices stabilize and more importantly, as tea costs go down and there is reindexing, you should start seeing volumes start to pick up towards the mid -single digit. But overall, I would not change my guidance of overall, I would say between 6% to 7 -8% total value growth. That's number one.

Number two, to your question of market share swinging on the upside or downside, I think the most -- this thing that we had seen was during COVID. But you have to remember, that was driven by 2, 3 pieces. A) was the fact that prices had run up very quickly, and therefore , if I'm not mistaken, it was 60%, 70% increase in double quick time.

That had put pressure on working capital for the smaller players and therefore, an issue on supply chain, A. B) because of COVID, their ability to move product from Assam down to the different markets, Western India, South, wherever they were operating, that was a challenge, and therefore, there were supply chain gaps.

Right now, the prices moving up or down are moving up or down very gradually. So I don't expect that market shares will change dramatically because of prices moving up or down. They will change if we don't reindex our prices very quickly, especially when it goes down, and that is what I talked about.

I think margins will come back to normal. As I said, between 34% to 37% is a normative operating margin for us. And this is -- my gross margin is more like marginal contribution because it includes all variable freight, et cetera. So once it comes into that level, then we will have to give up pricing because I don't think we can go beyond this without losing share, which I don't want to do.

Arnab Mitra: Okay. Understood. Sunil, the second question was again on Capital Foods. So my question was you spoke about the transitory issues. Did this lead to an offtake loss also or this was basically supply chain primary loss and consumer offtake was okay? And in that context, therefore, do you think that you can recover part of what you didn't sell this quarter because the consumer was still buying?

Or there was actually a loss of consumer sales in this quarter? And the second part of that question is, I think you partly managed -- answered it, but all the issues you think are largely over in the -- at the end of 1Q and we should be normal in the 2Q on the supply chain?

Sunil D'Souza: So, a) I would think most of the issues are over. We've still got to crack the supply chain for the cup noodles, for example, right? And just to give you a perspective, there are two ways of doing cup noodles, put the same pack in a cup and I mean, put a cover on it, which is not the way noodles should be served. The cake has to be cut in a particular manner, put in it and then

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seasoning applied and therefore, the right taste come through. We are right now piloting the line, that's probably the last piece to be tied up there. So that's number one.

Number two, there was marginal offtake impact because noodles, for example, we couldn't supply enough and therefore, I would say, opportunity loss. But my secondaries grew by about 22-23%. And from that perspective, there was no consumer loss per se. And that's why we remain confident of coming back to the 30% plus growth levels that we've talked about.

Moderator: Our next question comes from the line of Tejash Shah from Aventus Spark.

Tejash Shah: Sunil, just wanted -- just expanding on the Capital Foods and Organic India problem, if I have to call it that. So in most of such acquisitions, one of the key argument is usually distribution synergy, given they are usually under -indexed versus our widespread distribution. So I was just wondering, I can understand some of the minor issues here and there. But does the

distribution also face a challenge and is not as numeric as we think that it will be easier to just plug and play immediately?

Sunil D'Souza: No. So Tejash, very simply, I think distribution was a slam dunk. There was absolutely no issue. We've got the distribution expansion in the last 1 year that we expected. In fact, we probably exceeded a bit. I think the bigger issue is solving for these smaller hiccups, if I may. Just as a perspective, Organic India as well, my secondary sales were 32%. Capital, my secondary sales were 22%. From that perspective, from a consumer offtake, secondary there is no issue. It is just minor pieces that we've got to stick together. And Organic India, just as a perspective, the other pieces, I think I said it in a few things.

The term I would use is, we figured out what the Germans felt when they reached Stalingrad and figured the supply chain was missing, right? Because the theory was that we'll be able to fire up Amazon, which is about 40% of the category in the U.S., we did a few pilots last July, and from September, October fired it up sincerely. In fact, for the last 3 months, they've been firing at about 51% growth.

The catch is the lead times from there, I mean, coming back to Rath, going to the Barabanki factory, packing it, sending it up there, that is something, which I think was a bit of a learning for us on Organic India. So yes, most of these, like I said, issues behind us. I don't see any reason why we can't deliver the 30% growth that we've talked about Q2 onwards.

Tejash Shah: Reassuring. Second and last, you have always stressed aspiration for EBITDA growth higher than revenue growth and for the commodity cycle that we are in, we have not been able to do it. So 16% EBITDA margin that we are potentially indicating by Q2, Q3 this year, where do we stand on that guidance now?

Sunil D'Souza: So I do think by Q3, we should definitely be able to get to it. Q2 would be a bridge between where we are to that. We'll be closer to that number than the Q1 number. That's because, as we had mentioned, by the time tea comes into my supply chain, it's roughly about anywhere from 30 to 45 days.

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So while the auction prices have started dipping about, I would say, about 3, 4 weeks back, now middle of Q2 is when that low-priced inventory starts coming in, and therefore, changing the EBITDA margins. So yes, so we should be in a good place definitely by Q3, but we'll be on our way by Q2.

Tejash Shah: And this guidance, you are also keeping room for competitive intensity if it picks up?

Sunil D'Souza: Competitive intensity, as I said, on tea, I don't think anyone is going to win the market share battle by pricing. I would be highly surprised if that were to happen. I would put a very low probability on it.

On ready-to-drink beverages, it's already happened, right? So I've already reindexed my pricing per se, and overall, ready-to-drink beverages is what, hardly about, I would say, 5% of my portfolio. So not a material impact on my EBITDA margin. My EBITDA margins, everything would be dependent on tea and coffee prices.

Moderator: Our next question comes from the line of Vivek M from Jefferies.

Vivek M.: Couple of questions. First is on, Sunil, you mentioned about some change in the Nielsen panel on the market share. Can you just briefly highlight what exactly is the change? Is it -- like historically, you have mentioned that probably modern trade e-commerce is under-indexed. Can you just elaborate briefly as much as you can?

Sunil D'Souza: So Vivek, normally, see, Nielsen is a panel, and the panel is supposed to mirror exactly the consumer offtake and, I would say, different channels per se. Now they rejigged their general trade panel in line with what they are seeing on offtakes by geography, pin code, et cetera, et cetera, size of o

utlet, et cetera. It used to happen once every 3 years. But this time, they have reindexed it within a year. They reindexed it last year, and they have again reindexed it this year. That's number one.

Number two, this doesn't include e-commerce at all, right? They do publish e-commerce separately. But I believe since all the platforms don't share the data and even the platforms, which do share the data, the marketplaces give out only data for products, which they sell directly and not for other players selling on. So therefore, it's not fully accurate, number two. Number three, in modern trade, the whole paradigm is shifting. And I believe one of the big players doesn't share data. So Nielsen is second-guessing that number as well. So on GT, they've rejigged their panel within 1 year. E-commerce, while they have the data, I mean, they say they're not very confident about it.

And in modern trade, I know for a fact that one of the big players doesn't share data. So at Nielsen, I would say I look more for broad execution metrics and not absolute market share. I would be very, very intrigued on specific numbers from other players more than I would look at Nielsen.

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Vivek M.: Interesting. I mean I don't want to put you on spot, but basically, you are saying 40 to 80 basis point margin -- sorry, market share decline is something that probably in your views doesn't reflect the true picture.

Sunil D'Souza: So Vivek, let me say we have other players declaring volume declines and showing market share gains over the past 6, 9 months. And therefore, while I published this number, just because we have an external number and we've been publishing it. I have maintained, I think, a year back, I was printed out in one of the big financial papers saying Tata CEO doesn't believe Nielsen, right? So I do take these numbers. We do take directional inputs, but I wouldn't take it as the gospel.

Vivek M.: Got it, sir. Got it. And second, a lot has been asked on both Capital Foods and Organic India. If you have to think about build versus buy, what is your view incrementally with -- I know you never do M&A for [inaudible 0:46:59].

Moderator: Next question is from the line of Sumant Kumar from Motilal Oswal.

Sumant Kumar: Yes. So my question is for the Capital Food and Tata Sampann. So how is the penetration in our distribution channel for these products?

Sunil D'Souza: Sumant, effectively, we have grown distribution significantly in Capital Foods. When we had taken them over, it was about 3 lakh outlets, if I'm not mistaken. We have more than doubled that number as we have gone in. So that is not an issue.

Like I said, the reason for the throughput not coming through on Capital Foods is various other transitory issues. Distribution execution, both in Capital Foods and Organic India, I mean, has been the easiest to deliver.

Sumant Kumar: What we are expecting the post-acquisition of Capital Food, the availability of that product and synergy benefit what existing channel we have in urban and also in some other cities. Hope that is going to exceed the growth of Capital Foods, and that is not happening.

Sunil D'Souza: No. So Sumant, here's the thing. Like I said, growth has happened. On the secondary level, we have delivered a 22% growth on Capital Foods, right? The number which you are seeing is our reporting, which is the primary number. So distributors selling to outlets and delivering the number, 22% has got delivered. Organic India, 32% has got delivered. So that is not the issue. It is the various other hiccups, which you've got to solve for. And I think, Vivek, you're back on the call.

Nidhi Verma: Operator, can we have Vivek back, if he's on?

Moderator: Yes. Next question is from the line of Vivek from Jefferies.

Vivek M.: Okay. Apologies. I don't know what went wrong. But what

that I was asking you was on the

Capital Foods and Organic India, a lot has been asked and you have answered. But build versus buy, do you think incrementally you -- probably you will need a greater amount of Tata Consumer Products Limited

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thinking even if the target is attractive enough or you think these are like really transitory issues, so do not change your thought process on the M&A side?

Sunil D'Souza: So Vivek, I wouldn't change my thought process on the M&A side at all. I would -- build versus buy, I don't think we would ever be able to build the supply chain which Organic India has with the credibility with the farmers and the authentic product passing through the 600-plus tests that it passes through.

And incidentally, at that point of time, we had benchmarked versus a lot of other organic things and I would probably put a question mark on most of the products which are labelled organic out there, right? That's number one.

With Capital Foods, I would say there is no other brand which owns the Desi Chinese space. And most of the -- I mean I'm sure you're aware, there's actually no Chinese product called scheszwan chutney, right? So I mean, these creative products, which have got built and categories which have got created, we would be struggling to do that.

I think the game is now taking that equity of Capital Foods or the back end of Organic India and delivering it. And just to give you an example, right? One of the hypotheses when we had got in was that these guys are not distributed very well. In the U.S., Amazon is a big channel. 40% of throughput through Amazon.

So just by activating it, we will get throughput. And I said we did get 51% growth in the last few months. It's just that we didn't have the supply chain, right? So I mean, very, very simple pieces. Hindsight, it looks very simple pieces, but it's just taken us a bit of time to stitch up. The pharma channel, for example. One of the hypotheses in Organic India was that pharma channel, which is profitable and delivers growth. We proved it in the pilot. But when we started rolling out, getting the DSR, the salespeople is taking a little bit of time. Let me put it this way. The percentage of DSRs on the streets is actually equal to my percentage

achievement versus plan. So it's all a race of how quickly can I find that person, train him and put him on the street. So I -- it's only a matter of time. I don't think the thesis will shift.

Vivek M.: Got it. Got it. Very interesting. And last thing, apologies if it's a naive question, but with all this uncertainty around tariffs, and all of that, does any piece of your business, whether the U.S. directly from a supply chain or whatever, whatever, perspective get impacted one way or the other, depending on the tariff outcome? Or it doesn't have a major impact on your business?

Sunil D'Souza: So Vivek, let me put it this way. For -- I mean, there are basically 3 businesses, which we operate in the U.S., which are dependent on the India piece, right? A -- sorry, there are 3 businesses effectively. Number one, is the coffee business in the U.S. Now coffee, whatever happens on tariffs with the Brazil, Indonesia, Vietnam will happen for everyone. Therefore, it's a category issue. It's not a competitive issue.

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I mean, 50% tariffs from Brazil, we can imagine what's going to happen to coffee prices, if it goes through. Now it's your guess against mine, whether it will go through, right? But competitively, we will not be disadvantaged in coffee.

The second piece is on the organic stuff, 40% of Organic India turnover is in the U.S. Those products are going out of India. Most of the ashwagandha, triphalas, this thing, everything goes out of India. So therefore, again, competitively, I don't think there will be a disadvantage.

The third piece is on the ethnic exports, all the other Sampann, Tata Salt, Tata Tea, et cetera, which goes in. Again, competitively, whatever happens on tariffs from India will happen. I don't see -- there might be category issues in the U.S.

If, for example, Brazilian coffee is taxed at 50%, I mean there is going to be a ruckus, right?

And we are already sitting at the verge of as the Lavazza CEO put in, demand destruction in the U.S. So I'm not sure this 50% goes through. But if it does, it will impact category.

Competitively, I won't be impacted.

But yes, I think, Vivek, I don't spend mind time trying to second-guess what is going to happen, right? Because it's more from, what, 26% down to 10% and then tomorrow, it might go to 50%. So I will wait for it to happen and then figure out. We've got a playbook of various different options. But that's it, it's a playbook for now. We'll action it as and when we see something landing.

Vivek M.: Sure, Sunil. The idea of only asking you this question was just the framework. So thank you so much for explaining this in detail, and wish you all the best.

Nidhi Verma: Operator, we'll just quickly go to the webcast once to see if there are any pending questions. I

think there are some questions, Sunil, from Latika at JPMorgan, Vismaya from Citi and Aditya Gupta, but I think we've already covered those. And given the time, I think we'll conclude the call. If you have any further pending questions, please feel free to get in touch with us.

Moderator: Thank you very much. Ma'am, would you like to give any closing comments?

Nidhi Verma: I just want to thank all of you for attending the call. And if you do have any remaining questions, please get in touch. Yes, thank you.

Moderator: Thank you very much. On behalf of Tata Consumer Products Limited, that concludes this conference. Thank you for joining us, you may now disconnect your lines.

Call: Nov 2025

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27 (Physical)

Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter and half year ended September 30, 2025
Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations "), please find enclosed the transcript of Earnings Conference Call held on Mon day, November 3, 2025, in respect of the financial results for the quarter and half year ended September 30, 2025.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations .

Thanking You.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
ACS73704
Encl.: as above

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"Tata Consumer Products Limited
Q2 FY '26 Earnings Conference Call "
November 03 , 2025

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – TATA CONSUMER
PRODUCTS LIMITED
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER – TATA CONSUMER PRODUCTS LIMITED
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS – TATA CONSUMER
PRODUCTS LIMITED

MODERATOR : MR. MANOJ MENON – ICICI SECURITIES LIMITED

Tata Consumer Products Limited
November 03, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Tata Consumer Q2 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Menon from ICICI Securities. Thank you, and over to you.

Manoj Menon: Hi, everyone. Season's greetings from ICICI. As always, it's our absolute pleasure to host the management of Tata Consumer Products for the results conference call, this one being the 2Q FY '26.

Over to Nidhi Verma from the company for the intro and the proceedings. Over to Nidhi, please. Thank you. I'm sorry for that.

Nidhi Verma: Thank you, Manoj, and thanks, ICICI, for hosting us. Hi. Welcome, everyone. We announced our second quarter FY '26 results earlier today, and I hope you had some time to go through some of our materials.

In terms of the format, as we usually do, we'll perhaps use the first 20 minutes or so to go through some of the key highlights, which will be covered by Sunil D'Souza, Managing Director and CEO; and Ashish Goenka, Group CFO; post that we will open the floor for Q&A. And I just want to draw your attention to the disclaimer statement that is up on your screen.

With that, handing it over to Sunil.

Sunil D'souza: Yes. Thanks, Nidhi. So in terms of summary, we had a good quarter

, I would say. Revenue up

18%. More importantly, the India branded business UVG was 14%, which is, I think, a strong double-digit volume after some time.

Core India business, we've seen the second quarter of double-digit growth both in tea and salt. We've seen sequential acceleration in the growth business overall. While we always maintained that growth business it will be 30% of our portfolio growing at 30%. This quarter, they grew 27%. Sampann was up at 40%, RTD now has come back quite strongly, 31% volume and 25% value.

Most of our growth businesses fell, and that's including RTD, fell into the 18% or 12% bracket

on GST. And we did have a hiccup at the end of the quarter, the only reason why you will not see the hiccup on RTD, because it is an impulse business. And you don't wait to drink a bottle of water or Gluco Plus when you're thirsty, whereas everything else you can hold back purchases. And I think we saw that hiccup up in Capital Foods, Organic India and Tata Soufflé.

International momentum continued its top line with a 9% growth. Non-branded, while revenue grew 26%, profitability came back to par compared to last year because last year, we had the Tata Consumer Products Limited

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advantage of low cost inventory and higher prices. Whereas right now, it's par for both inventory as well as pricing.

EBITDA grew 7% year-on-year. As we had mentioned that Q2 would be the bridge between Q1, which was a bit pressurized on margins, and Q3 where we expected tea prices broadly to come back to normal. While tea prices will come back to normal, it's coffee which will be the one to watch out for as we go forward.

But coming back, consolidated EBITDA grew at 7% with a margin 13.6%, sequential expansion of 70 bps. Good part is the India business is broadly operating on a normalized EBITDA margin as we go forward. We continued the pace of innovation with 25 product launches in Q2.

Overall, Q2 revenue growth of 15%, India Beverages; Foods, 19%; International, 15%; non-branded, 28%; all in, close to INR5,000 crores at 18%. In terms of H1 as well, close to INR10,000 crores at 14% with all businesses delivering double-digit growth.

So yes, close to INR5,000 crores, 18% growth, margin of 13.6%, PBT up 10.5% -- sorry, margin of 10.5%. Group net profit margin of 8.2% at INR400 crores and now close to INR1,000 crores of cash back in the portfolio. Yes, I'll just skipped the H1, close to INR10,000 crores, 14% growth.

Yes. So we continue to power our brands and we maintain our A&P-to-sales in India at 7.4%. Salt market share value came in flat. Tea market share showed a dip of 80 bps, but I would just like to reiterate that Nielsen measures only general trade and a portion of modern trade because one significant player doesn't share revenue and they do not consolidate the e-com and quick com numbers into this. Incidentally, between e-com, quick com and modern trade, this quarter is now -- 37% of the contribution is from these channels.

So a significant portion of the new and emerging channels is not captured by Nielsen. Next slide. Yes. This is -- I already talked about it. 32% contribution growing at 27% versus our guidance of 30%, so broadly in the ballpark. Continued to launch 25 new SKUs in Q2.

We strengthened our commitment to responsible business. We improved our Dow Jones Sustainability Index from 65 to 71. We released our human rights score. We rolled out a biodiversity conservation policy. And we are now certified water neutral based on third-party evaluation. In fact, with a global positive water index of 2.2 which is very significant.

In terms of macros. Tea prices, just to recap, we had maintained at the beginning of the year that last year, tea prices, which went up 30%, we had expected them to come down by 20%. And that was in line. You see the 250 and 204 numbers broadly in the North India tea

a. There

will be ups and downs as we go depending on the weather.

But broadly, we would expect to play in this ballpark. Coffee prices have started coming down. There was a slight bit of an upward blip with the Brazil tariffs coming in. We're keeping our fingers crossed to see how that pans out.

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Next slide. In terms of business, packaged beverages, 5% volume growth; 12% revenue, overall margins have shown a healthy recovery. Broadly, tea margins, we have always maintained, should be operating between the roughly 34% to 36%, 37% mark, and we are into that ballpark now.

Coffee, we continue our robust performance with a 56% growth. India Foods, 11% volume, 19% revenue and maintained salt market share. Value-added salts grew 23% in the quarter and Sampann delivered a 40% sales growth. All our launches and innovations are doing quite well in this space.

Ready-to-drink, back to growth. We had said we are aiming to grow 30% in this space.

Volume was 30%. Net revenue was 25%. The net revenue also should start catching up in Q3, Q4 in line with volume.

Tata Copper+ grew 36% continuing its strong trajectory. Organic India delivered INR133 crore s top line, Capital Foods, INR223 crores. Overall, we had said that these margins are 50%

accretive to our base, and they continue to be that, delivering a 48% combined gross margin. As I mentioned, we did have a bit of a hiccup at the end of the quarter in line with the GST disruptions, probably continued for the first week of October. But broadly, we are back to business as usual. Non -branded business, 26% revenue growth. Margins did come under pressure but back to normative margins that the business should have. Tata Starbucks, the good news was we've got to 8% revenue growth. Same -store sales growth was positive, we had slowed down net new stores in line with the overall slowdown in the industry and, therefore, opened only 7. But we are now inching towards the 500 store mark and we're now present in 80 cities.

U.K. revenue from the quarter, we are cycling a high base of last year and, therefore, planned revenue decline of 5%. Margin continued to be very healthy. Teapigs, as we have said, the focus in the U.K. is to maintain our share in black tea but continued growth in fruit and herbal and specialty.

In line with that, Teapigs penetration expanded up 35% year -on-year, and Good Earth sales grew double versus the same quarter last year. U.S. business -- sorry, just to point out in the U.K., now fruit and herbal, we are up to 10 % shares in fruit and herbal.

In the U.S., business registered a 21% growth driven by volume as well as value. Eight O'clock continued to gain market share. The only catch out here is the coffee prices continue to be volatile, and that is a watch out. Canada came back to growth. 7% growth in the quarter, margins healthy.

Tetley continued to retain its market leadership. And the ethnic foods portfolio has come strongly to the party in Canada, where we've always said we need to grow beyond tea. This is the one other leg that the team is building out very strongly.

Financials, Ashish?

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Ashish Goenka: Thanks, Sunil. So as Sunil mentioned, I think we had an overall 18% consolidated growth in the quarter. The growth was broad -based and volume -led with almost 14% UVG in India business. Across the board, we saw good growth, India growing at 18%; International growing at 9% , and non -branded growing at 26%.

In terms of margins, we have seen a significant recovery in our tea margins in India, while coffee volatility creates headwinds in both the U.S. and our non -branded business. However, the margins were -- EBITDA was 7% up. And sequentially, we have improved EBITDA margins by almost 80 basis points.

In terms of first half rounding it up, over a

ll revenue growth was 14%. EBITDA was flat over

last year, largely on account of the impact that we had on tea costs in quarter 1. In terms of overall financials, just looking at the quarter, I think we are on the path to margin recovery at an overall EBITDA and EBIT level. There were no exceptional items this quarter.

I will just want to draw your attention to the tax line. We had a significant one -off in the base when we had consolidated or merged our wholly owned subsidiaries into the mother company. And therefore, the ETR was significantly lower, which has led to PBT growth of 23% but a PAT growth of only 10%.

So I think that pretty much sums of the presentation, and I'll probably now open it up for questions.

Moderator: Thank you very much. We will now begin with the question and answer session. We'll take our first question from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah: Hi, sir. Thank you for taking my question. So first question is on tea. It is a two -part question.

On tea, you've grown well in double digits over the past 4 quarters, but I believe there were some price cuts put into effect in second quarter because of the soft tea prices. Should one expect further price cuts to continue or all the price cuts are behind now? Firstly, that.

And secondly, given that you will start cycling a higher base, what level of sales growth should one expect in the second half for the tea business? So that's the part one. Part two, on the tea margins, you highlighted that they have come back to normative levels. So should one expect similar margins for tea in the second half or there is still room for further margin improvement for tea in the second half? So that's my first question.

Sunil D'souza: So Mihir, let me answer the second question first. We 've broadly always said we will operate between roughly a 34% to 36% gross margin range for tea. And we have broadly reached that level. And the reason why we say 34% to 36% is if we try to go beyond that, you have to remember that, A, it's a competitive environment out there; B, it's a largely commodity price indexed business.

And therefore, we will start bleeding share at that point. And market share to me is an extremely important factor in any business. So we will operate in the 34% and 36% and make sure that we keep making corrections in pricing as and when needed. So that's number one.

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Number two, going back to your first question. Again, the principle is it's a 34% to 36% margin, that is the longer -term guidance, A; B, also, we've always maintained that in tea, we will have mid -single -digit growth, volume growth and a couple of bps of price mix and therefore mid - to high sin gle-digit total revenue growth.

Now that formula can change between volume and price from time to time. Last year, we had high price -driven growth. I would think as we give out pricing, as we take down prices, we will see volume -driven growth coming back into the category. So broadly, I would say, more importantly, the mid - to high single -digit top line growth is what we would guide for.

Mihir Shah: Secondly, on international sales in non -branded, it seems to have turned better largely because of coffee or coffee prices. Are these sustainable? And if not, what level of growth should one expect in these businesses?

Sunil D'souza: See, in the unbranded business, I would urge not to look at the top line. It is more the margin because more or less, it's conversion, right? We buy the coffee, convert it into either spray dried, freeze dried and sell it back to the big boys, right? And therefore, it is a margin which matters. While we saw a 26% top line, the margins were broadly in line with where it should be. It is, I would say, the low teens is where non -branded operates, and that is where we've landed.

So coffee prices going up a

nd down, your guess is as good as mine. Everything was starting to come down from a \$4 level. It had come down up to \$3. And then this 50% tariffs in Brazil happened. Brazil supplies roughly 30% of the U.S. coffee, and then the whole thing went north again. We are starting to see some softness again. But I would say broadly, it's the margin and not the absolute numbers that I would urge you to look at.

Mihir Shah: And on international business, Sunil?

Sunil D'souza: On the international business, if you are referring to its U.S. coffee, U.S. coffee, we took one round of price increases in July. We've had one round of deweighting happening in November and we have announced a price increase around the corner starting early next year. So we're keeping our fingers crossed.

But we are announcing pricing in line with what other players in the market are doing in early 2026. The point is, given our market share in the U.S., we are more price takers than price makers.

And the good part is we've grown volume as well as market share in the U.S. in bags. K-Cups also has started to see positive traction. Margins are under pressure, but it depends on how coffee prices move. And I would not try to second guess coffee prices now.

Mihir Shah: And last is a quick bookkeeping question. Other expenses seems to have gone up sequentially quite a bit on a consol level, actually. What is triggering that? And should one expect them to remain at these elevated levels?

Ashish Goenka: Referring to our other expenses?

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Mihir Shah: Yes, Ashish.

Ashish Goenka: I think we had some one -off in that. So I think current levels are normative levels, should continue to remain at these level s.

Mihir Shah: Understood. Thank you very much. Wishing you all the very best.

Moderator: Thank you. Next question is from the line of Shlok from Nuvama. Please go ahead.

Abneesh: Thanks. This is Abneesh here. Congrats on very good performance. My first question is on Capital Foods. So first part of that question is in terms of GST disruption , other large companies have said the impact is 2 days to 4 days. So I wanted to understand in this part of the business, which was GST impacted. What would have been the normal growth if GST disruption was not there?

And second, you have come out with a lot of new products in Capital Foods post the acquisition. Initial remarks, you said you are excited on most of the new launches across brands. In Capital Foods, I wanted to understand which are the new product lines you're more excited in terms of the medium an d long -term also?

Sunil D'souza: So, Abneesh, I didn't get the 2 days to 4 days point.

Abneesh: GST disruption Impact. GST disruption impact, if that was not there. Then Q2 growth of Capital Foods, how much it would have been higher?

Sunil D'souza: So that is -- your guess is as good as mine. We were tracking on a, let me say, a very good, high double -digit -- or a decent double -digit growth rate before 22nd. I had not expected to see that much disruption that we did see, and the disruption was both GT and MT. MT, obviously,

because they were downstocking, because they wanted the right price on the shelves, GT because on 22nd onwards, we started to pass the extra GST as a discount. And obviously, retail trade a lot of it, general trade sees this as margin so that probably we didn't calculate in as much detail. But that I would say broadly, we are back to normal sales. In terms of new product development; A, the core Chinese chutney and the extensions thereof, right, including the chi li oil, et c., that's one pillar that we're working on. The second pillar we are working on is the noodles portfolio. Which is you've seen we've got hakka, we've got instant. And most importantly, the third piece, which is now we've -- I think we said that when we had bought out Capital

Foods is that we had looked at it as moving beyond desi -Chinese into an oriental portfolio.

So the Korean launches which we have done, right now, it's only, I would say, ramen and instant noodles. But you would see much more coming out of the Korean platforms as we go forward.

Abneesh: One follow-up here. On the re-inventorization bit, there has been a different kind of takes on how much will be the GST re-inventorization in Q3. So if you could tell us because you have -- obviously, you also are facing -- have faced that issue. And you said October 1st week also, Tata Consumer Products Limited
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there was some GST transition impact. So if you could tell us, do you get back all the inventories, say, destocking which happens?

Or there is a genuine stock-out, so that part of demand obviously will not come back? So some clarity on how much is the GST re-inventorization in Q3 versus the days lost in first week of October and in Q2?

Sunil D'souza: So Abneesh, your guess is as good as mine. We are in the food and beverage business. So it's not that you can -- you don't have to eat food to, this thing, you can push up purchases to a little extent. But my broad assumption, and we're seeing that, right, overall, we are seeing the categories come back to what it was pre-GST.

Now how much of that was postponed and/or completely lost, I wouldn't want to hazard a guess. But broadly, our -- this thing about 30% of the growth categories, driving 30% top line continues to remain.

RTD, like I said, didn't have a -- while the GST rates did drop from 18% to 5% for categories, didn't have that much of an impact because it is impulse and that's not something you can postpone. And therefore, RTD continues to deliver strong growth going forward.

Abneesh: Last question was on your remarks that e-commerce, quick commerce, and modern trade is 37%. My sense is that is obviously at a pan-India level for you. My specific question was on your 2 main core categories, the legacy categories of salt and tea. There, if you could tell us how the competition is versus, say, the other large player in tea. Because that player said that when tea normal deflation happens, that the large branded players get uptrading back from consumer.

Because last 2 years, we have seen that the consumer has been down trading. So, if you could comment on that. Do you expect that you and the other large player in tea should get a benefit of that? And similarly, in terms of competition from some of the D2C start-ups in tea, any comments in terms of the e-commerce and quick commerce? If you could give that color?

Sunil D'souza: So let me say the advantage of operating in staple categories, Abneesh, is that it's not a 60%, 70%, 80% margin category and, therefore, smaller D2C players coming and challenging you very strongly, that is not a fact for us in tea, salt and staples, A; B, in terms of e-commerce, quick commerce, we are market leaders, as measured by Nielsen. But the only reason I believe Nielsen doesn't report is because not all the channels give them the numbers.

But we do internal tracking. And we are market leaders on e-commerce and quick commerce. See, as regards downtrading, uptrading, I wouldn't want to make a comment on gaining share, losing share. All that I would say is we strive to be between the 34% to 36% gross margin, at which point, we know that we will continue to gain market share with execution.

Abneesh: Yes, thanks. That is all from my side. Thank you.

Moderator: Thank you. Next question is from the line of Vivek M from Jefferies. Please go ahead.

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Vivek M.: Hi, Sunil and team. Three questions. First, on the international margins. You have mentioned about the reasons. But do you think second quarter F '26 marks the trough and things should start to get be

ter?

Sunil D'souza: So Vivek, I actually wouldn't -- this thing, on tea, broadly, we're back to where we should be. I would still say we are at least one quarter out from seeing normalcy just because between now and this thing, I don't know how the moment -- see, tea, essentially, we had started coming off the highs as commodity.

And it has started, like I said, from \$4.17 was the high, it had come down close to a \$3. And there was news that it will breach \$3 and come down. Unfortunately, the 50% tariffs on Brazil happened, and that's when it went back.

We are now starting to see softening. But if I see -- start to see softening now, it's at least 3 to 4 months out before it seeps into my supply chain. So I would say we're at least 1, if not 1.5 quarter out before seeing margins normalize.

Ashish Goenka: Yes. And just to add to what Sunil said, I think the other variable in the whole, this one is tariff. And we don't know where it will settle. Because right now, we are still not pricing for tariffs. We're just still pricing for the increase in commodity costs, which is coffee beans, right? So I think that's the other variable, we'll have to watch -- do a close watch on.

Vivek M.: Sure, Ashish, tariff part, yes, that uncertainty is there. But just, let's say, just to conclude, so do you still think that international margins have downside? Or do you think second quarter broadly is where the trough would be?

Sunil D'souza: I would say we are at least -- Vivek, I'm 1 quarter out from calling out where I'm going to land, right; because there is so much upheaval. So coffee, last year, I said I wouldn't try to hazard a guess on where coffee prices are going because every time I guess ed, I guess ed wrong, right? And right now, I wouldn't try to guess how tariffs are going to settle. Because remember, there was a 10%, then there was a 25%, then there was a 50%.

So it's a bit all over the place. We have announced price increases effective January. If all of them go through, we will be slightly below where we should be and it will probably take one more round of price increase, probably around March or so, for us to come back to normative.

Vivek M.: On the market share, Sunil, 2 things. One is on the salt side. The growth is good both volume as well as value, and the market share is flat. Now is it just quarter -to-quarter anomaly because last quarter, there was a share loss or I mean, I was just thinking at this growth, the market share numbers should have trended up because unlikely that industry would have grown at the same rate, right, the rest of the industry?

Sunil D'souza: Vivek, like I said, we are giving out numbers for broadly indicative directions of Nielsen. As I said, when 37% of my business or maybe close to 32%, 33% of my business is not measured by Nielsen, and this is despite us taking it up with them again and again, right? Saying your panel doesn't represent what -- so very simply put, even if you do the competitive commentary

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on tea and then look at my competitive commentary and do the math, it doesn't add up. So I would say I would not comment on the numbers.

Ashish Goenka: But just to clarify, Vivek. I think what you're seeing is MAT. Of course, in the last 3 months, we have gained significant share in salt, almost 100 basis points plus. So I think if it continues, then we will start seeing it reflected in MAT as well.

Vivek M.: Sure. And apologies on market share on the tea side because we have seen this trend, and I understand the part about MAT. Do you think -- so let's say, more than one-third you are saying is not getting represented. And I recall maybe a year back or so, you mentioned that the gap is basically -- or maybe 6 quarters back, the gap is basically you need to still penetrate deeper into the general trade.

Do you think that ex of that -- so basically

two-third of the market, you are still losing share in

that? Is that how -- because your comment has been specifically about the new channels? So how are you doing on the general trade side? And what will it take you to stabilize market share if there were any losses?

Sunil D'souza: No. So general trade, broadly, Vivek, the hypothesis that if I equate distribution, I will equate market share. That math continues to hold. So there is no dispute in that. It is just that I'm taking that much more time to cover that gap. That's about it.

Vivek M.: Okay. And so on the distribution side, what will it take you, Sunil, to bridge the gap?

Sunil D'souza: So it is primarily to do with specific geographies in, say, Eastern UP, specific parts of Andhra and specific parts of Tamil Nadu for me to cover the gap. If I just total these 3 geographies, it is more than the India number, right, which means the rest of the India number overall average, I'm ahead in distribution than this. So the focus continues to be drive there. And this is mostly semi-urban rural. So it's taking time for us to go down the pop strata.

As I said, last year, we have gone up to distributors at 50,000 pop strata. And right now, we are appointing sub -distributors at 20,000. At some point of time, we will look at going below that pop strata as well. That is the -- it's just a question of going -- taking penetration deeper into the hinterland.

Vivek M.: And last question, between Organic India and Capital Foods, there has been a fair amount of disparity in terms of growth rates. You mentioned about October first fortnight or first couple - first week or so. But once we are out, let's say, of this quarter, do you think Capital Foods should move to, let's say, high teens, if not higher than that?

Sunil D'souza: Yes, yes. So the reason why you're seeing the disparity, Vivek, is, remember, half the business of Organic India comes from exports, right? And if you remember in the last quarter, one of the hiccups in Organic India was that our supply chains in the U.S., we figured out quite late that it was a long, long lead time.

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And this quarter, we've got it right. And that's why the U.S. has come very strongly to the party, A; B, in India, Organic India, one of the big assumptions was that building the pharma channel will give us growth.

And also by extension, Capital Foods, building a foodservice will give us growth. The pharma channel has given us a far better contribution in overall terms to Organic India than Capital Foods -- the foodservice channel in Capital Foods. So that is what is driving Organic India. But going forward, it should be, I would say, a strong double-digit growth for Capital Foods as well as Organic India.

Vivek M.: Good to know that, Sunil, wishing you and your team all the very best. Thank you.

Moderator: Thank you. Next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: Hi, thanks for the opportunity. Sunil, last time you had called out that you are not very happy or content with growth portfolio's performance and it has very visibly turned around this quarter. So just wanted to know, 2 parts, at what scale do we expect base effect to catch up because we are growing very phenomenally well over here?

And then within this portfolio, how should we think about whether the brand equities started to establish in terms of repeat purchase or is it largely still in experiment stage and we are just -- it's a beneficiary of both product expansion and distribution expansion?

Sunil D'souza: So Tejas, I would say broadly 30% of portfolio growing at 30% will continue for some time to come. The whole parameters inside might change, but overall, we do expect to deliver 30% growing at 30% for at least, I mean, the foreseeable near term, right?

And the reason we're quite

confident about that is whether it's Organic India, Capital Foods, the penetration levels remain low. Distribution remains a big opportunity and the TAM for the categories that we play in are significantly high. And like you've seen, we've now expanded for Capital Foods, we started to play Korean.

We started to play the noodles portfolio. We've expanded beyond just the Schezwan Chutney. Organic India, you've seen the whole organic food space lighting up apart from the supplements and this thing, the distribution ramping up.

RTD per capita consumptions are abysmally low in India compared to any country, I mean, any middle-income country. So that's going to continue for some time. Sampann, everything that we've done seems to be working very well. My dry fruits portfolio is hitting a INR300 crore s run rate. It is, what, a 2-year-old phenomenon.

My cold-pressed oil is sitting at INR250 crore s run rate. Nidhi is nodding in front of me.

Vending business, which you just started a year back, maybe 15 months back is now INR80 crore s, INR90 crore s run rate. Foodservice is at a decent clip. Pharma is at a decent clip.

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We've just got listing into the largest pharma retailer in India. So distribution, penetration, both brand and execution-driven portfolio expansion, TAM expansion, I think, opportunities for us across the place. If we don't deliver 30%, I think the fault is on our side.

Tejas Shah: Super. Second, last quarter, you kind of exited with the promise that we will go back to the 16% margin in the near future and we'll have a bridge quarter where we'll land up at 13%, 13.5%. And then we have kind of achieved that. So how should we think about margins not in near future also, but would you say that we are out of that slump and margins should stabilize now at your desired level?

Sunil D'souza: So I've always maintained that a good foods business in India should be between a 17% to 20% EBITDA margin and we strive towards that. Yes, we did get it into a little bit of a reverse gear after -- I mean, through last year as coffee prices shot up. I think Q4 of FY '25, if I'm not mistaken, we came close to 15 plus number. Now we do expect by Q4, broadly, we should be in that ballpark. The only spoiler in the whole piece is coffee prices.

More to do with the branded coffee business in the U.S. more than anything else because, as I

said, the unbranded piece is a pass-through and therefore margin is not impacted as much. But it is the U.S. coffee which is probably the only outlier in the pack. By the way, if I added the impact from the U.S. coffee back here, I was in the 15% ballpark even this quarter.

Tejas Shah: Very clear. Thanks and all the best for coming quarters.

Moderator: Thank you. We'll take our next question from the line of Arnab Mitra from Goldman Sachs. Please go ahead.

Arnab Mitra: Hi, team. I had a few questions on the RTD beverage business. So if you could just highlight with the GST rate drops, do you see any fundamental advantage in this category because there is a lot of, I would say, non -- or local players in the segment is what we understand? So do you expect any fundamental improvement in growth because of the GST cut?

And the second is that this quarter obviously is quite noisy. There was very bad weather conditions. Other companies have not done well in the segment. But you also would have had some channel adjustment at the end due to the drop in GST. So overall, I mean, how are the pluses and minuses in terms of how should we see a normalized growth in this going ahead?

Sunil D'souza: So Arnab, I think channel adjustments, I would question because this is an impulse business. And normally -- by the way, in season, I would say there are -- for the high-volume outlets, there are multiple deliveries in a day, not only in a week. So inventory is never a big -- or

never should be a big thing in this business, number one.

And therefore, like I said, we did not see too much of an inventory adjustment in RTD, and that's why we delivered the growth. A. B, in terms of competition, I would say the 5% does help us because, as you said, we will not play in carbonated soft drinks. And carbonated and/or caffeinated soft drinks continue to remain in the high GST bracket.

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So from that perspective, affordability is definitely an option here. Actually speaking, in water, for example, we've dropped prices. The INR10 bottle is now INR9, INR20 bottle is INR18. So we will probably look at upsizing at some point. But yes, compared to carbonated and/or caffeinated beverages, affordability is a strong point now.

Arnab Mitra: The other thing is the competitive intensity continues to be high. Other than water, where you've done well, the other parts of the portfolio has really, I think, struggled in that initial Campa aggression. How are those segments doing? Any steps further that you need to do to get consistent growth there?

Sunil D'souza: So Arnab, broadly, you've seen the business come back to normalcy with a 25% volume growth. And we had consciously taken those price drops last year, right, in line with Campa. So I would say broadly as long as you are clear of your value proposition, you are clear about your brand promise and your product acceptance with the consumer, making sure that the value proposition to the retailer stays right, which is a critical piece we've seen us coming back. I would say you would only see growth accelerating on the non-water portfolio, if you may, on RTD going forward.

Arnab Mitra: And my last question here, Sunil, was this energy drinks where you're now coming with a still formulation. So could you just share your thought process? And again, is this in pilot stage? And how would you think about the potential consumer of this product?

Sunil D'souza: So let me say, fundamentally, if you dial back 20 years, the entire energy segment was still. I can go on and on about carbonated energy and how it was invented, but that's for a separate time. But incidentally, from a consumer perspective, still or sparkling doesn't make the difference. This is the actual product benefit that the consumer looks at it.

And the hypothesis is energy at a INR10 price point, which is sustainable from a profitability for me, does have a role to play. And we had done a test market last year. The brand name, the product formulation, the whole marketing mix did not resonate. That's why we pulled it out. This is -- I would say you're right. It's probably -- I would call it an advanced pilot phase.

We're testing out the proposition albeit on a slightly broader footprint. If it works, then we'll figure out how to put muscle behind it. As of now, it is early days, early signs are good. But I would say we're still not there in calling it a slam dunk.

Arnab Mitra: One last question on Sampann, where we have seen a significant acceleration. Is it -- how much of this would be pricing, volume or are there new segments, you mentioned dry fruits, I think, which are contributing to this, you were growing at 25%, 30%, which has become 40%. So just trying to understand what has driven this incremental growth?

Sunil D'souza: So A, Sampann broadly is in the commodity profile. So there cannot be too much of a pricing-driven growth, right? Because as you're moving people from unbranded to branded, the premium over the unbranded and/or the regional brands is a critical piece. For example, in pulses, we very, very clearly fixed the premium that we will operate in versus specific regional players.

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Now the whole growth in Sampann, of course, the base portfolio continues to grow at a very healthy clip. The

dry fruits and the cold pressed oils which we have launched, I think that have only accelerated the growth.

Now you'd remember, it's -- dry fruits is today, a Board member reminded me that it's a INR75,000 crore s category in India, largely unbranded. So it plays perfectly well in our hypothesis for Sampann that we will enter categories which are trust deficit, high TAM, good margin, good growth rate and where I can build a differentiated portfolio.

Arnab Mitra: Okay, thanks so much, Sunil , sir for your detailed answers. All the best.

Moderator: Thank you. Next question is from the line of Nihal Jhamb from HSBC. Please go ahead.

Nihal Jhamb : Yes, thank you so much. Good evening, Sunil and team. Sunil , I had 2 questions, both on NourishCo. First one was that Campa started in your territory, which is mainly, say, Orissa, AP, Telangana, and post that, they've sort of expanded. So is it that over the last 1.5 years as we see the growth accelerate this quarter, it is mainly the case that we put our distributor margins in place or is that the competition from Campa has sort of stabilized and that has also helped in terms of its growth improving?

Sunil D'souza: So I think last year, we had said very clearly, the INR10 proposition has not changed. It is just that Campa came in with 2x the retailer margin. It is not distributor. It is 2x the retailer margin that they were offering versus our INR0.80 and thereabouts, they came in with a INR3.50. And in categories like soft drinks and water, the retailer plays a very, very big role because that's impulse, you're thirsty, at the point, you're willing to pick up what the retailer is giving you. That was what made the difference.

We should have taken the shot early in 2024, but we did not see it. And finally, by the time we took this thing -- action was about June of last year. So we've cycled more than 1 full year of -- and as I said, as long as your product proposition to the consumer is strong and you execute against that, I see no reason why anyone else coming in can disrupt this thing.

So we did index our price. And therefore, you see -- even this quarter, you see volume at 31% but value at 25%. So we did do that indexation. But going forward, we'll continue to maintain that and be competitive both on a retailer margin as well as consumer value proposition.

Nihal Jhamb : The second one was a hypothetical question. There is obviously a scale up in terms of the competitive intensity from the reliance itself in hydration, the bottled water segment.

Himalayan is obviously a very different segment.

But in case of Tata Copper, in case you see a similar kind of aggression play out of maybe where retailer margins have stepped up and there is more volume sort of effort, then what is the thought process we have to sort of not see a repeat of maybe what happened with the other portfolio?

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Sunil D'souza: So we're very, very clear. We will not lose market share this time around to retailer margin.

We're keeping a close eye on it. Either retailer margin or consumer value proposition, if it changes, we will react. To me, maintaining market share is always a better proposition because I can build back margin at a later point of time. Maintaining margin and losing relevance and market share is not an option.

Nihal Jhamb : That's very clear. Thank you so much.

Moderator: Thank you. Next question is from the line of Akshen from Fidelity. Please go ahead.

Akshen: Yes. Hi, sir. Congratulations on a good set of numbers. My question is pertaining to the India margins. You flagged risks to international margins from coffee. But if you were to just look at the India EBIT margins, would you say the current margins have further upside or these are the margins that you are comfortable working with? I'm looking at close to 10% EBIT this quarter. And I think

your peak was about 12%, 13%.

Sunil D'souza: I'm not sure about the peak of 12%, 13%. Broadly, India margins, we are in the ballpark of where we should be. I would say EBITDA, we are roughly in the 15% margins for this quarter, and that's where we should operate.

Broadly tea, salt, everything, the gross margins are in the 34% to 36% range. And growth businesses, probably a little bit of a play out there but it's relatively a smaller part of the portfolio. So I would say India margins, broadly where they should be.

Akshen: Okay. Because I would have thought that since tea prices started to correct through the quarter, with some benefit out of the lower tea prices would start accruing in second half as well, plus some of the goodness of growth that will come from your M&A would also start flowing. So my question was actually from that context.

Sunil D'souza: So on the tea prices, I maintained, right? We operate in the 34% to 36% gross margin. If you try to get too greedy, we will lose market share because it's a commodity -driven business. There is a big competitor and there is multiple regional and local players out there. We've seen time and again, if we don't operate in the 34% to 36%, we start losing share. So we have started -- actually, this quarter has been delivered despite us giving back some pricing. A lot of the pricing was -- some of the pricing was given during the quarter. A lot of it came during the end of the quarter. So tea prices going up and down, my this thing would be not to read too much into it as long as I operate in the 34% to 36% range.

Akshen: Okay. Second question from my side is just on the competitive scenario with the other players in the tea market. Could you just help us understand when these prices are being cut, who's taking the lead? Is it one player over another? Is it somebody who is a market leader in a particular geography that is taking a cut? How are you and the other player approaching pricing?

Sunil D'souza: I don't know how the other player is approaching. All that I would say, where I lead, if there is an issue, I would take up price if there is a pressure on tea cost. Because similarly, if I see tea

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prices going down, I know people -- I mean, if I'm the market leader, then share has to come out of me, which I'm not comfortable with. That's why I go down first on pricing. So I would say wherever I'm the market leader, I move first. But where I'm not, I would wait for the market leader to move.

Akshen: Okay. Thank you and all the best for the rest of the year, sir.

Moderator: Thank you. Next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki: Sir, there have been some news articles about discontent in the distributors and some protests. So of course, there are some reasons given in those articles. But in your view, what is the reason behind this discontent with the distributors?

Sunil D'souza: So Percy, fundamentally, when we started off in 2020, distributors were either tea distributors or salt distributors. We integrated, more or less, I would say, about 85%, 90% of the distributors whom we selected as common distributors we're from within that fraternity.

Now as we expanded our portfolio, we've got Capital Foods, we've got Organic India, we've got Soufflé, we've got Sampann. And I do think distributors of Tata Consumer Products have to distribute to the entire portfolio of Tata Consumer Products. Picking and choosing portfolio is not an option in my mind.

I would say that is the single biggest driver. Yes, after that, there were some operational issues, which are par for the course in any distribution business. But the fundamental thing is it has to be a full portfolio distributor for Tata Consumer.

Percy Panthaki: But isn't this a little weird, generally in my experience, distri

butors are happy to take on more

lines because it adds to their business. So why is it a problem this time around?

Sunil D'souza: So salt is a more wholesale -driven business. So life is more comfortable. You sit back and make deals. Capital Foods is a retail outlet to outlet distribution, you've got to make a little bit of more effort.

So every category is different. Every distributor has different strengths, Percy. So some people like it, some people don't. But you're absolutely right. In my mind, more categories means more lines, more top line and therefore, better money in the bank. I just hope everyone sees it that way.

Percy Panthaki: Understood. Do you think that whatever this issue is could cause some disruption in terms of some sort of extra inventory in the pipeline currently, which will normalize later on or something like that?

Sunil D'souza: Percy, the good part is when people start throwing about inventory numbers and all that, I'm also amazed because sometimes I also struggle to get the same numbers, right? I mean, everyone is free to put whatever numbers there are. We follow an ARS system. We monitor distributor closing stocks every month.

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Actually, last month, stocks have dropped, not increased in the distributor system. It is just that the ARS system makes sure you are ordering every single -- or every salient SKU across categories that we want to sell in that geography, and you've got to maintain a specified number of days of inventory. That, I think, is a critical point.

Percy Panthaki: Understood. Second question on margins. So you mentioned that gross margins and, indeed, India EBITDA margins also are more or less where you want them to be. However, consol

margins are still low. And going into 3Q, 4Q, we would be sort of lapping a high base of margins. So do you think that there is any chance of a Y-o-Y margin compression going into the next couple of quarters?

Sunil D'souza: You would see a Y -o-Y expansion of margins going into the next couple of quarters, Percy, because if I said that by Q4, we will come back to broadly the ballpark of about a 15% EBITDA, right? I have to cross about 130, 160 bps, if I'm not mistaken, from here to there. And apart from the U.S. business, U.S. coffee business to be specific, broadly, there is no pressure on margin from any of the other businesses.

Percy Panthaki: Okay. Got it. Okay. Thank you very much.

Moderator: Thank you. Over to you, Nidhi.

Nidhi Verma: Yes. Thank you. So I have gone through the questions on the webcast as well. I think we've covered all of them during the course of Q&A. But in case there are any pending questions, you can always reach out to me later on.

But I think for today's call, we'll just conclude it, and I would like to thank you all on behalf of Tata Consumer, and good evening.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

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Public January 30, 2026

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27 (Physical)

Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter and nine months period ended December 31, 2025

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations "), please find enclosed the transcript of Earnings Conference Call held on Tuesday , January 27, 2026, in respect of the financial results for the quarter and nine months period ended December 31, 2025.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations .

Thanking You.

Yours faithfully ,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer
ACS73704
Encl.: as above

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External -Generic

"Tata Consumer Products Limited Q3 FY '26 Earnings
Conference Call"

January 27, 2026

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER
MS. NIDHI VERMA – HEAD, INVESTOR RELATIONS AND
CORPORATE COMMUNICATIONS

Tata Consumer Products Limited
January 27, 2026

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External -Generic Moderator : Ladies and gentlemen, good day and welcome to Tata Consumer Products Q3 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*', then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Verma – Head , Investor Relations and Corporate Communications. Thank you and over to you.

Nidhi Verma : Thank you so much, and welcome everyone to the Q3 FY '26 Results for Tata Consumer. As we usually do, we will first walk through the key highlights of the quarter for the first 10 -15 minutes, and then we will open the floor for Q&A.

Today, I am joined in the room by Mr. Sunil D'Souza - Managing Director and CEO ; Mr. Ashish Goenka - Group CFO ; Mr. Ajit Krishnakumar - Executive Director and COO.

I will just draw your attention to the disclaimer statement, which is on your screen. With that, I will hand it over to Sunil.

Sunil D'Souza : Yes. Thanks, Nidhi. So, if I have to summarize, we have had a decent quarter, where we had a 15% revenue growth. India branded business posted underlying volume growth of 15 %. India Tea up 3%, as basically, as the tea prices have come down, we have started passing on pricing back to consumers. Overall, YTD, we are growing at 9%. Just to put it in perspective, we have always guided for a mid -to-high single digit growth for the tea business.

Salt had a, I would say, strong quarter, 14 % revenue and 15 % volume, as we did targeted actions on consumer price and trade promotions, coupled with A&P in specific geographies, yes, so we saw strong results there. Growth businesses, which you always guided for being 30 % of our business growing at 30 %, we were quite in the ballpark, growing 29% and contributing 30 % to our revenue, surpassing Rs. 1,000 crores in quarterly revenue. Tata Sampan n had a strong quarter, 45 % growth, all volume driven. RTD delivered strong performance, 26 %, again, all volume driven. Capital Foods and Organic India together grew 15 %. Organic India was in the 30s(%) and Capital Food s India grew sequentially month -on-month.

We were impacted a bit by the US tariffs, because 20 % of Capital Foods is international. International business maintained a strong trajectory, 11 % constant currency revenue growth, primarily led by US coffee, which had strong volume growth as well. Non -branded business up 20%, with profitability remaining healthy, but margins coming back to normative levels, as coffee prices have stabilized, albeit at a higher level. Consolidated EBITDA up 26 %, so EBITDA has grown roughly 2x of revenue. Margins expanded 60 bps quarter -on-quarter, 120 bps year -on-year to 14.2 %. Our innovation pipeline remains strong, with 15 new product launches throughout the year. Innovation to sales is roughly 4.8 %, almost close to our target of
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External -Generic 5%. Yes, so Rs. 1,600 crores of India beverages, with a growth of 7 %. Foods, similar number, growing at 19 %. International, Rs. 1,300, growing at 18 %. And non -branded growing 23 %, total Rs. 5,000. This was a landmark quarter for us, having crossed the Rs. 5,000 crore s in a quarter

number.

Year-to-date, close to Rs. 15,000 crores, growing at 14 %, with all businesses delivering double-digit revenue growths. Yes, Rs. 5,112 crores topline, growing 15 %, Rs. 728 crores of EBITDA, 14.2% points. PBT up by 11 % to Rs. 563 crores. Before exceptional s, net profit of Rs. 399 crores, which is up by 130 bps versus last year. And we are now sitting with Rs. 1,272 crores of cash. 9 months, a

Most Rs. 15,000 crore, growing at 14 %. Group net profit before exception als growing at 17 % to Rs. 1,137 crores. And yes, Rs. 1,272 crores of cash.

So, starting with the India business :

We maintained our A &P close to the 7 %, 6.8% to be precise. Salt market share, we had volume growth. On top of that, we had market share growth as well of 40 bps. Market share of tea, as I mentioned, this only tracks about 57 %-60% of our business, down 70 bps.

Next slide. I had talked about last quarter about our pilots on go-to-market. Just to repeat, a lot of the Salt-strong geographies were also the geographies where our new growth businesses were supposed to be strong. And therefore, to provide the requisite focus, we had 3 types of pilots running. A separate Salt distributor in Salt geographies where Salt contribution was very high. And a non-Salt distributor in geographies where Salt plus Tea was very high. Salt alone was not. Salt plus Tea was very high. We separated into core and growth. And there are cities where smaller outlets, we now got a common salesman going in, whereas for larger outlets, we have got separate split routes selling by category going in. All the 3 pilots more or less were bang on the KPIs that we had budgeted for. And therefore, now we are rolling it out nation ally.

We are about 82% done on the national rollout. By first week of February, we will be 100% done. 270 odd distributors have been transitioned to the new go-to-market model. And we have added 160 more distributors. We have used AI to align routes and servicing norms. Also, dispatch plans, auto replenishment systems have been aligned. And the sales hierarchy has also been realigned as needed. For example, if it is a Salt plus all non-Salt, so the territory executives and area managers will handle only Salt. And we consolidate at the region level , so to give dedicated focus both from a supervisory level as well as from an execution level on the ground. This, I already talked about 29% growth and growth businesses now account for 30% of our India business.

New launches across health and wellness , convenience , and premiumization. We have launched Matcha. We have launched RTD Green Tea and Fruit Tea. Green Tea, which includes L-Carnitine as well. Tata Copper, now in glass. We have launched various formats of coffee and jelly and flavors in coffee. Soulfu II, we have launched Slim care. In Convenience, we have got ready mixes for Paneer Chilli, Schezwan and Manchurian. We always had Ginger Garlic paste, but there is an opportunity for a separate ginger and garlic. And we have launched the high-end Tata Consumer Products Limited

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External -Generic Chili soy, Light soy, which is primarily used in Southeast Asian /Japanese restaurants. And Rock Salt, we have taken it to the next level by launching a Himalayan version. Our ratings underscore our commitment to responsible business. We have upped the game on MSCI ratings, upped our score on S&P Global and done decently on all the other ratings.

In macro terms, Tea prices are coming down broadly to the 2024 levels , albeit in the fag end of Q3, we did see a little bit of an uptick on Tea prices, keeping a close watch on that. Coffee has started to come down, except after the Venezuela action, there was a bit of uptick on coffee. The forecast is that from the current , about 370 -390, it should start coming down, but your guess is as good as mine on coffee pricing. We remain agile and ready to take pricing as and when needed. In Packaged Beverages, 3% volume translated to 3% net revenue for Tea. Marginal movement in market share , albeit, gross margins expanded handsomely out here as Tea prices came back to normal. India Foods, 19% net revenue growth, 16% volume. Salt up by 14% on revenue, Sampann 45%. Salt market share up by 40 bps. Ready-to-drink, close to Rs. 2 00 crore net revenue

e. Remember, Q3 is probably one of our lower quarters, and therefore we are well poised to recover strongly in the coming season. Revenue up 26 %, primarily driven by volume up at 27 %. And we have expanded the Ready-to-Drink tea and coffee aggressively in the meantime.

Capital Foods, Organic India . Capital Foods, close to Rs. 240 crore revenue. Organic India, Rs. 120 crores , combined gross margins of close to 50%. Non-branded business revenue up 20 %, solubles revenue up is 34%. Tata Starbucks, second successive quarter of same store sales growth of 3%. Average daily traffic, which was the issue, is now more or less stabilized and ticket is holding. We opened 12 new stores during the quarter. We are now at 504. We opened our second reserve store in Gurgaon, and now we are present in 81 cities, with Jabalpur being the latest city to be opened.

UK flat on revenue, market share on black close to 19%. And we continue to maintain 10% value market share, but very strong delivery on profitability in the UK. The US business, very strong revenue growth, driven both by volume and by pricing at 31 %. Market share slowly inching up both for K -Cups as well as Coffee Bags. In the US, Coffee Bags are growing roughly four times the growth rate of K -Cups. And given our strong share in bags, we remain quite confident to continue this growth, at least in the near term. Canada, as we took some aggressive pricing on Tea, revenue has been sluggish. Growth in speciality has been heartening at 2%. And overall, more or less maintained our market share at 25%. Ashish, over to you for financials.

Ashish Goenka : Thank you, Sunil. I think most of you would have seen the numbers, so I will keep it very brief. Our consolidated revenue crossed the milestone of Rs. 5,000 crores this quarter, growing at 15%. Growth was fairly broad-based with all 3 vectors of the business delivering double-digit growth, which is India, international and non-branded. In terms of margin, we expanded our EBITDA margins by 120 basis points, sequentially by 60 basis points. EBIT margins expanded by 150 basis points this quarter. This was largely driven by the recovery in India margins and led by the

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External -Generic moderation in Tea prices and therefore recovery in the Tea margins. International margins continue to remain impacted by the US coffee, albeit some of the pricing interventions that we have taken in the last quarter has improved the margin profile, but the gap remains. On non-branded, there was again a contraction in the margin, largely on account of the fact that in the base, we had some inventory gains and fair valuation gains, which of course are not repeating, but margins have come to more normative levels right now. On a 9-month basis, very quickly, topline in consolidated basis growing at 14% underlying 13 %. And of course, at YTD level, our EBITDA margins have contracted by 80 basis points because of the impact that we had both on Tea and coffee in the first half. Overall financials, as Sunil said, topline growing at 15%, EBITDA growing at 26% and PAT growing at 34%.

In terms of exceptional items, we have 3 this quarter. We had a one-time gain on a sale of property, which was offset by a one-time charge that we took on some of the impairment of assets because of the transformation that is happening in our coffee factory in the US. We also did a one-time catch-up as a consequent to the labor courts, which were announced recently. The gratuity catch-up and the leave encashment catch-up was about Rs. 23 crores, which is what you see in the exception line. And with that, the PAT growth was about 34%.

I think I will not spend time on the standalone and the segment performance. Maybe we can jump to the Q&A straightaway. Happy to take questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take a first

question from the line of Abneesh Roy from Nuvama. Please go ahead.

Abneesh Roy : Yes, thanks. Congrats on a strong performance. My first question is on Tata Souful and Tata Sampan. So, Tata Souful, I wanted to understand how is the market share in the past 2 years? And this is a great, exciting market on paper, but reasonably challenging because there is one strong multinational company. And then there is a long tail of a lot of new companies. Some of the existing companies have also entered. So, what is the right to win here? How are you able to differentiate? So, if you could discuss Tata Souful. On Tata Sampan, very strong numbers, 45% growth, largely essentially volume led. So, if you could tell us here, how has the legacy business done? And how have the new businesses like the Cashew, Nuts, etc., those have done? So, we can get a sense of where is the growth coming from any one of the given 45% growth?

Sunil D'Souza : So, Abneesh, let me take your second question first. The Sampan growth is broad-based. So, the base businesses of Poha, Pulses, Makhana, all of them are firing off on great cylinders, percentage growth wise. So, let me say it has come from the new businesses as well as from the legacy businesses, right. The best part is my dry fruits business is now close to a Rs. 250-300 crore annual run rate. Cold press oils is again in the similar ballpark. All of these have been launched in the last 18-24 months, right. So, differentiated product, very specifically entering

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External -Generic trust deficit categories. Very clear winners. In fact, the good part is this is just the base foundation, because the ultimate idea in dry fruits is we will play the whole spectrum. Now that we know the sourcing, we know the time of the year, when to source, which channels, what are the packs which work, what are the dry fruits which work. Now, when we entered the flavored, roasted, salted, that is where we will move up the value ladder. So, that is a good part. Similarly, in cold press oils, I think we are off to a great start, because normally we would list on e-commerce, then go to, I would say, SAMTs, then GT, and then modern trade. This time we have

had pull from modern trade, pulling us into the outlet even before we went to GT or SAMT. So, that is how powerful the proposition is. So, we remain bullish on Sampan n, but again, I will go back to our guidance is for roughly 30% growth, and we will remain guided by that. That is number one. On Soulful I, we are close to a double -digit market share in most categories which we operate. We don't track for all the categories in which we operate, but mostly close to a double -digit number. The big numbers for us are in the Choco -fills as well as the Muesli segment, which is growing very fast. But here is the thing, in Soulful I, it is not one particular category that we are playing at. If you look at it, we have expanded to different categories and therefore expanded TAM and therefore we are not playing in the small pond, given the fact that we are playing in rusks, we are playi ng in Choco -sticks, we are playing in Muesli, we are playing in Breakfast Cereals as well. So, it is a wide -ranging thing. Broadly, let me say we are decently satisfied, but we do think we can take Soulful I to the next level. And I wouldn't worry about one incumbent versus all startups, etc. Everyone can carve out their own space. I think with the plans that we have, we remain quite confident.

Abneesh Roy : Thanks. Two follow -ups to my first question. So, one is, you said 30% is the more normal number to look at from a growth perspective for Sampan n, but growth was 45%. So, there is no one-off, you could clarify on that? Second is on the margins for Dry Fruits and say for Soulful I. Any color you can

give from an outlook perspective, when do you see that normalizing versus the overall non -core portfolio, X of the Salt and say your Tea business, when do the margins for these two subsegments normalize versus the non -core?

Sunil D'Souza : So, let me put it this way. There is no one -off in Sampan n this quarter. I am just trying to temper expectations on the number that we might not always hit a 6. Sometimes it will also be a 4, right . So, from that perspective, I think 30 % is a realistic number for us to keep targeting. While we know we can drive 45 % and we will continue to drive for that. On the margin perspective, I always said in Sampan n, we were close to double -digit margins. The good news is we have hit double -digit. We remain confident of edging up the total business to close to a 15 % sort of number in the medium term, near to medium term and that is what. So, while we are growing topline, the good news is we are constantly improving the margin profile as well. Going forward, the margin profile will only get better as like I said in dry fruits, the margins are in the roasted, salted, flavored ones. But for you to get there, you need to know how to play the base game because then you add the value additions on top of that.

Abneesh Roy : So, thanks. Last question, Salt, which is generally very highly penetrated. Last 2 quarters, I have seen super volume growth. I do understand that you did mention on the gram mage addition, the trade incentive and promotion, but on a full year basis, does it normalize because initially
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External -Generic customer will buy more, but he will not consume more Salt anyway, given it has a health kind of a question mark. So, would you say that next 2 quarters, this could start normalizing up to a much more modest number or you see that market share gains will continue?

Sunil D'Souza : So, Abneesh, we ha ve always guided for Salt being again in the mid to high single digit growth on revenue, volume being about 4-5% and rest being value price mix movements. Just to give you a perspective, I think the top 6 brands are probably 56 %-57% market share in this category. And the balance 44 % is a long tail of what I call no -name brands. So, the scope for growth is enormous. It is not necessarily driven by per capita consumption. It is driven more by market share and improved penetration of Tata Salt, not necessarily Salt. We a re replacing other brands in the household. So, the market size could be 2x of what it is if you just extrapolate from that perspective. But mid to longer term, we have maintained that it will be mid to high single digits.

Abneesh Roy : Thanks. That is all from my side. Thank you.

Moderator : Thank you. We will take our next question from the line of Tejas h Shah from Avend us Spark. Please go ahead.

Tejash Shah : Congratulations on good set of numbers. First question is, is the strong momentum that we are witnessing, is it a broader consumption recovery or largely led by our ow n execution or mix of execution in this effect? And how do you see this sustaining over coming quarters?

Sunil D'Souza : So, let me say we have always said we will drive double digit topline and bottomline ahead of the topline. And I think we have roughly delivered that. I wouldn't comment about the broader consumption and recovery, etc. I do think the teams have executed our plans quite well and the plans have changed through the year. For example, we didn't have the Salt targeted actions baked in into the numbers or the expansion of certain brands like Sampan n baked into the numbers. But let me say , Tata Cons umer, I would say, is an entrepreneurial company. As we see opportunities, we jump in. It is not that it is not in our budget, so we wil l execute next year. That doesn't happen here. So, if we see opportunity, we will drive it. We have seen opport

unity this

quarter and across the board, I think the teams have driven the numbers quite well.

Tejash Shah : Very clear . Sir, second, the growth portfolio has done phenomenally well. And we have reached our target of 30% of the India business, at least a quarter ahead of your timeline. So, how should we think about this number now moving? Would you say that this can be 40 %-50% of portfolio by FY let us say 28-29 or you are keeping it open as of now?

Sunil D'Souza : So, let me say growth businesses have to contribute to a higher percentage of the India business fundamentally, because they defined as growth businesses, they will grow faster than the core.

So, the mix will change. And that is a conscious strategy. As we seek to diversify away from being a Salt and Tea company into a multi -category food and beverage company, this will happen. We are in the middle of putting numbers together for the next year and beyond. And as and when we have clarity, we will definitely give guidance. But as of now, I would say 30 % is

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External -Generic a good number to put a peg on. As and when we look at a different number, we will revert on that.

Tejash Shah : That is all from my side. Thank you.

Moderator : Thank you. We will take our next question from the line of Mihir Shah from Nomura. Please go ahead.

Mihir Shah : Hi, sir. Thank you for taking my question and congrats on a great set of numbers. Firstly, on Tea pricing, have all the price cuts in Tea captured in the quarter? If not, what percentage is reflected in 3Q? And secondly, on Tea, now with Tea prices going up again, fair to say that given that you have bought most of the Tea prices in 2Q, you will have a lower cost advantage and can that have a tailwind to margins? So, that is on Tea first?

Sunil D'Souza : So, Mihir, let me say broadly on commodities, we have given up on forecasting with accuracy, right . Given climate change, etc., you don't know how things pan out, number one. So, we remain flexible, agile, able to move in either direction. And that is what I maintained even in coffee.

That is number one. Number two, there was a small uptick on Tea prices at end of the quarter.

But remember, January to about mid -March, early April is a very lean season in the north. Now, how the north crop comes out mid -March to early April will determine the opening prices then.

Therefore, I would not make a statement as to whether we will be better off or worse off, right .

We have done a calculation, we have got inventory for a decent part of Q1, but we will be flexible on moving up or down depending on how the commodity fares when the season opens. And to the other point, we have already passed on most of the increases in this quarter. And that is why you saw volume equal to value growth for the quarter. And as of now, if nothing changes, broadly, we will go back to the mid -single -digit volume plus a couple of basis points of price mix.

Mihir Shah : Understood. Secondly, can you talk a little bit more about the GTM changes that you highlighted? 80% you have already said that pilot is already in place. Now, that is only for those number of states, 8 states or so. Or it is for pan -India, some clarity on that. And what is the impact on the growth there? The 30% growth that you would call out for the growth businesses captures these GTM changes or one can expect elevated growth because of this?

Sunil D'Souza : So, number one, the primary reason we have done the GTM changes is to continue to drive growth. Now, as the percentage of growth businesses grows and the absolute grows, I think even maintaining the 30 % is a decent enough target to have. So, in the short to medium term, we are not changing the 30 %. The GTM changes fundamentally are supposed to be making sure that they drive growth. A, they are pan -India, they are not restric

ted to specific states. We had shown

the maps on certain, the things on the strong points, where Capital Foods was strong, where Salt is strong and where Organic India was strong. So, if that is the deduction for the 8 states that is not a right number. We have done a pan -India, more than 10 lakh plus cities. Any city which is either overwhelming share of Salt, then it is a Salt plus non -salt, where Salt plus Tea is overwhelming. For example, Calcutta was 91% Salt plus Tea and only 9% contribution from

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External -Generic growth. So, there we have gone core plus growth. And then across every other city where we have common distributors, and we had split routes earlier, we have gone back and because the retailers told us that for small drops, small this thing, they don't want multiple salesmen coming in. And therefore, the smaller outlets, if I remember right, it is more than Rs. 3,000 drop per month in urban and in metros and Rs. 2,000 in lower than metros, we have common salesmen.

Beyond that, we have multi -category salesmen going in split routes. So, the idea is the salesman has dedicated focus. Above the salesman, the TSE and the ASM is also structured by category.

So, for Salt, it is the guys only handle Salt. And for, if it is core and growth, there is a team which

is only handling core, there is a team which only handling growth. So, that gives dedicated focus behind execution. So, not only supervisory level, execution level, everything is segmented to drive growth.

Mihir Shah : Got it. And last question on the margins, I know you highlighted double-digit revenue growth, higher than revenue growth will be the profit growth. Can you just highlight what will be the tailwinds for margins? Happy to know that your Dry Fruits portfolio will contribute to Sampann, etc., but again, maybe in the overall scheme of things will be relatively smaller. But what are the other drivers that can lead to better margin growth and drive higher than revenue growth on the profitability front?

Sunil D'Souza : So, I think the single biggest lever will be scale, simply, right? Growing 14 %-15% in that ballpark, we get huge leverage of scale, number one. Number two is the mix of the portfolio.

We have got a balance between the higher margin acquisitions, Tea, Salt to be growing enough to offset the lower margin growth of Sampann, for example and we have managed that so far.

Overall, like I said, when we exit Q4, we should be in the ballpark of 14.5 %-15% EBITDA margin. 15 % is a normative number which we need to get to. Longer term, as we continue to drive premiumization in our portfolio and drive premium categories in the portfolio and improve margins for the base categories, for example, pulses, it was a negative 5% when we started 5 years back. Today, it is close to a double digit, right? So, as we improve that as well, we would expect to continue to improve the gross margin profile. Longer term, I have always maintained a good foods business in India should be a 17 % plus. We are targeted towards that in the longer term.

Mihir Shah : Got it. Thank you, Sunil. Wishing you and the team all the very best.

Moderator : Thank you. We will take our next question from the line of Nihal Mahesh Jham from HSBC. Please go ahead.

Nihal Mahesh Jham : Yes, Sunil. Good evening and congratulations on the strong performance. The first question was on Capital Foods. If you could just give a sense of what the domestic growth was leaving apart the international impact that you mentioned because of tariffs. And ideally, I think, as you were highlighting, you were expecting the changes there to sort of reflect in better growth. So, what is still missing for that part of the business to see a pickup?

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External -Generic Sunil D'Souza : So, overall, Capital Foo

ds has improved month on month for us. And like I said, we expect the go to market changes that we are doing to provide impetus to that. Overall, the softness in Capital Foods was, like I said, month on month. So, the early part of the quarter was a bit soft. And more importantly, 20% of the business is exports, largely the US. And while tea and coffee, base tea, coffee and base spices margins, the tariffs have gone to 0. The rest of the portfolio still remains at 50%. So, as you have taken up prices aggressively, that has had quite a bit of an impact.

Nihal Mahesh Jham : So, just possibly to follow up, what was the growth in the export part of Capital Foods?

Sunil D'Souza : Exports was roughly flat for the whole quarter.

Nihal Mahesh Jham : Understood. The second question was on acquisitions. Now, historically, you have always mentioned that whenever you will incrementally be evaluating, it has to be aligned to distribution, potentially something that can sort of go in the same truck as you have highlighted. If you ever have to consider categories which are say beyond this, then what are going to be the aspects which you look into?

Sunil D'Souza : It is the same, nothing changes, right. A, it has to pass strategic filters. We have already defined.

Right now, we are in Food and Beverage. In Food and Beverage, we have defined specific categories where we will play in. More or less, we have ticked all the boxes on the categories that we wanted to play in. And we have got the brands now to play across the food and beverage spectrum, A, B, apart from that, it has to make sense from a financial value creation perspective.

So, unless that happens, I don't think we will be doing acquisition, but that is not to say that we won't. We are keeping our eyes and ears open. Like I said, almost every deal that happens in India does pass through either Tata Sons or Tata Consumers. So, we either will do or will not do depending on the fact that it has to tick off both the strategic and financial filters.

Nihal Mahesh Jham : Got it, Sunil. Maybe some more questions, I will come back in a few seconds.

Moderator : Thank you. Next question is from the line of Percy Panthaki from IIFL Securities. Please go ahead.

Percy Panthaki : Hi, sir. My question is on Sampann. As brand overall, all the categories that Sampann deals in, is the brand breakeven at EBITDA level?

Sunil D'Souza : So, Percy, we have always maintained we do not do EBITDA for brands. For every single business, we do something called margin after advertising and promotion expenses because below that the sales force, the operations are all common cost. I can always do a hypothetical allocation, Excel sheet, accounting number, but that is not a true way to judge the business. The MAPE for Sampann is positive and it is improving quarter-on-quarter in line with our

expectations.

Percy Panthaki : Understood, sir. And given that this business is a lower margin and it would be growing at a very high pace, do you think that it will sort of put a drag on the overall consolidated margin?

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External -Generic Sunil D'Souza : So, Percy, for the last 5 years, we have been growing Sampan n at 30% and we maintained the

gross margin. The whole trick is to make sure that your portfolio works to your advantage. As I said, we have created our portfolio, crafted our portfolio in a manner where A, we have got a set of businesses which are paying the bills and with a steady state gross margin, bar up and down of a US coffee or a tea happening from time to time, but broadly longer term, Tea, Salt, international, very steady businesses, mid to high single digits and certain gross margin. There are high topline businesses of RTD and Sampan n, where the margin is lower, but improving consistently. And then there are the growth businesses growing ag

gressively, smaller businesses,

but significantly higher margin profiles of Capital Foods, Soulful I, Organic India, those. So, it is all to make sure that you are balancing topline and bottom -line at the same time. So, it is a delicate balance to place. If none of my other businesses were growing, it was only Sampan n, it will be dilutive. But I think over the last 5 years, we have proved that we have the ability to juggle multiple balls at the same time.

Percy Panthaki : Understood, sir. And earlier when you said a foods business in the longer run should be 17%, is that at EBITDA level or is that at the other calculation that is variable costs and advertising but not accounting for fixed costs?

Sunil D'Souza : No. So, I wish I was allowed to deliver businesses with MAPE of only 17% because below that there is at least 12 %-13% of costs coming in, right. So, I can no way deliver EBITDA as required. This is EBITDA percentage of 17%. +17% is the number.

Percy Panthaki : Got it, sir. Secondly, on Tea, just wanted to understand the volume growth of 3% is a little lower than sort of our targets. So, what is playing here? Is it sort of competition or is it just one -off quarter? What should we read into this?

Sunil D'Souza : So, Percy, I wouldn't measure too much into the quarter -on-quarter for every single category. Overall, year -to-date, we have delivered a 9% topline for Tea. Also remember, last year, same quarter, we had delivered a 7% volume growth. So, we are cycling that. So, if you do 7 % and 3%, we are back to the 4% -5% volume growth, which we have been guiding for. So, A is the base quarter. Second, I would urge not to look at quarter -to-quarter. There will be ups and downs because at times you will have volume upsides, price downsides and vice versa. Sometimes, a few quarters, it does take to settle. But overall, India Tea, about 4 %-5% volume and a couple of basis points of price mix. That is what we guide for.

Percy Panthaki : That is all from me. Thanks and all the best.

Moderator : Thank you. Next question is from Sheela Rat hi from Morgan Stanley. Please go ahead.

Sheela Rath i : Yes, thanks for taking my question. Two questions from me. The first question wa s with respect to Capital Foods. So, we just want to hear from you that in 2026, do we have any major plans with respect to scaling that part of our portfolio? And I will just add the second question also.

The second question is, overall on the distribution side, for the next 2 years, what is the kind of roadmap we have with respect to our GTM strategy?

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External -Generic Sunil D'Souza : So, on the GTM strategy, overall, we cover about 1.7 -1.8 million outlets directly and numeric

reach is about 4.5 million. In the medium term, our target is to get to about a 5 million numeric reach. And the reason I am emphasizing this because direct reach will probably, I would say an aspirational number is about 1.9 -2 million. I wouldn't drive beyond that, because now we have to get the wholesale multiplier and get into the semi -urban rural territory, which are our lower share territory. So, that is number one. On Capital Foods, our ambition remains 25 %-30%. I do think we have started to expand the portfolio through innovation, number one, and number two, the new segmented go -to-market and supervisory system should drive us there. Apart from that, you would have seen our new ads that we have created. This is in the mold of how Capital Foods was built, making blockbuster ads memorable, which lasts for a long time. So, that is the third pillar.

Sheela Rath i : Yes. Is there something which is missing for us to kind of accelerate the growth path for Capital Foods? Is there some missing link here which we need to work on right now?

Sunil D'Souza : I wouldn't say there is a missing link. There is, basically, there are two jobs in

Capital Foods.

There is market share growth in existing categories, and there is category creation for us. The south and east of the country, Capital Foods is a slightly alien thing, right. They have not seen Schezwan chutney, etc. So, both advertising and sampling at scale are the critical pieces, and we have started accelerating that. We have upped our what we call taste ambassadors by roughly 50% over the last, I would say, 6 months or so. And like you have seen, pumped up our A&P, including bringing in known faces from the south into the ads, so as to relate better to the consumers. And lastly, like I mentioned, like I will give you the example of Calcutta, where 91 % of the business is Tea and Salt, 9% is total growth categories. You can imagine how much focus it gets. And therefore, the segmented go-to-market will be a huge unlock, because now there is dedicated focus on these categories.

Sheela Rath: Sorry, 90 %, if you could just repeat ?

Sunil D'Souza: In Calcutta, 91 % of the business came from Tea and Salt, and 9 % from all the growth categories, including Organic India, Capital Foods, Souful I, and Sampan n. So, whether it is the distributor, whether it is a salesman, whether it is the supervisor, ultimately bread and butter is paid for by Tea and Salt, and therefore the focus is always Tea and Salt. Now that we have separated it out, there is dedicated focus on these growth categories, and that's where we expect the unlocks.

Sheela Rath: Sir, if I may ask, what is the reverse of that 91 -9? Which are the markets where we are seeing the fastest growth for our growth categories?

Sunil D'Souza: So, fastest growth for our growth categories is across the place. I just gave you an example of Calcutta, because that stuck in my mind about what should be done in large metro markets to unlock.

Sheela Rath: Understood. Thank you, Sunil.

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External -Generic Moderator: Thank you. We will take our next question from the line of Anurag Dayal from Phillip Capital. Please go ahead.

Anurag Dayal: Yes. Hi, sir. Thank you for the opportunity. So, my question is related to RTD portfolio. Two parts of the question. One is that we launched the Zip Zap Energy drink in the previous quarter. How has been the initial reception to it? And secondly, there is expectation that summer will be good this year, and a lot of beverage companies are now already started to build their channel, increasing visi-coolers and all. So, where we are in the distribution and how we are planning to increase our distribution and reach before the summer ends?

Sunil D'Souza: So, let me use a Hindi term, Aapke Muh Mein G hee Shakkhar, because I have stopped trying to forecast the weather, right. When there are rains in Bombay in November and December, and it starts, doesn't rain till around June, July, it is a very difficult forecast, right? But that said, you're absolutely right. Seasonality does pick up. I would say probably February onwards is when you would start seeing the uptick. So, right now, we are, let me say, over the last 2 years, we have started to be ahead of the curve. We have ramped up our distribution and we should be in a good position by around end January, early February, whether it is sales force, whether it is distributors, whether it is salesmen, because after that, the entire focus is on execution. So, if it is a good summer, we will ride it out. Like you have seen, it is not a pricing -driven growth, it is a volume -driven growth, which I feel good about. And we very clearly started to build out the 3 pillars, the entire water stack, right from the Rs. 10 bottles of copper water up to Rs.90 to Rs. 100 bottles of Himalayan, and the entire range in between. And you will see some more aggressive launches in this space coming in the next 60 days or so. We have started to build the

d the

whole stack of Ready -To-Drink tea and coffee, whether it is green tea, fruit tea, kombucha, Ready -To-Drink coffee, in a can at Rs. 70, we have now a PET at Rs. 50, and high -end as well. And then, of course, we have got the entire cups portfolio. Zip Zap was launched middle of last quarter. Fingers crossed, we are still in a few markets. We want to test it out before we go broad -based. But right now, more or less to expectations.

Anurag Dayal: Thank you, sir. Just to follow up on RTD, what is the current reach, if you can, that how many outlets we reach for RTD?

Sunil D'Souza: I will have to get back to you on the exact number of outlets, but it is broadly in the million outlet ballpark. Right now, we will focus on growing our share in this territory before widening the footprint.

Anurag Dayal: Thank you so much.

Anurag Dayal: Thank you. Next question is from the line of Sidharth Negandhi from Chanakya Wealth Creation. Please go ahead.

Sidharth Negandhi: Hi, thank you for taking my question.

Moderator: I am sorry, can you use your handset mode, please? Your audio is not very clear.

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External -Generic Sidharth Negandhi : Just give me a minute. Hi, is this clear?

Moderator : Yes, please go ahead. Yes, we can hear you. Please go ahead.

Nidhi Verma : So, moderator, perhaps we can use the webcast.

Moderator : Please go ahead.

Nidhi Verma : So, Sunil and Ashish, there are some questions on the webcast link. I think some of those have been answered, which were touching upon the go -to market changes, which you have already explained. There is one more question on the India Beverage market share in Tea has seen some softness despite revenue growth. To what extent is this a conscious value over share trade -off and how do you internally track success in such situations?

Sunil D'Souza : I think I have publicly maintained and the good news is now multiple people are saying the same thing. If you read the Economic Times, I think yesterday or day before, just to give you a perspective, last quarter, I think about 18.5% of my business came from e-commerce, quick commerce. Previous quarter was 21 %. This quarter, it was 18.5 %. Modern trade roughly is in the 14 -15% ballpark, so that 33 %. About 5% comes from institutions, which is 38 %. Therefore, all of GT is only 62% of the business. And in modern trade, remember, which Nielsen reports, one significant player doesn't share data. At best, they are reporting about two -thirds of the market in a sampling format. And if you observe market shares ups and downs, I would urge you to listen to commentary from multiple players and then make up your mind about who has gained share, who has lost share. Because there is no other database available, we continue to report Nielsen because otherwise, if I don't report, I will be accused of trying to hide numbers. So, we do report it for what it is worth. And yes, when my volume growth is still a strong number compared to industry, when total value growth is close to double digits, we feel in a good place. I don't think we are losing market share. It might move marginally up and down. Just to give you a perspective , on Nielsen does measure e-commerce. They don't report it and don't total it into this. But we are market leaders on e-commerce. Incidentally, e-commerce, quick commerce, as I mentioned, quick commerce has grown 100%. So, on e-commerce, we have about 38 -39% share and we are leaders. If I total all that, it will be a completely different picture. There are channel shifts, which Nielsen doesn't measure. Where it measures, it is by sampling. And like I said, in modern trade, it doesn't pick up one player. So, your guess is as good as mine.

Nidhi Verma : Thank you, Sunil. The next question is on Tata Sampan n. The question is that, is the growth being primarily driven by

distribution expansion or are we beginning to see repeat consumption and brand -led pull, especially in staples like Pulses and Spices?

Sunil D'Souza : So, let me say my strongest channel for Sampan n is e-commerce, simply because most of the categories that we play in, with all due respect, we are also competing with a retailer. Remember, when I am selling Pulses, he is scooping up Pulses from a 50 kilo bag, making a 50% margin on that. Whereas in my Sampan n, he would at best make a 15% odd sort of margin. Therefore, e-commerce, quick commerce is the stronger channel for Sampan n. And the fact that we are getting
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External -Generic this volume traction and this thing just proves that we built brand loyalty and pull. Just to put it in perspective, even when I do market visits, etc., most of the times, even the GT retailers who are around, they attest to the fact that once a consumer has picked up Sampan n, then they hardly go back, just because of our stringent adherence to quality norms.

Nidhi Verma : Thank you, Sunil. There is a question on innovation. It says, with innovation remaining strong at 15 launches this quarter, would you share what percentage of revenue now comes from products launched in the last 3 years? And how has this metric evolved?

Sunil D'Souza : So, we have launched 15 products this quarter. Year -to-date is 55. And we have publicly said that we want to be around the 5% plus mark on innovation to sales, defined as revenue from products launched in the last 3 years. We are at a 4.8 % at the end of last quarter. And there is no reason we will not cross 5 %, this year.

Nidhi Verma : Thank you. There is one question on how do you see the EU FTA for Tata consumers in the long term? And any update on Tata Starbucks further store opening in terms of resizing stores and further investment in that business?

Sunil D'Souza : So, EU FTA, I will not comment on it, because I am not sure we have all the details on what unfolds, number one. Number two, as we mentioned, our big focus areas in the international markets are UK, US, Canada. EU is there, but it is not a very significant piece. So, I would wait and watch to see how that pans out. On Tata Starbucks, we remain bullish on the coffee opportunity in India, both in home and out of home. On out of home, it is Tata Starbucks. We opened, we are now at 504 stores in 81 cities. We are immensely focused on making sure we constantly tweak our business model to make sure it appeals to Indian consumers and continue to drive business. As we said, coming from a significant dip in the entire QSR industry over the last 24 months, last 2 quarters have been encouraging. We are now in positive same store sales

growth. We did temper store openings a bit to ride through the softness and make sure we made the right modifications to enable faster growth going forward. We remain in the middle of that entire exercise. But longer term, we do intend to be among the top, if not the top coffee shop in India.

Nidhi Verma : Thank you, Sunil. There is a question from Rohit from White Oak. He is asking how much is quick commerce within this quick e-commerce salience of 18 %-20%?

Sunil D'Souza : So, quick commerce is about 15 %. The balance about 4 -5% would be e-commerce.

Nidhi Verma : I am just mindful of the time. So, maybe I will just take one last question from the webcast. Can you clarify the outlook for Tea price mix going forward, given we have given some pricing back to consumers? Should we expect some negative price mix for the next 2 quarters?

Sunil D'Souza : Yes, as I said, we have given off most of the pricing during this quarter, but I don't think the entire picture on the pricing has flown through. There would be a little bit of impact of price mix, but I wouldn't say it will be significant enough, but it will be sort of flattish

h to slightly lower

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External -Generic going forward. But as I said, as we have given off price, we expect volume to pick up. And as I said, we have said mid to high single-digit revenue growth. At points in time, volume will be overpowering versus price growth and vice versa. Going forward, at least for the short term, we expect volume to come back stronger and therefore, us continuing to deliver the mid to high single-digit revenue topline.

Nidhi Verma : And perhaps one last question before we wrap up. There is a question on international margins, whether they are largely back at normative levels, or are we likely to get expansion in the fourth quarter?

Sunil D'Souza : No, international margins are not at the normative level, simply because the entire impact of the coffee cost increases have not passed through. We have had one more round of price increase in the US in the month of January, post which we would have broadly passed on the current cost increases. But that takes some time to translate into the P&L. So, I would say we are about a quarter away from seeing normalized pricing for international. Yes, so we are at least a quarter off.

Nidhi Verma : Thank you. Thank you so much, Sunil . And just being mindful of the time, I know there are still some pending questions, but perhaps you can reach out to us for that. On behalf of the management of Tata Consumer, I would like to thank you for joining us today. Thank you.

Sunil D'Souza : Thank you, everyone.

Moderator : Thank you. On behalf of Tata Consumer Products Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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Sub: Transcript of Earnings Conference Call pertaining to financial results for the quarter and year ended March 31, 2026

Dear Sir/Madam,

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations"), please find enclosed the transcript of Earnings Conference Call held on Friday, May 08, 2026, in respect of the financial results for the quarter and year ended March 31, 2026.

The same can also be viewed at <https://www.tataconsumer.com/investors/financial-information/call-transcripts>

This is for your information and records and treat the same as compliance with the applicable provisions of the SEBI Listing Regulations.

Yours faithfully,
For Tata Consumer Products Limited

Delnaz Dara Harda
Company Secretary & Compliance Officer Membership No.: ACS73704 Encl.: as above

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"Tata Consumer Products Limited
Q4 FY26 Earnings Conference Call"
May 08, 2026

MANAGEMENT : MR. SUNIL D'SOUZA – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. ASHISH GOENKA – GROUP CHIEF FINANCIAL
OFFICER
MR. AJIT KRISHNAKUMAR – EXECUTIVE DIRECTOR
AND CHIEF OPERATING OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to Tata Consumer Products Q4 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Nidhi Verma, Head of Investor Relations and Corporate Communications. Thank you, and over to you.

Nidhi Verma : Thank you, and welcome, everyone, to the Q4 FY 26 Conference Call for Tata Consumer Products. We announced our results for the quarter and year a while ago and we also shared the materials. Hope you've had some time to go through those. In the call today, I'm joined by Mr. Sunil D'Souza, Managing Director and CEO; Mr. Ashish Goenka, Group CFO and Mr. Ajit Krishnakumar, Executive Director and COO.

So in terms of the format, the way we usually do, we will spend about 15, 20 minutes walking you through the key highlights of the performance and then we'll open the floor for Q&A. I just want to draw your attention to the disclaimer statement that is on the screen. With that, I hand it over to Sunil.

Sunil D'Souza : Thanks, Nidhi. So in summary, our consolidated revenue for the quarter grew 18% with the India business delivering 16% UVG. For the full year, we've crossed INR20,000 crores.

Revenue grew 15% with India business UVG of 13%. India tea volumes grew 4%, revenue was minus 1%, primarily because we've taken price cuts as we've seen tea costs go down. Just as rider, margin has come back to where it should be as a result of this.

For

the full year, revenue for tea was up 6%. Salt delivered 12% revenue growth with a stellar volume growth as well. Overall, for the full year, top line was up 14%. Growth businesses crossed the INR4,000 crores mark, growing 24% in this year. For the quarter, growth has come back to where it should be with 33%. Sampann grew 69% in Q4 and 46% full year.

RTD continued its strong performance 28% volume, 23% revenue in Q4 and overall was 10% for the year. Capital Foods and Organic India grew 8%, while the domestic business grew 15%, but because of the Middle Eastern issues, shipping got disrupted for the month of March, including for the U.S., et cetera, where we transship via Dubai. And therefore, we had a hit on the international business.

For the full year, combined revenue was up 12%. International maintained a -- strong trajectory. It's actually now competing for growth numbers with India. It delivered 11% constant currency growth in Q4 led by the U.S. coffee business, full year was 9%. Non-branded was up by 41% in Q4 and for full year by 23% with healthy profitability. Profitability in the non-branded which was elevated last year due to pricing is now back to normal.

Consolidated EBITDA grew 27%, top line 18%, EBITDA 27% and therefore, margin expanded 100 bps to 14.6%. For the full year, because of the softness in the first 2 quarters,

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EBITDA margin for the full year was 13.9%. Working capital was down now to 21 from 26 days last year, and India was minus 2 versus minus 1 last year.

Innovation -to-sales ratio came in at 4.5% with 80 new product launches during the year. The Board recommended a dividend of INR10 per share, which is a substantial increase on where it was last year. So for the quarter, India Beverage is INR1,600 crores growing 4%. India Foods up 21%. International up 21%. Non-branded up 43%. Overall, INR5,400 crores at 18% growth.

For the full year, India Beverages up 8%. India Foods 18%. International up 16%. And non-branded up 25%. Overall, a 15% growth. Constant currency 13%. I will not repeat the numbers. But to say that while EBITDA grew 27%. PBT was up 32%. Group net profit before exceptionals was 48%. And group net profit grew 22%.

And we're now sitting with roughly INR3,000 crores of net cash. Sorry, just if you go back, there is one more metric that we are publishing starting this quarter is adjusted EPS, and that's the reason is because we also amortize some of the brands that we've acquired. And as the amortization winds down, we will have an expansion on EPS. So we will continue to show adjusted EPS also as a factor.

So for the full year, 15% top line. 12% EBITDA growth. 23% PBT. 24% of group net profit before exceptionals. 20% after. And EPS -- adjusted EPS of INR17.3 reported EPS of INR15.6. So our A & P-to-sales was slightly soft this quarter because we spent a significant amount in Q2 and Q3. So we normalized it a bit. But as I said, directionally, we will be the 7.5% to 8.5% ratio as we go forward.

Salt market share was up by 100 bps. Tea market share was down 50 bps, but just to reiterate, Nielsen doesn't capture quick com and e-com which is now 21% of our portfolio. Modern trade, half of modern trade doesn't report their numbers and they extrapolate. And if you triangulate between home panel, the Kantar home panel, reported numbers by competition and the Nielsen numbers, you would figure that these numbers are a bit off.

Going forward, we will probably stop reporting this because we use them now only for execution and not for actual benchmarking. I talked about growth businesses, contributed 31% of our business -- India business in FY '26. For the quarter, grew 33%, contributing 33%. We have finished our entire rollout of our new go-to-market system.

So in geographies where salt is very strong, we've got salt distributor and every one -- everything el

se. There are 64 cities where our salt and tea combined business is overwhelming.

So that's -- we call it core and the rest is clubbed under the growth distributor. And in about 17 cities we've got common distributors, but we've changed the frequency and/or the number of salesmen who got to the outlet.

As a result of this, we've already started to see execution metrics, especially lines per outlet go up significantly. And we do expect that to start to roll into actual revenue numbers. We are continuing to focus on channels of the future. Modern trade was up 20%, contributing to 15% Tata Consumer Products Limited

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of India business. E-com plus Quick-com was up 62% contributing to 19%. We incubated 3 channels during this year.

Food Services exited at ARR of INR170 crores, present in roughly 60 cities. Vending exited at an ARR of INR1,000 -- sorry, INR100 crores, and we have now about 8,000-plus machines. Pharmacy exited at an ARR of INR30 crores, and we cover about 42,000 outlets nationally now.

Innovation -to-sales, we continue to ramp up. It's now 4.5% of our sales and we have grown innovation revenue 7x from where we started. We launched 80 new products this year, roughly doubling the number from last year. And our innovation was all focused on the three pillars that we have defined: Health & Wellness, Convenience, and Premiumization.

We also made strides on sustainability. We featured in the S&P Global Sustainability Yearbook for the second consecutive year. We have ranked among Top 3 companies, among India 60 Most Sustainable Companies by BW Businessworld for second year in a row. And since formation, we've grown top line at a 16% CAGR for India, 7% for international, consolidated at 13%.

EBITDA has grown ahead at 14%. Group net profit has grown still ahead at a 22%. And we've driven shareholder returns. Net working capital in India is minus 2 -- total working capital -- the point to note is our working capital in India is less than -- while we've more than doubled the business, it is less than when we started off 6 years back.

Adjusted EPS more than 3.5x. Free cash flow to EBITDA was 107%, and we've consistently

improved our dividends. In terms of the macros, tea prices largely benign, right now trending about 5% ahead of where they were in the same period last year. But barring any unforeseen climate change, we should have largely benign tea cost.

Coffee prices coming down. Right now, as we speak, it is \$2.99 is what Arabica is trading at, which means in the next probably 2 months or so, you will start to see coffee margins climb up in the U.S. I talked about 4% volume, minus 1% of revenue for India Packaged Beverages.

Coffee also grew 20% in Q4 and overall for the full year 43%.

India Foods volume was up 15%, primarily driven by salt, but net revenue was also up 21%.

And salt on already high market share, we've continued to improve market share from there.

Sampann grew 69% with broad -based contribution across categories. Dry fruits, and cold -pressed oils which we've launched about 2 years back, as of now are close to hitting a INR500 crores each ARR.

RTD, we've grown 28% on volume, 23% on revenue and INR260 crores total. Tata Copper

Plus continues to go from strength to strength up by 33% in Q4 and 26% for the full year.

Capital Foods and Organic India. Organic India, INR135 crores. Capital Foods, INR213

crores.

Combined gross margin, as we said, roughly around 45% to 50% above our base, which is at

47%. Domestic business in Q4 grew 15%. 13% overall in FY '26. Exports declined primarily

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because of the hit in Q4, very specifically the month of March. Non-branded business revenue was up 41%. Soluble revenue was up 43%.

Starbucks, a good part is now -- this is the third successive quarter of positive same -store sales growth. Same -store s

ales growth of 5% and total Starbucks growth of 7%. We opened 23 net

stores, 502 total stores. And now we're present in 80 cities. U.K. revenue growth of 3%.

There's volume growth of 4%. Market share continues to retain at a 19% and value market share in fruit and herbal continues to inch up.

U.S., very strong revenue growth driven by price. Volume was a bit soft. Market share

continues to improve. Bags is 4.3% and we continue to gain share on K -Cups as well. Canada,

we had volume growth in Q4 and revenue growth of plus 7%. Big part was focus is to grow --

we've already got close to a 45%, 50% share in black. Focus is to gain in specialty. So if you

observe, specialty grew faster than base, overall value market share of 25%. I hand it over to

Ashish to talk to you about the financials.

Ashish Goenka : Yes. Thank you, Sunil. As Sunil mentioned, we had a strong quarter. Stand -alone revenue

growth of 15%. Consolidated revenue grew 18%. Growth was largely volume led and broad -

based with India growing at 13%. International and non -branded delivering 11% and 41%,

respectively, in constant currency.

Growth was also complemented by margin expansion. Our stand -alone EBITDA grew at 51%,

while consolidated EBITDA saw a 27% growth. Margins on EBITDA level expanded by 100

basis points over last year. In terms of consolidated financials, I think we have spoken about

the numbers. Full year growth was at 15%.

And EBITDA growth was 12%. Of course, we were impacted by the high tea cost in the first

half of the year and through the year, coffee in U.S. specifically remain elevated. And

therefore, overall, EBITDA margins contracted versus last year. On segment, I think nothing

particular to report.

India has significantly improved over last year, while international and non -branded, we saw

some contraction in margins, while the growth remains healthy, largely on account of the

overturning of the commodity cost, U.S. coffee in international and overall terminal price

impacts in non -branded cost. I think that's all from my side. We will probably spend more time

on Q&A, turning back to Nidhi.

Nidhi Verma : Thank you. Thank you Ashish, thank you, Sunil. Yes, coordinator, you can go to the Q&A

queue now. And requesting all participants to limit their questions to two at a time, please.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. We'll

take a first question from the line of Mihir Shah from Nomura.

Mihir Shah : Hi, sir. Thank you for taking my questions and congrats on a good set of numbers. Firstly, on

gross margins. They have compressed sequentially. This seems largely due to the non -branded

coffee and international business, while India margins seems to have improved. With the

elevated cost levels from crude and fuel, etcetera, that we are seeing now ,

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can one expect the near -term margin should be under pressure? And what level of margin

should one consider for FY '27, especially when you say A&P will go back to 7.5% from 6.7% in FY '26 that you saw and with the rising pressure on RMs that we are seeing currently. So that's my first question?

Sunil D'Souza : So let me answer that this thing. We have seen some increases in packaging costs, et cetera, number one. Number two, we've seen some increases because of places where we use LPG.

Now the good and bad part of our portfolio, I think we've got a fairly balanced portfolio of I would say, slightly stronger commodities and a piece of highly processed food.

So far, we've not seen a big impact on the margins per se. Now if fuel price goes up, then it's broad-based inflation and then it's a different story. But with the current set of variables, we don't see a high pressure per se. And I think we've got enough in our equity for all the categories for us to take increases to make sure we will mitigate margin.

So let me put it this way. I wouldn't lose sleep on trying to figure out margins at least in the next 2, 3 months. Longer term, your guess is as good as mine. But right now, we remain confident of delivering top line numbers and EBITDA ahead of top line, right? And top line, we will grow at double digits. So, yes.

Mihir Shah : Understood. Just one small clarification there, Sunil. Should we still hold to that 50, 70 basis points of expansion over FY '26 that we had indicated? Or do you think that it can come with a little bit of delay?

Sunil D'Souza : No/ So 50 to 75, 80 bps is a given. I mean it's not an option. We will deliver it, number one. Number two, just a rider, saying that, we've got seasonality in our businesses. So it will be quarter-to-quarter. So it's not that it's automatically jumping up to the 50 to 100 for the full year number straight away. So you have to cycle quarter-by-quarter because we've got seasonality, you will see that in play. 50 to 75 for the full year will happen.

Mihir Shah : Understood. That's clear. Secondly, when one looks at the Sampann growth of close to 70%. There's a material step up. If you could share your thoughts on what really drove this? Was it largely due to the higher NPDs that we have seen? Or there is some tailwind from the new GTM strategy that is going about. And also on Sampann margins, post the beverage margins recovering, can one assume that the food and beverage margins are at similar level? And Sampann margins have seen some improvement. So your thoughts on both these.

Sunil D'Souza : So the reason for Sampann growth from a portfolio perspective is, I would say, broad-based. But a little bit of higher impetus in the NPDs. But we've seen growth across pulses, poha, vermicelli, everything. I mean whole portfolio, I think we're getting stronger as a brand and portfolio per se. That's number one.

Number two, the quick-commerce, e-commerce shift by consumers is helping us as well because then distribution and availability is not a constraint. And we're able to reach every single consumer, right? That's number two. Number three, from a margin perspective, we've always said there's no reason Sampann can't hit a mid-teens plus number. And we're starting to get close to that. But we don't look at food -- we look at tea separately.

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We look at salt separately. And Sampann separately. Salt is on a very strong wicket. Beverages has come back to a strong wicket. Tea -- sorry, Sampann per se is, I would say, headed towards the mid-teens sort of margin. So from a margin perspective, overall, I would think we're in a good place.

Moderator: We'll take our next question from the line of Abneesh Roy from Nuvama Institutional Equities.

Abneesh Roy : Congrats. Two questions. So first, of course, on your comment that the market share data you may stop giving and it is more from an execution part rather than a benchmark. So second question is, how do you then benchmark because you must be having those e-commerce, quick-commerce data, which you must be getting. So how reliable is that? And apart from this, if the data is not covering so many channels, how relevant is it even from an execution part of things? How relevant is it from that also?

Sunil D'Souza : So for Quick-commerce, E-commerce, the good part is Nielsen does have a panel and that gives us data, right? So we get that data. And by the way, we're market leaders on tea on Quick-commerce and E-commerce, right? And I would just urge you to go through different annual reports, different analyst calls to pick up numbers and do comparisons on tea number, one.

And the reason I say benchmark is -- my team has got to very, very specific targets in terms of channels, in terms of numeric reach, et cetera. So more than market share, I mean, the numeric reach, etcetera, is what I would look at, share among handlers and numeric

reach. But the

overall market share, I would say, broadly I don't find the directional numbers right.

And that's why we -- we are starting to -- stopping to publish because I don't want to get the discussion every time saying the numbers are not right, et cetera, right? Salt by sheer weight of

the fact that you've got a 40% share and therefore, is very highly distributed, and we are the number one.

I think broadly, the number works now I don't have any benchmark anywhere in the industry to do any other comparison on salt. So that's why salt, we'll still look at the number. But beverages, like I said 25%, we just gave the number, right? 20% is Quick -com, E -com, out of 15% modern trade if you take out half, it's about another 7%. Institutions is about 4%, 5% for me. So overall, GT is just about 55%, and the number is off, right? So it doesn't make sense. Abneesh Roy : Understood. Second and last question will be on the beverage business. 2 subparts here. One is Campa is now number 3 in water Pan -India and very aggressive advertising INR15 pricing Campa Sure, Amitabh Bachchan brand ambassador. Here, specific question is from a margin perspective for you in NourishCo how are things?

And from a long -term growth perspective, given Campa will keep getting more aggressive as they get the back end right. How is the long -term growth? I'm sure next 2 quarters, the growth will be very strong given the El Niño impact. That's the first part. Second part, very small U.S. business, you highlighted margins will improve. But what about pricing? In developed markets, once commodity cools off pricing also cools off very quickly, right? So if you could comment on that part ?

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Sunil D'Souza : So let me go with the second answer first. Number one is, today, while commodities costs have softened, there is inventory in the channel of raw material and therefore, the entire margin expansion hasn't happened. And even after, I would say, 2, 3 months when the inventory levels start to go down and the newer inventory starts to flow in, the margins would just come back to where they were for the industry before this entire up -cycle on coffee prices.

That said, you could see action on pricing specifically driven by promos on the shop floor. We remain alert to that. But I would say, till -- broadly, the industry comes back to the margins, which used to be there just about 2 years back. I don't see too much of a fight breaking out on the shop floor.

And therefore, margins, I would say, would broadly -- will they come back to exactly where they were? I'm not sure. But they will definitely improve from where we are currently. So that's the reason why we remain extremely confident. That's number one. And by the way, the good part is even in this scenario of compressed margins, we have continued to drive significant top line and therefore gain market share in the U.S. So that's one.

On the second part, I wouldn't compete about competitors with numbers and data, which I'm not too clued -in about. All that I can say is we remain confident of growing 30% consistently and improving our whole margin portfolio profile as well. In NourishCo we have 3 different verticals that we are very clearly focused on.

Number one is water in its whole stack, and you will see a bunch of launches happening. Right now, we have Himalayan, we have Spring Alive, we have alkaline, and we have Tata Copper. You'll see more of launches across the spectrum and functional waters. That's number one. Number two, you have affordable cups and I would term it as affordable and profitable cups, So I wouldn't worry about people trying pricing actions in that category. And the number three is where I have every right to win, which is tea and coffee. We have right now kombucha green tea, fruit tea. We've got coffee in cans and coffee in PET. And you will see more launch

es in the coffee space -- sorry, tea space as well as we go forward.

We've grown Tata Copper by 33% last quarter. There's no reason why this trajectory can't continue at this level for a long, long time because A, we do have a strong brand proposition. B, we still, I mean, not covered the entire country in the manufacturing / distribution terms. And C, per capita consumption of water itself is at abysmal levels in India when you compare to the rest of the world. So geographic expansion, per capita consumption, and portfolio expansion, all 3 will drive NourishCo.

Moderator: Next q uestion is from the line of Vivek Maheshwari from Jefferies.

Vivek Maheshwari : Two questions. So first one is on the growth categories you now that Capital Foods and Organic India are kind of doing well in the domestic market. Are you thinking about more acquisitions and adding more to your growth portfolio? And where do you think its salience settles at in the next 3, 4 years? That's the first question ?

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Sunil D'Souza : So Vivek, let me say, while we've improved our performance in Capital Foods and Organic India, I think we've got a runway to improve it still more significantly with the split GTM that we have rolled out, we've already started -- my single biggest indicator is lines sold. And for

that, we have started to see significant improvement in Capital Foods and Organic India when I look at it by category.

And when I look by type of distributors, the growth guys are growing the fastest on lines per outlet, which means we are doing the retailing and distribution of the products backed by media spends on the brand as well, whether it is Sachin Tendulkar or it is Ranveer Singh on the Capital Foods side. I think that's doing very well for us.

And you'll see a lot of innovation also rolling out in the pipeline. That -- so therefore, we should be accelerating on Capital Foods and Organic India. You will see a lot of launches organically across different platforms as we go forward, including some new platforms that we're going to launch. So therefore, the growth portfolio will continue to chug along at this 30% number, at least in the near term.

On the acquisitions front, we remain open. But right now, let me say, what we like is not for sale, what is for sale, we don't like, right? So from that perspective, if and when something comes along, which we think will be attractive, we will look at it. So we've never said no. In terms of percentage, right now for the short term, short to medium term, I would say 30% growth is a given, for the growth businesses, and we will keep recalibrating as we go forward.

Vivek Maheshwari : Interesting. Got it. And the second bit is, you have already answered. So you have a very unique raw material basket versus most of your competitors. You have mentioned about international margins and drivers for that. But because of this volatility and whatever geopolitical bit ,

whether from a margin perspective or growth perspective, are there any -- should there be anything that we bear in mind from U.S., Canada and the U.K. perspective that in case if geopolitical things do not settle down in time , are there any areas because this is a piece which is very difficult to understand for us sitting in India. So I just wanted to be sure on that?

Sunil D'Souza : So overall, if you look at it, Vivek, how does the entire Middle East situation impact us?

Number one is in terms of availability of raw material and therefore, for business continuity, right? So from -- for the India business itself, we used to have some plastic closures and PET, et cetera, which we use to import. We've already shifted about I would say, about 15, 20 days back. And we are fully -- I mean there is no issue on continuity. That's number one.

Number 2 is the issue is LPG. LPG for specific categories where we used to use LPG, most of the p

laces we found alternate suppliers who are supplying without a problem and/or we 've switch ed to dual use burners. So that is not an issue at all. The third piece is where if there is a fuel price increase and there is broad -based inflation, that is what should worry us.

As of now, I mean, I'm not sure where this is headed. I don't see a reason why it should only impact us. It will be an industry -wide phenomenon if it happens. And therefore, you would see price increases with people making sure margins are protected. My hypothesis is if there is a Tata Consumer Products Limited

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broad -based fuel price uptick ,it will translate to price increases as everyone in the industry moves to protect margins. But per se, as of now, with the moves that have happened, I don't see too much of an impact. And if there is an impact, like I said, we do have the equity strength to take pricing and make sure we mitigate that.

Vivek Maheshwari : And Sunil, just to confirm whatever comments you have made just now are applicable to international business, each of the geographies as well?

Sunil D'Souza : Absolutely. Because the international, remember in U.K., Canada, et cetera, it's primarily tea and therefore, I mean, the big, big impact is tea prices more than anything else, and that hasn't changed. Similarly in the U.S., it is coffee, which is probably 90% of my business. And again, coffee prices are coming down rather than going up and therefore doesn't change. There's going to be minor uptick here or there, but nothing significant.

Moderator: Next question is from the line of Nihal Jham from HSBC.

Nihal Jham : The first question was on Capital Foods and Organic India that there was an impact in the international, but we had the thought that, again, the domestic portfolio could start touching a 30% growth this quarter itself. So what are the issues? It's mainly the distribution which you've rehashed or there is some other issues which had come up for this quarter?

Sunil D'Souza : No. So this quarter, Organic India did touch close to 30%. I think it was 26% or 27%, if I'm not mistaken. Capital Foods was a bit subdued. I would have loved for it to grow, but it still grew double digit. The primary reason was as we relayed the entire go -to-market, remember, between November and February, we relayed our entire go -to-market in the top cities. That had a bit of a hiccup. That said, we remain quite confident of coming to the 30% mark very quickly.

Nihal Jham : Understood. The second question was in the tea bit. Last quarter, you did highlight there was a worry of a slight spike. I think in the opening remarks, you did mention about some comfort. But just to clarify that on tea prices, there is comfort that at least based on the showing that

you're seeing that the prices look comfortable for the year ahead or at least for the season ahead ?

Sunil D'Souza : So like I said, I've stopped trying to forecast commodities too far ahead because things go up and down. But as of now, for this year, tea prices have trended well. They are roughly, I think, in the same ballpark as the price same period last year. And so therefore, it's largely benign and that's why we had given down -- given off pricing to make sure that we are competitive. As of now, we don't see any reason to change the guidance for that.

Nihal Jham : Understood. Just one last question on Sampann. So it's obviously great to see the kind of growth the business is delivering. I think when you mentioned about the margin you're referring to the MAPE or the contribution margin that you highlighted earlier. Then is it possible that on the EBITDA bit, Sampann gets profitable and start giving a sizable contribution, given on top line, it's already the fastest growing part of the portfolio.

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Sunil D'Souza : See, in a structure like mine where

my front end is common and my entire back -end operations are common, I would not try to do a mathematical exercise to allocate overheads by different categories and therefore, calculate EBITDA, right? So I mean we've always maintained saying we will do P&L by category, up to margin after promotion and advertising expenses. Below that, all the costs are all fixed. And then the target -- I mean, the targets for the teams who are handling those lines are fixed costs. And that's how we play it. So for every single category, whether it is I mentioned the 33% to 35% for tea or 35% range for salt, or the mid - teens for Sampann, it is all margin after promotion expenses.

Moderator: We'll move on to our next question from the line of Aditya Soman from CLSA.

Aditya Soman : Two questions from me. So firstly, on the -- so we've received also feedback from some of the Quick -commerce players and E -commerce players about how Tata Consumer is doing -- is amongst the best performing companies on their platform. So from your perspective, what has really worked well and has allowed you to outperform even compared to GT where you've had long-standin g relationships. So that's one.

And second, on tea, despite obviously, you're doing very well on these channels the 4% of volume growth, would you say that's a satisfactory number? Or would you sort of aspire to see that number improve over the next 3 quarters?

Sunil D'Souza : So let me answer the second question first. We've always mentioned for tea, we will target mid-single -digit growth and a couple of basis points of price mix, therefore, mid - to high single -digit total top line growth. From that perspective, we are almost there, but not there in this quarter. So I would aspire for a slightly higher number. That's number one.

Number two, on the Quick -commerce, E -commerce, our philosophy is very clear. We will be where the consumer is. And if the consumer is shifting from GT, Modern Trade to E -com, Quick -com, we will be there first and then we'll figure out all the other pieces later. So that's been our motto, number one.

Number two is, remember, we came from significantly behind our distribution. While you might say relationships on GT, when we started 6 years back, we were 0.5 million [direct] outlets with a numeric reach of 2 million. Today, we are about 2 million [direct] outlets with a numeric reach of 4.5 million, right?

So from that perspective, we've expanded significantly. But we are still behind where we want to be on distribution. And the ability to reach consumers through Quick -com, E -com and gain momentum is primarily because, A, we've got the most trusted brand name in the country. B, are very, very sure of the quality of the products that we offer.

And therefore, when we connect straight with the consumer, we hit it out of the park, right?

And -- in fact, that is one of the things which I use to beat up my sales guys saying as long as I am talking straight to the consumer, which is what happens on Quick -com, E -com, I am a winner, and I'm number one, right? So therefore, if they get execution right and close

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distribution gaps, there's no reason I should be number 1. I shouldn't be number 1 even in GT channels.

Aditya Soman : That's very clear. And just in terms of profitability on across channels. So would it be fair to say that like -for-like for the same products, profitability will be lower on these new channels, but obviously, you see more premiumization. So overall, the product or at a category level, your margins could be better. Would that be the right way to look at it?

Sunil D'Souza : Now you have to remember, when you put all -in cost, right? If you look at only up to gross margin level, there are different costs on different channels. If you take the cost of the field

force and put it on to GT channels and the cost of logist

ics and you put visibility on the E -com,

Quick -com channels, you might broadly be surprised that it lands up in the same ballpark. So I wouldn't want to do that calculation.

And the other piece, like I mentioned, right? I would rather go play where the consumer is, even if it's a slightly lower margin than not go just because it is lower margin and land up with no margin, right? So that's number two. Number three, remember, there is a game of ROAS as well.

As you build scale on these channels, you initially have to spend higher visibility to get momentum going. Once you get momentum going that same advertising dollar gives you significantly higher return by building scale. So there is an advantage to be had by first -mover. And I do think that in quite a bit of the categories we're getting there.

Moderator: Next question is from the line of Jayant Parasramka from 3P Investment Managers.

Jayant Parasramka: Just a couple of points on A&P spends, if you were correct, you said it is going to go up. So with gross margins likely to be under pressure in some of the categories, we still think about 60 to 70 basis point EBITDA margin expansion can happen given how status -- current status quo, which we are maintaining?

Sunil D'Souza : So a couple of things, right? As long as I don't increase the middle of my P&L, my top line continues to grow double digit, it has to drop to the bottom line. That's number one. Number two, I did mention that if there are some tweaks and some small niggles on cost aspects, we have the ability to take pricing up and therefore, make sure that margins are well protected. So I wouldn't worry about it. I would say a food business in India should be between, I would say, 7.5% to about 8.5% sort of -- so 7% to 8.5% sort of A -to-S ratio. We are broadly operating in that ballpark. And if you look at the full year, we are almost in that ballpark, right?

So for the full year, there will be ups and downs in quarters because, for example, for tea there is a peak in North India in quarter 3, for example, quarter 3, quarter 4. So you will find slightly ahead of that advertising ramping up or for example, there are specific big days and big events around, we will ramp it up then. But broadly, in the ballpark, we should be in the 7% sort of range coming in, and I don't expect that to impact my overall EBITDA margins.

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Jayant Parasramka : Sure. My second question is slightly strategic. I'm just trying to understand on Sampann, you launched Protein Makhana and also you have a brand Simply Better. Just from an Indian perspective, are you seeing people move towards more healthier kind of food? Is that a strategic shift which is happening pretty fast? And are we looking to take advantage of that, given our scale, given our bigger scale as business?

Sunil D'Souza : So absolutely, if you saw the slide on innovation, innovation is focused on the 3 big macro trends in the Indian consumer: Health & Wellness, Convenience, and Premiumization, right?

The other piece is communication moving to digital and online shopping as well. So you see us going aggressively between E -com Quick -com and therefore, advertising dollars also being or rupees also being spent on that. So that is a secular trend, number one.

Number two, you will see Sampann and you'll see Tata Simply Better, that's because the base categories we are present in Sampann and when we are adding something, subtracting something, and making sure it is better than what you consume on a regular basis, that is branded under Tata Simply Better. So cold -pressed oils is not your regular oil. It is better for you oil and therefore, it is Tata Simply Better.

Jayant Parasramka : Sure. Thank you, sir.

Moderator: Thank you. Next question is from the line of Kaivalya Baing from IIFL Capital. Please go ahead.

Percy Panthaki : Hi, sir. T his

is Percy here. Can you hear me?

Moderator: Yes. Please go ahead.

Sunil D'Souza : Yes, Percy.

Percy Panthaki : Yes. S ir, just wanted to understand on tea cost, did you say that it is in FY '27 likely to be flat Y-o-Y?

Sunil D'Souza : So Percy, I said, as of now, we are seeing it roughly flat. And as mentioned on a couple of calls, I've stopped trying to forecast commodity costs too far ahead because with all the bumps that we have on climate, weather, et cetera, I don't know what I don't know. And we will react, we'll be agile to move pricing, et cetera, in line with commodity trends. For now, the season has already started . Plucking and auctions are up fully in April. And we are seeing costs roughly benign.

Percy Panthaki : Okay. Let me put it other way. The tea margins that you have enjoyed in FY '26, the India tea

margins, are you happy with that? Or do you plan to see an expansion in those margins in FY '27 through initiatives of your own? And if there is a small cost impact, you will pass that on. So therefore, you will still see an expansion in India tea margins. Would that be a fair assessment or no?

Sunil D'Souza : So Percy, the tea margins for Q4 are roughly where we want to be. We were not there in the beginning of the year. They started expanding as we went through the year, and we had taken Tata Consumer Products Limited
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pricing and costs went down. Roughly right now we are where we should be, and we'll aim to be in this ballpark.

Percy Panthaki : Understood. Secondly, just wanted to ask on product portfolio. Over the last few quarters, you've launched several products and categories. Do you think that your product portfolio is now more or less complete and you would focus more on driving sales in the existing products or would you plan to expand it further?

Sunil D'Souza : So Percy, with our ambition of growing double digit and continuing to deliver EBITDA margins ahead of -- or EBITDA ahead of top line, we will not only grow our organic portfolio, which exists today, but we will continue to drive, as I've clearly mentioned saying, it's distribution, marketing, brand building and innovation.

So as we see consumer trends come up, you will continue to see innovation coming out. So I think we are a long, long, long way away from saying we've got the perfect portfolio. I do think we will continue to aggressively expand distribution, continue to spend behind building strong brands and continuing to expand on innovation.

Percy Panthaki : Can you give some gaps as to where broadly, of course, I understand you can't comment on new launches, but where broadly do you think are the gaps in your portfolio, which you can sort of fill over the next 1 or 2 years? And a related question is that, as I see it, now your portfolio is actually pretty wide. Do you run the risk of spreading yourself too thin in terms of proliferating the number of products and not being able to give enough attention and focus on individual product from a sort of either a sales point of view or a general organizational point of view?

Sunil D'Souza : So Percy, last 3 quarters, I think we've been in a strong double -digit top line growth 18, 15, 18. So that's number one. Number two, these are all driven by base UVG and not by pricing actions. I think that proves the ability of the system to execute all these innovations at scale. That's number one.

Number two, remember, not all the innovation that you see are immediately lining up in the distributor's warehouses and therefore, complicating the system. Today, there is this beautiful channel called E -com, Quick -com, which allows you to launch. So your test market is, you can do it in a city on Quick -com, do a quick test and then roll out total Quick -com then modern trade, then SAMTs, then GT.

So as long as your playbook is very clear on how you're going to expand at lowest risk, lowest cost and highest i

mpact I don't think there is a problem in launching innovation, right? The critical piece is to have your framework on where you want to play and launch innovation in that space, I think that is the more critical space. So I wouldn't see an issue out there. As far as portfolio goes, let me just leave you with, we are right now in the food and beverage space, which has still got, I would say, enough white spaces for us to go after especially in very, very specific nutrition, health and wellness and premium categories. So we will -- you will continue to see launches across our portfolio in that space.

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Percy Panthaki : Got it, sir. Last one, just give the ARR of Sampann as a brand overall, including all its categories?

Sunil D'Souza : So Sampann overall for the full year ended at close to INR1,400 crores. But remember, starting from a 35%, 37% growth, if I'm not mistaken in Q1. We are now at 60%. I don't -- yes, this is a INR1,600 crores is the actual number for Sampann for the full year, Percy.

Nidhi Verma : Moderator, we will go to the webcast now and take a few questions from there.

Moderator: Sure. Please go ahead.

Nidhi Verma : So there is a question from .

Moderator: I'm sorry to interrupt, can you come a little closer to the microphone, you're sounding distant.

Nidhi Verma : Sure. Okay. So there is a question from Atul. He is asking what is your strategy on a tactical aggression in high -margin protein segment. Are we looking to go organic or all options on the table given that you have enough cash on our balance sheet ?

Sunil D'Souza : So let me answer it in this way. Yes, protein is a segment which is trending, and we are

looking at it closely. But the acquisition strategy doesn't pertain to protein alone. As I said, we are very clear where we want to play, where we don't want to play. And if there is a attractive acquisition, which comes across any of the segments that we play in, we will look at it, protein included.

But protein per se, you would have seen some of our launches come out, Makhana for example, or we launched Edamame et cetera. That is -- let me just say, it's a teaser. You would see much more ramping up in this space, but ramping up with a plan.

Nidhi Verma : Thank you. Thank you, Sunil . There is a question on consumption patterns. Atul is asking in terms of the adoption of semaglutide, which is the GLP -1 trend that we are seeing. How are you developing products that serve the needs of that category?

Sunil D'Souza : So GLP support is what food and beverage companies are looking at. We are also looking at that -- the thing right now, there is nothing on the anvil. We will wait and watch, but be trigger ready to see if this category takes off.

Nidhi Verma : There is question from Omkar, from UTI Pension. He is asking Organic India has approximately 40% revenue coming from exports, yet, it has been able to grow 24% during the quarter, but Capital Foods is approximately 20% export mix. And yet, it has delivered below expectations. What could possibly be the reason for this?

Sunil D'Souza : So the primary reason is because for Organic India, the single biggest market in the U.S. and we carry inventory onshore out there in the U.S. During the tariff up and down, which impacted Organic India quite a bit. We had pumped up inventory, and therefore, there was enough inventory sitting onshore in the U.S.

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Whereas for Capital Foods, it is FOB India to many of the retailers and most of them do U.S. transshipments happen at the Middle East, et cetera. And that shipping got disrupted in the month of March. Come April, it is back to normal, and we do expect to start delivering decent growth even in that category.

Nidhi Verma : There is a question from Abhishek Mathur at Systematix Group. He is asking, what is driving the

strong volume growth in salt? Is it coming from loose, unorganized or there are some other drivers?

Sunil D'Souza : There are multiple drivers starting with the first thing, which I said when Tata Consumer was formed we decided to play not only in vacuum evaporated iodized salt, we said we will play in salt. So actually, if you look at my salt portfolio today, it's almost like a Udipi restaurant menu.

You got salt with zinc, you've got salt iron, you've got salt -light, you've got salt super -light, you've got rocksalt, you've got sendha salt, you've got solar salt, you've got vacuum evaporated. So we have created a portfolio on salt which caters right from the premium, down to a value play. That's number one.

Number two, over a period of time, we've continued to build the brand with media and strengthen it. In fact, top of mind, I think right now, I would dare say Tata Salt is probably right up there among the top Indian brands. Our top of mind is now about 88. So 88 out of 100 Indians, if you ask them, salt? They'll say Tata Salt, right, as simple as that.

Number three is distribution, and we continue to expand and we continue to reengineer our distribution systems to make sure we're delivering. There were very many cities, I think 24, if I'm not mistaken where salt was overwhelming. And therefore, if it's a very, very strong market, it's good to separate it out to give it single -minded focus. That has started to play off as well. So yes, multiple things in play, I would say, not one.

Nidhi Verma : There is another question. Perhaps in the interest of time , we'll take one last question. There is a question from Bharat . He's asking what is explaining the unbranded soluble growth given that coffee prices are in deflation now? What is the outlook for this segment on growth and margins in FY'27?

Sunil D'Souza : So the growth is primarily when you compare with last year. So the coffee prices are elevated even when you compare to last year, and that is what is driving the unbranded soluble growth. Incidentally, on the unbranded soluble growth. Yes, FYI, I think Vietnam is now running at a 99% utilization.

And we had already started a project to expand capacity out in Vietnam, which should be online by, I think very early in 2027. That will give it the real next leg of growth going forward. Today, our Board has also officially approved capacity expansion on tea extracts, which again, we're running out of capacity and we will start on that project as well. So the whole solubles unbranded business will continue to go from strength to strength.

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Nidhi Verma : Thank you, Sunil. With that, we conclude this call. I know we are running out of time. There might be some pending questions in which case you can get in touch with me or Kaiwan from the Investor Relations team. Our details are on the last slide of the investor presentation. On behalf of the management, I want to thank you all for joining today, and have a great evening.

Moderator: Thank you. On behalf of Tata Consumer Products Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.